STEP Advanced Certificate in Trusts: Law and Practice (International)

Course Manual

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Learning objectives

The purpose of this module is to:

- define a common law trust and explore the identities of and roles played by the main actors
- review the function and capacity of the settlor
- explore the legal ownership in trust property and explain the trustee's role, powers and duties
- explore the nature of the equitable ownership in trust property and identify the beneficiaries' rights, and
- compare a trust with other legal concepts, namely
  - a company
  - a contract
  - a testamentary instrument or Will, and
  - a foundation.

Introduction

In this course we will review some of the basic, theoretical aspects of a trust structure. Firstly, in sections 1 through 5 of this module we will cover exactly what a trust is and, in section 6, what it is not.

1. Definition of a trust

It is easier to describe the essential features of a trust than to provide a comprehensive definition. Whenever definitions have been attempted all seem to fall short of a final, universally acceptable authority.

1.1 Common law

The definition of a trust given in *The Concise Manual of the Law Relating to Private Trusts* by Sir Arthur Underhill (1878) has received judicial approval in England.[1] Nonetheless, subsequent authors have revised this a little, so that the latest edition of Underhill and Hayton defines it as:

A trust is an equitable obligation, binding a person (who is called a trustee) to deal with property (called trust property) owned by him as a separate fund, distinct from his own

1. ***Re Marshall's Will Trusts*** [1945] Ch 217 and ***Green v Russell*** [1959] 2 QB 226

private property, for the benefit of persons (called the beneficiaries…), of whom he may be one, and any one of whom may enforce the obligation.[2]

1.2 Trust legislation

Trust legislation in England does not define a trust, but certain jurisdictions have enacted a statutory definition by legislation. It must be said that these definitions are not particularly useful. For example, s.1 of the Trusts (Guernsey) Law 2007 defines a trust as follows:

A trust exists if a person (a 'trustee') holds or has vested in him, or is deemed to hold or have vested in him, property which does not form or which has ceased to form part of his own estate…for the benefit of another person (a 'beneficiary'), whether or not yet ascertained or in existence…

Another statutory definition found in Jersey's quasi trust code, namely s.2 of the Trusts (Jersey) Law 1984, Revised 2023, is similar but, if anything, is even less accurate.

1.3 The Hague Convention

The Hague Trusts Convention gives an international and more descriptive definition of a trust.[3] It is an international definition because it is meaningful both to those trust practitioners familiar with common law legal concepts and to those with a civil law background.

The Hague Trusts Convention sought to introduce uniform conflict of laws principles applicable to both common law and civil law jurisdictions. The objective was to enable different jurisdictions, not just those that derive their law from English common law, to recognise foreign trusts so that the Anglo-Saxon trust concept would be construed under mutually acceptable principles, rather than analogous legal concepts found in the domestic law of civil law jurisdictions. The Hague Trusts Convention provides civil law jurisdictions with rules enabling them to recognise and give effect to the intention of a trust rather than simply striking it down as being unlawful or unknown in their system of law.

Article 2 of the Hague Trusts Convention sought to define the central characteristics of a trust so that a civil law judge may determine whether or not any particular structure or relationship is in fact a trust within the meaning of the Convention.

It states that:

For the purposes of this Convention, the term 'trust' refers to the legal relationship created – inter vivos or on death – by a person, the settlor, when assets have been placed under the control of a trustee for the benefit of a beneficiary or for a specified purpose.

A trust has the following characteristics:

(a) the assets constitute a separate fund and are not a part of the trustee's own estate
(b) title to the trust assets stands in the name of the trustee

2. Underhill and Hayton, *Law of Trusts and Trustees*, Charles Mitchell, Paul Matthews, Jonathan Harris, Sinéad Agnew, 20th Ed. (2022), London: Lexis Nexis.
3. The Hague Convention on the Law Applicable to Trusts and on their Recognition, 1987

(c) *the trustee has the power and duty, in respect of which he is accountable, to manage, employ or dispose of the assets in accordance with the terms of the trust and the special duties imposed upon him by law.*

The Hague Convention, including the preliminary definition of a trust, has found its way into the legislation of a number of offshore financial centres through the enactment into local law of international conflict of laws rules relating to recognition of trusts.

1.4 A homemade definition

In an attempt to provide a concise but descriptive definition containing most of the salient features of a trust, the author of this manual proposes the following definition:

A trust is established by a settlor when the legal ownership of trust property is transferred to the trustee and equity compels the trustee to hold, manage and distribute such property to or for the benefit of the beneficiaries in strict accordance with the terms of the trust and the fiduciary duties imposed upon the trustee, so that such beneficiaries have equitable ownership therein (and any one or more of their number can compel the trustee to comply with the terms of the trust and, in certain circumstances, can trace and recover such property from third parties).

Let us now dissect this definition and explore each of the individual propositions referred to in subsequent sections of this module.

2. A trust is established by a settlor

The settlor is the person who establishes the trust. In other words, it is the settlor who selects the initial trustee, establishes the terms of the trust, and typically transfers money or other property to the trustee to hold, manage and distribute according to those terms.

This gives rise to four issues:

i. the selection of the trustee
ii. the capacity of the settlor to create a trust
iii. the requirement for certainty of the settlor's intention to create the trust and, finally,
iv. the settlor's continued control over the assets.

2.1 Selection of trustee

The word 'trustee' means 'one who can be trusted'. Accordingly, settlors typically choose trustees in whom they have complete faith and confidence. A settlor must unreservedly trust the chosen person to hold the trust property upon trust, to manage the trust assets in an appropriate manner in the best interests of the beneficiaries throughout the lifetime of the trust period and to comply with the dispositive and other provisions set out in the trust instrument.

Trustees may be individuals or a corporate entity, namely a trust company. Trust companies are institutions that exist to carry out trust and asset-management services for wealthy clients. They often have advantages over individuals by offering in-house expertise in a number of asset-management disciplines, such as banking, legal, accounting, company secretarial and investment services. Wealthy prospective settlors are often referred to offshore corporate trustees by private banking subsidiaries of global banking institutions and by the large international legal and accountancy firms that carry out private client business.

2.2 Capacity of the settlor

The settlor must have capacity to create the trust. Applicable local law may prohibit or outlaw a person from entering into specified transactions. In these circumstances, any contract or agreement between two persons that purports to enter into such a prohibited transaction is void because of the parties' lack of capacity. This proposition gives rise to two issues.

- Does the settlor have capacity to enter into a transaction so that they may validly create a trust ('personal capacity', dealt with in this section)?
- Can the settlor transfer legal ownership of the trust assets to the trustee ('proprietary capacity', see section 3.4)?

Personal capacity relates to whether a particular person can or cannot enter into a particular transaction. According to fairly universal rules, any individual or corporate entity capable of owning and transferring property has the capacity to be a settlor and may create a trust. An individual settlor must be *sui juris*, that is, not suffering from any legal disability: in other words, over 18 years of age, mentally competent and not an undischarged bankrupt. Expressed in the negative, an individual who is suffering from a legal disability does not have capacity to create a valid trust. In England and other modern common law jurisdictions, 'foreign' legal disabilities, such as those based upon slavery,[4] race,[5] religion[6] or prodigality,[7] are not recognised. When establishing the capacity of a corporate settlor, different rules apply. A corporate settlor must be in good legal standing and properly authorised by its constitution to create a trust.

Unfortunately, the issue of the settlor's personal capacity is often complicated by the fact that it can be determined by different, and possibly conflicting, laws. This is particularly the case when a foreign onshore-domiciled settlor establishes an offshore trust to avoid (estate) tax or forced heirship. There are at least two possibilities. The settlor's capacity may be determined either by:

- the law of the settlor's domicile (the so-called *lex domicilii*, which in these circumstances may very well say that a person subject to such law lacks the required capacity to enter into a transaction because of their social status or ethnicity, or because the transaction has no commercial reason other than tax or forced heirship avoidance), or
- the governing law of the trust (the so-called *professio juris*, or law chosen to govern the trust in the trust instrument).

At first blush it is surely logical that the issue of the settlor's capacity should be determined by the laws of the state where the settlor is domiciled and that they ought not to be able to select any other random law to determine the issue. In other words,

4. ***Sommersett's Case*** (1771) 17 *St.Tr.*1
5. ***Oppenheimer v Cattermole*** [1976] AC 249
6. ***Re Metcalfe's Trust*** (1864) 2 De G.J. & Sm.122
7. ***Re Selot's Trust*** [1902] 1 Ch 488

the principle that ought to be followed is that if a settlor lives, works in, and transacts business from, a certain state, they should be subject to the laws of such state. Any other outcome would be unfair. There are common law decisions that support this principle and provide that the alleged incapacity of a party to a contract is determined by the laws of that party's domicile (the *lex domicilii*).[8] By analogy, the capacity of a party to a trust ought to be determined by the law of the party's domicile. This could produce some conflicting outcomes, however, with one state saying that the settlor did not have capacity and another state saying that they did.

These conflict of laws issues, relating to the settlor's capacity to create a trust, have been clarified by offshore trust legislation. The first jurisdiction to address this was the Cayman Islands when it enacted the Trusts (Foreign Element) Law 1987. The provisions of this legislation are now found in ss.89 and 90 of the Trusts Act 2021 Revision, which states as follows:

89. In determining the governing law of the trust, regard is first to be had to the terms of the trust and to any evidence therein as to the intention of the parties…

90. All questions arising in regard to a trust which is for the time being governed by the laws of the [Cayman] Islands…including questions as to the capacity of the settlor… are to be determined by the laws of the [Cayman] Islands without reference to the laws of any other jurisdiction with which the trust may be connected.

Task 1.1

Review the trust legislation enacted in the jurisdiction where you work (or have some other substantial connection)[9] and ascertain whether the issue of the settlor's capacity to create the trust is governed by the *lex domicilii* or the *professio juris*, namely the selected governing law of the trust.

2.3 Certainty of intention to create a trust

The case of *Knight* states that the creation of a trust requires 'three certainties'.[10] The first of these certainties is certainty of intention. It must be clear and certain from the words used to create the trust and the surrounding circumstances that the settlor intended to create a trust. If there is doubt the trust fails.

An extension of this statement of law relates to sham trusts. Where a trust 'is made to appear what it is not' the trust will be struck down as void on the grounds that it is a 'sham'.[11] The underlying basis of the *sham* in these circumstances is that, at the time of the execution of the trust instrument, the settlor does not honestly expect the trust to be genuine and have legal effect.[12]

8. ***Bodley Head Ltd. v Flegon*** [1972] 1 WLR 680. This is an English case where it was held that the alleged incapacity of a Russian party to a contract ought to be determined by Russian law. This conclusion is shared by *Dicey and Morris on the Conflict of Laws*, pp.1,271–72. Nonetheless, the Canadian case of ***Charron v Montreal Trust Co*** (1958) DLR 240 takes the opposite view, namely that capacity of the parties to a contract is determined by the proper law of the contract.
9. The Bahamas – s.4 and 7(1) of the Trusts (Choice of Governing Law) Act 1989 as amended 1996; Bermuda – s.5 and s.10(1) of the The Trusts (Special Provisions) Act 1989 as amended; the BVI – s.80 and s.83(1) and s.83A of the Trustee Ordinance (Cap 303) as amended; Cayman Islands – see above in main text; Guernsey – s.3 and s.14(1) of the Trusts (Guernsey) Law 2007; Gibraltar – Schedule, Chapter II, arts 6 and 8 of the Trusts (Recognition) Act 1989 and the Trusts (Private International Law) Act 2015; Hong Kong – Schedule arts 6 and 8 of the Recognition of Trusts Ordinance (Cap 76) 1997 Version; Isle of Man – s.2 and s.4(2) of the Trusts Act 1995; Jersey – arts 4 and 9(1) of the Trusts (Jersey) Law 1984 Consolidated Version 2025; Singapore – s.90(1) of the Trustee Act (Cap 337) Revised Edition 2020; Dubai – DIFC Trust Law 2018, art.11 (4) ad(5) and art 13(1)(a).
10. ***Knight v Knight*** (1840) 3 Beav 148 – certainty of intention, subject matter and objects.
11. ***Rahman v Chase Bank (CI) Trust Co. Ltd*** [1991] JLR 103 at page 168.
12. ***Midland Bank v Wyatt*** [1995] 1 FLR 696.

In the case of ***Rahman***, the settlor retained extensive powers in the trust instrument to control the trust, particularly to distribute the entire income and capital of the trust fund to anyone including himself, and to veto any proposed investment of the trust fund. The court held that, despite the terms of the trust, the settlor intended to treat the trust fund as if it were his own, to do with it what he wanted. In support of that conclusion, the court relied on the fact that the settlor 'retained *de facto* dominion and control of the assets during his lifetime'. In other words, the trust was dressed up to look like a trust but the settlor never intended it to take effect. The settlor's reserved powers are of evidential value to ascertain whether the required intention is present.

2.4 Settlor's ownership of, or control over, the trust assets

In theory, as soon as the trust has been created and constituted, the role of the settlor disappears, because the settlor no longer has any ownership of or rights over the trust property. Legal ownership of the trust property has been transferred to the trustees and the settlor has surrendered dominion and control over such property. The settlor may very well have established a catalogue of terms which bind the trustees and govern how they are to hold, manage and dispose of the trust assets, but, the settlor typically no longer has a say in the management and disposition of those assets.

In practice, settlors are naturally most reluctant simply to transfer assets into trust during their lifetime and then completely fall out of the picture. They may, therefore, appoint themselves as a beneficiary, or make express provision in the trust instrument to reserve for themselves certain administrative and/or dispositive powers so that they may influence how the trustees administer the trust and make distributions. If the powers reserved by the settlor are significant, however, there is an increased risk that the trust may be set aside as a *sham,* in so far as it lacks the 'irreducible core of obligations owed by the trustees to the beneficiaries and enforceable by them which is fundamental to the concept of a trust'.[13] This matter is clarified by modern reserved powers legislation and is reviewed in greater detail in Module 4 section 2.2.2.

Furthermore, the more significant the reserved powers, the greater the risk that anti-tax-avoidance provisions in the jurisdiction where the settlor resides for tax purposes will come into play. These provisions may determine that the trust is invalid for lawful tax avoidance purposes and allow the revenue authorities to impose tax upon the settlor as if the trust assets still belong to him or her. Alternatively, anti-tax-avoidance provisions may determine that the settlor is a quasi-trustee for tax purposes and the trust will therefore lose its non-resident status and the revenue authorities will again impose tax upon the settlor. The primary purpose of the trust, that of tax planning, will, therefore, be lost.

An alternative method of allowing the settlor to have some influence over the management and disposition of trust property is achieved by a letter of wishes or by the appointment of a protector (see Module 7).

13. ***Armitage v Nurse*** [1998] Ch 241 at 253.

3. Legal ownership in the trust property is transferred to the trustee(s)

The initial trustee is appointed by the settlor. The trustee receives legal ownership (or title) to the trust property when the settlor creates and constitutes the trust. The trustee then holds the legal title of the trust property subject to the terms of the trust and the fiduciary duties owed to the beneficiaries and the beneficiaries' equitable interest therein.

The transfer of legal ownership in the trust assets to constitute the trust gives rise to five issues:

i. who should receive the legal ownership
ii. the nature of legal ownership
iii. how legal ownership is transferred
iv. the settlor's capacity to transfer ownership, and
v. the fact that the legal interest in the trust property must be held in a separate fund in the hands of the trustee.

3.1 Who should receive the legal ownership and be appointed as trustee?

As indicated in section 2.1, 'trustee' means the person in whom the settlor (as trustor) places their trust. In law, virtually every person who is capable of owning a legal interest in property may be appointed as trustee. This, therefore, includes all living persons, save for persons below the age of majority and persons of unsound mind, who are suffering from a mental disability. It also includes any corporate entity, provided the company is empowered by its memorandum and articles to act as a trustee and provide trust services.

In the offshore world of financial services, it is inevitable that a settlor will appoint a professional trustee who resides and carries on trust business from within the offshore jurisdiction (in order to achieve the desired tax and other advantages). Regulations have been passed in the majority of offshore financial centres that require any person or corporate entity intending to carry on trust business (as defined) to meet certain professional standards and to obtain and maintain in good standing an appropriate licence issued by industry regulators.[14]

Trust business means the business of acting as a professional trustee, executor or administrator in exchange for a fee.

Trust companies have a clear commercial advantage over unpaid individuals in that they offer a high degree of expertise and often 'one-stop shopping': the provision not only of trustee services but also of banking services, investment advice, professional administration of the trust fund, company management, legal, accounting and other

14. The Bahamas – the Banks and Trust Companies Regulation Act 2000 as amended; Bermuda – the Trust (Regulation of Trust Business) Act 2001 as amended; the BVI – the Banks and Trust Companies Act 1990 as amended; The Cayman Islands – the Banks and Trust Companies Act 2025 Revision; Gibraltar – The Financial Services Act 1989 as amended; Guernsey – the Regulation of Fiduciaries, Administration Businesses and Company Directors (Bailiwick of Guernsey) Law 2000 as amended; Hong Kong – a licensing regime for trust companies was discussed as part of the public consultation in the review of the Trustee Ordinance Cap 29 in 2009/10, but not recommended nor imposed; however a TCSP licensing requirement was subsequently introduced by the Anti Money Laundering and Counter-Terrorist Financing Ordinance Cap 615 in 2018; Isle of Man – the Financial Services Act 2008; Jersey – the Financial Services (Financial Service Business) (Jersey) Order 2009 Consolidated Version 2023; Mauritius – the Financial Services Act 2007 amended 2009; Singapore – the Trust Companies Act (Cap 336) 2020 Revised Edition; Turks and Caicos – the Trustees (Licensing) Ordinance 1992 Revised 2007 amended 2009. Dubai – the Federal Law Decree no. 31 of 2023 requires professional trustees to hold a Corporate Trustees license.

advisory services. The provision of all these services together is highly attractive to customers as it saves costs and leads to a more efficient, better-quality service.

3.2 What is legal ownership?

The starting point of the process whereby trusts are created begins with the settlor's ownership of the property that is intended to be placed in trust. The settlor owns the property absolutely (i.e. both in law and in equity) – he or she is said to own the legal and the equitable (or beneficial) interest in the property. There is no separation of the ownership interests at this stage. The settlor owns the property outright and is said to have an ownership (or proprietary) interest *in rem*, i.e. capable of being enforced against anyone who tries to steal the property or who trespasses upon or otherwise challenges the owner's rights in or to the property.

So, what exactly does legal ownership mean in this context?

A person who owns a legal interest in property has an absolute ownership interest as far as the rest of the world is concerned. The legal owner is said to have *in rem* rights over the property, i.e. the right to possession and enjoyment of the property and its income and the right to transfer legal title to another, to sell, to mortgage and generally to dispose of the property by gift or Will. These property rights that belong to the legal owner are paramount and are capable of being enforced against anyone in the world who wishes to challenge those rights either on the ground or in a court of law. Legal owners can physically protect the property they own and can take legal proceedings against others who damage or try to appropriate it.

A legal owner of property must also bear the burdens of legal ownership, being solely responsible for maintaining the property, paying any property taxes imposed on it, and bearing any other obligations or liabilities associated with it (e.g. imposed by environmental regulation).

Accordingly, contemporaneously with the creation of the trust by executing the trust instrument, the settlor transfers legal ownership of the trust property to the trustee. Unless the settlor is a beneficiary or has expressly reserved powers in the trust instrument, they do not retain any rights in or over the trust assets. The only qualification to this statement is where for any reason the trust fails or the trust funds are not wholly distributed to the beneficiaries by the end of the trust period. In these circumstances, the trust property is held by the trustee on resulting trust and must be returned to the settlor (or the settlor's estate).

Trusts evolved in the 15th century and were able to develop because English law permitted ownership of property to exist separately and apart from the right to enjoy it. The common law equitable principles allow these two types of ownership to exist simultaneously for the same item of property – legal ownership and equitable (or beneficial) ownership interests. The rise of equity as an alternative stream of law enabled these simultaneous interests to co-exist. The settlor therefore transfers the legal interest in the trust property to the trustee, but the trust requires such trustee to accept the legal interest subject to the requirements of the trust instrument, namely on behalf and for the benefit of another party altogether, the beneficiary. The beneficiary can compel the trustee to comply with the terms of the trust. These rights are called the beneficiary's equitable interest in the trust property. Accordingly, there has been a separation of the legal and the equitable ownership.

3.3 How is legal ownership transferred?

The legal interest in trust property is not transferred to the trustee by the trust instrument. Accordingly, the settlor (or indeed a third party) must transfer the trust property to the trustee by a separate voluntary transfer (or gift).

The method, formalities and procedure required to transfer legal ownership differ according to the type of property to be transferred. The following points summarise the process and give examples of typical trust assets.

- Real estate is typically transferred by deed (but more accurately, and as discussed in section 3.4 below, is transferred by the method prescribed by the *lex situs*).
- Movable chattels are transferred by delivery, i.e. by a transfer of physical possession of the chattel together with a manifested intention to transfer legal ownership (or, often more formally, by deed of gift or bill of sale).
- Money can be transferred by cheque, monetary instrument or bank wire transfer.
- Shares issued by a private company are transferred by a share transfer form being submitted to the secretary of the investee company; shares of a public company listed on an exchange are transferred by giving an irrevocable transfer instruction to the broker.
- Intellectual property is transferred by assignment (an assignment of copyright is not registered, but an assignment of a patent must be registered in the central patent office as the *lex protectionis* is applied, namely the law of the jurisdiction where the patent is registered, and thus, protected).

3.4 The transferor must have capacity to make the transfer

In order to transfer the legal ownership interest in property, the settlor (or other transferor) must actually own the property in the first place and have capacity to transfer it. As noted in section 2.2, the laws of certain jurisdictions may prohibit or outlaw a person from entering into a specified transaction – so that any agreement between two persons that purports to enter into such transaction is considered void on the basis that one or both parties lacked capacity.

When a foreign settlor transfers foreign-located property to an offshore trustee, a conflict of laws question arises as to which system of law should determine issues of ownership and capacity. Much as for the creation of a trust, there are several alternatives: the *lex domicilii*, the *lex situs, the lex protectionis* or the *professio juris*, namely the selected law of the trust. The common law considers the matter on a piecemeal basis, but modern offshore conflict of laws rules codify the common law in a manner which is clear and more certain. The starting point is that all issues are governed by the law of the trust rather than any foreign law, unless the issue falls within any one or more of the statutory exceptions.

Again, the first jurisdiction to consider the matter was the Cayman Islands when it enacted the Trusts (Foreign Element) Law 1987, now found in Part VII of the Trusts Act 2021 Revision. Similar conflict of laws legislation based on the Cayman model has been enacted by other offshore trust jurisdictions. Section 90 of the Trusts Act of the Cayman Islands states:

All questions arising…in regard to the disposition of property upon the trusts [of a Cayman trust] *including questions as to the capacity of the settlor and any aspect of the validity of* *the disposition* [to the Cayman trustee]…*shall be determined by the laws of the* [Cayman] *Islands without reference to the laws of any other jurisdiction…*

So, what are the exceptions to the rule? Which issues are not governed by the laws of the trust? These are set out in s.91(i) through (vi) of the Trusts Act. There are four important exceptions, namely issues that the legislation says are not governed by the law of the trust. But the Cayman legislation does not go on to say which laws actually do govern these issues. It is assumed that these issues must therefore be governed by the laws determined by an application of the common law conflict of laws rules.

- The first main exception is any issue relating to the ownership of property that the settlor did not own in the first place.[15] This issue must therefore be governed by the *lex situs*, namely the system of law that governs any immovable real estate, or the system of law that governs the most recent purported transfer of any movable property or chattels, confirming ***Cammel v Sewell***.[16] In other words, the law that governs movable chattels is the law of the state in which the chattel is located at the time the right to or over it were supposedly created.
- The second main exception relates to a corporation's capacity to transfer property into trust.[17] This issue must therefore be governed by the *lex domicilii,* i.e. the law of the state of incorporation of the company.[18]
- The third main exception relates to the transfer of real estate situated anywhere except within the Cayman Islands.[19] This issue is governed by the *lex situs,* i.e. the law of the state where the real estate is situated, confirming ***Nelson v Bridport***.[20]
- The fourth main exception relates to transfers made by Will.[21] This issue is governed by the *lex domicilii*, i.e. the law of the state where the deceased was domiciled,[22] or a citizen, or habitually resident at the date of death.

Task 1.2

Review the statutory conflict of laws legislation enacted in the jurisdiction where you work or have some other connection,[23] and compare the same with the Cayman Islands model described above.

3.5 Trust property must be held in a separate fund in the hands of the trustee

The trustee holds the legal ownership of the trust property in a separate fund and must keep it apart from their own personal property. In these circumstances, trust assets are insulated from the trustee's personal creditors. Accordingly, those persons who successfully make a claim against the trustee in his or her personal capacity cannot seize or attach any of the trust assets in satisfaction of monies owed by the

15. Section 90(i) of the Trusts Act 2021 Revision
16. ***Cammel v Sewell*** (1858) H&N 617
17. Section 90(ii) of the Trusts Act 2021 Revision
18. ***Janred Properties Ltd v ENIT*** (No.2) [1989] 2 All ER 444
19. Section 90(v) of the Trusts Act 2021 Revision
20. ***Nelson v Bridport*** (1846) Beav 547
21. Section 90(vi) of the Trusts Act 2021 Revision
22. ***Agulian v Cyganik*** [2006] WTLR 565
23. The Bahamas – s.4 and 7(1) of the Trusts (Choice of Governing Law) Act 1989 as amended 1996; Bermuda – s.10(1) and (2)(a) of the Trusts (Special Provisions) Act 1989 as amended 2009; the BVI – s.80 and s.83(1) and s.83A of the Trustee Ordinance (Cap 303) as amended; Cayman Islands – see above in main text; Guernsey – ss.3 and s.14(1) of the Trusts (Guernsey) Law 2007; Gibraltar – Schedule, Chapter II, arts 6 and 8 of the Trusts (Recognition) Act 1989 and the Trusts (Private International Law) Act 2015; Hong Kong – Schedule arts 6 and 8 of the Recognition of Trusts Ordinance (Cap 76) 1997 Version; Isle of Man – s.2 and s.4(2) of the Trusts Act 1995; Jersey – arts 4 and 9(1) of the Trusts (Jersey) Law 1984 Consolidated Version 2025; Singapore – s.90(1) of the Trustee Act (Cap 337) Revised Edition 2020; Dubai – Acts 13(1)(b) and 13(2) of the DIFC Trust Law 2018.

trustee. The trust assets, whether real estate, a portfolio of stocks and shares or any other kind of property, form a separate fund.

Furthermore, trust assets do not form part of the trustee's testamentary estate upon his or her death, nor do they vest in their trustee in bankruptcy if they are declared bankrupt.

4. The duties of the trustee

Equity compels the trustee to hold, manage and distribute in strict accordance with the terms of the trust and the fiduciary duties imposed upon them.

At its simplest, a trust is as an equitable obligation owed by the trustee to the beneficiaries. The trustee is under a legally enforceable obligation to the beneficiaries to comply with the terms of the trust. The obligation is enforceable by any one or more of the beneficiaries in accordance with that body of English law called equity. The settlor has no similar right or *locus standi* to enforce the trust.

The core duty of a trustee is to hold the legal ownership of the trust property upon trust and to comply strictly with the terms of the trust. This typically involves managing the assets on behalf of, and in the best interests of, the beneficiaries and periodically making distributions to them in the manner provided by the trust instrument. A trustee who fails to comply with the trust is said to be in breach of trust and becomes liable in a lawsuit brought by the beneficiaries or by any one or more of them. So, for example, a trustee who dishonestly misappropriates trust property for personal benefit commits a breach of trust. A trustee who mismanages the trust assets by investing them in a perverse and inappropriate manner causing loss also commits a breach of trust. A trustee who distributes to a non-beneficiary again commits a breach of trust.

The relationship between trustee and beneficiary is a fiduciary one. The obligations owed by the trustee are fiduciary in nature and there are a number of specific duties that implicitly attach to the trustee's equitable obligations. These are duties implied by equity and are owed by a trustee to the beneficiaries of the trust. In particular, trustees at all times:

- must act honestly and in good faith and exercise their powers in the best interests of the beneficiaries, putting the latter's interest first, before personal self-interest or the interests of others
- must be loyal to the beneficiaries and transparent with their dealings relating to the trust and the trust property
- must avoid conflicts of interests, so that they must not put themselves in a position where their duty to the beneficiaries conflicts (or may conflict) with their own self-interest or duties to others
- must keep trust property separate from their own, maintain accurate records relating to trust property and be ready to produce accounts showing historical receipts and payments made from the trust fund
- must not profit from their position as fiduciaries unless authorised; in other words, fiduciaries must never make an undisclosed profit, and are accountable to the principal for any profits acquired by virtue of their position (reviewed in connection with the remuneration of a trustee in Module 2 section 2.1), and

- must avoid 'self-dealing', i.e. must adhere to the rule set out in ***Tito v Waddell***,[24] which provides that 'if a fiduciary purports to purchase property belonging to his principal the sale is voidable by the principal *ex debito justitae*, however fair the transaction'. *Ex debito justitae* means 'as of right', the court having no discretion but to set the transaction aside. The rationale behind the self-dealing rule is that, where a clear conflict of interests exists, the principal must be protected. The nature of the conflict appears to be that the fiduciary (acting as seller on behalf of the principal) should strive to get the best possible price, whereas the fiduciary (in their personal capacity, as buyer) will inevitably want to get the best deal for themselves. The transaction is not, however, automatically void. It is voidable, so that the principal has an election, being able to challenge it and set it aside or to decide to allow the transaction to remain in place.

5. Beneficiaries have equitable ownership

The beneficiaries are the persons for whose benefit the trust is created. They may be named and identified in the trust instrument or described by reference to a class of beneficiaries where, in the case of discretionary trusts, distributions may be made to one or more members of the class of beneficiaries at the trustee's discretion.

A trust is not merely an obligation imposed upon the trustee. It confers upon the beneficiaries the equitable ownership of the trust property. This represents a bundle of equitable rights enforceable against the trustees, but also equitable proprietary (or property) rights in the trust property that are enforceable against others. These rights are called equitable rights because they are recognised and enforced by that body of English law called equity.

This type of equitable ownership is distinguished from co-ownership (where two or more persons such as spouses or partners jointly own a legal interest in property). It is also distinguished from absolute legal ownership. The beneficiaries' equitable ownership interests are defined in the trust instrument. So, for example, a trust of stocks and shares in favour of 'A for life, remainder B' confers equitable ownership of the shares upon A and B, with the life tenant's equitable interest entitling him or her to the dividends declared for the duration of his or her life and the remainderman's equitable interest entitling him or her to receive a transfer of such shares when A dies.

So, what is the precise nature of the beneficiaries' equitable ownership? Many academics consider the equitable interest to be a hybrid right – a mixture of obligation (derived from the law of contract) and ownership (derived from the law of property). It is an *in personam* personal right that is enforceable against the trustees who commit or threaten to commit a breach of trust. It also has some of the hallmarks of an *in rem* property right in so far as it is enforceable against third parties, anywhere in the world, just like any other property right. We will now explore these theoretical aspects of the equitable ownership in more detail.

5.1 The beneficiaries' *in personam* equitable rights (to compel the trustees to comply with the trust)

One of the so-called equitable maxims is that 'equity acts *in personam*'. Equitable owners of property have *in personam* rights. This means they have a personal right, one that

24. [1977] 1 All ER 442.

they can enforce, if necessary, against the legal owner of the property. They do not have rights in or to the property that are enforceable against everyone in the world.

A beneficiary, therefore, has equitable rights that operate *in personam* against the trustees, to enable the beneficiary to take legal proceedings against the trustees, if necessary, in order to ensure that they carry out the duties imposed upon them by the trust instrument.

The beneficiaries' *in personam* rights can be illustrated by the following example: Trustee holds certain assets in trust for Beneficiary, namely real estate known as Blackacre, chattels and a fund of $5,000. Then, D1 claims a right of way over Blackacre, D2 damages some of the chattels and D3 claims that $1,000 of the fund is his.

What can Beneficiary do? Beneficiary is not the legal owner of Blackacre, the chattels or the fund. Beneficiary cannot, therefore, take proceedings against D1 for trespass or against D2 for compensation for damage caused to the chattels, nor sue or be sued by D3 for conversion. Trustee, on the other hand, does have legal title to the assets and is also under a duty to protect the assets from the actions of D1, D2, D3 or indeed anyone else in the world. Only Trustee has *locus standi* to bring or defend legal proceedings in a court of law. Beneficiary's equitable (or beneficial) rights operate *in personam* against Trustee and empower Beneficiary to compel Trustee to take action – either to commence legal proceedings or defend them on her behalf.

So far, so good. Now, let us assume that Trustee misappropriates the assets, or mismanages them causing loss, or distributes them to a non-beneficiary. As indicated above, Trustee commits a breach of trust. In these circumstances Beneficiary may bring a lawsuit against Trustee, enforcing her *in personam* equitable rights to compel Trustee to administer the trust properly and/or seeking compensation for loss. In other words, a beneficiary of a trust has an equitable *in personam* right that they can enforce against the legal owner of the trust assets, the trustee (to ensure that the trustee complies with their promise to hold, manage and ultimately distribute the assets held in trust).

5.2 The beneficiaries' *in rem* equitable rights (to trace and recover trust property transferred in breach of trust)

The nature of a beneficiary's equitable interest has developed a little further over the centuries. An equitable interest held by a beneficiary of a trust is now more than a mere *in personam* right enforceable against the trustee. The range of people against whom a beneficiary can enforce their equitable rights has expanded. A beneficiary's equitable interest in the trust property can now be enforced against certain others – not the whole world, but a limited class of third parties. An equitable interest has, therefore, developed some of the characteristics of a legal (or an *in rem*) ownership interest.

Consider a situation where the legal ownership of trust property is transferred by the trustee, in breach of trust, to someone else. Does a beneficiary's equitable interest prevail over the legal interest transferred to the new owner of the property? Is the new owner of the property bound by the trust so that they are obliged to hold the property on behalf of the original beneficiary? Or has the beneficiary's equitable interest in the property been defeated, so that the new legal owner takes the property outright, free and clear of the beneficiary's equitable interest?

An example will illustrate the answer. Assume that Trustee holds certain real estate known as Blackacre in trust for Beneficiary. In breach of trust, Trustee transfers legal title of Blackacre to D. What can Beneficiary do?

As Trustee owns the legal title of Blackacre it is theoretically possible (albeit unlawful) for them to convey legal ownership to D. Beneficiary has equitable rights but, as we have seen, these primarily operate as *in personam* rights enforceable only against Trustee. They are not *in rem* rights enforceable against the whole world. You would, therefore, be correct in concluding that Beneficiary has a right of action against Trustee to claim compensation for breach of trust. The nature of an equitable interest is, however, more than a mere *in personam* right enforceable against the legal owner. Beneficiary can bring a lawsuit against D to trace and recover the trust property, and will succeed unless D can establish that he is a **bfp**, namely a *bona fide* purchaser (of Blackacre) for value without notice of the breach of trust. A *bfp* is an individual who buys the legal ownership of trust assets for money or money's worth in good faith without knowing that the property was subject to the terms of a trust.

Only a *bfp* can prevail and defeat the equitable interest in trust property vested in a beneficiary. In the above example, Beneficiary's equitable interest in Blackacre is enforceable against, and therefore has priority over, claims to ownership brought by anyone in the world, except a *bfp*.

If, therefore, Blackacre were conveyed by Trustee to D by way of gift, or if D knew that Blackacre was held by Trustee subject to the terms of a trust (or D could have found out about the existence of the trust by making reasonable enquiries), then Beneficiary's equitable interest will prevail against D's legal ownership. This means that Beneficiary can trace the property in which he has his equitable interest and obtain an order that Blackacre should be transferred back into the trust for the benefit of Beneficiary. In other words, Beneficiary will win and D will, in these circumstances, lose out.

You will, therefore, appreciate that the nature of an equitable interest is peculiar. It is a hybrid – somewhere between a pure *in personam* ownership (or contractual) interest and an *in rem* (property) interest. In its simplest form it is an *in personam* right that operates and is enforceable against the legal owner of trust assets. An equitable interest does not operate *in rem* in so far as it is enforceable against everyone. It is, however, an *in rem* interest which is enforceable against anyone in the world other than a *bfp*.

It was noted in the English case of ***Tinsley v Milligan***[25] that:

*English law has one single law of property made up of legal and equitable interests. The person owning either type has a right of property; a right **in rem** not merely a right **in personam**.*

Equitable interests therefore form an unusual property right, one that is not recognised in civil law jurisdictions. ***Underhill and Hayton***[26] suggests that, unless things go wrong, a beneficiary's equitable right operates *in personam* to compel the trustees to perform the trust properly. If things do go wrong – for example, if the trustee

25. [1993] 3 All ER 65.
26. Underhill and Hayton, *Law of Trusts and Trustees*, Paul Matthews, Charles Mitchell, Jonathan Harris and Sinéad Agnew, 20th Ed. (2022), London: Lexis Nexis, arts 2 and 104.

sells or appropriates trust property in breach of trust – a beneficiary's equitable right operates *in rem* as a result of the beneficiary's right to trace the trust property and recover it from third parties (other than a *bfp*).

6. Trusts compared with other structures

The structure of a trust is unique. There are other asset-holding vehicles and similar concepts both in common law and in civil law jurisdictions but nothing quite like a trust. In order to establish just how unusual it is we will distinguish it from a company, a contract, a Will and, finally, a civil law foundation.

6.1 A company

The trust structure, as we have seen, relies upon the division between legal ownership of assets held, controlled and managed by the trustees, and the equitable right to the fruits of those assets recognised by equity.

A similar division between the management of assets and the right to the fruits of the assets being managed is also seen in modern company law. The board of directors of a company manages the business of the company and uses its corporate property in a manner very similar to the fiduciary responsibilities exercised by a trustee. The shareholders of a company receive dividends out of the profits of the company, or their share of the capital of the company when its life is brought to an end by liquidation. The shareholders are not entitled, however, to interfere in the control or management of the company on a day-to-day basis. Even so, as the shareholders are the owners of the company (the beneficiaries are not the owners of a trust) they can control the management of the company through the appointment of directors and the shareholders' voting rights at company meetings.

The major difference between a trust and a company structure is that, in the case of a company, the legal title of the assets being managed is vested in the corporate entity itself. A company is a separate legal entity. It is established under modern companies legislation by a registration procedure. A company can, therefore, own and transfer property in its own right.

A trust, on the other hand, is not a separate legal entity. Trusts exist as essentially no more than a set of onerous obligations owed by one party to the relationship, the trustees, and a set of rights enjoyed by the other party, the beneficiaries. A trust is, therefore, an equitable obligation rather than a self-contained separate legal entity. Thus a trust cannot own property in its own right – only the trustees in their capacity as trustees can own trust property. Nor does a trust have to be registered (for instance, in some kind of central government registry) for it to have effect, as does a company.

6.2 A contractual agreement

A contract is an agreement or bargain between two or more parties. Each party to the contract must give *consideration* to support the bargain. This means that normally each party must give and receive some advantage. For instance, A agrees to sell goods in return for the payment from B of the price. Only the parties who are privy to the contract can enforce it or bring a lawsuit for breach (A and B above).[27]

A trust, on the other hand, involves at least three parties. It is created by one party, the settlor, transferring property to a second party, the trustee, and creates equitable rights in favour of a third party, the beneficiary.

No consideration for the creation of these rights is necessary. In other words, the beneficiaries receive the benefit of the trust property even though they are volunteers to the arrangement and do not confer any advantage on the settlor (or trustee) in exchange. The trust, therefore, resembles a gift rather than a contract. Yet it is executory. This means that the terms of the gift have not been wholly fulfilled immediately. It remains to be fulfilled at some time in the future.

Enforcement of the trust also gives rise to unusual rights. A trust is capable of being enforced against the trustees by the beneficiaries, but not by the settlor.

Furthermore, once the trust has been created, the settlor (unless expressly reserving certain powers personally) has no further rights in the trust property. The settlor creates the trust and then drops out of the picture to allow the trustee to fulfil the intentions set out in the trust instrument. It cannot be amended and is generally irrevocable.

A contract, on the other hand, once entered into, may always be modified or varied by subsequent agreement of those who are party to it.

6.3 A Will

A Will is a written instrument that satisfies prescribed formalities and disposes of the testator’s real and movable property upon their death.[28] A Will becomes effective only upon death: it is revocable during the testator’s lifetime. It disposes of the testator’s ‘free estate’, namely those assets owned by the testator as at the date of death, and not property sold or otherwise disposed of before then.

A family Will is usually fairly straightforward: legacies are given (either pecuniary, e.g. ‘$100,000 to X’, or specific, e.g. ‘my shares in General Electric to Y’) and then a residuary gift (e.g. ‘and the residue of my estate to Z’). Here, the testator has selected the beneficiaries to inherit his or her estate, post death. In practice, the testator may not be certain of the precise nature of the beneficial gifts he or she wishes to make, or alternatively may prefer to create flexible dispositive provisions and delay the decision as to who shall get what until a later date. In these circumstances the testator’s objectives are often achieved by authorising the trustees to determine the matter after the testator's death. In other words, it is lawful for a testamentary trust to be created.

Hence, trusts can be created both *inter vivos* and upon death. *Inter vivos* trusts are made by a trust instrument, executed by the settlor and the trustee. Testamentary

27. In England this position has now changed, to a limited extent, with the Contracts (Rights of Third Parties) Act 1999 which gives some rights to third parties affected by the contract to sue on it. Other common law jurisdictions have also reformed their contract law on this point, but not all the offshore jurisdictions that specialise in financial services. For example, the Cayman Islands has passed the Contracts (Rights of Third Parties) Act 2017, which is based upon the English model.
28. The English Statute of Wills (32 Hen. 8 c.1) 1540 created a number of statutory requirements for the form of a Will, many of which survive in the common law jurisdictions, although the Statue of Wills has been superseded in England by the Wills Act 1837, as amended. Originally a ‘Will’ was used to dispose of real estate, and a ‘testament’ was used to dispose of personal movable property. This gave rise to the phrase ‘Last Will and Testament’. The distinction is now obsolete.

trusts are made by Will. Both types of trust must comply with the 'three certainties',[29] and the settlor/testator must have capacity. In addition, the validity of a testamentary trust also depends upon whether the Will is valid, i.e. will lead to a grant of probate by the court. The requirements for a Will to be valid and admitted to probate depend upon the *lex domicilii*, i.e. the domestic laws of succession of the state where the settlor is domiciled, a citizen or habitual resident at the date of death.[30] It is usual for there to be a requirement that the following conditions be met: the Will must be in writing and signed by the testator in the presence of at least two independent witnesses.[31]

Accordingly, a trust is a trust, and a Will is a Will (which can, according to its provisions, make testamentary gifts in the form of a trust). You would not expect there to be any confusion between the two. But there is. As pointed out in *Lewin on Trusts*,[32] a document that looks like a trust may well be a Will in disguise. In support of that proposition is an often-quoted passage by Sir John Wilde in ***Cock v Cooke***:[33]

It is undoubted law that whatever be the form of a duly executed instrument, if the person executing it intends that it shall not take effect until after his death, and it is dependent on his death for its vigour and effect, it is testamentary.

Accordingly, if it is clear from an *inter vivos* trust instrument that the trust is intended to take actual effect only upon the settlor's death, then it is a testamentary instrument and must be executed as a Will and admitted to probate. If it is not executed as a Will nor admitted to probate, the Will, and therefore the trusts contained therein, are invalid. The trust is void and of no effect.

When and in what circumstances does an *inter vivos* trust look like a Will in disguise? When is such an instrument intended to take effect only upon the settlor's death?

To answer these questions, it is necessary to analyse the precise terms of the trust and the words used in the trust instrument. Nonetheless, there is a body of case law[34] from various onshore trust jurisdictions to the effect that, where the settlor purports to create an *inter vivos* trust but reserves for themself considerable dispositive and administrative powers to exercise over the trust property while alive, there is a grave danger that the trust will be considered to be testamentary. In these circumstances, the trust instrument is treated as a Will and takes effect upon the settlor's death. Accordingly, if the trust instrument does not satisfy the requirements of the Wills Act 1837 (or equivalent) it is void.

For example, assume that Settlor creates an *inter vivos* settlor-directed trust, reserving for himself in the trust instrument the following powers:

- to give binding dispositive directions to the trustees to distribute income and/or capital to whomsoever Settlor nominates during his lifetime, including himself, and
- to give the trustees binding directions regarding the investment of trust property, and that

29. See ***Knight v Knight*** (1840) 3 Beav 148.
30. See the Hague Convention on the Law Applicable to Succession to the Estate of Deceased Persons, 1988.
31. Section 9 of the Wills Act 1837 of England, used as a model by the common law jurisdictions. There is no statutory requirement for a Will to be registered or recorded in a central register or be notarised.
32. *Lewin on Trusts*, Tucker, L., Le Poidevin, N. and Brightwell J. 20th edition, 2020. London: Sweet and Maxwell.
33. (1866) LR 1 P & D 24.
34. See the text books *The Law of Trusts in Canada*, 3rd edn by Donovan Waters, and *The Law of Trusts*, 5th edn, Vol 1A para 8.2.2 by Scott and Ascher, in relation to the laws of the US. See also the following cases: ***Re MacInnes*** [1935] 1 DLR 401 and ***Western Smallwear & Stationery Co. Ltd v Vell*** (1966) 55 DLR 193, both Canadian cases, and ***Baird v B [***1990] 2 AC 548.

- after Settlor's death, the reserved powers cease and the trust becomes a standard, fully discretionary trust whereby the trustees are empowered to make all dispositive and administrative decisions.

In these circumstances the purported *inter vivos* trust runs the risk of being held to be a Will in disguise. The distinction rests on whether Settlor is considered in fact (if not in law) to be the beneficial owner of the trust property during his lifetime. If they are, then the trust is said to be illusory. On the other hand, the creation of an *inter vivos* trust, whereby Settlor confers upon themself a life interest together with a power to revoke, has been held to be acceptable and creates a valid trust.[35] But what is the position where Settlor reserves the power to veto the exercise of the trustees' dispositive and/or investment powers? There is considerable doubt. Is it a valid trust or a Will? There is a risk that the purported trust may be construed as being 'illusory' and therefore void unless it satisfies the requirements of a valid Will and is duly probated.

As we have come to expect, modern trust legislation, first enacted in the Cayman Islands, comes to the rescue in order to clarify any doubt created by the common law principle in ***Cock v Cooke***. Section 4 of the Trusts (Immediate Effect and Reserved Powers) Law 1995 as amended 1998, and now found in s.13 of the Trusts Act, 2021 Revision, provides as follows:

13. Presumption of immediate effect

(1) In construing the terms of any instrument stipulating the trusts and powers in and over the property, if the instrument is not expressed to be a will, testament or codicil and is not expressed to take effect only upon the death of the settlor, it shall be presumed that all such trusts (and in particular the duty of the trustees to the beneficiaries to administer the trust in accordance with its terms) and powers were intended by the settlor to take immediate effect upon the property being identified and vested in the trustee, save as otherwise expressly, or by necessary implication, provided in the instrument.

(2) Subsection (1) shall apply notwithstanding –

(a) that the trust may have been created in order to avoid the application upon the settlor's death of laws relating to wills, probate or succession;
(b) that during the lifetime of the settlor, beneficiaries of the trust may not be ascertainable;
(c) that beneficial interests may only vest in remainder or may remain contingent or subject to defeasance by the exercise of reserved powers or otherwise; or
(d) that the settlor may be one of the trustees.

(3) Subsection (1) does not apply in the case of a declaration by a person constituting himself the sole trustee of property to which he was beneficially entitled.

Accordingly, where a trust is governed by the laws of the Cayman Islands, if the trust instrument is not expressed as a Will, or expressed to take effect only upon the settlor's death, it is presumed that it is an *inter vivos* trust and takes immediate effect.

35. ***Jeffries v Alexander*** (1860) 8 HLC 594 and ***Tampson v Browne*** (1835) My & K 32.

In other words, the instrument is a trust and is subject to the validity requirements of the Cayman Islands and takes effect as soon as it is constituted (i.e. when property is transferred to the trustees to hold upon the terms of the trust). It is not construed as a Will unless there is a contrary provision (such as where the instrument is expressed as a Will or expressed to take effect upon the settlor's death). This presumption applies even though the circumstances set out in sub-section 2 apply, namely:

- the trust was established for probate avoidance purposes
- the beneficiaries may not, at the time the trust is created, be ascertainable (for example, S creates a trust for himself, spouse and children at a time when he is not married and has no children)
- the interests of the beneficiaries can be deleted by the settlor exercising any of their reserved powers (for instance by directing a distribution of the entire trust fund to him- or herself), or
- that the settlor is a (co)trustee.

Similar legislation based upon the Cayman model to overcome the ***Cock v Cooke*** problem has been enacted in other offshore jurisdictions.[36]

Task 1.3

Review the trust legislation in the jurisdiction where you work or have some other connection and determine whether it provides for an *inter vivos* trust to have immediate effect upon its execution so that it may not later be construed as a Will in disguise.

6.4 Foundations

A foundation can be defined in the following terms:

A private foundation is a self-governing separate revocable or irrevocable legal entity, without shareholders or the equivalent, which is managed by a foundation council or similar body and set up following registration or incorporation by, or on behalf of, a founder to hold, administer and distribute the foundation's endowment for the benefit of beneficiaries, or for a purpose, where the entire ownership of the foundation assets rests with the foundation, according to the requirements of the charter and regulations made under the charter.

Historically, foundations have been used in civil law jurisdictions as asset-holding and gift-making vehicles. They are established by a founder by some form of registration or incorporation according to applicable foundation legislation. Once established, a foundation becomes a separate legal entity governed by its constitutive documents. The assets transferred to the foundation by its founder by endowment are owned by the foundation and managed by the foundation council for the benefit of its objects, which may be specified persons or purposes.

36. The Bahamas – s.3(1) of the Trustee Act Ch. 176 1998 amended 2004 and 2011 and see ***Re AQ Trust***; the BVI – does not follow the simple Cayman model but 'testamentary dispositions' are excluded from the provisions of s.83A (7)–(9) and (16) of the Trustee Act Revised 2020; Cayman Islands – s.13 of the Trusts Act 2021 Rev; Guernsey – s.11(1) of the Trusts (Guernsey) Law 2007 but ss.14 and 15 do not specifically address the issue; Bermuda – s.2A(i)(c) of the Trusts (Special Provisions) Act 1989; Jersey – s.9A(1) of the Trusts (Jersey) Law 1984 Revised 2019. Recent amendments to the Trustee Act, Cap. 337 of Singapore do not contain 'immediate effect' provisions – see s.90(5); the same criticism applies to the 2013 amendments to the Trustee Ordinance Cap. 29 of Hong Kong – see s.41X and 41Y; Dubai – art.37 of the DIFC Trust Law 2018; Isle of Man – there are no specific provision in the Trustee Act 1961 or the Trustee Act 2001.

Liechtenstein private foundations (or *stiftungs*) are governed by the Persons and Companies Act 1926 as amended and were unique until 1995, when Panama introduced similar legislation. Subsequently, foundation legislation has been enacted in numerous common law jurisdictions, including Anguilla, Antigua, Aruba, the Bahamas, the Cayman Islands, Cyprus, Guernsey, Isle of Man, Jersey, Malta, Nevis, St Kitts, Seychelles and Vanuatu. At the same time some civil law countries, including Austria and the Netherlands Antilles, have formalised or revised their laws to make private foundations attractive for asset-holding purposes.

A trust and a foundation are each used for similar purposes, namely for the efficient holding of private wealth for and on behalf of high-net-worth individuals (HNWIs) and their families. Nonetheless, the following differences are crucial.

6.4.1 Registration

The registration of the foundation charter with a public registry is typically required to establish a foundation. Once registered, the foundation is in existence, no doubt can be raised about the validity of its formation and it is undeniably governed by the laws of the jurisdiction in which it is registered. By contrast, no registration of a trust is required and, of course, there may be some doubt, at least according to common law conflict of laws principles, about the proper law of the trust.

6.4.2 Governing law

Like companies, foundations are governed by the *lex domicilii*, i.e. the laws of the state of registration. For example, a Panamanian foundation is registered in Panama and governed by Panamanian law, irrespective of where it is managed. Trusts, on the other hand, are governed by the governing law chosen by the settlor in the trust instrument.

6.4.3 Separate legal entity and ownership of the assets

Trust assets constitute a separate fund and are owned by the trustee (although they do not form part of the trustee's own estate). A private foundation is a separate legal entity and therefore the entity is the owner of its assets.

6.4.4 Trustee/council

The trustee has the power and the duty to manage and dispose of the assets in accordance with the terms of the trust. The foundation council has comparable powers and obligations to manage the foundation on behalf of its objects.

6.4.5 Reservation of rights/powers

The reservation by the settlor of certain rights and powers (dependent on the governing law) is not necessarily inconsistent with the existence of a trust although it might give rise to the risk that the arrangement will be attacked as a sham. Rights and powers may be retained by the founder of a private foundation and may be more extensive and give the founder direct or indirect rights to control the management. This issue depends upon what is laid down in the trust instrument or foundation documents and what the governing law allows.

6.4.6 Testamentary trusts/foundations

A trust that is to take effect after the death of the settlor must conform to the formalities of a Will. A foundation may be created to take effect after the founder's death, in which case the formalities of a Will are not required.

6.4.7 The protector/guardian

Some foundation legislation (such as Jersey's) *requires* the appointment of a protector/guardian to supervise and safeguard the assets at the disposal of the foundation council. Trust law does not forbid the appointment of a protector, but does not specifically require such an appointment.

7. Civil law systems

There are broadly two systems of law that exist within the Western-style economies that govern millions of people globally: the common law system and the civil law system. Each originated in Europe and spread via colonialisation to almost every part of the globe.

The common law originated in medieval England from the 12th century onwards. Civil law is, in fact, much older, as it evolved from the laws of ancient Rome from the 5th century BCE. In the 6th century CE Roman law was re-established in medieval Europe. That same body of civil law underwent an extensive codification process in a number of continental European jurisdictions between the 18th and early 20th centuries.

Civil law in its codified form has been described as being of:

universal principle, highly deductive and scholastic ... Common law on the other hand is the non-codified judicial determination of custom with the addition of statute.[37]

This gives a flavour of continental jurisprudence, which is characterised by huge volumes of civil codes comprising self-contained, specialised and detailed law and regulation. Because the civil codes evolved by intellectual discussion and amendment, rather than as judge-made law in the battle of litigation, the common law trust concept has never been able to develop in those jurisdictions. The civil law property code takes a more measured (some would say logical) approach, although by comparison with common law it could be said to lack flexibility.

- Ownership of property is absolute – ownership in the same item of property cannot be divided horizontally between legal and equitable interests. A person either has the right of an absolute owner or they do not: there is no grey area in between.
- All assets owned by a debtor are available to, and, therefore, liable to be attached by, unpaid creditors.

The civil law recognises that a person may control and manage property on behalf of another (the principal) in a fiduciary capacity. Such a relationship subsists in the law of contract. If the fiduciary abuses this position and appropriates the property under their

37. *The Trust in Civil Law Jurisdictions – The Dutch Experience*; Donovan W.M. Waters QC.

control, or transfers it to a third party, the civil law provides the principal with a remedy against the fiduciary by way of a personal action for compensation. The principal does not, however, have any proprietary ownership right to trace the property and recover it *in specie* from the third party. All the principal can do is obtain damages from the fiduciary, which is often adequate except for those occasions when the fiduciary is insolvent or cannot be traced.

Furthermore, under civil law systems, if absolute ownership of property is vested in the fiduciary, that property is exposed to claims by the fiduciary's personal creditors. So, if the fiduciary is sued and has a judgment entered against them, the judgment creditor may attach all assets held by the fiduciary up to the amount of the judgment debt, even those held on behalf of and 'ear marked' for the fiduciary's principal.

In summary, continental Europe did not develop the trust as a device for holding family property, to protect that property against claims made by creditors, to provide for tax avoidance, estate planning, asset protection and risk management. Instead, the civil law systems of continental Europe developed a different concept but with similar objectives – the foundation. A detailed discussion of private foundations is contained in Module 11.

Learning outcomes

By the end of this module you should:

- be able to define a trust and describe a trust's essential characteristics
- be able to advise a prospective settlor who is contemplating creating a new trust upon matters such as the settlor's role, capacity, control and reserved powers
- recognise the conflicts that can arise between the law of the settlor's domicile and the governing law of the trust
- define a legal ownership interest and understand how such interest is transferred
- understand the role, powers and duties of a trustee
- understand the rights of the beneficiaries, in particular their *in personam* and *in rem* equitable rights, and
- be able to distinguish a trust from other legal concepts, in particular:
  - a company
  - a contract
  - a Will, and
  - a foundation

Module 1:

Self-Assessment Questions

1. Define a trust.

2. Describe the settlor's role in the trust relationship.

3. Explain when and in what circumstances a settlor has capacity to create a trust and which laws typically govern the issue under:

   (a) common law, and
   (b) statutory conflict of laws rules.

4. Define the 'three certainties' and explain how the settlor's *mens rea* (mental attitude) towards the trust can affect its validity.

5. Identify the critical issues relating to the settlor's control over the management of the trust that cause some prospective settlors to be reluctant to use a trust for asset-holding purposes.

6. Describe the role undertaken by the trustees of a trust.

7. Define what is meant by 'legal ownership' and describe how legal ownership of property is typically transferred to the trustee.

8. What is the difference between legal and equitable ownership of property?

9. Explain the conflict of laws rules which determine whether a settlor owns the property and has the capacity to transfer legal ownership of such property to the trustee.

10. List some of the main duties owed by trustees.

11. What is a fiduciary duty?

12. Describe the rights of the beneficiaries of a trust, in particular, their:

    (a) *in personam*, and
    (b) *in rem*

    rights in or over the trust property.

13. Isn't a trust really no more than a management contract whereby the trustees agree to manage the trust fund on behalf of the beneficiaries?

14. Compare and contrast a trust with:

    (a) a company, and
    (b) a foundation.

15. When and in which circumstances may an *inter vivos* trust be held to be testamentary in nature (and therefore void unless executed as a Will and admitted to probate)? How has modern offshore legislation repealed the common law in this respect to overcome the problem?

Module 2:

Marketing Trust Services and Accepting New Business

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Marketing Trust Services and Accepting New Business

Learning objectives

The purpose of this module is to:

- review some of the elements involved in marketing trust services including selling
  - the jurisdiction
  - your institution, and
  - the trust concept
- identify some of the pitfalls of over-selling the service or making unjustifiable claims
- set out the theoretical rules relating to trustees' remuneration
- describe the ways in which trust services are rewarded and practical marketing strategies employed in the fee bargaining process, and
- review recommended best practice procedures before and upon acceptance of new business, both in terms of accepting a new trust and upon taking on an existing trust.

1. The elements of marketing trust services

The world of commerce, including the provision of financial services, is increasingly competitive. Banks and trust companies that offer their services in the offshore arena face a number of challenges in this competitive environment. Meeting the exacting needs and expectations of a HNWI by providing specialised, quality and timely service, but at a reasonable and competitive price, is one such challenge.

Recent initiatives from the G20 governments (particularly the US, UK and those of the EU), the Organisation for Economic Co-operation and Development (OECD), the Financial Action Task Force (FATF) and the European Commission exert considerable pressure on the offshore financial industry.

The international community has demanded that the offshore centres follow the lead of their onshore counterparts in creating similar standards of regulation, greater transparency and more compliance procedures to identify illegally obtained wealth, in order to curb money laundering, terrorist financing and tax evasion. Accordingly, whether your institution wants merely to maintain its market share in the marketplace, or wants to expand its business and increase its assets under management, marketing trust services will inevitably play a significant part in its strategic planning.

Selling is part of marketing. What are the rudiments of marketing trust services? Marketing trust services involves elements of marketing the following: the jurisdiction, your institution and, finally, the trust concept.

1.1 Marketing the jurisdiction

One of the most important decisions that an international client, and their advisers, will have to consider is the selection of the actual jurisdiction for the safe custody of the client's wealth.

Once it has been decided to use an offshore centre, the choice of jurisdiction may be made by the client instinctively because of, for instance, familiarity with the location or other idiosyncratic reasons. It is probable, however, that a major influence is the advice and recommendations received from the client's onshore advisers. The jurisdictions that are favoured by onshore advisers are influenced by international reputation. The chosen jurisdiction will often have a reputation for integrity, stability, modern and workable laws that are supported by professionals with experience and expertise, and a wide choice of recognisable banking and other financial institutions.

The pedigree of the major jurisdictions providing offshore financial services and the changing reputation of the industry as a whole is illustrated by the preferred modern generic description. A jurisdiction that was marketed as a 'tax haven' 30 years ago, later became known as an 'offshore safe haven', then an 'offshore financial centre', and nowadays the preferred description may be 'international financial centre'. These are subtle differences aimed at making the jurisdiction more attractive to a wider base of clients whose objectives may no longer be secrecy or tax avoidance.

There are a number of essential characteristics of an ideal offshore financial centre, which must feature in any drive to sell a specific jurisdiction to a prospective client:

- a politically stable and democratic government with, preferably, a long and successful track record
- a stable economy (as this gives rise to social and political stability)
- accessibility both in its location and its time zone (as this promotes administrative efficiency and also facilitates a closer customer working relationship)
- the availability of a wide choice of reputable banks and other financial institutions, and a proven track record in the provision of financial services
- modern, reliable communications
- a nil-tax or low-tax environment (for non-resident entities)
- an appropriate official language (probably English)
- excellent support services, including a choice of quality legal and accountancy firms
- sensible and effective regulation and supervision
- high ethical standards in government, the professions and commerce, and
- clear and fair laws, applied by a competent judiciary.

Task 2.1

It is essential that you are able to communicate authoritatively with a third party on the above matters. Give specific examples, in relation to the jurisdiction where you work or have some connection, to illustrate the significance of some of the characteristics identified; in particular, the somewhat nebulous concepts of:

- stability
- reputation
- effective regulation, and
- integrity and ethical standards.

1.2 Marketing your institution

An effective marketing strategy for the financial institution where you work will probably be developed by senior management in conjunction with specialist marketing and advertising consultants.

Some institutions also employ marketing officers and client relationship managers who will liaise with established clients, onshore professional advisers and, sometimes, other institutions whose clients may require offshore trust services.

Nonetheless, everyone employed in financial services is expected, at some point, to contribute to marketing goals and client development, even though that contribution may amount to no more than meeting a prospective client or responding to an initial enquiry.

The critical skills employed when marketing any product or service are knowledge, confidence and structured persuasiveness.

In context, this means that a marketing and relationship manager must have the ability to converse knowledgeably and confidently about the relevant topics and deal with all matters and client concerns in an orderly manner. There are theories that are explained to most marketing and relationship officers before they are let loose in the marketplace. When meeting with potential trust clients and/or their advisers, there are three main objectives:

- to establish good rapport
- to obtain all relevant information and understand the client's requirements, and
- to help the client reach appropriate decisions, and plan future action.

1.2.1 Rapport

Establishing rapport is a matter of common sense. It means more than being well liked. As a marketing and relationship manager, you must establish a professional relationship. Consider how language (oral and body) may help or hinder in building good rapport. For example:

- do not immediately proceed to the business in hand
- a warm friendly greeting is essential

- obtain eye contact – a friendly look but not a prolonged stare, and
- be aware of posture – be interested, leaning slightly towards the client, nodding one's head regularly (but not too much), avoiding irritating or distracting mannerisms such as pen tapping or foot-drumming.

1.2.2 Understanding requirements

Selling trust services is not one-way traffic. It is first necessary to obtain all relevant information from the potential client. Listening, in particular, is an undervalued skill. Do not make a preliminary diagnosis of the client's needs. Invite the client to explain their objectives (for example, tax avoidance, asset protection, confidentiality, estate planning). If the potential client wants all the above as well as retaining complete control of the assets during their lifetime, the marketing officer must try to manage the client's expectations.

1.2.3 Helping the client to reach appropriate decisions

The marketing and relationship manager must then help the client make appropriate decisions. Is the trust an appropriate structure? If so, now is the time to sell your institution as a suitable trustee. To do this properly you need to know about it – its strengths – and be able to deal with potential weaknesses. For instance, it may be a global institution with a presence in every major financial centre with billions of dollars under management – in which case stress its capital base, stability, scale and expertise that caters for all of the needs of a HNWI. On the other hand, your institution may be privately owned and exist and carry on business in a single offshore jurisdiction – in which case stress that it offers a niche, boutique service, is flexible in its approach, is not subject to onshore global regulation, and has a close and long-standing relationship with other professional service providers, such as attorneys, tax advisers, investment managers, etc.

Task 2.2

It is essential that you are able to communicate authoritatively with a third party about the strengths of the institution where you work. Obtain copies of your institution's advertising literature, and its published accounts, and review the features that make it an attractive choice as trustee for a HNWI. If there are drawbacks, identify these and be in a position to address anticipated or frequently asked questions.

1.3 Marketing the trust concept

An illuminating discussion about marketing trust services is contained in a paper by Peter Larder,[38] an edited version of which follows.

Marketing trusts requires skill, knowledge and professionalism. In order to help you acquire that skill and knowledge it is worth looking at a few of the building blocks that make up the framework within which the trust marketing officer and relationship manager have to operate.

38. 'Marketing Trust Services: A Hard Sell?' – the Caribbean STEP Conference 19–20 April 1999.

Marketing trust services is not the same as marketing an investment product. You are not trying to sell a bank account, nor the creation of a simple relationship between customer and financial institution. It is important that this distinction is emphasised early on in the discussions with a prospective client. In a pure sense, however, the marketing of trust services is little different from the marketing of any other service. When its components are analysed we look at target markets, how to access those markets, and how we advertise within those markets.

The process of marketing (of which selling is just a part) is continuous through all organisations. It should not be restricted to the person who closes the deal; it must be a philosophy or culture that runs right through the company. Banks and trust companies have recognised this, but what they have not always recognised is the sophistication that is required and the care that must be taken when discussing trusts. Too often there are conflicts when marketing/salespeople with performance-driven targets try to meet those targets by misrepresenting the trust package, for instance:

- by reducing fees to an uneconomic level
- by advising that there are potentially significant tax savings when the prospective client's onshore tax position is exceedingly complex and way beyond the expertise of the 'salesperson'
- by reassuring the potential client that the nature of an offshore trust ensures that it can, *in all circumstances*, withstand a challenge from onshore creditors, forced heirship and/or spousal claimants, and
- by promising mechanisms of control in the settlor's favour that distort the trust concept to such an extent that there is a real risk that the trust will be declared a 'sham'.

In reality, the marketing of trust services is actually a process of educating the prospective client. This education starts at the first discussion with the client and is continuous. Furthermore, the educational process is not limited to the settlor. In the majority of offshore trusts, the settlor is planning for the future well-being of their family. When you are marketing trust services it is important to recognise this point, even though in most cases it is the settlor's intention that the family members will not actually receive any benefit until some point that is possibly a long way in the future. Until that time the settlor expects to be 'the client'.

Your advice about transferring the legal interest in trust property to the trustees, who then have administrative and dispositive powers, involves concepts that the potential settlor may find alien. If you market trust services on the basis that the settlor will retain control and can revoke the trust at any time, and that as a structure the trust will be bullet-proof from tax or creditor challenge, you are misrepresenting the nature of the discretionary trust and doing your client a grave disservice. The crucial balance is to market trust services with integrity and at the same time to demonstrate to your prospective client the significant benefits that are available.

Prospective clients need to understand, as early in the proceedings as possible, that they are not buying a sophisticated bank account, or a framework for an investment account, or an administrator to pay credit card and medical bills and children's school fees. In practical terms, all these things regularly take place in the day-to-day administration of a trust, but they are incidental to the underlying reasons for which a trust is often established.

If the settlor was originally promised unfettered control of the trust assets during their lifetime when the trust was 'sold', along with a discounted fee, and the promise of hassle-free dealings with a trustee sympathetic to tax avoidance, then the officer assigned to administer the trust will encounter considerable problems.

In summary, in order to sell trust services you need to be a trust expert. You need to be able to:

- explain correctly what a trust is, the parties to it and their respective roles
- communicate effectively on the subject
- answer frequently asked questions to ease 'worries' or obstacles to creating a trust (for instance, relating to title of assets, bankruptcy, duties and powers), and
- deal with the prospective client's concern over fees (discussed in section 2 below).

All this means that you need to be well-read and informed.

Before we leave the topic of marketing it is worth noting a number of examples, collected by the late Peter Willoughby,[39] of corporate trustees' misrepresentations of fundamental trust principles in their advertising literature. He points out that promotional brochures aimed at lay persons for the purposes of signing them up as clients have consistently made unjustifiable claims and cites extracts from several anonymous marketing sources.

2. Remuneration

Professional financial service providers operate in a competitive business environment. They provide services in exchange for fees. One of the issues uppermost in the mind of any consumer is how much a service will cost. Trust clients are no exception. In section 1 we mentioned that clients are becoming more price conscious as competition between providers increases. This includes competition in pricing and fees. Accordingly, this section reviews trustees' remuneration, first, in section 2.1, in an academic manner, and then, in 2.2, from a practical point of view.

2.1 The remuneration rule

Trustees owe fiduciary duties and so must act in the best interests of the beneficiaries and not have regard to the interests of others – including themselves. This rule preserves the integrity of the trustees, whose loyalty, dependability and trustworthiness must be absolute.

The fiduciary duty creates two broad common law rules which are of particular relevance to remuneration. Trustees:

- must act gratuitously unless they are specifically authorised to charge, and
- are liable to account to the trust for any unauthorised remuneration.

Trustees must act gratuitously, that is, free of charge, unless specifically authorised to charge a fee for their services.[40] The rationale behind the rule is that it prevents the

39. In his monograph *Misplaced Trust* published 1999 by Gostick Hall Publications, Saffron Walden, UK, now the 2nd edition by James Wadham, pub. January 2003.

40. ***Robinson v Pett*** (1734) 3 P Wms.132; ***Bray v Ford*** [1896] AC 44.

desire to make a profit when providing their services from clouding their independent judgement. It prevents a conflict arising between the self-interest of the individual trustee and the interests of the beneficiaries.

The so-called remuneration rule applies not just to trustees' fees charged on a direct basis, but also to fees charged indirectly. Direct fees include the usual annual fees charged by corporate trustees for conducting pure trustee services. Indirect fees, on the other hand, are those profits earned by a corporate trustee by virtue of its position, including:

- directors' fees in respect of a company underlying the trust, holding trust assets
- where the trust property includes shares in a trading company, fees for acting as director, and assisting in the administration, of that company
- fees earned pursuant to contracts between the trustee and associated providers of other services, such as the property management arm of the institution
- commissions, for instance, those earned by a trustee in negotiating insurance for trust property, or other commissions earned by the introduction of business to another institution or member of the group, such as commission earned by the introduction of assets to a collective investment fund, and
- brokerage commission earned by associated firms within a financial conglomerate when the corporate trustee maintains a brokerage account at an associated firm within the group and trades stocks and other securities in the account.

If the trustee receives any unauthorised remuneration or profit from any source by virtue of their position as trustee, they are liable to account to the trust for that profit. In practice, this means that all unauthorised remuneration must be turned over to the trust, i.e. claimed by the beneficiaries so that it must be held for the beneficiaries as part of the trust fund.

The remuneration rule is an historical rule that arose because trustees were often trusted friends and/or members of the settlor's family. There have been initiatives to abolish the rule as being out of date, because most modern trusts require considerable skill and technical support that can be provided only by professional corporate trustees. Such trustees are, naturally, prepared to accept office only if they receive sufficient recompense. At this stage, however, the common law rule survives. It has been codified by modern trust legislation in a few jurisdictions such as Jersey,[41] Guernsey,[42] Isle of Man,[43] Hong Kong[44] and Singapore.[45] Other jurisdictions have simply enacted identical or similar provisions to s.42 of the Trustee Act 1925 of England (see section 2.1.2 below), even though the rule has now been modified in England by Part V of the Trustee Act 2000, which essentially permits trust corporations and professional trustees to charge reasonable remuneration in certain circumstances.

The remuneration rule reviewed in this section does not go so far as to say that it is unlawful for trustees to charge for their time and trouble. Remuneration may be charged whenever it is authorised.

41. Article 26 of the Trusts (Jersey) Law 1984, consolidated 2025, where art 26(1A) now authorises professional trustees to charge reasonable remuneration.
42. Sections 24 and 35 of the Trusts (Guernsey) Law 2007, codifies the rule.
43. Sections 28(1) and (5) of the Trustee Act 2001.
44. Part IVB, s.41Q–41T of the Trustee Ordinance (Cap 29) as amended.
45. Part IVB, s.41P–T and Part V, s.42 of the Trustee Act Cap. 337, Revised Edition.

Proper authority to charge may be provided by:

- the settlor in the trust instrument
- statutory provision in certain circumstances
- agreement with the beneficiaries, and
- the court.

2.1.1 The trust instrument

The trust instrument may provide that the trustees may charge for their services. The type of provision is usually included in a professionally drawn trust instrument and is often called a charging clause (or remuneration clause).

A charging clause is strictly construed by the courts. This means that, unless certain types of charges are specifically authorised, they will not be allowed. If a clause authorises a trustee to charge for the provision of services (a), (b) and (c), the trustee will not also be allowed to charge for service (d).

For example, in ***Re Chapple***[46] a trust instrument contained a clause authorising a solicitor-trustee to charge for services of a 'professional character'. Notwithstanding the existence of such a clause, it was held that the solicitor-trustee was not entitled to charge for run-of-the-mill administrative work of the sort that could have been undertaken by anyone, whether professionally qualified or not. So, for example, the solicitor-trustee would not be permitted to charge for the time engaged in paying debts and liabilities of the trust, nor for attending routine meetings with auctioneers and of co-trustees.[47]

It is, therefore, common to find a standard charging clause included in an in-house trust instrument as a matter of routine. Such a clause is often expressed in very wide terms to cover all types of work, within or outside the usual scope of trust business.

A basic charging clause states:

The Trustee carrying on business which consists of or includes the management of trusts may charge [a reasonable fee] for all work done by it, him(/her) or his(/her) firm [or associated company] in connection with this trust, including work that a lay person could have done properly.

This type of clause is sufficient to overcome the problem encountered in ***Re Chapple.*** Would it, however, also authorise the trustee to charge indirect remuneration, such as fees earned for assuming the role of director of an underlying company or of a trading company forming the trust property? Probably not. A further provision should therefore be included in the charging clause, such as the following:

The Trustees may remunerate themselves for work done as a director, officer, adviser and/or administrator on behalf of a company owned by, or in any way connected to, the Trust Fund [as defined].

46. [1884] ChD 584.
47. ***Clarkson v Robinson*** [1900] 2 Ch 722.

It is the view of a number of trust practitioners, however, that a combination of the two clauses set out above may still not authorise trustees to retain commissions earned by placing business with a third party, such as insurance, stockbroking and investment fund commissions. An additional clause in the following terms would expressly provide for the trustee to retain such commissions:

The Trustee may retain any commission received by him/her [or it] for any transaction carried out by the Trustee for which he/she [or it] is, in the normal course of business, usually allowed commission.

Even when there is a wide charging clause authorising the trustee to charge for such services, what level of fees may be charged?

Trustees cannot charge whatever they want. A charging clause will often authorise the trustees to charge a 'reasonable fee' only. If the beneficiaries believe that the trustee has charged more than a reasonable fee, they can complain to the court alleging a breach of trust.[48]

It is usual in a modern trust for the trust instrument to authorise remuneration at the standard rates published by the institution from time to time. The following clause is typical:

Example 2.1

The Trustees, carrying on trust business as a trust company licensed to undertake trust business, shall be entitled, in addition to reimbursement of its proper expenses, to remuneration for its services in accordance with its published terms and conditions for trust business in force from time to time [or in accordance with such terms and conditions as may from time to time be agreed between such Trustees and the Protector].

In these circumstances, the firm's terms and conditions are usually provided in hard copy and electronic format setting out the basis of their fees: *ad valorem*,[49] annual fixed, time spent, or a combination of the above. An example of such terms and conditions can be found in Appendix 2 of your online study resources.

The final couple of lines of Example 2.1 above are designed to try and avoid fee disputes arising between the beneficiaries and the trustee. It includes a provision whereby a protector is appointed and authorised to determine, in the first instance, whether the fees charged by the trustee are reasonable. If not, the clause confers a power upon the protector to negotiate a reduction with the trustee if necessary on behalf of the beneficiaries.

Task 2.3

Review a standard in-house trust instrument used by the institution where you work. Identify the charging clause and the powers given to the protector (if any) in relation to fees.

48. ***Re Wells*** [1962] 1 All ER 812.
49. A fee based upon a percentage of the value of the trust fund, usually at the financial year-end.

- Does the charging clause authorise payment of direct fees for all work undertaken?
- Does it authorise payment of indirect fees?
- How is quantum defined (standard published rates or as agreed by the protector)?
- What powers are reserved by the settlor or are given to the protector in relation to fees? Does that person have to approve the amount? Can he or she resolve disputes?

2.1.2 Trust legislation

As you are aware, a number of offshore jurisdictions use the Trustee Act 1925 as a statutory model. Section 42 permits trustees to charge for their services whenever they are appointed by the court (for example, upon the retirement of existing trustees in circumstances where there is no provision for their replacement). Some offshore jurisdictions have copied s.42, while others have enlarged the provision to give the court a statutory power to approve trustee remuneration in all cases, not just when they are appointed by the court in the first place (see section 2.1.4 below).

Task 2.4

Review the trust legislation enacted in the jurisdiction where you work or have some other connection[50] and compare it with s.42 of the Trustee Act, described above.

2.1.3 Agreement with the beneficiaries

In the absence of a charging clause, the beneficiaries may authorise the trustee to charge remuneration provided all the beneficiaries are ascertained, *sui juris* and unanimously agree. This is an aspect of the rule in ***Saunders v Vautier***[51] that permits all (but not some of) the beneficiaries for the time being absolutely entitled to the whole beneficial interest in the trust property either to bring the trust to an end or vary it in any manner they mutually agree. Furthermore, application may be made to the court under the Variation of Trusts Act 1958 (or offshore equivalent) if one or more beneficiaries are unable to consent to a variation.

2.1.4 The court

Finally, the court in the jurisdiction whose laws govern the trust may authorise payment of remuneration to trustees under what is known as the court's inherent jurisdiction. This is a residual power vested in the court. It can also be used to increase a trustee's remuneration beyond that authorised in the trust instrument in circumstances where the trustee's duties are particularly onerous and time consuming.[52] In a number of offshore jurisdictions, the power of the court to authorise trustees' remuneration is given statutory effect.[53]

50. The Bahamas – s.50 of the Trustee Act Ch. 176, 1998 amended permits the court to authorise remuneration generally when there is no charging clause; Bermuda – s.32 of the Trustee Act 1975 amended 2004 (as the Bahamas); the BVI – s.43 of the Trustee Ord (Cap 303) amended (reproduces S.42); Cayman Islands – s.11 of the Trusts Act 2021 Revision (reproduces s42); Hong Kong – s.41Q–41T of the Trustee Ord (Cap 29) amended (where S.41T(1)(3) impliedly permits reasonable remuneration); Isle of Man – s.28(1) and (5) of the Trustee Act 1961 amended 2005 and ss.28-31 of the Trustee Act 2001; Jersey – art.26 of the Trusts (Jersey) Law 1984, Consolidated version 2021 (where art.26(1A) authorises professional trustees to charge reasonable remuneration); Guernsey – ss.24 and 35 of the Trusts (Guernsey) Law 2007; Dubai – art.56 of the DIFC Trust Law 2018.
51. ***Saunders v Vautier*** (1841) 4 Beav 115
52. ***Duke of Norfolk's Settlement Trusts*** [1981] 1 All ER 220.
53. See footnotes 50 to Task 2.4, above.

2.2 Negotiating fees

The fees of a corporate trustee are usually prescribed by its board of directors and published as standard terms of business. They are usually charged at one or more of three stages:

- an acceptance fee, upon being appointed as trustee; the acceptance fee includes due diligence, anti–money laundering (AML) compliance, the setting up of the trust and often the incorporation of an underlying holding company
- an annual administration fee, often expressed as an *ad valorem* fee based upon a percentage of the trust assets or as a fixed annual amount, and
- an exit fee, charged in situations when the trustee retires or is removed from office. Some institutions charge a withdrawal fee when distributions are made from the trust fund.

As noted above (section 2), financial service providers invariably experience some price-based competition. While you may not yet have authority to negotiate the fees charged by your institution, it is worth knowing some of the practical marketing strategies of those involved in the bargaining process. We are, therefore, again indebted to Peter Larder for the following thoughts, based upon his paper 'Marketing Trust Services'.[54]

Trust marketing officers often encounter tricky problems in relation to fees. This is particularly the case where the prospective client does not understand the value of the whole of the trust services offered. The client may feel that the fees quoted are exorbitant. Prospective clients from a civil code country, or those used to a traditional private banking service, or new to the offshore world generally, may consider, consciously or otherwise, that trustee fees are simply a charge for administration and bookkeeping. At this stage they need the help and advice of a knowledgeable professional. Without it, these prospective clients are not going to proceed.

The skill in marketing a trust so that clients realise that this is indeed exactly what they need will only come with a full understanding of the dynamics involved. There must be a balance between marketing skill and technical trust knowledge. It is rare that either can be successful in isolation. Unfortunately, few qualified trust professionals are both interested in marketing and can develop strong marketing skills. There is always danger when 'non-trust' people try to sell trusts as if they were some kind of consumer durable. This is compounded when salespeople are rewarded in direct proportion to the number of trusts sold. Operating a team of performance-driven salespeople may bring results in many areas of banking but in the trust industry this does not seem to work.

The marketing of trust services to a new target client may entail months of discussions before the client finally makes a decision to proceed. There is always the danger that the salesperson will aggressively encourage the prospective client to accelerate the decision and may, in the interest of closing the deal, not only misrepresent and over-sell the product, but also compromise on fees. This can be a costly mistake. It is, therefore, worthwhile reviewing some of the pitfalls and the ways these might be avoided.

54. 'Marketing Trust Services: A Hard Sell?' – the Caribbean STEP Conference 19–20 April 1999.

If you allow the client to negotiate fees down to a level where the profitability to the trust company is questionable, you have created a number of problems.

- The trustee's services are likely to be diluted. No trust company will produce full quarterly financial statements, for example, if they are being paid $5,000 per annum for a $10 million trust.
- The trustee may seek opportunities to charge additional special fees, to the frustration of the client.
- Given the low profitability of the relationship, a more junior administrator may be appointed. This will reinforce in the settlor's mind the idea that they have simply purchased the benefit of an elaborate bank account.

Where a prospective client wishes to compare fees between competing trust companies, there are a number of key points, or strategies, that should be remembered. Particularly when dealing with clients from different parts of the world, we should recognise that in some countries the process of negotiation is a part of their culture and there will be an expectation that fees will be discounted or scales reduced in some way.

When presented with a fee quotation from a competing organisation, your debate with the prospective client might raise the following issues.

- Without directly challenging the competition's proposal, encourage the client to look at pedigree, capital structure and reputation.
- Ensure the prospective client is comparing like-for-like services. Rarely do trust companies quote on an identical basis.
- Do the quoted fees include investment management? This is not usually the case but the prospective client needs to understand this, particularly when it is anticipated that in-house investment services will be used.
- Do fees include the preparation of periodic accounts? Some institutions charge for this as an optional add-on.
- If an underlying company is included in the proposed structure, has the client been advised about the cost of provision of officers and directors, and government fees?
- Although the acceptance or set-up fees for trusts and underlying companies are important, remember they occur only once. The annual fees, however, represent a continuing income stream. Accordingly, a lower set-up fee may provide the incentive to proceed.
- If necessary, consideration should be given to whether a discount on the first year's annual fees is appropriate in order to allow the client time to recognise the value of the service being provided. After 12 months of careful handling it should be comparatively easy to increase the fees to scale. Do not, of course, allow the client any opportunity, through bad service, to become dissatisfied.
- Pay great attention to the investment of the assets. A settlor who realises that, through careful management and the employment of a balanced portfolio strategy, investment performance has been improved, will more readily recognise the extent to which the trustee has added value.
- Although it is now common to quote a flat fee, perhaps to crystallise the cost of the trust in the client's mind, this detracts from the traditional approach in which the trustee's responsibility increases proportionally with the size of the assets.

- If everything does come down to fee negotiation, be aware of your bottom line, the 'fall-back' position beyond which it does not make economic sense to continue.

3. Appointment as trustee

3.1 The initial appointment of the first trustee

The settlor appoints the first trustee of the trust. The settlor will, in conjunction with onshore advisers, generally select an institutional trust company with technical expertise, experience, integrity and, often, an international reputation. The client often opts for an organisation with a solid capital base and, considering the envisaged duration of the trust, the continuity needed.

Some prospective clients may need you to explain the benefits of appointing a trust company to act as trustee. The following is a list of some of the benefits of appointing a corporate trustee.

- **Continuity**. Individuals may come and go and eventually die but a trust company has perpetual succession and is, therefore, in a position to remain as trustee for the duration of the trust period.
- **Expertise**. A professional trust company will specialise in trust services and has experienced personnel with appropriate expertise who are well equipped to provide the services required.
- **Impartiality**. Professional trustees are not usually swayed by the views or circumstances of any one beneficiary and so are able to act impartially. It is clearly more difficult for a beneficiary to be successful in putting pressure on a professional trust company to act in a particular manner.
- **Systems and procedures**. Professional trustees have sophisticated systems and procedures designed to achieve efficiencies and provide better services to clients. The existence of detailed procedures also reduces the risk of negligent acts or omissions occurring.
- **International resources**. Many trust companies have representation in more than one location. This benefits prospective trust clients, who may wish to create financial planning vehicles in more than one offshore centre. It also means that the organisation can offer a greater number of offshore trust services and may even base the back-office administration in a low-cost centre to increase profitability for the group, or reduce costs to the trust.

The initial appointment of the first trustee is, of course, dealt with in the trust instrument. The creation of a valid trust involves two distinct processes: the creation of a binding trust obligation, and the constitution of the trust. These two processes are carried out by the settlor, who transfers the trust property to the selected trustee and sets out the terms of the trust upon which the trustee is to hold the property in a contemporaneous document referred to as the 'trust instrument'.

The trust instrument is generally one of three types:

- a (deed of) settlement, to which both the settlor and the trustee are parties, or
- a declaration of trust, whereby the trustee simply declares by deed that the

property (already transferred to the trustee by the settlor) shall henceforth be held upon trust according to the detailed provisions set out in the declaration, or
- a Will, whereby the settlor/testator creates the trust upon death, by testamentary instrument.

The execution (or signature) of an *inter vivos* trust instrument by the trustees signifies their acceptance of office. The acceptance of the office of trustee is, therefore, consensual. An *inter vivos* trust cannot be created until the trustees have agreed to act and it cannot be fully constituted until the trust property has been validly transferred to them. A trustee cannot, therefore, be made to act as a trustee.[55] So, for instance, if a testator creates a trust by Will without consulting the proposed trustee prior to death, the trustee can decide whether to decline or accept the appointment.

If a trustee appointed by Will decides not to accept the appointment, it is usually declined in writing by deed of disclaimer (an example of a deed of disclaimer appears in Appendix 3 of the online Study Resources). The costs of disclaiming should be borne by the trust in these circumstances, not the proposed trustee who never consented to act. The disclaimer must be carried out within a reasonable time and before the trustee performs any act in administering the trust. If the trustee performs any act (such as accepting ownership of trust property or exercising any right associated with ownership, such as managing the trust assets in any manner) it will constitute acceptance of the trust. The trustee will, in these circumstances, incur all the usual liabilities and bear the duties of the office of trustee. Furthermore, there can be no partial disclaimer – a person cannot accept the role of trustee in relation to part of the trust property and decline to act in relation to the rest. It is all or nothing.[56]

Before accepting the appointment as trustee, a service provider must, of course, have taken steps to reduce the risk of accepting trust business that is unsuitable. These steps are designed to obtain as much information as possible about the prospective trust client: their identity, actual and fiscal residence, bona fides, the provenance of the trust property and the rationale behind the trust that is being contemplated. Those involved in the provision of all financial services must carry out 'know your client' (KYC) checks with reasonable due diligence before starting all new client relationships.[57]

Finally, it is advisable for the settlor to be asked to confirm in writing their intention of creating the trust. Most trust companies have a standard concise trust summary or letter to accompany the draft trust instrument, which the settlor is asked to complete and sign as confirmation that they understand completely the terms of the trust they propose creating (an example appears in Appendix 4). This may not be necessary when the settlor has been referred to the trustee by an attorney or private banker who is a Trusts and Estates Practitioner (TEP).

3.2 Removal/retirement of existing trustees and appointment of new ones

As discussed in section 2.2, an offshore trust is a service, not a product. The fees of a trustee are not a one-off transaction fee, but are continuous. Annual fees are earned for the duration of the trust relationship, which should be a very long time

55. ***Robinson v Pett*** (1734) 3 PWms 249.
56. ***Re Lister*** [1926] Ch 149.
57. The law, theory and practice in connection with these requirements in order to comply with AML, CTF, FATCA and CRS are dealt with in detail in the STEP Advanced Certificate in Principles of International Taxation, AML and Compliance.

(depending upon the applicable perpetuity period). A trust company, therefore, anticipates providing trustee services for a considerable period. On the other hand, for various reasons, such as a desire to retire, a breakdown in communication, poor investment performance, or simply the idiosyncrasies of the settlor or protector, a trustee may be prematurely removed from office and a new trustee appointed in his or her place.

Importantly, without an express provision in the trust instrument, it is not possible to remove a trustee without reasonable or just cause. It is not enough, for instance, to remove a trustee merely because there has been a misunderstanding between the trustee and the beneficiaries, or because the trustees and the settlor no longer agree about the administration of the trust.[58] Nor may the beneficiaries, in the absence of an express power, appoint a new trustee in place of an existing one, even if between them they own the entire equitable interest in the trust assets and purport to exercise their rights under ***Saunders v Vautier***.[59]

Whenever an existing trustee retires or is removed from office, there must be continuing trustees in place, or a successor trustee must be appointed who is ready, willing and able to act. There must be a smooth and proper transition from outgoing to incoming trustee to ensure minimal disturbance in the best interest, and for the good management, of the trust.

If there is not a valid and proper succession of office to the new trustee, both the outgoing and the incoming trustees may find themselves at risk of incurring liability. If the removal and/or the appointment are invalid, the outgoing trustee will remain *prima facie* liable for any subsequent loss suffered by the trust. Furthermore, the invalidly appointed incoming trustee will not avoid liability for such loss – the purported trustee becomes liable for what is known as intermeddling in the trust without proper authority.

It is, therefore, of fundamental importance that a proper and appropriate power of removal and appointment of new trustees is exercised and that the correct procedure is followed. The powers of resignation, removal and replacement of trustees:

- are implied in every trust by the terms of applicable trust legislation, and
- may be found in the express terms of the trust instrument.

The purpose of both the statutory and the express powers in this regard is to ensure a valid and smooth succession from outgoing to incoming trustee, with the least disturbance to the management of the trust assets. In order to understand the typical express provisions often found in an offshore trust instrument, we must first review the restrictive statutory provision.

3.2.1 Trust legislation

Most offshore trust jurisdictions (the most notable exceptions being Guernsey and Jersey) base their statutory provisions permitting retirement, removal and appointment of trustees, upon the English model, namely, the Trustee Act 1925 (or its predecessor of 1893, even though these statutory provisions in England have been amended by

58. ***Letterstedt v Broers*** (1884) 9 AC 371; and ***Cruz de Mercado v Cititrust (Bahamas) Ltd*** No.12 52 of 1986 Unreported.
59. In ***Re Brockbank*** [1948] Ch 206. This applies save in jurisdictions such as Hong Kong which have addressed the issue by trust legislation – e.g. in Hong Kong, s.40A of the Trustee Ordinance (Cap 29) as amended.

the Trusts of Land and Appointment of Trustees Act 1996, which creates a new power for the beneficiaries collectively to require the removal and replacement of a trustee in certain circumstances).

i. *Retirement*

The statutory power that permits a trustee to retire, found in s.39 of the Trustee Act 1925, is rarely invoked in practice as it only permits a trustee to retire provided at least two persons or a trust company remain as trustees. As you will appreciate, for an offshore trust, a trust company is seldom appointed as a joint trustee with another person or entity, as this would increase costs, create administrative red-tape and inconvenience and may adversely affect the domicile of the trust for tax purposes.[60] 'Retirement' in this context means retirement without the appointment of any replacement trustee. If an incoming trustee can be validly appointed to replace a retiring trustee, the retirement is permitted under alternative statutory provisions, that is, those dealing with removal and replacement by new trustees.

ii. *Removal and appointment of a new trustee*

The English Trustee Act 1925, s.36 provides as follows.

(1) *Where a trustee is dead, remains out of the jurisdiction for more than 12 months, desires to be discharged ... refuses to act, is unfit or incapable of acting... then*

(a) *the persons nominated for the purposes of appointing new trustees by the* [trust] *instrument ... or*

(b) *if there is no such person, or no such person able and willing to act, the surviving or continuing trustees or personal representatives of the last surviving trustee may by deed appoint a* [new] *trustee in his place...*

(2) *Where a trustee has been removed under a power contained in the* [trust] *instrument ... a new trustee may be appointed in the place of the trustee who is removed as if he were dead or, in the case of a company, desired to be discharged...*[61]

Task 2.5

Review the trust legislation in the jurisdiction where you work or have some other connection[62] and compare the same with ss.36 and 39 of the Trustee Act set out above.

60. The trust is liable to pay tax on the income and capital gains made by trust property in the jurisdiction where the trustees are deemed to reside for tax purposes.

61. Similar legislation appears in other jurisdictions: The Bahamas – s.42(1) and (2) of the Trustee Act Ch. 176 1998 amended 2004; Bermuda – ss.26–32 of the Trustee Act 1975 amended 2004; the BVI – s.36(1) and (2) of the Trustee Ord. (Cap 303) amended 2003 and 2013; Cayman Islands – s.4(1) and (2) of the Trusts Act 2021 Rev; Guernsey – ss.18 and 19 of the Trusts (Guernsey) Law 2007; Gibraltar – ss.3–6 of the Trustee Act 1895 amended 2007; Hong Kong – s.40A to 40D and s.41 of the Trustee Ord. (Cap 29) amended 2013; Isle of Man – s.35(1) and (2) of the Trustee Act 1961 amended 2005; Jersey – arts 17 and 19 of the Trusts (Jersey) Law 1984 Consolidated 2025; Singapore – s.37(1) and (2) of the Trustee Act (Cap 337) as amended; Dubai – arts 53 and 54 of the DIFC Trust Law 2018.

62. The Bahamas – ss.41–47 of the Trustee Act Ch. 176 1998; Bermuda – ss.26–32 of the Trustee Act 1975 amended 2004; the BVI – ss.36-44 of the Trustee Ord. (Cap 303) amended; Cayman Islands – ss.3–12 of the Trusts Act 2021 Rev; Guernsey – ss.17–21 of the Trusts (Guernsey) Law 2007; Gibraltar – ss.3–6 of the Trustee Act 1895 amended 2007; Hong Kong – s.40A–40D and s.41 of the Trustee Ord. (Cap 29) amended 2013; Isle of Man – ss.34–41 of the Trustee Act 1961 amended 2005; Jersey – arts 16–19 of the Trusts (Jersey) Law 1984 Consolidated 2025; Singapore – ss.36–41 of the Trustee Act (Cap 337) as amended; Dubai – arts 53 and 54 of the DIFC Trust Law 2018.

The statutory powers outlined above may be regarded as sufficient to cover clear situations, where a trustee must be removed and a new trustee appointed in the interests of the trust. If an existing trustee dies or disappears or becomes unable or unfit to act, or is otherwise incapable of acting as trustee, there is a clear need to remove that trustee and to appoint a new one in its place, provided the trust instrument identifies a person entitled to exercise the statutory power. In practice, that person may be the settlor, the protector, a beneficiary or in fact any person upon whom the settlor confers the power in the trust instrument.

If there is no person appointed by the trust instrument for the purpose of appointing new trustees, there is clearly a vacuum. In practice, the most troublesome omission in the statutory powers to remove trustees (so far as the typical settlor is concerned) is the absence of a power to remove incumbent trustees unless they provide just cause, namely that they:

- 'refuse' to act
- are 'unfit' to act, or
- are 'incapable' of acting as trustees.

These are all subjective tests and are thus capable of intense controversy and argument. An incumbent trustee may very well dispute being 'unfit' or 'incapable of acting'. In these circumstances, a settlor may prefer to provide someone with the power not only to remove a trustee for just cause, but also to remove a trustee without just cause. This type of wide express power to remove trustees without just cause is often conferred by the trust instrument, and is discussed in section 3.2.2 below.

3.2.2 Express provision

Most offshore trust instruments contain not only an express provision authorising a trustee to retire, but also confer a power upon the settlor or protector to remove the trustee in order to appoint a new one. A sample clause states as follows.

Example 2.2

Retirement, removal and appointment of trustees

(1) *Any Trustee may at any time resign the trusteeship by giving not less than 14 days' notice to the Settlor* [Protector] [and the other trustees (if any)].

(2) *The Settlor [Protector] may by deed at any time remove the Trustee by giving notice to that effect to the Trustee in writing.*

(3) *In each case, the retirement or removal shall not take effect unless and until there is at least one corporate or two individual trustees to act as new or continuing trustees.*

(4) *The power of appointing a new or additional Trustee shall be vested in the Settlor* [Protector], *who shall exercise such power by deed.*

(5) *An outgoing Trustee shall promptly deliver all trust documents to the new Trustee and shall execute and do all transfers or other acts and things as may be necessary to vest the Trust Fund in the new trustee, and shall be entitled to receive from the incoming trustee, an indemnity against all claims, demands and other liabilities, including those for debts, duties or taxes, excepting claims which arise from fraud, etc...*

The most striking element of the above clause, which prevails over the statutory provisions, is the power vested in the settlor (or, alternatively, the protector) to remove the trustee at any time without cause or other justification, simply by giving written notice. This, together with sub-clause (4), empowers the settlor (or protector, if applicable) to remove and appoint new trustees in their absolute discretion. Whether such an appointor is at liberty to exercise this power in a personal or in a fiduciary capacity (i.e. whether the discretion is absolute and unfettered or whether it should only be exercised in the interests of the beneficiaries) formed a major issue in the *Star Trusts* case heard in Bermuda.[63] In most instances the power to remove trustees should be exercised only if it is in the best interests of the trust, the trust property and the beneficiaries. The *Star Trusts* case will be reviewed in detail in Module 7 section 3.1.

Finally, to conclude our analysis of removal and appointment of trustees, it should be noted that the court also has power to appoint a new trustee but will do so only where it is inexpedient or impractical for a new trustee to be appointed pursuant to an express or statutory power. This power may be exercised if the welfare of the trust requires it. Thus, if a protector or person with a power to appoint new trustees intended to exercise their power fraudulently or for an improper purpose or motive, the court could, in an action by the existing trustee for directions, step in and restrain the unlawful appointment, and itself appoint a new trustee.[64]

3.2.3 Procedure for removing and appointing a new trustee

What is the required procedure for retiring or removing an incumbent trustee and appointing a new one? The main issues are to ensure that:

- the removal of the existing trustee and the appointment of the new trustee are both valid
- the trust assets are properly transferred to the new trustee, and
- the parties and the trust are adequately protected.

i. Validity of new appointment

The procedure that must be followed for removing a trustee and appointing a new one is usually set out in the trust instrument.

- Removal may be permitted by deed or written notice served upon the outgoing trustee by the person nominated in the trust instrument who has been given the power of removal.

- The appointment of new trustees is also usually carried out by deed. When the same deed is used to remove and replace the trustee it is typically called a Deed of Removal/Retirement and Appointment of New Trustee (a so-called 'DORA'; see Appendix 5). A deed is used in order to obtain the vesting declaration provisions that are implied by s.40 of the Trustee Act 1925 (or offshore equivalent) reviewed in paragraph (ii) below.

In the Jersey case of ***The Hare Trust, Ukert v Interface Trustees Ltd***[65] the trust instrument stated that if the trustee should die or be dissolved, give notice

63. ***Jurgen Von Knieriem v Bermuda Trust Company Ltd*** 1994 SCB 154 and 162.
64. ***Jurgen Von Knieriem*** (see above.
65. (2001) 4 ITELR 268.

of a desire to retire, or become unfit to act, the protector may, by deed, appoint new trustees. Following a reorganisation, the initial trustee sought to retire and, by deed, appointed the defendants, a new but related entity, as new trustee, without reference to the protector. The court had no difficulty deciding that the appointment of the substitute trustee was void. All the books, records and trust documents had to be handed back to the original trustee, who was ordered to prepare accounts for the back period. Costs had to be borne by the trustees personally rather than out of the trust fund and, if any loss had been suffered, the initial trustee would have had to make the trust whole and the substitute trustee would have been liable to make a contribution for intermeddling.

The message is this: effect the removal and replacement of trustees by the method prescribed by the trust instrument: if it says that written notice is enough, then a notice should be used; if it says that a deed is required, then use a DORA.

ii. Transfer of trust property to the new trustee

Upon a change of trusteeship, the legal ownership of the trust property must be transferred to the new trustee. The process of transfer requires the cooperation of the outgoing trustee as they are the existing legal owner of the trust property. Where the removal is uncontentious (for example, because the trustee wants to retire), the outgoing trustee will inevitably cooperate as it is in their interests to do so. If the removal is contentious (for example because the trustee perceives that they have been removed unnecessarily in circumstances against their interests or against those of the trust), then the outgoing trustee may prove to be uncooperative.[66]

In these circumstances, further statutory provisions based on the English model trust legislation exist to rescue the situation. This is because, according to s.40 of the Trustee Act 1925, the appointment of a new trustee by deed containing a vesting declaration operates to transfer the legal interest in the trust property from the outgoing trustee to the incoming trustee, save for foreign real estate, stocks and securities.

Accordingly, whenever a new trustee is appointed, the trust property must be transferred to and become vested in the new trustee by either:

- a vesting declaration, specifically by a simple provision contained in the deed of appointment of the new trustee, which meets the requirements of s.40 of the Trustee Act 1925 in England (or the equivalent statutory provisions offshore),[67] or
- by the ordinary method of transferring the legal interest in property to another person or entity.

66. See the Jersey case of ***Carafe Trust v Guardian Trust Co Ltd*** [2005] JRC 172, which considered fee disputes on retirement and found that such disputes should not prevent retirement before resolution of the dispute.

67. The Bahamas – s.47 of the Trustee Act Ch. 176, 1998 amended 2004; Bermuda – s.30 of the Trustee Act 1975 amended 2004; the BVI – s.41(i) of the Trustee Ord. (Cap 303) amended 2003; Cayman Islands – s.9 of the Trusts Act 2021 Rev; Gibraltar – s.5 of the Trustee Act 1895 amended 2007; Hong Kong – s.41 of the Trustee Ord (Cap 29) amended 2013; Isle of Man – s.44 and s.51 of the Trustee Act 1961 refer to vesting orders of the court rather than automatic vesting; Singapore – s.41 of the Trustee Act (Cap 337) Revised Edition. NB. The law in Jersey, Guernsey and Dubai does not contain automatic vesting provisions and therefore trust property must be transferred by ordinary methods of transfer, but the trust legislation imposes a statutory duty upon the outgoing trustee to transfer the property to the new trustee – see art.19(5) of the Trusts (Jersey) Law 1984 and s.18(4) Trusts (Guernsey) Law 2007; Dubai – art.55 (1) of the DIFC Trust Law 2018.

A vesting declaration is a provision found in a deed to the effect that the legal interest of the outgoing trustee in the trust property shall be automatically transferred to and vest in the incoming trustee.[68] See, for example, clause 3.1 of the specimen DORA in Appendix 5. It operates as an automatic conveyance or assignment of the trust property. Accordingly, there is generally no need for individual transfer documents to be prepared and signed for each item of trust property. A vesting declaration is all that is required to transfer trust property from T1 to T2. Nonetheless, it does not transfer certain types of property, i.e. stocks and shares and (foreign) real estate. The ordinary method for transferring this type of property must therefore be employed in favour of the new trustee. These methods are as follows.

- Stocks and shares: the articles of association and applicable company legislation typically prescribe a mandatory form of transfer. Usually, a stock transfer form should be prepared and signed by the transferor and transferee and submitted to the secretary of the company in question. Upon receipt of the executed stock transfer form the company should amend its register of members to show the new incoming trustee as registered shareholder. Where, under modern computerised stock exchanges, quoted stocks and shares are held in the name of the broker's nominee, the appointment of a new trustee does not affect the name of the shareholder in the books and records of the listed company. In these circumstances, the outgoing trustee must give an irrevocable instruction to the broker custodian to change the identity of the holder to the new trustee, so that the nominee's records can be updated to show that it owns the stock as nominee for the new trustee.

- Real estate: land must be transferred according to the method prescribed by the law of the jurisdiction where the land is situated. This is usually by deed of conveyance in favour of the new trustee or, in the case of registered land, by the method prescribed by the local statutory registered land law. The appointment of a new trustee must therefore be given effect by transferring the registered land to the new trustees in the usual way.

Task 2.6

1. Review the automatic vesting provisions contained in trust legislation in the jurisdiction where you work or have some other connection (identified in footnote 67) and compare the same with s.42 of the Trustee Act set out above.
2. Upon the removal of an old trustee and appointment of a new one in their place, it is necessary for the outgoing trustee to transfer the legal ownership interest in the trust assets to the new trustee. As most offshore trustees hold the trust fund in a special purpose asset-holding company, how, in practice, is legal title to the assets held in the trust fund transferred to the new trustee?

68. For example, the deed may state: 'In exercise of the powers conferred by [the trust instrument] the [Appointor] hereby removes [Outgoing trustee] and appoints [New trustee] as trustee of this trust and the trust property [listed in the Schedule] shall automatically vest in and be transferred to [New trustee]'.

iii. Procedure upon being removed

The outgoing trustee is expected to prepare accounts up to the date of their removal and then deliver all the trust documents to the new trustee.

- **Preparation of accounts.** The outgoing trustee ought to prepare accounts up to the date of their removal, and have those accounts approved or settled before parting with the trust assets. If there is a reasonable anticipation of a dispute about those accounts (arising from an alleged breach of trust, mis-accounting or otherwise), the outgoing trustee should retain assets to cover the costs of resolving that dispute or litigation, as the case may be.
- **Costs of removal.** The costs of, and incidental to, the removal of the outgoing trustee are borne by the trust.
- **Delivery trust documents.** The outgoing trustee should promptly deliver their entire files of trust documents to the new trustee to comply with its implied duties upon the transfer of the trusteeship and the express terms of the trust instrument, such as clause 5 of Example 2.2 above.
- **Retain copies.** The outgoing trustee often wishes to retain copies of trust documents together with miscellaneous papers and correspondence generated during the period that they were in office. Is this permissible? If so, at whose cost? It is the preferred view that outgoing trustees may if they wish retain copies of trust documentation, etc., but they must bear the cost of such copies themselves.

iv. Protection of the outgoing trustee

There are three matters of concern to the outgoing trustee for self-protection from liability.

- **Invalid appointment of new trustee.** If the removal of the outgoing trustee is invalid, the outgoing trustee remains responsible for the trust assets.[69] In other words, they remain liable for foreseeable losses that could have been prevented by reasonable prudence. It is therefore in the interests of the outgoing trustee to ensure that the proper procedure is followed and that the appointment of the new trustee is valid.

  Furthermore, if the outgoing trustee retires or is removed in circumstances where they consider that the new trustee may commit a breach of trust, the outgoing trustee can be held liable for the acts and defaults of the new trustee. The outgoing trustee ought, in these circumstances, to apply to the court for directions.[70]

- **Release.** Outgoing trustees often seek a release from liability for their actions during their period of trusteeship (in the same way that a trustee seeks a release when the trust ends at the point when all or the remaining trust property vests absolutely in the beneficiaries). They may obtain such a release when replaced by a new trustee, but they cannot insist that a release be given. A release appears in clause 4 of the sample DORA in

69. For example, in ***Adam and Company International v Theodore Goddard*** WTLR [2000] 349, a corporate trustee was unlawfully replaced by another sole trustee who was not a trust company. The appointment of the new trustee was not effective and the retiring trustee remained responsible. See also ***Ukert v Interface Trustees Ltd***, (2001) 4 ITELR 268 and 3.2.3,i. above.
70. ***Webster v Le Hunt*** (1861) 9 WR 918; ***Webster v Richardson*** (1824) IOM.& W. 284.

Appendix 5. However, do note that the outgoing trustee ought not to retain custody of the trust documents as leverage until such time as a release is forthcoming.

- **Indemnity.** Trustees are personally liable for the debts and liabilities incurred by the trust. Nonetheless, they have a right to reimbursement or indemnity from the trust fund. Unfortunately, once the trustee has been removed from office and the trust fund has been transferred to the new trustee, the outgoing trustee loses the ability to reimburse themselves in respect of liabilities incurred during their period of office. The outgoing trustee is therefore prejudiced, particularly if they face potential future or contingent liabilities, claims or deferred taxes, which they are required to pay out of their own pocket.

  In these circumstances, the outgoing trustee often seeks to retain ownership, possession and control of (or a charge over) some or all of the trust assets for a period of time, until it is certain that all potential claims and liabilities have materialised and been paid. If a liability arises, the outgoing trustee can then reimburse themselves from the retained (or charged) property. In order to avoid the inconvenience of having certain assets vested in (or mortgaged in favour of) the outgoing trustee, the new trustee often offers to give the outgoing trustee a full and complete indemnity. Here, the new trustee promises to pay all future liabilities that ought primarily to be borne by the outgoing trustee, from the trust fund. The promise is usually expressly given by the new trustee in a separate clause in the DORA (see clause 5 of Appendix 5).

  The only problem that may occur in these circumstances is when the new trustee distributes all or some of the trust assets and does not have sufficient funds in trust to honour the indemnity. The outgoing trustee again loses out. Accordingly, in practice, outgoing trustees will usually seek an express indemnity by the new trustee in respect of *all liabilities* of the outgoing trustee. This is enforceable as a contract, even though the new trustee does not have sufficient assets in trust to cover the liability. The indemnity typically contains the following limitations.

  - The new trustee must reimburse only the debts and liabilities properly incurred by the outgoing trustee. See clause 5.1(i) of the DORA in Appendix 5.
  - The indemnity endures throughout the time the new trustee holds office, or some other specified time, usually calculated by the relevant limitation period for anticipated claims. See clause 5.1(ii) of the DORA.
  - The new trustee's liability under the indemnity is limited to the value of the trust fund at the time of the removal of the outgoing trustee or from time to time thereafter, whichever is less. See clause 5.1 (iii) of the DORA.
  - There is often a provision that, if the new trustee is themself removed from office, the new trustee will obtain suitable indemnities from the subsequent replacement trustee. See clause 5.3 of the DORA.[71]

71. A fuller analysis of this issue, with practical guidance and specimen DORAs, is to be found in STEP's *Practical Guide to the Transfer of Trusteeships* (3rd Ed., 2017). See also the reasoned judgement of Kawaley, C.J. in ***Meritus Trust Company Ltd v Butterfield Bank (Bermuda) Ltd***, Unreported, 13 October 2017.

4. The new trustees' duties upon accepting existing trust business

You now appreciate that not all new trust business that a trust company takes on will be a newly created trust. On occasions a professional trustee may be asked to assume responsibility of a trust that is already in existence but without a current trustee, or more commonly, where the existing trustee wants to retire, or has been removed.

Does the new trustee have any preliminary duties or tasks to perform?

It was stated in ***Hallows v Lloyd***[72] that:

...when persons are asked to become new trustees, they are bound to inquire of what the [trust] property consists... and what are the trusts. They ought to look into the trust documents and papers and ascertain what... matters affect the trust.

4.1 Trustees must acquaint themselves with the terms of the trust

The authors of Underhill and Hayton[73] recommend that trustees acquaint themselves as soon as possible with the terms of the trust and the contents of all the documents relating to the trust. Clearly, if they do not do so, the trustees are unable to fulfil their duties. For instance, the trustees must establish:

- the extent of their dispositive powers and the relevant factors to take into account in exercising those powers[74]
- their administrative powers and whether they are wide enough
- whether the trust instrument contains an exoneration clause and charging clause
- the identities of the beneficiaries and the disclosures that will have to be made, if any, to comply with FATCA and CRS, and
- the terms of the letter of wishes and whether it should be updated.

4.2 Trustees must acquaint themselves with the trust property

The trustees should then acquaint themselves with the nature and extent of the trust property. They must ensure:

- that the trust property has been properly transferred to them or the underlying company (especially real estate, shares, insurance policies, etc.)
- that movables (such as personal chattels, antiques, works of art, other investments such as Krugerrands, etc.) and bearer securities belonging to the trust are delivered to them and retained under their control, and
- that any ancillary services that the trustees may require are available, for example, accountancy, tax and/or legal advice.

72. (1888) 30 ChD 686.
73. Matthews, P. and Mitchell, C., Harris, J. and Agnew, S. Underhill and Hayton *Law of Trusts and Trustees*. 20th Ed., 2022. London: Lexis Nexis.
74. If there are any doubts as to the trustees' powers then advice should be taken: ***Nestlé v National Westminster Bank plc*** [1993] 1 WLR 1260.

4.3 Analysis of trust accounts and other documents

When incoming trustees take on an existing trust, they should ensure that the outgoing trustees have not committed any breach of trust. This calls for a careful analysis of all the documents relating to the trust. If, for instance, trust property has been lost, the incoming trustees must investigate whether there is any possibility of recovering it or seeking damages. If there is, they must take legal advice and, if necessary, instruct attorneys to issue legal proceedings for recovery.

4.4 Investment review

The incoming trustees should carry out an investment review and, subject to the provisions of the trust instrument and applicable trust legislation, ensure that the trust property is invested appropriately.

4.5 Compliance

Finally, the new trustee must ensure that all compliance and money laundering requirements have been met.[75]

75. The investment review is covered in the STEP Advanced Certificate in Trustees Duties: Investment and Management of the Trust Fund, the compliance review is covered in more detail in the STEP Advanced Certificate in Principles of International Taxation, AML and Compliance.

Learning outcomes

By the end of this module you should:

- appreciate how trust companies can market trust services in a competitive environment
- be able to explain to a third party the virtues of the offshore jurisdiction from which you carry on business
- be able to explain the trust concept to a potential client who is unfamiliar with it
- be in a position to market the trust concept in a responsible manner (and avoid the pitfalls of over-selling)
- understand some of the marketing strategies adopted in negotiations with prospective settlors or protectors when discussing fees
- appreciate the aspects of a trustee's fiduciary duty that apply to the charging of fees – the so-called remuneration rule – and be able to draft or construe a charging clause
- know the proper procedures to follow before accepting the office of trustee in relation to:
    - the practice and procedures involved in the removal of an outgoing trustee
    - the appointment of an incoming trustee and vesting of trust property, and
    - the trustees' duties upon accepting an existing trust, and
- be in a position to comply with the appointment process, in relation to both
    - new trusts, and
    - the taking on of existing trusts.

Module 2:

Self-Assessment Questions

1. What characteristics do HNWIs from high-tax onshore jurisdictions, and their advisers, prefer an ideal offshore financial centre to possess?
2. In what ways may employees be expected to contribute to the marketing goals of the trust company for which they work?
3. List some of the common pitfalls encountered in marketing trust services.
4. Trustees owe fiduciary duties to the beneficiaries. How does this duty affect the trustees' right to charge a fee for rendering services to the trust?
5. Distinguish between 'direct fees' earned by a professional trustee and 'indirect fees'.
6. In what manner may the remuneration of a corporate trustee be authorised? Which method is by far the most common?
7. Draft a modern charging clause intended to authorise a trustee to charge fees of an indirect as well as a direct nature, and consider the content of any special ancillary published terms and conditions.
8. If prospective clients wish to compare the fee quotations from two different trust companies, identify the matters that they ought to consider.
9. How might the structure of fees charged by your trust company be tailor-made for a prospective client during fee negotiations?
10. List some of the benefits of appointing professional corporate trustees to act, rather than individual trustees.
11. Explain who appoints the first trustees and how they do so. If trustees are appointed by Will, can they be made to act?
12. After the creation of a trust, the initial trustees may retire under statutory powers or be removed from office and new trustees appointed. In what circumstances may a trustee retire under standard statutory powers based upon the 1925 English model legislation?
13. What is the usual method used for removing initial trustees and appointing new ones?
14. If a new trustee takes on an existing trust from an outgoing trustee, what (if any) are the new trustee's initial AML compliance and best-practice responsibilities?
15. What formal procedures have to be observed when taking over an existing trust?
16. New trustees must ensure that they receive the legal ownership interest in the trust assets. How is this achieved?

17. Describe the terms of a typical 'release from liability clause' sometimes found in a DORA.

18. Describe the purpose and legal effect of a typical 'indemnity clause' found in a DORA. Identify typical limits to the indemnity given.

Module 3:

The Trust Instrument – Part 1: Preliminary Provisions

Module 3:

The Trust Instrument – Part 1: Preliminary Provisions

Learning objectives

The purpose of this module is to:

- give an overview of the process of obtaining instructions from an international client to establish an offshore trust
- review the use of precedents in the drafting process and analyse the pros and cons of using different forms of trust instrument
- familiarise you with the framework of a typical trust instrument
- review some of the standard preliminary provisions found in a typical trust instrument, and
- illustrate the use of conventional supplementary documentation.

Introduction

The trust instrument is the most crucial point of reference for trustees and their professional advisers. Sometimes known as a trust deed or deed of settlement, a trust instrument is the generic name given to the document that creates and particularises the relationship that exists between the trustees and the beneficiaries. It is this document that sets out:

- the terms of the trust
- the trustees' duties and powers in relation to the trust assets, and
- the beneficiaries' rights.

If, for instance, there is doubt as to whether or not a proposed action is authorised, or there is doubt as to the appropriate procedure to follow, the first point of reference must always be the trust instrument. It is, therefore, essential to be familiar and fully conversant with the terms of the trust instrument of each trust under administration.

This is not as onerous a task as it may first appear. There are in-house precedent forms of trust instrument in use in most trust companies so there is some standardisation. Such is the nature of the trust, however, that there will inevitably be a number of adaptations and changes made to standard forms in order to cater for the individual needs of each particular settlor. 'The trust is nothing if not adaptable', note the editors of ***International Trust Precedents***.[76]

It is more difficult for those trust practitioners engaged in advising upon the creation of the trust. They start with a blank canvas and have to consider a number of fundamental matters, as well as the minutiae, before a draft trust instrument is ready for execution. They have to address the following issues.

- What is the best type of structure to suit the settlor's requirements?

76. ***International Trust Precedents***, edited by Withers Solicitors, published by Sweet and Maxwell.

- Which is the most appropriate jurisdiction to achieve the settlor's objectives?
- How will the proposed trust affect the tax position of the settlor and beneficiaries?
- Does the settlor require an existing trust precedent or are there any special requirements that make a complete redraft essential?
- How far should any standard trust precedent be revised?

Remember that the creation of an offshore trust for an international client affects a number of individuals, often in several different jurisdictions. The creation of a trust frequently involves input from various professional advisers in different jurisdictions. It is prudent to obtain specialist legal and tax advice in all the jurisdictions affected by the proposed structure, i.e. in those jurisdictions:

- where the settlor is deemed to reside for tax purposes, and, as it may be different, where he or she is a citizen
- where the principal beneficiaries pay their taxes, i.e. where they are deemed to reside for tax purposes, and
- where the assets are situated (if different from the place where the trust is to be managed).

Similarly, advice is needed about the jurisdiction chosen as the proper law of the trust: usually (but not necessarily) the law of the offshore jurisdiction where the corporate trustees carry on business and propose to administer the trust.

It is only when all the legal and tax implications have been explored that the draftsperson can put pen to paper (or, should we say, finger to mouse and keyboard).

The form and structure of a trust instrument can vary between trusts within a trust company, between one trust company and another, and between jurisdictions. Clients, and their circumstances and requirements, are all unique. Notwithstanding these differences, the discretionary trust is widely used in the common law trust jurisdictions. As this trust originated in England, it often follows the form of English trust precedents, but is adapted to take into account local laws, practices and the particular objectives of the settlor. There is no standard trust instrument in use internationally, but there is a common form and structure for a typical trust instrument, and there are common elements. This and the next two modules will guide you through a typical trust instrument so that you are familiar with its contents and are able to understand and construe the critical provisions.

This will not only assist trust practitioners engaged in the management of trusts but also those engaged in marketing or involved in the drafting process.

The framework of a typical express *inter vivos* trust instrument is as follows.

1. Formal introductory parts
2. Recitals
3. Definitions
4. Trust for sale
5. Trusts of original and additional property
6. Dispositive provisions
7. Administrative powers
8. Trustee's indemnity and exoneration
9. Remuneration clause
10. Retirement, removal and appointment of trustees

11. Proper law, forum and administration
12. (Ir)revocability
13. Execution clause

In this module we shall look at the first five of the above headings. Module 4 will deal with typical dispositive provisions, leaving the remaining administrative clauses, numbered 7 through 13 above, for Module 5.

1. The formal parts

An express *inter vivos* trust instrument commences with a heading, usually a description of the document, the date and the names and addresses of the parties.

Example 3.1

THIS DEED OF SETTLEMENT (known as the [name] Trust)[77] *is made the* [date] *BETWEEN*

1. [Name] of [address] ('the Settlor'), and
2. [Name] *Trust Company Ltd, a company incorporated under the laws of* [jurisdiction] *whose registered office is situate at* [address] ('*the Trustees*')

The term 'settlement' is often used to describe a trust instrument made between the settlor and the trustees. This gives rise to a noun (the settlor) and a verb (the settlor is said to 'settle' property upon the trustees to hold on trust). Alternatively, a trust instrument may be described as a 'trust deed'. In most jurisdictions, there is no requirement for the trust instrument to take the form of a deed. It may simply be in writing, executed under hand by signature rather than seal. Nevertheless, a deed is often used. It is usual for the settlor to be named and described. Some institutions name a 'dummy' or nominee settlor for increased confidentiality but this practice is discouraged given its lack of transparency. Why not simply allow the trustee to declare the agreed trust in accordance with instructions from the settlor in the following manner?

Example 3.2

THIS DECLARATION OF TRUST is made the [date] *by* [name] *Trust Company Limited, of* [address], *a company incorporated under the laws of* [jurisdiction] *('the Trustees')*

The above trust instrument is drafted as a 'declaration of trust', and executed by the trustees only, rather than as a settlement entered into and executed by both the settlor and the trustees. This is a unilateral (as opposed to a bilateral) document by which the trustees simply declare that the property already in their possession and control shall henceforth be held by them upon the trusts contained in the instrument. A settlor may prefer this form of trust instrument in order to maintain confidentiality as it ensures that the settlor's name does not appear in the heading or, in fact, anywhere else in the document. In practice, the reasons for the required confidentiality should be considered carefully for their validity. This method does not provide any confidentiality against lawful enquiries. Trustees making such a declaration should also ensure that they have clear and unequivocal evidence of the settlor's approval of the entire contents of the deed.

77. A name may be given to a specific trust for identification purposes and convenience.

A trust instrument should be dated by inserting the date it was made. It should not be back-dated as this:

- cannot alter the fact that its validity is only operative from the date of actual execution, and
- adding a false date usually indicates an intention to deceive which, depending upon who is deceived, can have legal consequences.

2. Recitals

The recitals often explain the background to the trust, why it has been created and the settlor's broad objectives. The recitals are not operative provisions and have no legal effect. They are not, therefore, essential. It is usual, however, for the settlor to recite that they have created the trust in order to make future provision for the beneficiaries and that property has been transferred to the trustees for this purpose. It is also usual to state that it is anticipated that additional assets will be transferred to the trustees in the future, to be held as part of the *corpus* of the trust.

As a drafting technique, the recitals are usually introduced by the word 'whereas' or, nowadays, by the word 'recitals'. The numbers (or letters) of the recitals are placed in brackets to distinguish them from the operative clauses.

Example 3.3

WHEREAS

(A) *The Settlor, who is domiciled in* [State] *wishes to make this Settlement in order to provide for* [family and friends].
(B) *The Settlor has transferred or delivered to the Trustees or otherwise placed under their control the Trust Fund specified in clause 1.1(a) hereof to be held on trust upon the terms hereinafter set out.*
(C) *The Settlor shall transfer all the issued shares in [Name of Underlying Company] to the Trustees to be accepted by them as an addition to the Trust Fund. Further money, investments or other property may be paid or transferred to the Trustees by way of further additions to be held upon the trusts hereof.*
(D) *It is intended that this Settlement shall be known as the [Name] Trust.*

These recitals serve no real purpose and could easily be omitted. Other clauses may, however, be found whenever the trust is established for a particular purpose, for example, to hold shares in the settlor's business empire, or to engage in a particular investment strategy, or whenever the trust instrument contains special or unusual terms. Specific recitals to record these matters are not operative in so far as they do not affect or override the actual terms of the trust. They are sometimes of comfort to the settlor, however, and can be of assistance to trustees in administering the trust if they clearly explain the settlor's purpose in creating the trust. In this regard they serve as a *quasi* letter of wishes.

3. Definitions

In a long and complex document it is often necessary to repeat a number of descriptions and phrases. It is, therefore, more convenient to give these descriptions and phrases 'names', which will then carry a defined meaning. It makes the document easier to read and often more accurate.

The definitions may be found in a schedule at the end of the document. Alternatively, in older, more traditional documents, descriptions and phrases may be defined as and when they appear in the body of the trust instrument. In modern trusts the definitions are found at the beginning of the instrument, in the first formal paragraph immediately after the formal heading introducing the operative provisions of the document.

Example 3.4

NOW THIS DEED WITNESSES

1. Definitions

In this Settlement where the context admits, the following definitions apply.

1.1 The 'Trust Fund' means:

(a) the nominal amount of US$10.00
(b) the shares in [Name of Underlying Company], *and all money, investments and other property transferred by the Settlor or any other person to the Trustees as additions*
(c) all accumulations of income added to the Trust Fund as an accretion to capital
(d) all money, investments and other property from time to time representing the above.

1.2 The 'Trust Period' means the period ending on the earlier of:

(a) the last day of the period of [number] *years from the date of this Settlement, which period shall be the perpetuity period*
(b) such day as the Trustees may [with the consent of the Settlor/Protector] *specify by deed.*

1.3 The 'Beneficiaries' means

(a) [the Settlor]
(b) the Settlor's children and remoter issue
(c) the spouses, widows and widowers [but not such widows or widowers as have remarried] *of such children and remoter issue*
(d) such other persons as may be nominated by the Trustees [Protector] *under the provisions of this Settlement.*

1.4 The 'Trustees' means the trustees for the time being of this Settlement.
1.5 The 'Protector' means [name] *or such other person who is appointed as protector in accordance with the terms of this Settlement.*
1.6 The 'Proper law' means the laws of the jurisdiction governing this Settlement stipulated in clause [number] *hereof.*

3.1 The trust fund (Example 3.4, clause 1.1)

One of the three certainties[78] required for a valid trust to be created is certainty of subject matter. The *corpus* of the trust must be described with sufficient certainty and particularity. If there is any doubt or ambiguity, the trust fails. This requirement should not generally present a problem in practice, as the initial trust property is described in a schedule.

In order to understand definition 1.1(a) and (b) of Example 3.4 above, it is necessary to appreciate that a trust is often created and constituted at different times. A trust is created when the trustees become bound in law to hold and dispose of the trust assets according to the terms of the trust. A trust is constituted when the legal interest in the trust assets is lawfully transferred to the trustees.

The creation and constitution processes would ideally take place together. In practice, however, they are often sequential. The procedure is usually for the settlor to:

- approve the final draft of the proposed trust instrument
- transfer funds, generally a nominal sum ($10), to the trustees
- execute the trust instrument (if it is a bilateral document) and deliver it to the trustees to execute; if it is a unilateral document in the form of a declaration of trust, the trustees alone will execute it, and
- arrange for the shares in the underlying asset-holding company to be issued or transferred to the trustees; thereafter, further assets can be transferred to the underlying company (or to the trustees) by the settlor or third parties to hold as additions to the trust fund.

Problems may arise when substantial assets are transferred to the trustees as the initial trust property, but the settlor then dies before the trust instrument is executed. To whom do the assets belong? Do they belong to the settlor, or, rather, to his or her estate? Do they belong to the trustees, to hold upon trust for the beneficiaries?

Logic determines that the funds belong to the settlor's estate, but this is not free from argument. For instance, it may be argued by the trustees, on behalf of the beneficiaries, that the funds were transferred by the settlor with the intention that they be held on trust and that the terms of the trust are evidenced by the approved trust instrument even though it has not been signed. Alternatively, a settlor who still has control over the assets at the time of death has arguably declared himself or herself as trustee to hold upon the trusts set out in the draft trust instrument. If either argument is determined to have merit, the funds will be deemed held by the 'trustees' on behalf of the beneficiaries. This sort of uncertainty is a recipe for expensive litigation and can be avoided by the staged creation process mentioned above.[79]

78. See Module 1 section 2.3.
79. See ***Choithram (T) International SA v Pagarani*** [2001] 2 All ER 492 (a Privy Council decision on appeal from the BVI).

3.2 The trust period (Example 3.4, clause 1.2)

The definition of the trust period in paragraph 1.2 of Example 3.4 requires an understanding of the rule against perpetuities.

The English common law does not permit a trust to last for ever. It must come to an end within a limited period of time so that the *corpus* of the trust is not tied up indefinitely. The trust property must vest in a beneficiary absolutely within the relevant *perpetuity period*.

The period to be considered starts to run on the date of creation of the trust and ends when all, or the remaining, trust property is transferred to and vests in a beneficiary.

At common law a future interest in property under a trust must vest absolutely in a beneficiary no later than 21 years after the death of the last surviving 'life in being'.[80] Any individual who is alive at the date of the creation of the trust can be used as the measuring life in being. If a future interest under the trust *may* vest after the expiry of that period, the interest (and therefore the trust creating that interest) is void.

In most trust jurisdictions, this common law rule against perpetuities was subsequently repealed and replaced by a specified maximum duration, usually 100 years. In these jurisdictions where this type of statutory maximum duration for trusts survives, the trust instrument must state an appropriate perpetuity period, not exceeding the statutory maximum, and ensure that all the trust property vests in the beneficiaries within that period.[81]

The 'Trust Period' selected in the trust instrument must not exceed the relevant statutory perpetuity period under the law of the jurisdiction chosen as the governing law of the trust. So, for example, if the laws of England are chosen as the proper law to govern the trust, the trust period defined in paragraph 1.2(a) of Example 3.4 must not exceed 125 years. This means that the trustees must distribute the whole trust fund (as defined) within that period. If no trust period is defined, and the trust instrument allows the trustees to make distributions outside the perpetuity period, the common law rules determine that the trust should be declared void as offending the rule against perpetuities. The statutory perpetuity rules where they still exist, however, permit the court scrutinising the validity of the trust to 'wait and see' if in reality the rule against perpetuities is offended. So, if there is still undistributed capital left in the trust at the expiry of the perpetuity period, the trust will be declared void at that time.

80. Readers may have encountered the old 'Royal Lives' clause in old trust instruments where the trust period is 21 years after the death of the last survivor of the issue of King George V living on the date of the trust. Such definitions inevitably require professional genealogical assistance.

81. In England under the Perpetuities and Accumulations Act 2009 the rule against perpetuities still exists but the applicable perpetuity period is a maximum duration of 125 years; the Bahamas – see the Perpetuities Act 1995 amended by The Rule Against Perpetuities (Abolition) Act 2011 which, as the name suggests, abolishes the rule; Bermuda – see the Perpetuities and Accumulations Act 2009 which abolishes the rule against perpetuities; the BVI – Part VII s.68 of the Trustee Ordinance (Cap 303) which imposes a maximum duration of 100 years, however this was subsequently extended to 360 years by the Trustee Amendment Act 2013 amended 2013; Cayman – see the Perpetuities Law 1999 Rev which imposed a maximum duration of 150 years, however this was amended by the Perpetuities (Amendment) Act 2024 which removes the rule for trusts created after 22 August 2024; Gibraltar – see the Perpetuities and Accumulations Act 1986 which imposes a maximum duration of 250 years; Guernsey – see s.16 of the Trusts (Guernsey) Law 2007 (which abolishes the rule so that a Guernsey trust created after 2007 can have unlimited duration); Hong Kong – see the Perpetuities and Accumulations Ordinance (Cap 257) which imposed an 80-year perpetuity period, but this is repealed in respect of trusts created after 2013 so Hong Kong trusts may now last for an unlimited period by s.46 of the Trust Law (Amendment) Ord 2013; Isle of Man – see the Perpetuities and Accumulations Act 1968 which imposed a 80-year perpetuity period which was lengthened by the Trust Act 2001 to 150 years, but the Trust (Amendment) Act 2015 abolished the rule altogether so new trusts can be created without being restricted to a perpetuity period; Jersey – see art.15 of the Trusts (Jersey) Law 1984 Revised 2019 (which abolishes the rule); Singapore – s.89 of the Trustee Act Cap 337 Revised Edition and ss.32–34 of the Civil Law Act so that Singapore is one of the few jurisdictions left which limits trusts to a maximum duration of 100 years.

By defining the trust period, namely, the period within which the trust must terminate, as no more than the relevant statutory perpetuity period, the clause will avoid the possibility that the trust may be declared void for breach of the rule against perpetuities.

The rule against perpetuities, which prohibited trusts from holding property for longer than the applicable perpetuity period, existed for hundreds of years. However, the entire rule has been swept away by modern legislation enacted by the more progressive offshore jurisdictions. These jurisdictions have essentially abolished the rule, thereby permitting trusts governed by their laws to have an unlimited duration.

In these jurisdictions that have abolished the rule against perpetuities the trust instrument will typically define the 'Trust Period' as 'such period ending on the day the Trustee my specify by deed', similar to clause 1.2(b) of Example 3.4.

Sub-clause (b) of paragraph 1.2 gives the trustees power to terminate the trust. In practice, this power is arguably not required when the trustees have wide discretionary dispositive powers – all they have to do is distribute all the trust property within the trust period and the trust automatically ends. But, if the governing law of the trust does not prescribe a statutory maximum perpetuity period then it is logical for the trust instrument to define the Trust Period, in similar terms to clause 1.2(b), as continuing until such day as the trustees may, in their discretion, specify by deed.

3.3 The beneficiaries (Example 3.4, clause 1.3)

The second of the three certainties required for a valid trust to be created is certainty of objects (or beneficiaries). The beneficiaries must be named, identified or described in the trust instrument so that they may be identified with certainty. If it is not possible to determine by the language used in the trust instrument whether a person is or is not a beneficiary, the trust fails for lack of essential certainty. Accordingly, the main requirement of the definition of 'beneficiaries' is that it provides certainty.

Certainty can be achieved by naming the beneficiaries. Alternatively, if their identities are not yet known (because, for instance, they are unborn, or they are future spouses of persons who have not yet married), the beneficiaries may be identified by description. As a further alternative, the identities of the beneficiaries may be described by reference to membership of a class. In these circumstances there may be an issue as to whether the class is defined with sufficient precision to satisfy the requirement for certainty of objects.

If it is merely difficult but not impossible to determine who *all* the beneficiaries are, then the trust is valid provided it is *workable*.[82]

The problems of certainty and workability are often encountered in discretionary trusts. For example, assume that S creates a trust in favour of 'such of my children and grandchildren and in such shares as my trustees may, in their absolute discretion, think fit'. The beneficiaries are defined by reference to a class. To be members of the class the beneficiaries have to be the settlor's children or grandchildren. Each member can be identified by the trustees, as they can draw up a complete list of potential beneficiaries. Only if it is objectively impossible to ascertain who the beneficiaries are will the trust

82. ***McPhail v Doulton*** [1971] AC 424.

fail. No single child or grandchild has a beneficial interest in the trust fund. A child or grandchild will receive an interest only when the trustees exercise their discretion in his or her favour.

So, when will a trust in favour of a discretionary class of beneficiaries fail because of lack of essential certainty?

If the common law principles are followed in the offshore jurisdictions, then, if the extent of the class is *conceptually* certain, the gift will be valid even if its composition is *evidentially* uncertain. The difference between conceptual certainty and evidential certainty is the difference between theory and reality. It is easier to understand using an example.

Assume that a settlor establishes a trust in favour of such of the following persons and in such shares as the trustees may, in their discretion, determine:

i. my old friends[83]
ii. such people or institutions that have helped me and my late husband during our lives[84]
iii. my relatives,[85] and
iv. former employees of XYZ Co Ltd, their relatives and dependants.[86]

Discretionary trusts (i) and (ii) fail, as the beneficiaries thereof are too uncertain. It is conceptually impossible for the trustees to establish membership of these classes. An independent, objective third party will not be able to establish whether a potential beneficiary is, or is not, 'an old friend' of the settlor or has 'helped' the settlor during their life. On the other hand, discretionary trusts (iii) and (iv) are valid. It is conceptually possible in theory to establish who are members of these classes, even though the extent of the classes is evidentially uncertain.

This is particularly so in the case of trust (iv) where, in the case of ***Re Baden's Deed Trusts No.2***, there were thousands of former employees and it was pretty clear that the trustees would never be able to trace them all, their relatives and dependants. Such a trust is valid, however, provided the trustees can say of any given person that he or she definitely is or is not a member of the class of beneficiaries. If a trustee is left saying 'don't know', the trust is void.

There are, however, limits to this rule. Lord Wilberforce, in ***Re Baden's Deed Trusts No.2***, gave a hypothetical example of a trust for 'such of the inhabitants of London as my trustees shall determine', which, he said, would be void as administratively unworkable. Likewise, in another case, a trust in favour of 'the inhabitants of West Yorkshire'[87] (about 2.5 million people) was held void as the class of beneficiaries was simply too large for the trustees to handle properly.

The definition of 'beneficiaries' in Example 3.4, clause 1.3, is a typical description of a class of beneficiaries of a discretionary trust. It is a list of persons to whom the settlor would like the trustees to make a distribution at any time in the future. The class usually comprises, but not necessarily, the settlor's immediate family.

83. ***Brown v Gould*** [1971] 2 All ER 1505.
84. ***Brown v Gould*** [1971] 2 All ER 1505.
85. ***Re Wright's Will Trust*** (1981) LS Gaz 841.
86. ***Re Baden's Deed Trusts No.2*** [1972] 1 All ER 1304.
87. ***R v District Auditor*** WTLR [2001] 785.

In subparagraph (b), 'the settlor's children and remoter issue' means their children and 'descendants', including grandchildren and great grandchildren, etc. This also includes children of the settlor's remarriage, if any. If it is desired to restrict the class to children of the settlor's present spouse it would say, for instance, 'the Settlor's children born to [spouse]'. Does it include illegitimate children of the settlor? It depends upon the Interpretation legislation (or equivalent) of the jurisdiction whose laws govern the trust. Usually, the expression 'children' means any child, including illegitimate and adopted children, unless the settlor expressly states otherwise (by, for example, stating 'children does not include illegitimate children, and issue does not include descendants of illegitimate children'). Does the expression 'children' include step-children? No, unless they are expressly included (by words such as 'the expression "children" includes step-children').

In subparagraph (c) 'the spouses, widows and widowers of such children and remoter issue' is self-explanatory. To be a member of the class you must be a spouse of, or widow/widower of, a child/descendent. Under the words used, the class does not include a divorced spouse of a child/descendant. Nonetheless, such a divorced spouse may be added to the class under separate provisions found in clause 1.3(d). Does the clause include the separated spouse of a beneficiary? Yes, separated spouses are members of the class of potential beneficiaries, but that is not to say that the trustees have to make a distribution to them!

Trustees are typically given a discretionary dispositive power to make distributions to whichever members of the class of beneficiaries they think fit. Problems may still arise, however, when there is a desire to benefit someone who is not a member of the class. In order to avoid this problem, the trust instrument may confer power to add persons to the class of beneficiaries at a later date by a clause similar to sub-clause (d) of paragraph 1.3, which refers to a subsequent clause in the trust instrument similar to Example 3.5 below.

Example 3.5

Power to add beneficiaries

(1) *The Settlor [or Protector] [or the Trustees may (with the written consent of the Protector)] at any time during the Trust Period, add to the Beneficiaries such objects or persons or classes of objects or persons as the Settlor [Protector] [Trustees] shall determine.*

(2) *Any such addition shall be made by deed naming or describing the objects or persons or classes of objects or persons to be added; and specifying the date or event, not being earlier than the date of execution of the deed but before the end of the Trust Period, on the happening of which the addition shall take effect.*

(3) *[This power shall not be exercised so as to add an Excluded Person to the Beneficiaries.]*

The power to add persons to the class of beneficiaries of a discretionary trust may be conferred upon the settlor, the protector or the trustees. If it is conferred upon the trustees, it can be restricted by a requirement to obtain the prior consent of the settlor while alive and, after the settlor's death, the consent of the protector.

Is there any restriction upon who may be added to the class of beneficiaries by the exercise of this type of power? The English court in ***Re Manisty***[88] held that the person conferred with such a power can add anyone in the world to the class of beneficiaries save for those persons, if any, who have been specifically excluded.

The power to add to the class of beneficiaries is, by sub-clause (2) of Example 3.5, exercisable by deed. An example of such a deed can be found in Appendix 6.

3.4 The trustees (Example 3.4, clause 1.4)

Clearly, the settlor is responsible for appointing the initial trustees in the trust instrument and often makes provision for their replacement if the need arises (see Module 2 section 3.2). Clause 1.4 of Example 3.4 is probably superfluous, as the trustees have been appointed as trustees because they are a party to the trust instrument. It confirms, however, that the term 'Trustees' in the trust instrument refers not only to the initial trustees appointed by the settlor, but also successive trustees who may replace the original trustees.

3.5 The protector (Example 3.4, clause 1.5)

The role, function and typical powers conferred upon the protector (as defined in paragraph 1.5 of Example 3.4) are reviewed in Module 7.

3.6 The proper law (Example 3.4, clause 1.6)

The relevance of choosing the proper law (as defined in paragraph 1.6 of Example 3.4) to govern the trust is dealt with in Module 6.

4. The trust for sale

A large number of offshore discretionary trusts contain a preliminary paragraph that resembles Example 3.6 below, which appears to impose a duty upon the trustees to sell trust assets, whether consisting of real estate, movable chattels or other investments, and to convert them into cash for investment. This often causes confusion to settlors and, indeed, anyone who does not hold an English legal qualification. In order to understand the clause we must explore its historical purpose in England.

It has always been the standard practice in England for the draftsperson of an *inter vivos* trust to ensure that the trust property is held upon what is known as 'an express trust for sale'. The original reason for this is that if any part of the trust property consisted of real estate situated in England, a strict settlement would automatically arise under the provisions of the Settled Land Act 1925 unless there was an express and immediate trust for sale.[89] This English practice has been adopted offshore and is still in use today, even though there is no logical reason for its continued use. It is often said that the express trust for sale is included for administrative convenience and flexibility.

88. Cases such as ***Re Manisty*** [1974] Ch 17 and ***Re Hay's ST*** [1981] 3 AER 786 upheld the validity of a power to add beneficiaries, but criticised the use of the power when it is intended to add the 'real' beneficiaries of a blind trust at a later date.

89. The Trusts of Land and Appointment of Trustees Act 1996 in England prevented any new strict settlements being created after 31 December 1996 but did not prevent the continued use of the trust for sale clause. In general terms, the trust for sale and strict settlement are replaced by a new regime, the trust of land. Accordingly, the trust for sale clause is now entirely obsolete, even in England.

Example 3.6

Trust for sale

The Trustees shall hold the Trust Fund upon trust to sell, call in and convert it into money but with power to postpone such sale calling in or conversion and to permit the same to remain as invested.

The trust for sale clause could, however, be omitted as it is redundant in the context of modern offshore trusts. As indicated, it is confusing to both settlors and trustees. It contains a *trust* for sale and a *power* to postpone sale. Trusts, you will recall, are mandatory; powers are permissive. Accordingly, it appears that the trustees must sell the trust property unless they consciously exercise their power to postpone sale. The trustees could, therefore, arguably be held liable for loss caused by failing to sell the trust assets if, upon independent analysis, they ought to have sold and reinvested. This may not be what the settlor anticipates, particularly if the trust assets comprise the settlor's self-made business empire! The trust for sale clause, therefore, adds little other than confusion. It is of no use and should probably be omitted.

5. Trusts of original and additional property

The purpose of this clause (Example 3.7) is to confirm that the trust provisions attach not just to the initial trust property but also to any subsequent additions made to the trust fund.

Example 3.7

Power to receive additional property

The Trustees may at any time during the Trust Period accept additional property of whatsoever nature transferred to them by the Settlor or any other persons, which shall then be held upon the trusts and subject to the provisions of this Settlement.

This clause not only permits the settlor to add to the corpus of the trust property, but also allows any third party to do so.

The clause is arguably superfluous, however, as an express provision is not required in order for trustees to be in a position to accept additions to the trust fund.[90] As James Kessler points out,[91] if anyone doubts this proposition, simply consider what remedy exists if it is alleged that the trustees have acted beyond their powers in accepting additional property into trust.

Remember: 'equity will not perfect an imperfect gift'. Accordingly, when property is transferred by the settlor, or others, to the trustees, the transferor must ensure that the correct method of transfer is used to convey the legal interest in the assets to the trustees. Otherwise the transfer into trust is ineffective. For a broad review of

90. ***Re Rydon*** [1955] Ch 1.
91. Kessler, J. and Sartin, L. 2012 *Drafting Trusts and Will Trusts*. London: Sweet and Maxwell.

the formalities that the transferor must fulfil in order to transfer the legal interest in currency, movables, real estate and intangible property, see Module 1 section 3.3.

For the transferee (i.e. the trustee) it is fairly common industry practice to record the receipt of additions by a trustee's resolution or Memorandum of Addition to the Trust Fund. An example of a memorandum is reproduced in Appendix 7. When the trust instrument lists the initial trust property in detail, the memorandum is attached to or endorsed upon the trust instrument to confirm the addition to the trust fund. But when the initial trust fund is a nominal amount, as is typical, the memorandum is merely held on file. It acts as evidence in case there should be any enquiry or dispute relating to the addition, initiated either by members of the settlor's family or revenue authorities, and confirms the trusts upon which the property is held.

6. Summary

Having considered the preliminary clauses found in a typical trust instrument, we shall look at the critical dispositive provisions in Module 4, before reviewing typical administrative provisions dealing with the management of the trust assets in Module 5.

Learning outcomes

By the end of this module you should:

- appreciate some of the issues involved in obtaining instructions to establish an offshore trust for an onshore settlor (in particular, the importance of obtaining specialist onshore legal and tax advice)
- be familiar with some drafting techniques and the use of precedents in the drafting process
- be able to construe some of the standard preliminary provisions found in a typical offshore trust instrument, including
  - the formal parts
  - recitals
  - use of definitions
  - trusts for sale, and
  - power to accept additional trust property, and
- be familiar with relevant supplementary documentation.

Module 3:

Self-Assessment Questions

1. What is the generic name given to the document that creates and particularises the trust relationship that exists between trustee and beneficiary? List some alternative names.

2. What fundamental matters should a draftsperson consider before starting to draft a trust instrument? In which jurisdictions should specialist legal and tax advice be obtained before a trust instrument is executed?

3. Identify the parties to a deed of settlement and a declaration of trust. When is a declaration of trust appropriate?

4. Why do some trusts have detailed recitals, and some none at all? When they appear in a trust instrument, what purpose do they serve?

5. One of the 'three certainties' required for a valid trust to be created is certainty of subject matter. What does this mean? How is this certainty achieved in a standard trust instrument? Describe the sequential method by which a trust is often created and constituted.

6. S transfers $1 million to corporate trustees. Unfortunately, S dies before executing the approved trust instrument. To whom does the $1 million belong? What are the probable arguments raised by each side of the claim?

7. Describe the common law rule against perpetuities. State its intended purpose and explain how the old-fashioned statutory perpetuity period affects the definition of the 'Trust Period' in the trust instrument. How has the rule against perpetuities been repealed by offshore legislation?

8. The second of the 'three certainties' required for a valid trust to be created is certainty of objects. What does this mean? How is this certainty achieved?

9. In ***McPhail v Doulton*** a trust was established in favour of 'such employees or former employees of XYZ Co Ltd, their relatives or dependants as my trustees in their absolute discretion think fit'. Discuss the validity of this provision in the light of the requirement of certainty of objects.

10. In what circumstances does a discretionary trust fail for being 'administratively unworkable'?

11. Describe the historical context of the opening clause, found in a number of offshore trust instruments, which provides that: 'The Trustees shall hold the Trust Fund upon trust in their discretion to sell the same and convert it into money with power to postpone such sale for so long as they think fit'.

12. 'Equity will not perfect an imperfect gift'. Describe the meaning of this equitable maxim in the context of the creation of the trust.

Module 4:

The Trust Instrument – Part 2: Dispositive Provisions

Module 4:

The Trust Instrument – Part 2: Dispositive Provisions

Learning objectives

The purpose of this module is to:

- review some of the standard dispositive provisions found in different kinds of trust
- describe trust industry practices and procedures when making distributions, and
- illustrate the use of conventional supplementary documentation.

Introduction

The dispositive provisions are the critical clauses of the trust instrument. They contain the provisions whereby the trustees are required (or empowered) to dispose of the trust property for the benefit of the beneficiaries. These clauses establish and set out the trusts upon which the trustees hold the trust property. They contain the rights conferred upon the beneficiaries.

The dispositive provisions of the trust instrument may create:

- a fixed-interest trust
- a discretionary trust, or
- a settlor-directed, reserved powers trust.

A fixed-interest trust is one whereby the settlor states, in the trust instrument, exactly who gets what and when. For instance, the trust may be a life interest trust where the settlor imposes an obligation upon the trustees to pay the income generated by the trust fund to A for the duration of his life, and upon A's death to pay the capital to B. Alternatively, the trust instrument may impose an obligation upon the trustees to hold the capital and pay it to A upon attaining 25 years of age, and in the meantime to pay the income generated by the capital to A's parents for his education until A attains 18 years and thereafter, from 18 to 25 years, to pay the income direct to A. The advantage of a fixed-interest trust is that the settlor has created fixed and certain future gifts. Both the settlor and the beneficiaries know who will receive what and when.

But therein also lies a disadvantage: the settlor has to guess exactly which is the most appropriate means to benefit their family and friends by taking into account facts and circumstances existing at the date of creation of the trust. Circumstances may change. An angelic child may turn out to be a drug-addicted megalomaniac, but if the trust instrument says that he is entitled to the capital of a multi-million dollar trust upon A's death, or upon reaching the age of 25, the trustees must comply.

A discretionary trust is one whereby the trust instrument confers a duty (or a power) upon the trustees to distribute any amount, from the trust income or capital, to any one or more of the beneficiaries in the class, at any age or time, as the trustees, in their absolute discretion, think fit. The advantage of this type of trust is distribution flexibility. It is virtually impossible for a settlor to anticipate in advance the fairest and most appropriate gifts to make to any one beneficiary. Accordingly, why not confer a wide dispositive discretion upon the trustees to enable them to distribute reasonable amounts to deserving beneficiaries at appropriate times?

In these circumstances, the trustee is trusted to carry out the settlor's presumed intentions, well after the settlor's death, in deciding whether to distribute and, if so, what amounts. The trustee can take into account all prevailing circumstances that exist at the time of the proposed distribution. If the angelic child turns out to be an undeserving adult, the trustees are most unlikely to confer any benefit upon them.

In this module we will review three types of trust that you are likely to encounter offshore: the bread-and-butter discretionary trust (section 1) and its variation, the settlor-directed trust (section 2) and examples of a fixed-interest trust, namely trusts creating a life interest (section 3).

1. The discretionary trust

Trustees of a discretionary trust are required to hold the trust property upon trust and may pay the income and/or capital to or for the benefit of such beneficiaries, chosen from the defined class, as the trustees, in their absolute discretion, think fit.

In its simplest form, a discretionary trust confers upon the trustees:

- discretionary dispositive powers to accumulate or distribute income, reviewed in section 1.1 below, and
- discretionary dispositive powers over capital, which include a power of appointment and power of re-settlement, reviewed in section 1.2.

If the trust property is not wholly distributed by the above provisions, a discretionary trust instrument typically imposes a duty to distribute to the ultimate beneficiary.

Example 4.1

Dispositive provisions

The Trustees shall hold the Trust Fund upon the following trusts:

1. Trust income

1.1 The Trustees may accumulate the whole or any part of the income generated by the Trust Fund during the Trust Period, and that income shall be added to the Trust Fund.

1.2 The Trustees may pay or apply the income generated by the Trust Fund, or the remainder not accumulated under the provisions of paragraph 1.1, to or for the benefit of such of the Beneficiaries, at such ages or times, in such shares, and in such manner generally, as my Trustees may, in their absolute discretion, think fit.

2. *Trust Capital*

Power of appointment

2.1 *The Trustees may declare and appoint that they hold the whole or any part of the Trust Fund on behalf of, or for the benefit of, all or such one or more of the Beneficiaries in such shares and upon such trusts (including discretionary trusts) and in such manner generally as the Trustees may, in their absolute discretion, think fit.*

Power of re-settlement

2.2 *The Trustees may declare that they hold the whole or any part of the Trust Fund on trust to transfer it to the trustees of another trust, wherever and whenever established, to hold on the terms of that trust, freed and released from the terms of the Trust, provided that any one or more persons who may benefit is a Beneficiary.*

2.3 *The power of appointment conferred by sub-clause 2.1 and the power of re-settlement conferred by sub-clause 2.2 shall be exercisable by deed*.

3. *Ultimate default trust*

Subject as above, and if and so far as not wholly disposed of for any reason whatever by the above provisions, the capital and income of the Trust Fund shall be held in trust for [charity] *absolutely.*

1.1 Discretionary provisions over income

It is usual for the trustees to be given a discretionary power to distribute either all or part of the income generated by the trust fund, or to accumulate it, thereby adding it to capital.

Clause 1.2 of Example 4.1 confers upon the trustees a power to 'pay or apply' trust income. This means that the trustees may pay the income generated by the trust fund to a selected beneficiary, or apply it for his or her benefit (for instance, in payment of the selected beneficiary's school fees, medical bills, subsistence or maintenance expenses).[92]

This is, again, an extremely wide power. It may sometimes be cut down slightly by words limiting the dispositive power, for example confining the power to pay or apply income 'for the maintenance or education' of the chosen beneficiary.

If the trustees decide to distribute income in any one year under clause 1.2, they must exercise their power to do so within a reasonable time after the receipt of the income.[93]

If income is not distributed and the power to do so lapses, then, if the trust instrument makes no further provision for it, there would arguably be a resulting trust in favour of the settlor (whose tax position onshore would inevitably be affected). Accordingly,

92. The expression 'pay or apply for the benefit of [B]' was considered in ***Re B (a child)*** Times Law Reports 15 April 1999 when it was held that the term did not mean that B had to receive the money.
93. ***Re Allen-Meyrick's WT*** [1966] 1 All ER 740.

the trust instrument should ensure that the trust income is caught and impressed by and made subject to the terms of the trust, in the event that the primary power to distribute income is not exercised. This is generally done by giving the trustees power to accumulate any income that is not distributed. Clause 1.1 of Example 4.1 enables undistributed income to be rolled up and added to the capital of the trust fund.

In England, the rules that permit trust income to be accumulated and added to capital (the so-called rule against excessive accumulations) were quite restrictive. The offshore jurisdictions, as you would expect, have relaxed the English provisions.

The original English rules relating to the accumulation of income are an extension of the rule against perpetuities. They prohibit a settlor from tying up income generated by a trust for periods in excess of what was known as the 'accumulation period'. Under the Accumulations Act 1800,[94] as amended by s.13 of the Perpetuities and Accumulations Act 1964, the accumulation period in England was complex but basically was the lifetime of the settlor, or 21 years from the death of the settlor, or the minority of any persons living at the death of the settlor, or 21 years from the creation of the interest. The Perpetuities and Accumulations Act 2009, however, abolished these statutory restrictions.

The legislature of most offshore trust jurisdictions has generally made the accumulation period the same as the perpetuity period. Linking the two periods in this way avoided the complexities of the English position. Most jurisdictions have abolished the rules against excessive accumulations altogether. It is now commonly found across the offshore jurisdictions that trust income may be accumulated throughout the trust period, i.e. throughout the lifetime of the trust.

Note that, in clause 1.2 of Example 4.1, the trustees' discretionary dispositive powers over income may be exercised in favour of any one or more of the beneficiaries (as defined). In a small minority of trusts you may encounter two classes of beneficiary: the first class (which may be quite small with few members) to whom income may be distributed; and a second class (which may be wider with many members), to whom capital may be distributed.

When trustees have a discretion to distribute trust income, they should decide annually whether to accumulate or distribute it, but they may not know the amount of income available for distribution. In these circumstances, as trustees produce trust accounts at the end of the financial period (which contains such information), it is usual for trustees to consider accumulating or distributing income at year-end. If it is decided to distribute income (or, indeed, to accumulate it), such decision is typically recorded as a trustee's resolution. An example of a resolution of a corporate trustee to distribute income is in Appendix 8.

1.2 Discretionary provisions over capital

1.2.1 Power of appointment

Clause 2.1 in Example 4.1 is referred to as the power of appointment of capital. It essentially confers a power to distribute capital to one or more members of the class

94. This Act was known as the 'Thelluson Act' after the Will of Peter Thelluson, who attempted to direct by will that the greater part of the income from his estate be accumulated for a period that could have been as long as 100 years. The size of the expected accumulations led to fears that the trust would own a huge slice of the British national debt – see the celebrated litigation in ***Thelluson v Woodford*** (1799) 4 Ves.227.

of beneficiaries. If trustees carve off a proportion of the trust fund and declare that they now hold that part of the trust fund for the benefit of an identified beneficiary, they have in effect made a distribution of capital. This is typically referred to as the exercise of a power of appointment. It is usual for this to be carried out by deed of appointment, but there is no legal requirement for this unless the trust instrument stipulates that it should be done by way of deed.

In sub-clause 2.3 of Example 4.1 there is an express requirement for a distribution of capital to be recorded by deed of appointment. Without such a clause, a distribution can be carried out informally. This simplifies trust administration, although a distribution of capital is still usually evidenced in writing.

The power to distribute capital conferred by sub-clause 2.1 of Example 4.1 includes a power to carve off a proportion of the trust fund and, rather than transferring it to a beneficiary without strings attached, or continuing to hold it to their order, a trustee may make an appointment 'upon such trusts (including discretionary trusts)...as the trustees...think fit'. This allows the trustees to choose not only the beneficiary, and the timing and amount of the distribution, but also how to distribute, namely, by either:

- an absolute distribution (an appointment of an absolute interest), or
- a distribution to be held upon different trusts (a trust appointment).

Whenever trustees appoint an absolute interest, they are merely making an outright distribution of capital from the trust fund to the chosen beneficiary. The selected beneficiary becomes the sole beneficial owner of the assets distributed, with no strings attached. An example of a deed of appointment (of an absolute interest) is illustrated in Appendix 9. In it the trustees are essentially declaring that they hold the amount of the distribution (the 'Appointed Fund') for the beneficiary absolutely, for such beneficiary to do with as he or she pleases; it is now the beneficiary's money.

On the other hand, the nature of the discretionary dispositive powers given to the trustees by sub-clause 2.1 of Example 4.1 is so wide that they may, if they so wish, make a trust appointment. This means that the trustees may carve off all or a proportion of the trust fund and create a new trust in favour of the chosen beneficiary or beneficiaries. The trust assets are not, therefore, actually distributed to the chosen recipient(s), but are retained by the trustees to hold on new trusts as declared in the deed of appointment. The exercise of the power of appointment in this manner may be somewhat unusual in practice, but not unheard of. The trustees essentially take all, or some defined part, of the trust fund and, by way of a deed of appointment, expressly create a new trust, in respect of which the trustee is trustee, in favour of chosen beneficiaries from the class of beneficiaries of the original trust.

An example of a deed of appointment (upon new trusts) whereby the trustees declare that they hold a part of the trust fund subject to new trusts is illustrated in Appendix 10 (the deed of appointment in Appendix 10 differs from a deed of re-settlement, which is explained below and illustrated in Appendix 12 as, in the latter, the trustees transfer part of the trust fund to trustees of another trust altogether).

The power of appointment illustrated in Example 4.1 must be exercised by deed of appointment in order to comply with sub-clause 2.3. In the absence of an express requirement for the power to be exercised by deed, all the trustees have to do is pass a resolution. The content of the resolution is similar to a deed of appointment and is illustrated in Appendix 11A. When a deed is required, the resolution recording a trust company's decision to exercise the power can be concise and simple, as repeating the contents of the deed is pointless – a sample resolution is illustrated in Appendix 11B.

1.2.2 Power of re-settlement

The power to distribute capital conferred by sub-clause 2.2 of Example 4.1 is a power of re-settlement. It confers upon the trustees a power to transfer all or part of the trust fund to the trustees of another trust as an addition to the transferee trust. It may only be exercised when there is a common beneficiary. In other words, the trustees may transfer the trust fund to another trust, but only if at least one beneficiary of the present trust is a beneficiary of the transferee trust.

This is clearly a very wide discretionary power, as the trustees could benefit other persons who are not original beneficiaries of the present trust. But it is actually no wider that a clause authorising the trustees to add beneficiaries to the class (Module 3 section 3.3, Example 3.5). In these circumstances you may find that the exercise of such power by the trustees is made expressly subject to the settlor's (or protector's) prior consent.

The exercise by the trustees of a power of re-settlement is typically by way of a deed of re-settlement, and an example is illustrated in Appendix 12.

In conclusion and for clarity, let us compare the exercise of a power of appointment and a power of re-settlement, as they overlap and often achieve a somewhat similar result.

- A power of appointment is typically exercised by trustees by way of a deed of appointment. The deed of appointment may record that the trustees now hold the appointed fund for and on behalf of the chosen beneficiary absolutely. The beneficiary can then call on the trustees to transfer such funds to his or her personal account, or to instruct the trustees to transfer them to a third party. Alternatively, the deed of appointment may record that the trustees now hold the appointed fund upon new trusts. This is not actually a new trust, but the existing discretionary trust has basically been re-written by the deed of appointment.
- A power of re-settlement is typically exercised by trustees by way of a deed of re-settlement. The deed of re-settlement records that the trustees are essentially transferring all or part of the trust fund to different trustees of another trust (namely 'the transferee trust') to hold upon the terms of the transferee trust. The transferee trust may not only have different trustees, but may also be governed by a different governing law, the trust fund may be held on completely different trusts and be subject to different taxation provisions. In a nutshell, the original trust has not been altered, as when a power of appointment is exercised. Instead, there are now two trusts: the original trust, which consists of the remaining part of the trust fund, and the new trust, to which the re-settled fund has been transferred by way of an addition.

When and in what circumstances should trustees consider exercising their power to re-settle some or all of the trust fund? It is usually tax driven. Tax-planning arrangements may require transfers of trust funds to new trusts. A power of re-settlement in a trust instrument permits the trustees to comply with such arrangements when it is considered appropriate to save or avoid the imposition of tax.

1.3 The ultimate default trust

For trusts governed by the laws of jurisdictions that have retained the rule against perpetuities, all of the capital and accumulated income that comprises the trust fund must be completely distributed by the end of the perpetuity period, otherwise the trust becomes void. If, for any reason, the trustees have not distributed all the property that is subject to their dispositive powers by the time the trust is brought to an end, any remaining property reverts to the settlor.

This is never likely to happen in practice. Nonetheless, the fact that it could happen means that the settlor retains an interest in the trust, which may very well adversely affect their onshore tax position. Accordingly, the draftsperson must ensure that a resulting trust in favour of the settlor cannot arise. This is achieved by an ultimate default trust, namely, a final dispositive provision that determines who should receive any surplus undistributed trust assets left in the trust at the end of the trust period (as defined).

The ultimate default beneficiary must be living, or in existence, and be given a vested interest in the trust fund at the date of the creation of the trust. Accordingly, the draftspersn often selects a well-known charity.

Assume, for example, that in 1970 S created a discretionary trust of $1 million in favour of her children and remoter issue, having a trust period of 80 years and with the Humane Society as ultimate default beneficiary. S had one child (A) when the trust was established and subsequently A had two children, B and C. After the trust was created the trustees distributed $250,000. A died in 1980, B died in 1990. C died a few days ago. Neither S nor A had any more children and B and C were childless. Accordingly, there are no further beneficiaries within the class and yet there is a surplus of $750,000 that remains undistributed. In the absence of an ultimate default beneficiary this would be held upon resulting trust for the estate of S. On the facts, however, by virtue of the ultimate default trusts clause, the trustees must transfer the trust fund to the Humane Society and bring the trust to a premature end.

A simple ultimate default provision is illustrated by sub-clause 3 of Example 4.1, above. As an alternative to a simple ultimate default clause, the draftsperson may create something more complex, as in Example 4.2.

Example 4.2

Upon the expiry of the Trust Period, the Trustees shall hold the Trust Fund and the remaining income thereof upon trust for such of the Beneficiaries as are then living and if more than one in such shares as the trustees shall, in their absolute discretion, determine, and in default of determination then in equal shares and, subject thereto, upon trust for [charity] *absolutely.*

The clause illustrated in Example 4.2 contains three distinct elements.

i. The trustees are given a discretionary dispositive power of appointment to distribute between such of the beneficiaries who are living on the last day of the trust period as they may select.

ii. If the trustees for any reason fail to make a selection, the clause provides for an equal division among those beneficiaries within the class who are alive on the last day of the trust period. All the beneficiaries within the class who survive share an interest *per capita*. Accordingly, assume that the beneficiaries are defined as S's children and remoter issue, and S has two children, A and B, who survive and are in existence at the end of the trust period; A has no children; B has five children, C through G. In these circumstances, the trust fund is divided, upon the expiry of the trust period, into seven one-seventh portions, with A through G each taking an equal one seventh share.
iii. If there are no beneficiaries living at the expiry of the trust period, the third element of the clause takes effect and the remaining undistributed trust property must be transferred to the named charity.

1.4 Is it a discretionary trust or a trust that confers discretionary dispositive powers?

When we analyse the terms of our standard discretionary trust in a little more detail, we see that it is not so much a discretionary trust, but a fixed-interest trust in favour of the default beneficiary, which supports discretionary dispositive powers. Academics therefore argue that the name 'discretionary trust' is a misnomer. It is in reality a trust that confers discretionary dispositive powers.

A trust is imperative. It imposes a duty upon the trustees that they must carry out. On the other hand, a power is permissive. It confers an authority to act, which the trustees may or may not exercise. There is no obligation upon trustees to exercise a power, whereas they must exercise a duty, otherwise they are in breach.

Whether the trust is drafted as a pure discretionary *trust*, or whether it is a trust that confers discretionary dispositive *powers*, is determined by the precise words used in the trust instrument. The defining features of a dispositive power are:

- the use of permissive, rather than mandatory words, and
- the presence of an ultimate default beneficiary.

If it is clear from the words used by the settlor in the trust instrument that they intended to create a trust, then the instrument will be construed as a trust, not a power. Thus, when the trust instrument states that Trustee holds the trust fund 'upon trust for such of the beneficiaries [as defined] as Trustee *shall* appoint', it creates a discretionary trust. In these circumstances Trustee must, during the trust period, distribute to one or more of the beneficiaries [as defined] as he or she thinks fit. Whereas, when the trust instrument states that Trustee holds the trust fund 'upon trust for such of the beneficiaries [as defined] as Trustee *may* appoint, and in default of appointment, to the Humane Society', this creates a trust that confers a discretionary dispositive power. The permissive word 'may' gives Trustee a discretionary power and the gift over to the Humane Society is compelling evidence that the settlor contemplated the possibility that the beneficiaries (as defined) may take nothing.

Does it really matter whether the trust is drafted as a discretionary trust or a trust that confers discretionary dispositive powers? What, if any, are the practical or theoretical differences?

In 99.9% of cases the distinction is purely academic. Though they do not really matter, there are nonetheless differences.

i. In the case of a discretionary trust, the equitable or beneficial interest in the trust assets vests in all the members of the class of beneficiaries as a whole. No individual member of the class has a beneficial interest, but merely a hope that the trustees will exercise their discretion and make a disposition of property in their favour. In the case of a trust that confers a discretionary dispositive power, the equitable beneficial interest vests in the person(s) who are entitled to the property in default of the exercise of the trustees' dispositive powers (the default beneficiary), rather than in the objects of the power. The equitable interest of the default beneficiary is defeated, however, if and when the trustees' dispositive powers are exercised in favour of the objects of the power.

ii. It follows from the above point that, in the case of a discretionary trust, if all those who comprise the class of beneficiaries are *sui juris* (adult and under no legal disability), they may jointly terminate the trust under the rule in ***Saunders v Vautier***, bring it to an end and insist upon a distribution of the trust assets, either equally or in any way they mutually agree.[95] In contrast, it is not possible for the objects of a trust that confers a discretionary dispositive power to take advantage of this principle in the same way. They cannot jointly terminate the operation of the power and agree upon a distribution.

iii. If the trustees of a discretionary trust fail to comply with their dispositive duty by considering periodically whether to make a distribution or not, the beneficiaries may complain to the court.[96] If the court makes a finding of neglect by the trustees, it has power to replace the trustees or direct a distribution, either equally between all the beneficiaries or in the manner that the court feels would give effect to the settlor's intention. By contrast, the very nature of a discretionary dispositive power is that its exercise is not obligatory. A power enables the trustees to make a disposition of property, but it does not oblige them to do so. If a trustee fails or refuses to consider making a distribution, even if prompted by one or more of the objects of the power, the objects cannot complain to the court. The court has no jurisdiction to intervene.[97] The gift over in default takes effect.

iv. Before the decision in ***Schmidt v Rosewood Trust Ltd*** in 2003,[98] it was universally agreed that it was not necessary to inform the objects of a dispositive power that they had been named as objects in the trust instrument. On the other hand, it was necessary, or at least advisable, to inform the beneficiaries of a discretionary trust of their status as beneficiaries, unless the class was very large.[99] The rationale was that the class of beneficiaries of a discretionary trust own the equitable interest in the trust property. A component of a beneficiary's equitable rights is a right to receive trust accounts. If a beneficiary has the right to receive trust account, they therefore must have a right to be informed that he or she is a beneficiary. This is known as the so-called 'right to know you're a beneficiary'.[100]

95. ***Re Smith*** [1928] Ch 915 applies the principle in ***Saunders v Vautier*** (1841) CR & PH 240. It is not possible to do this where some beneficiaries are minors, or unborn, or not every member of the class can be identified because of its size. In practice, it should be noted that this rule may be abrogated by statute in some of the offshore trust jurisdictions in any event.
96. ***McPhail v Doulton*** [1971] AC 424.
97. Except in the case of pension trust funds – ***Mettoy Pension Trustees Ltd v Evans*** [1991] 2 All ER 513.
98. [2003] 2 WLR 1442.
99. ***Re Manisty's Settlement*** [1973] 2 All ER 1203. In some jurisdictions the issue of the beneficiaries' rights to know is covered by legislation. For example, in the Bahamas – see s.83 of the Trustee Act (Cap. 176) 1998; s.26 of the Trusts (Guernsey) Law 2007; art.29 of the Trusts (Jersey) Law 1984 amended and Revised 2019.
100. ***O'Rourke v Darbishire*** [1920] AC 581.

By contrast, a person who is merely the object of a discretionary power does not own an equitable interest in the trust property. The equitable interest is vested in the default beneficiary. Accordingly, an object of a discretionary power does not have a right to know whether he or she is a beneficiary.

The whole matter of the so-called rights of beneficiaries to know they are beneficiaries, and be able to access information relating to the trust and obtain trust accounts, was reviewed by the Privy Council of the House of Lords on appeal from the Manx Court of Appeal in the ***Rosewood Trust*** case.

The first point worth mentioning is that the trust was so badly drafted that the court was unable to ascertain with confidence whether it was a discretionary trust (under the strict meaning of the term) or a trust that conferred wide discretionary dispositive powers (although the court noted that in practice and in most circumstances it didn't really matter).

In relation to the issue in dispute, the court rejected the established view that, as a starting point, the objects of a discretionary trust have a right to obtain information relating to the trust and to receive accounts because they are the equitable owners of the trust assets, which therefore gives them a *proprietary* right to information relating to it. On the other hand, an object of a discretionary dispositive power has no such proprietary right and, therefore, no right to information and trust accounts. Instead, the court said that no single beneficiary has an *absolute* right to information relating to the trust. Rather, a beneficiary's access to information is subject to the supervisory discretion of the court. In other words, the court will permit (and where necessary compel) a trustee to disclose information and provide accounts to a beneficiary when it is in the best interests of the trust and the beneficiaries as a whole to do so.

The flip side of the above proposition of law is that a trustee may refuse to disclose information to beneficiaries when special circumstances exist that make it contrary to the best interests of the trust and the beneficiaries as a whole. The starting point under ***Rosewood*** is that a trustee has a duty to provide information to beneficiaries, including objects of a discretionary dispositive power, in order to comply with the fiduciary duty to account, but may refuse to do so where there are compelling reasons to refuse.[101]

Task 4.1

Obtain and review a copy of a standard in-house precedent of a discretionary trust in use in the trust company where you work or have some connection.

Compare and contrast your in-house precedent with the provisions illustrated in the Examples. Note any major inconsistencies in:

- the definition of the class of beneficiaries
- the power to accumulate or distribute income

101. The Privy Council said: 'No beneficiary (and least of all a discretionary object) has any entitlement as of right to disclosure of anything which can plausibly be described as a trust document. Especially when there are issues as to personal or commercial confidentiality, the court may have to balance the competing interests of the different beneficiaries, the trustees themselves and third parties. Disclosure may have to be limited and safeguards may have to be put in place. Evaluation of the claims of a beneficiary (and especially of a discretionary object) may be an important part of the balancing exercise that the court has to perform on the materials placed before it. In many cases the court may have no difficulty in concluding that an applicant with no more than a theoretical possibility of benefit ought not to be granted relief.'

- the discretionary power of appointment or re-settlement of capital, and
- the ultimate default provisions.

If there are provisions in your in-house precedent that remain unexplained, find time to discuss them with your mentor, line manager or a colleague. Alternatively, raise the matter with your STEP tutor.

1.5 Duties owed by a trustee of a discretionary trust or trust that confers discretionary dispositive powers

Finally, we turn to the duties owed by trustees when considering whether to distribute from a discretionary trust or a trust that confers wide discretionary dispositive powers (which we shall simply refer to as 'dispositive powers' from now on), factors to consider (section 1.6) and typical distribution procedures (section 1.7).

The dispositive powers conferred upon trustees by the terms of the trust instrument are fiduciary in nature. These are powers that must be exercised according to their terms, honestly and in good faith, in the best interests of the beneficiaries, in an informed manner.

1.5.1 Duty to comply with the terms of the dispositive power

The duty to comply with the terms of the trust in the context of the exercise of a dispositive power means that the trustees must act only within the terms of the power given to them. They must not exceed their powers. If they do so, they are in breach of trust.

So, for example, if the terms of a dispositive power confer upon the trustees a power of appointment of income or capital in favour of the children and remoter issue of A, then the trustees must clearly only exercise their dispositive power in favour of beneficiaries within the identified class.

1.5.2 Duty to exercise the power honestly with bona fides

Trustees must exercise their dispositive powers honestly and in good faith. There are several elements to this obligation.

The power must be exercised only for the purpose for which it was conferred[102]

In other words, if the trustees decide, in their discretion, to exercise their dispositive powers, it must benefit the objects of the power (namely the beneficiaries). If the trustees make a distribution for an improper purpose they commit a breach of trust.

So, for example, assume that T makes a distribution to X (an object identified in the class of beneficiaries) on condition that X transfers one half thereof to Y (who is not within the class). T has not exercised her power in a *bona fide* manner and the appointment is void – T is said to have committed a 'fraud on the power'.

102. ***Re Tempest*** [1866] 1 Ch App 485.

Likewise, if T makes a distribution to X in exchange for a kick-back, the power has been exercised corruptly, for an improper motive. The appointment is void.

The power must be exercised honestly

Trustees must not exercise their power (by distributing, or refusing to distribute) out of spite, caprice or other improper motive.

Trustees do not exercise their dispositive powers with *bona fides* if, for example, they refuse to distribute to a particular beneficiary because of a personal conflict or squabble, or to teach the excluded beneficiary a lesson because the trustees are perversely intolerant of, say, his or her politics or lifestyle.

A power must be exercised impartially

In the context of the exercise of an administrative power (such as the power to invest) this means that the power must be exercised fairly, so that the trustees hold an even hand between all beneficiaries.[103] This makes little sense in the context of the exercise of a discretionary dispositive power, where trustees are specifically tasked with discriminating between deserving and non-deserving beneficiaries. Accordingly, if trustees with discretionary dispositive powers decide to exercise those powers, they must do so fairly by, at the very least, having regard to and considering the circumstances of each and every member within the class. But when actually distributing funds, if the trustees have considered whether to distribute properly, it is almost inevitable that they are going to favour one or more beneficiaries within the class, over others.

The trustees must exercise their powers with proper care

In the context of their administrative powers (say, to invest) this means that the trustees must exercise the power with an appropriate level of care and skill (that of a reasonably prudent businessperson when looking after the affairs of others). But what does *proper* care mean in relation to the exercise of a dispositive power? Arguably that:

- the trustees must periodically consider whether to exercise the power or not,[104] and
- if the trustees decide to exercise the power, they must make an informed decision, taking into account all reasonable matters relevant to the issue – conversely, the trustees must not exercise the power without proper consideration, for example by simply following the instructions of the settlor or protector (unless it is a valid settlor-directed trust).

1.6 Factors to consider in the decision-making process

A trustee's dispositive responsibilities depend upon the terms of the trust. A trust instrument that creates a simple, fixed beneficial interest in favour of a beneficiary is relatively easy to administer – a *duty* is imposed upon the trustee to hold and dispose of the trust property in accordance with the terms of the trust. However, the ubiquitous discretionary trust confers wide discretionary *powers* upon the trustee.

103. So, for example, when trustees of a life interest trust invests trust funds, they must do so by maintaining an even hand between the life tenant (entitled to the income) and the remainderman (entitled to capital). The trustees do this by spreading investments between those that generate income and those that generate capital growth. See ***Re Beloved Wilke's Charity*** [1851] 3 Mac & G 440.
104. Although not even this type of consideration is a mandatory duty if the trustee has been conferred with a mere power of appointment with a gift over in default of appointment.

Trustees clearly need to know the extent of their dispositive powers, but they also need help in considering whether, and if so how, to exercise them. Here, we look at some fundamental matters that trustees should consider as part of their decision-making process, as well as some practical considerations to take into account before exercising a dispositive power.

Task 4.2

- Jot down the factors you think may affect whether trustees with discretionary dispositive powers should exercise their power to make a distribution from trust funds.
- Is there a standard form that your trust company requires you to complete or refer to when making distributions? If so, obtain a copy and compare the contents of this form with the points that follow.

1.6.1 Financial information in relation to the trust assets

Before exercising a dispositive power and making a distribution, the trustees must be aware of the amount of the trust fund at their disposal. They must know the amount and the nature of the funds held in trust and something of the trust's financial history.

This is undertaken by referring to the trust accounts and financial records. These records provide information that is critical to the decision-making process, including the following.

- The value and nature of the entire trust fund (which is essential in order to consider the proposed distribution in the context of the fund as a whole).
- The amount of cash available. When a cash distribution is to be made, it can be made only if liquid or near liquid assets are available. A trustee should be reluctant to make a distribution that may cause cash flow problems or overdraw the trust bank account.
- The nature and extent of trust creditors and anticipated expenses, as the value of these affects the amount available for distribution.
- The income and capital position of the trust (as well as the amount of accumulated income, if any).
- How much, if anything, the other beneficiaries have received in previous distributions, and how much the proposed recipient of the distribution under consideration has received in the past.

1.6.2 Personal and financial information about the beneficiaries

Trustees with discretionary dispositive powers must have sufficient information available about the beneficiaries for them to reach an informed decision as to whether to make a distribution or not (and if so, how much). The trustees must reach an independent view upon whether a prospective beneficiary, from within the class, deserves to receive a benefit, having regard to the terms of the trust and its overriding purpose or objectives. The trustees, therefore, need to know as much about each beneficiary within the class as is reasonable and practical.

It is advisable for the trustees to obtain:

- details of the personal and financial circumstances of the beneficiaries that comprise the class, in order that they may reach a view on the beneficiaries' reasonable needs and requirements, and
- copies of documentation for beneficiary identification purposes, such as a passport, birth certificates and marriage certificates.

1.6.3 Tax considerations

If the trust is structured properly and the trustees reside and carry on trust business wholly from an offshore centre, the trustees should not incur liability to pay local taxes (if any exist) upon the income, profits or capital gains made by the trust assets.

Even if the trustees are not liable to taxation it is inevitable, however, that the existence of the trust will have an impact on the settlor's tax position, as well as that of the beneficiaries. Accordingly, trustees should consider all foreseeable tax consequences (both offshore and onshore) before making a proposed distribution from trust funds.

For example, typical onshore anti-tax-avoidance measures often provide that the receipt of a capital distribution by an onshore beneficiary may cause the beneficiary to become liable to capital gains tax on some or all of the gains made by the trustee. Accordingly, it may be advisable, in those circumstances, for the trustee to distribute income instead of capital. Similarly, an income distribution may place a beneficiary in a higher income tax bracket in their jurisdiction of tax residence. In such circumstances, a capital distribution might therefore be preferred, or a distribution whereby trust assets are simply resettled in a more tax-efficient manner.

Clearly, onshore tax advice is required in order to ensure that a distribution is not made that exposes the beneficiary (or the settlor) to a tax liability that could be avoided.

1.6.4 The wishes of the settlor

Trustees are generally given wide dispositive powers and have to decide who among the class of beneficiaries is to benefit, when the benefit is to take place and how much, if anything, each beneficiary should receive by way of distribution. In many cases, the trustees are also empowered to add and delete beneficiaries from the class, further adding to their responsibilities. Trustees, therefore, need to obtain as much information and receive as much guidance as possible to help them discharge their responsibilities in a fair and reasonable manner. The trustees often turn to the settlor for help.

Whenever trustees have wide powers, such as in the case of a discretionary trust, the settlor will typically record their wishes as to how such powers should be exercised. This record has historically been referred to as a 'letter of wishes' although it may now be called a memorandum or statement of wishes.

When a distribution request is received (from someone other than the settlor) and is being considered, trustees should refer to the settlor's statement of wishes in order to establish whether the proposed distribution corresponds with the wishes of the settlor. The statement provides useful guidance for the trustees in their decision-making process, before a decision is reached.

Note that the statement of wishes is not binding upon the trustees. If the statement is drafted as an instruction or is expressed in the imperative, it may be construed as binding. This could have one of two consequences. Firstly, it could override the terms of the trust, making what was intended as a discretionary trust into a fixed-interest trust in accordance with the terms of the statement of wishes.[105] Alternatively it could be used as evidence that the trust is a sham on the basis that the settlor never intended to create a discretionary trust in the first place and that the trust instrument was a deliberate attempt to give a false impression.[106] The issue of sham is discussed further in section 1.6.5 below.

When advising or drafting a statement of wishes on the settlor's behalf, it should first be noted that there are no definite rules, but the following recommendations are useful.

- There should be a preliminary paragraph confirming that the statement is not binding.
- The settlor avoids imperative terms and, instead, gives recommendations.
- The statement may give reasons, particularly if the settlor's wishes seem controversial, so its terms can be understood in context.
- Some firms prefer the statement of wishes to be signed subsequent to, such as the day after, the trust instrument to emphasise its non-binding nature (but if the above recommendations are complied with, this is unnecessary).
- The statement may confirm that it can itself be altered or modified.
- It should be signed by the settlor, although not necessarily witnessed.

Examples of a settlor's statement of wishes are illustrated in Appendix 13.

In conclusion, the wishes of the settlor are an extremely useful resource to the trustees when deciding when and how distributions should be made.

1.6.5 Avoiding the risk of 'sham' trust attacks

If challenged, a trust becomes liable to be set aside on the grounds that it is a *sham*, in two broad situations. The trusts so set aside are often referred to in legal shorthand as formal or administrative sham trusts.[107] So far as the exercise of a trustee's dispositive powers are concerned, the integrity of a trust is put at risk if it is *administered* as a sham.

An administrative sham occurs when, notwithstanding the express terms of the written discretionary trust instrument, the reality of the arrangement is such that the settlor and trustee have entered into a separate (tacit or express) side agreement whereby the trustees have agreed to allow the settlor to exert almost unfettered control over distributions.

So, for example, if the settlor creates a discretionary trust which appears to be quite valid on its face, but provides the trustees with a letter of wishes that the trustees agree to follow without question or independent consideration, the trust is liable to be set aside as an administrative sham on the grounds that the trust is being administered without integrity.

105. See, for example, ***Chen v Ling***, Unreported, High Court of the Special Administrative Region of Hong Kong, 7 November 2000.
106. ***Rahman v Chase Bank Trust Co (C.I.) Ltd*** (1991) JRL 103; ***Re Esteem Settlement*** [2004] WTLR 1 (often referred to as the infamous 'Grupo Torras' litigation).
107. ***Rahman v Chase Bank Rust Co. (CI) Ltd*** [1991] JLR 103. See Module 1 section 2.4, for more details.

The nature of trusts that confer wide dispositive powers upon the trustees are such that there is a real risk that, unless the trustees exercise their dispositive powers independently and in good faith, honestly, and in the best interests of the beneficiaries, the trust could be attacked and set aside as an administrative sham.

What are the lessons that can be learnt from the ***Rahman*** case in relation to the exercise of a trustee's dispositive powers?

- Trustees should control their dispositive powers. The settlor may be consulted and be given some involvement in the decision-making process, but not an overriding involvement. The decision whether to exercise a dispositive power, and if so, how and when, must be made by the trustees.
- Trustees should exercise their dispositive powers only after, and as a result of, exercising due consideration of all relevant and available information.
- Settlors should not be seen to instruct the trustees to make a distribution.
- When requesting a distribution, the settlor should avoid using mandatory language, and avoid phrases such as a request for a transfer of 'my funds' when referring to the trust assets.
- Trustees and relationship managers must carefully advise prospective settlors of the nature of a discretionary trust before one is created (and should probably also convey periodic reminders).
- Distributions should be recorded as written resolutions of the trustees and properly filed.

1.6.6 Risk issues for the trustee

Wide dispositive powers provide the trustees with maximum flexibility when considering who should benefit, so that only those beneficiaries who are deserving receive a distribution. Nonetheless, dispositive powers can be a headache for trustees by increasing risk.

Risks arise when claims exist against either (a) the trust property, and the trustees nevertheless make a distribution, or (b) the trustees.

(a) Claims against the trust property

There is a well-established proposition of law known as the ***Guardian Trust*** principle that if a trustee receives notice that the trust fund is or may be claimed by a third party (A), such trustee will be liable to A if it distributes all or any part of the trust fund and the claim subsequently proves well-founded.[108]

In the ***Guardian Trust*** case, a corporate trustee received notice that a member of the settlor's family intended to challenge the validity of the trust. Notwithstanding such claim, the trustee distributed a significant part of the trust fund (say, for the sake of argument, $1 million). The claim was subsequently filed, litigated and was successful. Even though the trustee had not acted dishonestly nor benefited in any way, the trustee was held liable to pay damages of $1 million to the claimant on the basis that the trustee had applied funds in a manner that was inconsistent with the rights of the true owner.

108. ***Guardian Trust and Executors Company of New Zealand v Public Trustee of New Zealand*** [1942] AC 115.

There is a line of cases based upon the ***Guardian Trust*** principle, where the settlor has misappropriated assets from a third party and transferred such assets to trustees to hold upon trust. If the trustees receive notice of the third party's proprietary claim to the trust fund, they should not make any further distributions. If they do so, and the third party's claim is subsequently successful, the trustees are liable not only to turn the remaining trust funds over to the third party, but also to make up the shortfall – an amount equal to the funds distributed to the beneficiaries – out of their own pocket.[109]

A similar risk arises when there is *prima facie* evidence that the settlor has transferred funds to trustees in order to put assets beyond the reach of creditors, or to frustrate claims by the bankrupt settlor's court-appointed trustee-in-bankruptcy.

(b) Claims against the trustees

When trustees properly incur a liability to a third party during the administration of a trust, for example under a contract or lease, the liability is owed by the trustees rather than the 'trust', but the trustees have a right of indemnity from the trust fund. In other words, the trustees are responsible in law to pay the liability but have the right to reimburse themselves out of the trust fund.

If a liability is currently owed at a time when the trustees have decided to make a distribution, then the trustees will simply pay it before distributing. This will ensure that the trustees are not exposed to paying a trust liability from their own pocket without there being sufficient funds held in trust to indemnify them and provide reimbursement. If the liability is disputed, the trustees should litigate or compromise the claim, then pay it if necessary before making a distribution, for the same reason.

But difficulties arise in relation to prospective or contingent liabilities that are not yet owed by the trustees. This is because if the trustees distribute notwithstanding such prospective or contingent liabilities, when these liabilities materialise in the future and become payable, the trustees are liable to pay the same even though there are insufficient funds in the trust to indemnify and reimburse the trustees.

Foreign tax liabilities in respect of assets held in onshore jurisdictions where a contingent tax liability may arise are equally problematical for the same reasons. So, what should the trustees do?

- First, the trustees should ensure they retain sufficient assets in trust to protect themselves against prospective or contingent liabilities arising and becoming payable in the future.
- If there are not sufficient assets held in trust, or the claim is for the whole of the trust fund, the trustees should not make further distributions.

Alternatively, the trustees may make the distribution but obtain an indemnity from the recipient beneficiary. The indemnity is a promise by the beneficiary that if a third-party claim against the trustees is successful and the trustees are out

109. ***Re BNP Paribas Jersey Trust Corp*** [2010] JRC 199; ***Sinel Trust Ltd v Rothfield Investments Ltd*** [2003] JCA 048; ***Re MF Global UK Ltd*** [2013] EWHC 1655.

of pocket because the trust fund has been exhausted or is insufficient to satisfy such claim, the beneficiary agrees to indemnify and reimburse the trustees. When the distribution is made by way of a deed of appointment, the indemnity is set out in the deed. In these circumstances the beneficiary should be a party to, and execute, the deed of appointment. An example of an indemnity appears in clause 4.2 of the deed of appointment illustrated in Appendix 9.

As a last resort, trustees could make an application to the court for leave to distribute, known as a Benjamin Order, notwithstanding the existence of a third-party claimant.[110] If leave is granted, the trustees are released from personal liability to the third party, although the third party may still try to trace and recover the monies due to them from the recipient beneficiary. It is usual, however, for leave to be refused unless notice is given to the third party claimant so that they have the opportunity to be joined as a party and/or be heard.

1.7 Common distribution procedures

Having looked at specific factors that a trustee should consider when contemplating exercising a dispositive power and making a distribution, this section takes you through typical administrative procedures.

There are no statutory requirements covering the procedures that a trustee should follow when making a distribution. Nor is there any relevant case law to help trustees decide what is acceptable best practice. It is left to the individual trustee to establish its own systems and implement its own best practice for appropriate checks, reviews, records and procedures.

The precise detailed distribution procedures will therefore vary between service providers. In practice, most trust companies carrying on trust business offshore have adopted many (if not all) of the following procedures for dealing with distributions.

Task 4.3

Check whether your trust company has a distribution procedure. Review your standard distribution checklist by comparing the matters set out therein with what follows.

1.7.1 Request received

Ideally, a trustee of a discretionary trust should begin the distribution process by independently reaching a decision that a particular distribution is desirable. The trustee may, for instance, select a deserving beneficiary from the class. Alternatively, the trustee may refer to the settlor's letter of wishes and consider the settlor's anticipated distribution regime. The vast majority of distributions from offshore trusts, however, originate from requests made by the settlor, by particular beneficiaries or by the protector. It is not unusual, therefore, for a trustee to receive a written, or verbal, distribution request.

110. ***Re Benjamin; Neville v Benjamin*** [1902] 1 Ch 723.

1.7.2 Complete 'distribution checklist form'

Most trust companies have a standard form to be used as an integral part of the distribution procedure. Upon receipt of a distribution request, it is common practice for this form to be completed by the administrator responsible for the day-to-day administration of the trust in question. It contains a summary of the issues covered below.

1.7.3 Review of trust documentation

This step is clearly the most important. A detailed review of the terms of the trust instrument (and any supplemental deeds) helps the trustee to determine a number of factors that are crucial to the distribution process, such as:

- whether the person who has asked for a distribution is a beneficiary
- if the person is not named as a beneficiary, whether it is possible for him or her to be added to the class
- whether the person requesting a distribution has been excluded from benefiting and if so, whether the exclusion can be revoked
- the nature of the beneficial interest of the proposed recipient
- whether the proposed distribution should be made from capital or income (or both)
- whether a distribution from capital can be made by way of an appointment and requires the trustee to execute a deed of appointment, and
- whether the consent of a third party, such as the settlor or protector, is required.

1.7.4 Consideration of statement, letter or memorandum of wishes

The wishes of the settlor provide useful guidance. Care must be exercised if the trustee decides to follow the settlor's precise wishes in order to ensure that, for all intents and purposes, the dispositive power is seen to have been exercised independently by the trustee, rather than by rubber-stamping an instruction given by the settlor.

1.7.5 Review of distribution checklist

It is usual at this stage for the distribution form, together with supporting paperwork, to be passed to senior officers within the trust company who have authority to decide whether the distribution should be made.

1.7.6 Decision taken and recorded

From research undertaken and the answers to the points above, the trustee is finally able to reach a decision. The decision to distribute is made by senior trust officers authorised to make decisions on behalf of the corporate trustee.

The decision to make a distribution should be properly recorded. In practice, this involves drafting a written resolution of the corporate trustee or, if a meeting has taken place to discuss the matter, recording the decision to distribute in the minutes of the meeting. The minute or resolution is then signed on behalf of the trustee, probably by the same officer(s) who approved the distribution.

If the distribution must, by the terms of the trust, be recorded in a separate deed of appointment or deed of resettlement, it is advisable to include a resolution (or minute) that records the decision of the corporate trustee to execute the document as a deed. Specimen resolutions of a corporate trustee are found in Appendices 11A and 11B.

1.7.7 Preparation of appropriate documentation

If the distribution takes the form of an appointment or resettlement of capital it is usual for the power to be exercised by way of a deed of appointment or deed of resettlement. If so, an appropriate document must be drafted (usually by experienced and qualified trust officers, in-house counsel or outside attorneys) and duly executed by the trustee.

1.7.8 Distribution made

Assuming the decision has been taken to make the distribution, the trust administrator arranges for the necessary paperwork to be prepared to give effect to the distribution, such as the documentation required:

- to make a payment (such as a bank transfer or cheque request), or
- to transfer assets (such as stock transfer forms, assignment or conveyance, etc., depending on the assets being transferred *in specie*).

The trust administrator, therefore, needs to know exactly how the distribution is to be made. For example, if a cash distribution is to be made, the trustee must obtain payment details, such as the name of the bank where the payment is to be sent and the beneficiary's account number. If, on the other hand, investments are to be transferred *in specie*, the trustee must enquire how the shares, bonds or securities are to be registered and where the dividends or interest payments are to be directed.

If, as is typical, the trustee's bank account is held in the name of an underlying company, then written instructions should be given to the board of the underlying company to pay the monies to be distributed on behalf of the trustee. When the underlying company has been financed by way of shareholder loan, the trustee's instructions should demand immediate repayment of (part of) the loan in order to fund the distribution. The trustee's instructions usually authorise the directors of the underlying company to make a bank transfer directly to the beneficiary (rather than to the trustee, for the trustee to make the bank transfer). Resolutions of the board of the underlying company should be drafted, signed and filed, stating that a demand for repayment has been delivered and that it be repaid in accordance with the trustee's instructions.

Some institutions make periodic distributions by way of a standing order arrangement. This may create administrative efficiencies but it can also give rise to problems. In particular, regular distributions by a trustee of a discretionary trust by standing order suggests that there has not been a proper consideration of the matter and that there has not, therefore, been a proper exercise of the trustee's dispositive powers – which may support a claim that the trust is a sham. Accordingly, if a standing order is established to make periodic distributions to a beneficiary, the trustee must make regular reviews to ensure the arrangement remains appropriate, and have suitable procedures in place so that the order is cancelled if circumstances change.

Trustees typically make distributions to be beneficiary personally by transferring funds electronically to the beneficiary's bank account. Alternatively, they may pay an agent who has been authorised by the beneficiary to receive the funds on the beneficiary's behalf. The authority is usually given via a power of attorney or irrevocable instruction, examples of which are illustrated in Appendix 14. A word of warning, however –trustees should ensure:

- that the authority is genuine; if the trustee makes a distribution to a person who in fact has no authority to receive it, the trustee will have to pay it again out of its own pocket,[111] and
- that the beneficiary is not trying to conceal proceeds of crime; if a trust officer suspects that this is the case, it triggers a duty to make a suspicious activity report (SAR); the trustee's money laundering reporting officer (MLRO) should then liaise with the money laundering authority (MLA) on how to proceed.

1.7.9 Releases and receipts

It is good practice for the trustee to obtain a receipt from the beneficiary for distributions made.

A receipt provides the trustee with a degree of comfort, as the recipient acknowledges that the distribution has been safely received. A receipt is not, however, evidence that a distribution has been made correctly, nor that it has been made in accordance with the terms of the trust or pursuant to the dispositive powers of the trustee. It is merely a process by which the trustee can check that payments or transfers have been received by the beneficiary.

Instead of a form of receipt, some trust companies prefer to ask beneficiaries to sign a deed of release at the time a distribution is made. This provides the trustee with a degree of protection against any future claims or demands that may arise in respect of the distribution. Although a beneficiary is not obliged to provide the trustee with a release, doing so precludes the beneficiary from making any claims against the trustee, unless the trustee has been guilty of fraud or dishonest concealment. An example of a deed of release appears in Appendix 15.

When the distribution is made via a deed of appointment, the release is set out in the deed. In these circumstances, the beneficiary should be a party to, and execute, the deed. An example appears in clause 4.1 of the deed of appointment illustrated in Appendix 9.

1.7.10 Papers filed

The final stage of the procedure is for the trust administrator to file the distribution form, trustee resolution, copy letter to the beneficiary and signed receipt, deed of appointment or re-settlement, or deed of release, in the trust records.

111. ***Ashby v Blackwell*** (1765) 35 Ch.D. 373.

2. The settlor-directed (reserved powers) trust

2.1 The dispositive provisions

In the standard discretionary trust (i.e. a trust that supports wide discretionary dispositive powers), the trustees are chosen by the settlor because of their impeccable bona fides, transparent honesty and integrity, impartiality, reasonableness and trustworthiness. This is because the settlor relies upon the trustees to do what is right and proper in any given circumstance. The settlor relies upon the trustees to make distributions of income or capital of an appropriate amount, at the right time and for the benefit of deserving members of the class of beneficiaries. The trustees are given dispositive powers to exercise 'as they, in their absolute discretion, think fit'. In other words, it is for the trustees, and no one else, to determine who gets what and when. The beneficiaries cannot insist that a distribution is made. Nor can the settlor control the exercise of the trustees' dispositive powers. That is, of course, unless the settlor specifically reserves certain powers in the trust instrument that effectively enable him or her to control the trustees. These are what are colloquially known as settlor-directed (or grantor-directed, or reserved powers) trusts.

The common means by which the settlor can retain control over the timing, amount and destination of distributions, is for the trust instrument to contain express provisions that require the trustees to either:

- obtain the consent of the settlor before exercising dispositive powers of distribution, or alternatively
- exercise their powers of distribution in accordance with directions received in writing from time to time from the settlor.

2.1.1 A negative power to approve or veto a proposed distribution

Example 4.3

Negative power to approve or veto trustees' dispositive powers

Trustees' powers of appointment of capital and/or income

1. *Subject to sub-clause 2 below, the Trustees shall hold the capital and income of the Trust Fund upon trust for the benefit of such of the Beneficiaries, at such age or times, in such shares, upon such trusts and in such manner as the Trustees may, in their discretion, appoint.*
2. *The exercise of the power of appointment conferred by clause 1 above shall be exercisable only with the prior written consent of the Settlor.*

The terms of the trust in Example 4.3 require the trustee to obtain the consent of the settlor as part of the distribution process. In these circumstances, the settlor's consent must be obtained before making a distribution. If consent is not forthcoming, the settlor has effectively vetoed the proposed distribution.

Failure to obtain the required consent before making a distribution is a breach of trust. The trustee would, in such circumstances, be liable to make good any loss suffered, i.e. to reimburse the trust fund with an amount equal to the distribution plus interest (unless the trustee can make the trust whole by recovering the unlawful distribution from the recipient).

In most situations the settlor's consent is forthcoming (this is usually because the proposed distribution was the settlor's idea in the first place!) But if the settlor withholds consent, the veto must be respected.

2.1.2 A positive power to direct the trustees to distribute

Example 4.4A

Positive power to direct the exercise of the trustees' dispositive powers

Trustees' powers of appointment of capital and/or income

The Trustees shall hold the Trust Fund and the income thereof upon the following trusts.

1. *Subject to sub-clause 2 below, the Trustees shall hold the capital and income of the Trust Fund upon trust for the benefit of such of the Beneficiaries, at such age or times, in such shares, upon such trusts and in such manner as the Trustees may appoint.*
2. *The exercise of the power of appointment conferred by clause 1 above shall be exercised in strict accordance with the directions received in writing from the Settlor from time to time during his [her] lifetime.*
3. *Upon the death of the Settlor, the Trustees shall hold the Trust Fund and the income thereof upon trust for...*

The trust in Example 4.4A imposes a duty upon the trustees to distribute the income and/or capital of the trust fund in accordance with instructions received from the settlor. Alternatively, the trust instrument may confer the power of appointment upon the settlor.

Example 4.4B

The Trustees shall hold the Trust Fund and its income upon the following trusts:

1. *The Trustees shall hold the capital and income of the Trust Fund for or for the benefit of all or such one or more of the Beneficiaries at such age or time and in such shares or upon such trusts (including discretionary powers) and in such manner generally as the **Settlor** shall from time to time appoint by deed during the Trust Period.*

The purpose behind the dispositive provisions in Examples 4.4A and 4.4B is simple: settlor control. A settlor, having established an *inter vivos* trust, is often reluctant to give up total control of the assets transferred into trust. The settlor does not like the idea of leaving all powers of distribution in the hands of the trustees. Typically, settlors wish to influence or control the trustees' dispositive powers. As indicated earlier, this is achieved by reserving to themselves, in the trust instrument, either negative powers to veto the trustees' proposed distributions, or a positive power to direct the trustees to distribute to specified beneficiaries, including the settlor. Alternatively, the trust instrument may confer such powers upon a third party, the protector (covered in Module 7). Reserving or conferring powers in this way clearly affords the settlor a substantial measure of control. It also helps the trustee to manage the trust. But it is not problem-free. The problem is, of course, the spectre of 'sham'. This is an issue that we encounter throughout trust administration. The basic points are worth repeating here.

2.2 Are these dispositive provisions lawful?

Upon the creation of a trust, if the settlor does not fully transfer the entire legal ownership interest in the trust property to the trustees, and the beneficial ownership interest to the beneficiaries, the trust fails. If the settlor intends to retain dominion or control over the trust assets, it becomes pretty clear that the settlor never intended to create a trust in the first place so, once more, the trust fails.

Accordingly, a court of law may set a trust aside if the judge reaches a view that the settlor purported to establish a trust on paper and duly transferred the legal interest in assets to the trustees, but then reserved powers over the trustees to control the management and disposal of the assets to such an extent that the only possible inference is that the settlor did not intend to create a trust in the first place, but merely an agency or nomineeship. In these circumstances the trust is said to lack essential integrity. It will be set aside if challenged.

So which powers may be reserved by the settlor (or conferred upon the protector) without the trust being set aside as a sham? There is no easy answer. It depends upon where the challenge takes place, or rather, which laws are applied to determine the issue.

Some jurisdictions are more likely to set a trust aside as a sham than others. This is because some jurisdictions are governed by the common law, whereas others have enacted modern reserved powers legislation.

2.2.1 The common law

The case of ***Rahman v Chase Bank Trust Co. (CI) Ltd***[112] is well documented in this and other STEP study texts. The decision has been extensively analysed because of its impact upon the validity of a number of offshore trust structures.

The Royal Court of Jersey confirmed the common law proposition that a trust should be struck down and set aside, if challenged, in circumstances when it is established that the trust is not a trust at all, but is a sham (sometimes referred to a formal sham).[113] Such a trust is often described as lacking essential certainty. In other words, the express provisions of the trust instrument reserve for the settlor (or confer upon a third party such as the protector) so much control over the trust assets (as to investment, management and/or disposition) that the trustee acts as no more than a mere puppet or nominee of the settlor. In these circumstances, the court is likely to infer that the settlor did not intend to create a trust at all, but instead intended a nominee

112. (1991) JLR 103. The US Courts will also strike a trust down as void when it is a sham and 'lacks the proper substance' of a trust – ***Lund v Commissioner of Internal Revenue USCA*** 9th, San Francisco, 27 June 2002.
113. ***R v Dimsey, R v Allen*** [1999] STC 846.

arrangement. The Royal Court of Jersey set aside the ***Rahman*** trust under the laws of Jersey, applying traditional equitable and common law principles, as it found that the settlor had 'retained dominion and control over the trust assets during his lifetime'. The trust was declared to be void *ab initio* (from inception) so that ownership in the trust assets had to be unravelled and then returned to the settlor (or, as he had died, to the settlor's estate).

Trust practitioners analysing the ***Rahman*** case have described such a trust as a 'formal sham', the name being derived from the fact that the trust is established, on the face of the trust instrument, as one that lacks the essential elements (or the irreducible core) of a valid trust. This is in contrast to an 'administrative sham', which is a trust that, on the face of the trust instrument, appears to be a valid trust, but where the settlor and the trustee have agreed that it will be administered according to their separate agreement, thus opening up the trust to a challenge on the grounds that it is *administered* without integrity.[114]

2.2.2 Reserved powers legislation

Reserved powers legislation enacted in some offshore jurisdictions repeals the common law in regard to the settlor-directed trust and the concept of formal sham. The objective of this type of legislation is to thwart a challenge to the validity of the trust on the grounds that it lacks essential integrity, on the basis that the settlor has reserved excessive powers to control the trustees by the express terms of the trust instrument (or confers such powers upon the protector).

The legislation lists certain powers that may be reserved by a settlor (or conferred upon the protector) without invalidating the trust. In particular, the legislation expressly confirms that it is quite proper, and shall not cause the trust to be set aside as a sham, for the trust instrument to reserve unto the settlor a negative power to veto distributions (as in Example 4.3 above, and see point (h) below) or to give the trustees binding directions to distribute or confer the dispositive power upon the settlor (as in Examples 4.4A and 4.4B above, and see point (b) below).

The Cayman Islands legislature was the first jurisdiction to adopt this approach when it passed the Trusts (Immediate Effect and Reserved Powers) Law 1987, as amended 1998 (now s.14 of the Trusts Act 2021 Revision), which is reproduced below.

The reservation or grant by a settlor of a trust of:

(a) *any power to revoke, vary or amend the trust instrument...*
(b) *a general or special power to appoint* [i.e. distribute] *either income or capital...*
(c) *any limited interest in the trust property*
(d) *a power to act as director or officer of a company wholly or partly owned by the trust*
(e) *a power to give binding directions to the trustee in connection with the purchase, holding or sale of trust property*
(f) *a power to appoint, add or remove any trustee, protector or beneficiary*
(g) *a power to change the governing law...*
(h) *a power to restrict the exercise of any powers... of the trustee by requiring that they shall only be exercisable with the consent of the settlor or* [protector]

shall not invalidate the trust....

114. ***Shalson v Russo*** [2003] WTLR 1156; ***Re Esteem Settlement*** [2004] WTLR 1; ***Minwalla v Minwalla*** [2006] WTLR 311; ***CI Trustees v Minwalla*** [2005] JRC 099.

Similar, though not identical, settlor 'reserved powers' legislation has been passed in the progressive offshore jurisdictions.[115]

The Isle of Man and Gibraltar are outliers amongst the major offshore financial centres insofar as they have not enacted reserved powers legislation based upon the Cayman Islands' model. Instead, they copy the Hague Convention by stating:[116]

The reservation by the settlor of certain rights and powers are not necessarily inconsistent with the existence of a trust.

Quite what the 'certain' powers are that are not 'necessarily' inconsistent with the existence of a trust, and that the settlor lawfully may reserve, is anyone's guess!

The 'reserved powers' legislation of two major jurisdictions in Asia, Hong Kong and Singapore, permit a settlor lawfully to reserve powers to give the trustees instructions that relate to the investment of the trust fund and management of the trust assets, but not relating to distributions.[117]

In jurisdictions that have enacted modern reserved powers legislation, it is not uncommon to find a significant number of trusts established by certain institutions over the last couple of decades that reserve extensive dispositive powers to the settlor (or confer them on the protector). These trusts are commonly referred to as settlor-directed, grantor-directed or reserved powers trusts.

They are popular with settlors from non-common law jurisdictions, who find the trust an alien concept and are more reluctant than a HNWI from a common law jurisdiction to transfer all ownership rights to the trust property, as well as control thereof, to foreign offshore trustees.

In practice, they tend not to be used for tax avoidance purposes because typical sophisticated anti-avoidance legislation, such as that in the US, simply treats the trust as pass-through and imposes tax upon the settlor on all income and gains as if he or she still owns the trust assets.

2.3 The administration of a settlor-directed trust

The administration of a settlor-directed trust is different to the administration of a conventional discretionary trust. This is because the decision-making responsibility is removed from the trustees. They merely have to implement the decision reached by the settlor.

The trustees are under a duty to comply strictly with the terms of the trust. So, if the trust instrument confers a power and authority upon the settlor to give binding instructions to the trustees, and the settlor exercises such power by telling them

115. The Bahamas – s.3 of the Trustee Act (Ch. 176) 1998 amended 2004 and 2011; Bermuda – the Trusts (Special Provisions) Amendment Act 2014 which introduces a new s.2A into the original legislation; the BVI – s.86 of the Trustee Ordinance (Cap 303) amended; Guernsey – s.15 of the Trusts (Guernsey) Law 2007; Jersey – art.9A of the Trusts (Jersey) Law Revised 2019; the Cook Islands – s.13C of the International Trusts Act 1984; Dubai – art.84 of the DIFC Trust Law 2018.

116. Isle of Man - s.1(1) and art.2 of the Schedule to The Recognition of Trusts Act 1988. Identical statutory provisions exist in Gibraltar – s.3 and art.2 of the Schedule to The Trusts (Recognition) Act 1989.

117. Hong Kong – part IVD, s.41X of the Trustee Ordinance (Cap 29) as amended 2013; Singapore – s.90(5) of the Trustees Act (Cap 337) as amended 2005. 'No trust... is invalid by reason only of the person creating the trust... reserving... any powers of investment or asset management functions under the trust.' It is suggested that this statutory provision permits a settlor to reserve power to approve or veto or to direct the trustee to make investments; it does not allow the settlor to reserve a power to direct the trustee to make distributions but, under general principles, it is probably permissible for a settlor of a Hong Kong or Singaporean governing trust to reserve power to approve or veto distributions.

to distribute in a certain manner, the trustees must do so. If they do not, they have committed a breach of trust.

The authority for these propositions is well established. In ***Re Hurst***[118] it was held that where the trust instrument directs a trustee to make a specific investment, the trustee must comply. The trustee has no discretion. They must invest as directed in the trust instrument or be in breach of trust. If the trustee invests in accordance with the terms of the trust, they cannot possibly be held in breach of trust if it subsequently turns out to be an imprudent investment. As an extension of this proposition, if the trust instrument says that the trustee must follow the directions to invest given to them from time to time by the settlor (or someone else), the trustee must comply. Again, the trustee has no discretion and cannot be held liable if the directed investment causes loss to the trust. So, for example, in ***Re Hill***,[119] where the trust instrument required the trustees to follow the directions of the life tenant, it was held that they had to purchase a specific parcel of real estate upon receipt of a request to do so, provided such request was made in the proper form.

The procedure to distribute from a settlor-directed trust follows much the same procedure described in section 1.7, above, save for the following matters.

Firstly, when the trust confers a power upon the settlor to direct the trustee to exercise their power of appointment (as in Example 4.4A) the starting point is not an initial request from the settlor. Instead, there must be an instruction in writing. If the settlor merely calls the trustee by phone, they should be asked to put the instruction in writing, which should then be filed by the trustee. Thereafter, the trustees' resolution and deed of appointment should not only refer to the settlor's express power to instruct the trustee to distribute, but should also state that the settlor has exercised such power by delivering an instruction to the trustee in writing. An extract from a sample deed of appointment used when trustees distribute from a settlor-directed trust is illustrated in Appendix 16A.

When the trust confers the power of appointment upon the settlor (as in Example 4.4B) the deed of appointment must reflect the fact that the power of appointment has been exercised by the settlor and merely implemented by the trustee. A sample of such a deed is illustrated in Appendix 16B.

3. The life interest trust

Finally, we shall review the typical terms, as well as a few variations of, a life interest trust.

3.1 The simple life interest trust

After the clauses (if any) setting out the trust for sale and the trusts of original and additional property, the trust instrument, rather than conferring upon the trustees wide discretionary dispositive powers of appointment, creates a fixed-interest trust in favour of A for life, remainder to B absolutely.

118. ***Re Hurst*** [1891] 63 LT 665.
119. ***Re Hill*** [1896] 1Ch 962.

Example 4.5

The Trustees shall hold the Trust Fund and income thereof upon trust in the manner hereinafter set out.

1.1 The Trustees shall pay the income of the Trust Fund to Beneficiary A for the duration of his life.
1.2 Upon the death of Beneficiary A, the Trustees shall hold the Trust Fund upon trust for Beneficiary B absolutely.

Example 4.5 is a straightforward life interest trust.

Beneficiary A is the life tenant and has an absolute right to the trust income for the duration of his life. It is usually paid to him annually to coincide with the preparation of trust accounts. A resolution of a corporate trustee to distribute trust income on an annual basis to the life tenant is illustrated in Appendix 20A, but this is not strictly necessary.

It is also correct to say that the life tenant has a right to the present enjoyment of the trust property for life. This gives him, for example, the right to occupy rent-free any real estate held in trust. A trustee's resolution permitting the life tenant to occupy real estate held in trust, either unconditionally or conditionally upon him, for example, paying insurance and outgoings etc., is illustrated in Appendix 19.

The equitable life interest in the trust fund held the life tenant is a vested interest. This means that Beneficiary A is free to dispose of it *inter vivos* by sale or gift (but not on his death, by Will, for obvious reasons). If the life tenant wishes voluntarily to give up his life interest with a view to accelerating the capital interest in remainder it is carried out by deed of release, illustrated in Appendix 17. Whereas, if the life tenant wishes voluntarily to transfer his life interest to another person (say, C) to create a precarious life interest, this is carried out by deed of assignment, illustrated in Appendix 18. In these circumstances, C has a right to the income generated by the trust for the duration of A's life, not C's life.

Beneficiary B is the remainderman. She has an interest in remainder which means she has an equitable right to receive the capital of the trust fund when the life tenant dies. The interest in remainder is also a vested interest in remainder which means it is freely transferable and may be disposed of by the remainderman *inter vivos* by sale, gift, or by Will on B's death. The interest in remainder is a valuable asset which can be professionally valued, although, because B will only receive the trust property when A dies, the value of the interest in remainder may be significantly less than the current value of the trust property.

A simple life interest trust ends upon the death of the life tenant. A trustee ought, therefore, to obtain a copy of the death certificate as confirmation. The trustee is then under a duty to render accounts to the date of death and distribute the trust fund to the identified remainderman, who is entitled absolutely to the trust property. Identification of the correct remainderman is crucial, particularly where the trust instrument merely contains a description, rather than a name; for instance, when a trust fund is held for 'my spouse for life, remainder for my children absolutely, equally if more than one'. Trustees are liable to a disappointed beneficiary if they distribute to the wrong person. In these circumstances, the trustee ought to establish the identity of the remaindermen by obtaining or reviewing a copy of relevant birth certificates and making discreet enquiries.

Trustees can protect themselves against claims by unknown beneficiaries (for instance, unknown illegitimate children in the above example) by advertising in accordance with s.27 of the Trustee Act 1925, or the offshore equivalent enacted in the law that governs the trust.[120] An advertisement must be placed in the *Gazette* and local newspaper circulating in the locality of any real estate held in trust, giving notice of the trustees' intention to distribute and requiring persons who claim to have an interest to come forward within a two-month deadline.

If a particular beneficiary is known to exist but cannot be traced, the trustees should apply to the court for a Benjamin Order. If the court grants leave to the trustees to distribute on the basis that the missing beneficiary has died, the trustees cannot be held liable if such missing person subsequently turns up wanting their share of the trust fund.

In order to finally terminate the life interest trust upon the death of a life tenant, the trustees should:

- render trust accounts and get them signed off as approved by the remainderman
- review their in-house checklist, which will be similar to the distribution checklist referred to in section 1.7
- negotiate with the remainderman for a release and discharge from any potential claims relating to the trustees' administration of the trust and an indemnity against future expenses, taxes or third-party claims that may arise in the future, and
- pass an appropriate resolution, illustrated in Appendix 20B.

All that remains to be done is for the trustees to transfer legal title in the assets to the remainderman by the methodology prescribed for transferring the different types of property, referred to in Module 1 section 3.3.

3.2 Determinable life interest trusts

As drafted in Example 4.5, the life tenant's rights are indefeasible. This means the life interest cannot be defeated, determined or brought to an end before A's death. A life interest may, however, be created which can be determined before the death of the life tenant. This can occur by way of determination and divestment (Example 4.6), or by being defeated by the trustees' exercising an overriding power (Examples 4.7 and 4.8).

Example 4.6

The Trustees shall hold the Trust Fund upon the following trusts:

1.1 The Trustees shall pay the income of the Trust Fund to Beneficiary A for the duration of his life, or until his re-marriage, whichever is earlier.
1.2 Subject to that, the Trustees shall hold the Trust Fund for Beneficiary B absolutely.

120. The Bahamas – s.33 of the Trustee Act 1998 amended 2004; Bermuda – s.19 of the Trustee Act 1975 amended 2004; the BVI – s.28 of the Trustee Ordinance amended 2003; Cayman Islands – s.44 of the Trusts Act 2021 Revision; Hong Kong – s.29 of the Trustee Ordinance (Cap 29), 2014; Isle of Man – s.26 of the Trustee Act 2001; Singapore – s.29 of the Trustee Act (Cap. 337) 2005. Statutory protection by advertisement for trustees of trusts governed by the law of Jersey or Guernsey is not available, in which case in certain high-risk situations an application to court for directions is recommended.

In Example 4.6, Beneficiary A's life interest is determined prematurely by the occurrence of a stated event, in this case his re-marriage. Upon the celebration of his re-marriage, the life interest ends and the interest in remainder in favour of Beneficiary B is brought forward.

It is pretty clear that, in these circumstances, if Beneficiary A wishes to preserve his line of income under the trust, he is unlikely to re-marry. An alternative provision may, therefore, be considered more appropriate, similar to Example 4.7 below.

Example 4.7

The Trustees shall hold the Trust Fund upon the following trusts:

1.1 Subject to sub-clause 1.3, the Trustees shall pay the income of the Trust Fund to Beneficiary A for the duration of his life.
1.2 Upon the death of Beneficiary A or the exercise of the power conferred by sub-clause 1.3, the Trustees shall hold the Trust Fund for Beneficiary B absolutely.
1.3 The Trustees may, at any time during Beneficiary A's lifetime, in their absolute discretion, by resolution and notice served upon Beneficiary A, terminate his life interest.

Trustees of the trust illustrated in Example 4.7 are required to pay the income to Beneficiary A for the duration of his life, but have a discretionary power to end his life interest at any time prior to his death and accelerate the interest in remainder of Beneficiary B. This power is exercised by passing a resolution similar to the one illustrated in Appendix 21, which should then be served upon the life tenant.

A more sophisticated and flexible life interest is one where the trustees are given an overriding power of appointment which, when exercised, may override both the life tenant's life interest and the remainderman's interest in remainder, as in Example 4.8 below.

Example 4.8

The Trustees shall hold the Trust Fund upon the following trusts:

1.1 The Trustees shall pay the income of the Trust Fund to Beneficiary A for the duration of his life.
1.2 Upon A's death, the Trustees shall hold the Trust Fund for Beneficiary B absolutely.
1.3 Notwithstanding the provisions of sub-clauses 1.1 and 1.2 above, the Trustees may at any time during the Trust Period appoint and declare by deed that they shall hold the Trust Fund for of one or more of the Beneficiaries on such terms as the Trustees may, in their discretion, think fit.

In Example 4.8, Beneficiary A has a conventional life interest and B the interest in remainder, but each interest can be defeated by the trustees' exercising the overriding power of appointment conferred by sub-clause 1.3. The power would be exercised by the trustees by way of a deed of appointment similar, but not identical, to the one in Appendix 9. The definition of beneficiaries in clause 1.3 in whose favour the appointment may be made, can include Beneficiary A and Beneficiary B; alternatively, it may comprise a wider class of family (or, indeed, non-family) members.

3.3 Further variations of a life interest trust

There are just three further variations of the life interest trust to consider. The first has all the hallmarks of a contingent interest trust where the settlor wishes to confer a generous benefit upon a beneficiary but delay the vesting of the trust property until the life tenant is old or wise enough to manage the gift in a responsible manner. In these circumstances the dispositive provisions of the trust may resemble Example 4.9 and confer a life interest upon the beneficiary, but upon her reaching a certain age (such as 30 or 50 years?) the trust fund is transferred to her absolutely.

Example 4.9

The Trustees shall hold the Trust Fund upon the following trusts:

1.1 The Trustees shall pay the income of the Trust Fund to Beneficiary A for the duration of her life
1.2 Upon Beneficiary A attaining the age of 50 years, the Trustees shall transfer the Trust Fund to her free from the terms of the Trust
1.3 If Beneficiary A dies before attaining the age of 50 years, the Trustees shall pay the income of the Trust Fund to her widower for the duration of his/her life.
1.4 Subject to that, the Trust Fund shall be held upon trust for [default provisions].

There are advantages to this type of trust: it protects the trust fund, so that it cannot be accessed and dissipated by Beneficiary A in circumstances when she is a spendthrift; nor can it be attached by her creditors or the bankrupt beneficiary's trustee-in-bankruptcy, or her spouse in the event of a divorce. But such creditors, trustee-in-bankruptcy and spouse may, of course, attach the beneficiary's right to the income under the trust. In order to address this risk and prevent the beneficiary's life interest being attached by creditors, etc., the settlor may wish to consider creating a protective life interest trust, as in Example 4.10, below.

Example 4.10

The Trustees shall hold the Trust Fund upon the following trusts:

1.1 The Trustees shall hold the income of the Trust Fund upon ***protective trusts*** *for the benefit of Beneficiary A during her lifetime.*
1.2 Subject to that, the capital of the Trust Fund shall be held for the benefit of such of the children and remoter issue of Beneficiary A as attain the age of 25 years before the end of the Trust Period and if more than one in equal shares.

The magic words 'upon protective trusts' found in sub-clause 1.1 of Example 4.10 brings into play the statutory provisions of s.33 of the Trustee Act 1925, for trusts governed by English law, or similar provisions found in the laws of most of the offshore trust jurisdictions.[121] There are two parts to these statutory provisions.

Firstly, the income generated by the trust fund is paid to Beneficiary A for life 'or until she … does or attempts to do or suffers any act or thing … by which … she would be deprived of her right to receive the income', in particular her 'bankruptcy or attempted alienation'. Bankruptcy is self-explanatory. As soon as an order is made by a court, declaring that Beneficiary A has been made bankrupt, her life interest terminates. 'Alienation' includes an attempt by Beneficiary A to sell or mortgage her life interest. But, why would Beneficiary A try to sell or mortgage her life interest if she knows that it will cause her life interest to determine? In short, she will not. But she may *involuntarily* alienate her interest. This occurs if, for instance, a creditor obtains judgment against A for a sum of money owing, and then enforces payment of that judgment by attaching A's interest under the trust.

Secondly, on the happening of such event that causes the life tenant to forfeit her life interest, the protective life interest ends and, until Beneficiary A's death, the income is held upon trust for 'the maintenance, support or otherwise for the benefit of any one or more of the following persons: namely, the principal beneficiary [A], her spouse, her children or more remote issue, if any, as the trustees think fit'.

What this means is that if the life tenant is declared bankrupt, the court-appointed trustee-in-bankruptcy cannot attach the life tenant's interest and use the income to help pay the bankrupt's creditors. Likewise, any judgment creditor of the life tenant cannot attach her life interest. In each case this is because the life interest has automatically terminated, so there is nothing to attach. When the trust fund comprises family wealth, it has thereby been protected, to the prejudice of the creditor, and the income can still be paid on a discretionary basis to the life tenant's wider family.

But surely there is a simpler way of protecting the trust fund from spendthrift beneficiaries and attachment by creditors, via a discretionary trust with a detailed supplemental statement of wishes. You will recall that a member of the class of potential beneficiaries of a discretionary trust, a so-called object of a discretionary power, does not obtain an equitable interest in the trust property. There is nothing, therefore, for such beneficiary's judgment creditor or trustee-in-bankruptcy to attach. Clearly, the trustees of a discretionary trust will not consider making a distribution in favour of a bankrupt member of the class of beneficiaries (unless, of course, the distribution is made in order to discharge the bankrupt or to enable them to pay the judgment creditor). This type of guidance will be made clear in the statement of wishes.

For these and other reasons, the most usual type of trust administered by offshore trust practitioners is a discretionary trust. If offshore trust practitioners do encounter a life interest trust, it will probably be a life interest in favour of the settlor for life and, upon his or her death, followed by a discretionary trust, as illustrated by Example 4.11 below.

121. The Bahamas – s.39 of the Trustee Act 1998; Bermuda – s.27 of the Trustee Act 1975; the BVI – s.34 of the Trustee Ord (Cap 303) as amended; Cayman Islands – s.31 of the Trusts Act 2021 Rev; Hong Kong – s.35 of the Trustee Ordinance, Consolidated; Guernsey – s.45 of the Trusts (Guernsey) Law 2007; Jersey – s.35 of the Trusts (Jersey) Law 1984 ; Isle of Man – s.33 of the Trustee Act 1961; Gibraltar – there is no statutory provision and therefore the complex wording of the legislation would have to be set out in the trust instrument in full; Singapore – s.35 of the Trustees Act (Cap 337); Turks and Caicos – s.34 of the Trusts Ord 1990; Dubai – art.49 of the DIFC Trust Law 2018.

Example 4.11

The Trustees shall hold the Trust Fund upon the following trusts:

1.1 The Trustees shall pay the income of the Trust Fund to Beneficiary A for the duration of his life.

1.2 Upon the death of Beneficiary A, the Trustees shall hold the Trust Fund upon trust to declare and appoint by deed that they hold the whole or any part of the income and/or capital to or for the benefit of all or such of the Beneficiaries in such shares and in such manner generally as the Trustees may, in their absolute discretion, think fit.

Analysis of the remaining provisions found in a typical trust instrument continues in Module 5.

Learning outcomes

By the end of this module you should:

- be able to construe some of the standard dispositive provisions found in a typical:
  - discretionary trust
  - settlor-directed trust, and
  - life interest trust
- understand how a trustee should exercise a dispositive power:
  - to pay or apply income
  - of appointment of an absolute interest
  - of appointment upon new trusts, and
  - of re-settlement.
- appreciate the factors to consider when deciding whether to exercise a dispositive power
- be able to follow common distribution procedures
- be familiar with the express terms of a settlor-directed trust, the governing law relating thereto and how the administration of such a trust differs from a conventional discretionary trust, and
- know how to manage a life interest trust.

Module 4:
Self-Assessment Questions

1. Summarise the dispositive provisions of a typical discretionary trust.

2. In relation to a discretionary power to distribute income:

   (a) explain the meaning of a power to 'accumulate' income, and
   (b) explain for how long the income may be accumulated.

3. The term 'discretionary trust' is somewhat of a misnomer. Explain.

4. What are the differences between a discretionary trust in the technical meaning of the term and a trust that confers wide discretionary dispositive powers?

5. Describe the general process that occurs when trustees of a discretionary trust exercise a power of appointment by making 'an appointment of an absolute interest' upon a chosen beneficiary from the class.

6. Describe the general process that occurs when trustees of a discretionary trust exercise a power of appointment by making 'a trust appointment', sometimes known as 'an appointment upon new trusts', in favour of a chosen beneficiary from the class.

7. Compare the exercise by a trustee of a discretionary power of appointment upon new trusts and a discretionary power of re-settlement.

8. What is the purpose of the ultimate default provision in favour of the default beneficiary?

9. Identify and discuss some of the factors that trustees ought to consider when deciding whether, and if so how, to exercise their discretionary dispositive powers.

10. T is proposing to make a significant distribution to B of $1 million. T then becomes aware of a potential claim of a third party to and against the assets held in trust. How, if at all, does this affect the trustee's decision whether to continue to make the distribution? Discuss options.

11. Review common distribution procedures that trustees of a discretionary trust typically establish (or the usual content of a distribution checklist).

12. Describe the typical provisions of a so-called settlor-directed trust. Are they valid in every offshore jurisdiction?

13. List the powers that may be reserved by a settlor of a trust according to modern reserved powers legislation enacted by the more progressive trust jurisdictions (often based upon the Cayman Islands' model) and, in particular, highlight the dispositive powers.

14. Summarise how the administration of a settlor-directed trust differs from a conventional discretionary trust so far as distributions are concerned.

15. Draft the express dispositive provisions that record the terms of a typical, simple life interest trust.

16. Describe the dispositive duties and/or powers owed by a trustee of a life interest trust when the trust assets comprise: (a) a bank account with a balance of $1 million; (b) a portfolio of stocks worth $2 million; and (c) a country villa in Tuscany worth $3 million.

17. Ascertain whether, and if so how, a life tenant may voluntarily: (a) give up their life interest under the trust, and (b) transfer it to a third party.

18. Describe five alternative express provisions that will cause a life interest to terminate prematurely, before the life tenant's death.

19. Describe the implied statutory terms of a trust where 'the Trust Fund shall be held upon protective trusts for the benefit of Life Tenant during his lifetime...'

20. Draft the dispositive terms of a trust in favour of Settlor for life, remainder for such children and grandchildren of the Settlor that the trustees think fit.

Module 5:

The Trust Instrument – Part 3: Administrative Provisions

Module 5:

The Trust Instrument – Part 3: Administrative Provisions

Learning objectives

The purpose of this module is to:

- review some of the standard administration provisions found in a typical long-form trust instrument
- help you decide whether a particular provision should be included in a draft trust instrument
- explain the meaning of common clauses in order that you may interpret them for the settlor, a beneficiary or a third party, and
- construe some of the standard provisions and powers that you may wish to exercise during the administration of a trust.

Introduction

This is the third module in which provisions of a typical offshore trust are considered and explained.

In Modules 3 and 4 we reviewed:

1. the formal introductory parts of the trust instrument
2. recitals
3. usual definitions
4. the trust for sale
5. trusts of original and additional property, and
6. typical dispositive provisions.

In this module we will review and explain the remaining provisions of a typical trust instrument as follows:

7. the trustee's administrative powers (in section 1)
8. the trustee's indemnity and exoneration (in section 2)
9. trustee remuneration[122] (in section 3)
10. retirement, removal and appointment of trustees[123] (in section 4)
11. the proper/governing law of the trust[124] (in section 5)
12. revocability (in section 6), and
13. the execution of the instrument (in section 7).

122. Trustee remuneration is reviewed in Module 2 section 2.
123. Retirement, etc. of trustees is reviewed in Module 2 section 3. 2.
124. The proper law of a trust is reviewed in Module 6.

1. Administrative provisions

The trustees are required to manage the trust assets for the benefit, and in the best interests, of the beneficiaries. To achieve this core objective, the trustees require extensive powers of management.

Trustees are authorised to do only those things that they are empowered to do either by law (namely those powers impliedly conferred upon trustees by the common law and by trust legislation designed to supplement the common law) and by the express terms of the trust instrument. Conversely, trustees have no authority to carry out an act or conduct a particular transaction unless specifically authorised to do so (by law or by the trust instrument).

Historically, trustees had only those administrative powers of management of the trust property that were expressly conferred upon them by the trust instrument. If, for example, the settlor transferred Blackacre into trust without conferring any power to sell and re-invest the proceeds, the trustee would be obliged to hold Blackacre in trust for the duration of the trust period. The strict common law rule was considered unsatisfactory as it limited the trustee's powers of management of the trust property, sometimes to the prejudice of the beneficiaries. The legislature in England therefore stepped in and enacted trust legislation that conferred wider, less restrictive – but still not unlimited – powers upon trustees. So, for example, a limited statutory power of investment of the trust fund was conferred upon trustees by successive English Acts of Parliament in the 19th and early 20th centuries. This gave trustees more scope to manage the trust property more efficiently in the best interests of the beneficiaries. These statutory administrative powers exist on a default basis: they may be cut down or enlarged and extended by the express terms of the trust.

As we have seen, most offshore jurisdictions have enacted trust legislation that, to a greater or lesser extent, uses the Trustee Act 1925 as a model. A review of the local trust legislation will reveal a number of statutory powers that are impliedly conferred upon trustees. These statutory powers extend the common law powers of management and, when they follow the model found in the 1925 Act, the legislation gives trustees miscellaneous powers to: sell trust property; to sell subject to conditions; to give receipts; to compound liabilities; to raise money by sale or mortgage; to insure; to renew leases; to deposit documents in safe custody; to value and audit trust assets; to employ agents; to delegate the exercise of certain powers to others, etc. As indicated, these statutory powers exist to supplement the common law and are subject to a contrary provision in the trust instrument.

Task 5.1

Review the statutory trust legislation in the jurisdiction where you work or have some connection.[125]

List the powers that may, in appropriate circumstances, be exercised by trustees in the absence of any specific express provision in the trust instrument.

Compare the statutory powers found in the offshore jurisdiction where you work or have some connection with the simplicity of art.24 of the Trusts (Jersey) Law 1984, as amended and revised 2019, which provides that:

Subject to the terms of the trust and his duties under this law, a trustee shall in relation to trust property have all the same power as a natural person acting as the beneficial owner of such property.

Which style of legislative drafting do you think is more effective? Which do you prefer? Why?

Subject to the simplicity afforded by art.24 of the Trusts (Jersey) Law 1984 (and other jurisdictions that have similar modern unlimited statutory powers), it is widely felt in most offshore jurisdictions that traditional trust legislation based upon the 1925 Act does not contain sufficient or adequate administrative powers of management to enable corporate trustees to comply properly with their onerous duties in managing large trust funds. The complex and restrictive statutory powers are conferred upon trustees in order to reduce the risk of mismanagement. But, in order to enable corporate trustees to manage the trust fund in the most appropriate way, and to balance risk against the flexibility required to manage a global portfolio of trust property, most modern offshore trust instruments nowadays expressly confer upon trustees additional, wider and more extensive administrative and managerial powers.

Drafting styles and techniques employed by those drafting trust instruments fall into one of three categories.

i. A single simple clause in a trust instrument may give the trustees all the powers to manage assets and administer the trust property enjoyed by an absolute beneficial owner. This has the clear advantage of being short, concise and clear. As a result, it is far easier for a foreign settlor to understand and, therefore, far easier for a trust practitioner to explain to a prospective client. Notwithstanding those obvious attractions, this school of draftsmanship has still to catch on.
ii. The draftsperson may prefer to list, often in a schedule attached to the trust instrument, an extensive array of specific powers conferred upon the trustees. These powers endeavour to provide expressly for all the myriad matters that a trustee may encounter during the course of the administration of a trust.

125. The Bahamas – ss.14–31 of the Trustee Act (Cap176) 1998 (based upon 1925 Act); Bermuda – ss.3–17 of the Trustee Act 1975 as amended (based upon the 1925 Act); the BVI – ss.11–34 of the Trustee Act Revised 2020 (based upon 1925 Act); Cayman Islands – ss.16–31 of the Trusts Act 2021 Rev (based upon 1925 Act); Dubai – arts 67–70 of the DIFC Trust Law 2018 (a modern approach); Guernsey – s.30 of the Trusts (Guernsey) Law 2007 (similar to Jersey); Hong Kong – ss.13–27 of the Trustee Ordinance (based upon 1925 Act); Isle of Man – ss.9–24 of the Trustee Act 1961 as amended (based upon the 1925 Act); Jersey – art.24 of the Trusts (Jersey) Law 1984 Consolidated (see main text below); Singapore – ss.13–27 of the Trustees Act Revised Edition (based upon the 1925 Act).

This method of draftsmanship has the advantage of certainty, but these schedules of clauses are often tedious and difficult to understand.

iii. As a compromise between these two approaches, some offshore jurisdictions provide by their local trust legislation that 'a trust instrument may incorporate by reference any of the provisions set out in [a schedule to the trust legislation]'.[126] The schedule to the legislation sets out what are regarded as the most common powers given to a trustee in a typical trust instrument in that jurisdiction. The draftsperson may then add to or refine the statutory powers in much the same way as is done in a traditional trust instrument. This is an alternative to the practice of setting out each power in a long-form document and, therefore, simplifies and reduces the bulk of the standard trust instrument.

Notwithstanding the option of including a simple single clause, or incorporating statutory clauses by reference, the traditional long-form trust instrument is still popular. It contains an extensive range of administrative provisions that confer on the trustees express power to carry out every sort of activity they may wish to undertake. A large number of the traditional long-form trust instruments entered into over the last several decades are likely to be around for some time to come. Accordingly, we will review some of the administrative provisions found in a typical instrument, illustrate their use and explain their purposes in order that you may be able to:

- decide whether a particular power is required when drafting at trust
- explain the meaning of some typical powers when you are advising the settlor or a third party, and
- construe some of the more usual powers that you may wish to exercise during the administration of a trust.

All the administrative provisions that deal with the management of the trust fund are usually grouped together and relegated to a schedule to the trust instrument. Accordingly, there must be a clause in the body of a long-form trust instrument designed to incorporate into the trust, by reference, the various powers and other provisions set out in the schedule (Example 5.1).

Example 5.1

Administrative Powers

The Trustees shall [in addition to all statutory and other powers] *have the powers* [and immunities] *set out in the* [second] *Schedule.*

We shall now guide you through a number of express powers contained in a typical schedule.

126. BVI – s.93 of the Trustee Ordinance (Cap 303), Revised Edition and the Second Schedule; Bermuda – s.17 of the Trusts (Special Provisions) Act 1989, the schedule of which contains 22 administrative powers that may be incorporated by reference; the Bahamas – s.90 of the Trustee Act Ch. 176 1998 of the Bahamas and the First Schedule is drafted in a similar manner.

1.1 Power to invest

Example 5.2

Power to invest in any type of investment

The Trustees may invest the Trust Fund in or upon any investment of whatever nature and in any manner generally [in real or personal property including investments in any currency and in any part of the world in the purchase of or upon the security of such stocks, shares, funds, securities, commodities, bonds, notes, debentures, certificates of deposit, time deposits or other investments of whatever nature and whether producing income or not or in making loan with or without security] *as the Trustees in their absolute discretion think fit,* [so that the Trustees shall have the full and unrestricted power of investing the Trust Fund as if they were the absolute beneficial owners thereof].

Firstly, let us look at the purpose and legal effect of the clause illustrated in Example 5.2. In the absence of an *express* provision conferring upon the trustees a power to invest the trust fund, trustees would have to rely upon their *statutory* powers of investment only. These statutory powers of investment may, or may not, be enough. It depends upon whether the jurisdiction whose laws govern the trust has enacted legislation based upon the restrictive, conservative approach (found in the English Trustee Act 1925 as amended), or has passed modern legislation that confers all of the powers of investment of an absolute owner.

Some jurisdictions, such as the Cayman Islands, have trust legislation that incorporates the provisions of English law insofar as s.35 of the Trusts Act 2021 Revision states that:

A trustee may invest trust funds…

(a) *In any securities in which trustees in England are, for the time being, authorised by the laws of England, to invest trust funds.*

(b) …

This begs the question, what powers of investment are impliedly conferred upon trustees by the laws of England? The older statutory model, found in the 1925 Act as amended by the Trustee Investment Act 1961, essentially requires a trustee to divide the trust fund into two equal parts: one half can be invested in 'narrow range' securities (essentially bonds and real estate); and the other half in either 'narrow' or 'wider range' securities (essentially blue-chip stocks). This has, however, now been repealed by the Trustee Act 2000, which confers upon trustees all the powers of investment of an absolute beneficial owner investing their own money, i.e. unlimited, unrestricted powers of investment.

Most of the offshore jurisdictions have passed modern, clearer trust legislation on trustees' powers to invest, which simply states that trustees have all of the powers to make investments as if the trust fund were absolutely owned by them.[127] In other words, trustees have the power to invest in whatever investments they think fit, without restriction.

The clause set out in Example 5.2 above confers upon the trustees an unrestricted express power to invest in whatever investments the trustees think fit, without restriction. Arguably, it is therefore superfluous, as a similar power is conferred by trust legislation in any event. In other words, even in the absence of the clause, the trustees may nevertheless exercise their statutory powers of investing in any form of property (real estate or movable chattels or securities, basically any type of investment) in any currency and in any part of the world.

The list of types of investment found in the middle section of the clause (that the trustees may invest in 'stocks, shares, funds, securities...', etc.) serves as an illustration only and is, therefore, equally unnecessary. One might therefore wonder why we have included an analysis of the clause in this study text. The reason is because it frequently appears in a long-form trust instrument, even though, technically, it is implied in any event.

1.2 Modification of the prudent investor rule

Example 5.3

Modification of duty to invest in a prudent manner

(1) *The Trustees shall not be under a duty or required to invest the Trust Fund in a prudent manner, nor to invest in low-risk securities, nor to diversify the investments of the Trust Fund and may invest in high-risk, speculative, concentrated or hazardous investments.*

(2) *The Trustees shall not be liable for loss arising from their investment of the Trust Fund:*

(a) *in a non-prudent, high-risk, speculative manner, or*
(b) *in a single business, company or firm or in one asset or type of asset.*

(3) *The Trustees shall not be under a duty to invest in assets that produce an income and may invest in non-income-producing investments or securities that do not produce an income.*

The purpose and legal effect of Example 5.3 is to modify the implied duty imposed on a default basis upon trustees to exercise their powers of investment in a prudent manner. It is an important clause and, in order to put it in context, we must review the so-called prudent investor rule.

According to common law principles, when trustees exercise their powers to invest the trust fund, they must employ the care, skill and diligence that a businessperson of ordinary prudence would be expected to employ in making investments on behalf

127. The trust legislation of the following jurisdictions confers an unrestricted power to invest the trust fund: the Bahamas – s.4(1) of the Trustee Act 1998; Bermuda – s.17 of the Trusts (Special Provisions) Act 1989 and para 2, Schedule; the BVI – s.3 of the Trustee Ord Revised 2020; Guernsey – s.30 of the Trusts (Guernsey) Law 2007; Jersey – art.24(1) of the Trusts (Jersey) Law 1984 Rev 2019; Isle of Man – s.3 of the Trustee Act 2001; Singapore – s.4 of the Trusts Act (Cap 337) Revised 2020; Dubai – s.67 and 68 of the DIFC Trust Law 2018. Two jurisdictions have failed to modify their trust legislation and retain the old-fashioned limitations, namely: Hong Kong – s.4 of the Trustee Ordinance restricts a trustee's power to invest to those types of investments specified in Schedule 2; Gibraltar – s.27 of the Trustees Act restricts investments to those specified in Schedule 1.

of other people for whom they are morally bound to provide.[128] In a subsequent line of cases, the court held that prudence, in this context, means not speculating, refraining from improvident or reckless investments, not exposing the trust fund to too much risk, reducing risk by diversifying, with the overall objective of safeguarding and preserving the value of the trust fund.[129] The requirement to invest in a prudent manner has been codified in modern trust legislation passed in a number of offshore financial centres.[130] A similar duty is imposed upon US trustees under the Third Restatement of Trusts (Prudent Investor Rule) 1990.[131]

There is nothing wrong with the prudent investor rule. It is designed to ensure that the trustees do not put the trust fund at risk by investing trust funds in a non-prudent manner. The problem is that prudent, low-risk investments will produce modest returns. A settlor who designs a trust as the family's investment vehicle may not be content with modest returns. In these circumstances, if trustees are expected to chase the dollar and follow a higher-risk investment strategy, they can do so only if the trust instrument modifies or excludes the prudent investor rule.

This is where the clause in Example 5.3 comes into play, because these duties operate on a default basis and can be modified or excluded by the trust instrument. So, for instance, a settlor who prefers the trustee to adopt a more aggressive, higher-risk investment strategy must make provision for this in the trust instrument.

A clause modifying the prudent investor rule will take one of two forms. It may either exclude the prudent investor rule or confer an exoneration from liability for its breach.

For example, sub-clause 1 of Example 5.3 above, removes the duty. If the trustees do not owe a duty to invest in a prudent manner, they cannot be held liable for breach.

Alternatively, the trust instrument may provide the trustees with an exoneration from liability for loss caused by their failure to comply with the prudent investor rule. Sub-clause (2) of Example 5.3 does not remove the duty, but it does provide the trustees with protection from liability caused by a breach. For belt and braces, some trust instruments may contain both types of clause, but this is surely illogical and overkill.

Finally, investment has been traditionally defined as the purchase of assets in order to generate income. It has, therefore, been argued by some that the purchase of a non-income-producing asset (such as fine art, gold or precious metals, some stocks, derivatives, etc.) is not an investment in the narrow sense of the word. Therefore, for the avoidance of doubt, sub-clause (3) of Example 5.3 specifically authorises the trustees to purchase non-income producing investments. Once more, this clause is probably superfluous.

128. ***Whiteley v Learoyd*** (1887) 12 App Cas 727; ***Learoyd v Whitely*** (1886) 33 Ch, D 347.

129. ***Re Waterman's Will Trusts*** [1952] 2 All ER 1054; ***Bartlett v Barclays Bank Trust Co Ltd*** [1980] 1 All ER 139; ***Nestlé v National Westminster Bank*** [1994] 1 All ER 118.

130. The Bahamas – s.5(1) and (2) of the Trustee Act 1998 as amended; Bermuda – s.55A(4) of the Trustee Act 1975 as amended; the BVI – s.3 of the Trustee Ord as amended; Guernsey – s.22 of the Trusts (Guernsey) Law 2007; Gibraltar – s.24(1) of the Trustee Act as amended 2007; Hong Kong – s.3A of the Trustee Ord (Cap 29); Isle of Man – ss.1, 2 and 4 of the Trustee Act 2001; Jersey – art.21 of the Trusts (Jersey) Consolidated Revision 2019; Singapore – s.3A and s.5 of the Trustee Act (Cap 337); Dubai – s.59 and s.60 of the DIFC Trust Law 2018.

131. 'A fiduciary has a duty to invest and manage investment assets as a prudent investor would, considering the purposes, terms, distribution requirements, and other circumstances of the trust. This standard requires the exercise of reasonable care and caution and is to be applied to investments not in isolation, but in the context of the investment portfolio as a whole, and as part of an overall investment strategy that should incorporate risk and return objectives reasonably suited to the trust.'

1.3 Power to lend and give guarantees

Example 5.4

(1) *The Trustees may lend money or other assets comprised in the Trust Fund to any Beneficiary on such terms (whether or not including the provision for payment of interest or obtaining collateral or security) as the Trustees think fit;*

(2) *The Trustees may guarantee the payment of money or the performance of obligations of any Beneficiary* [or by any company in which the Trust Fund is invested], *and may charge all or part of the Trust Fund in support of such guarantee.*

Sub-clause (1) of Example 5.4 confers upon the trustees a power to lend money or property held in the trust fund to any of the beneficiaries. The making of a loan to a beneficiary can often be more tax efficient than making a distribution.

It is not absolutely clear whether this is an aspect of the trustees' investment powers, which permit them to lend part of the trust fund to third parties (in accordance with the powers conferred by Example 5.4), or whether it is an aspect of the trustees' dispositive powers to distribute the trust fund in favour of a beneficiary. When a loan is made to a beneficiary at commercial rates of interest, the trustees are probably exercising a power of investment. But if a loan is made without interest or if it is anticipated that it will not be repaid, the better view is that an unsecured loan does not constitute an investment. Accordingly, loans should be made only in conjunction with the exercise of the trustees' dispositive powers and are, therefore, exercisable only in favour of one or more members of the class of beneficiaries. It would be wholly inappropriate to make an unsecured loan to a third party such as the settlor (unless he or she is also a beneficiary), on the pretext that the trustees are merely exercising their powers of investment.

The power to lend money to a beneficiary conferred by sub-clause (1) in Example 5.4 is typically exercised through a trustees' resolution and promissory note, a specimen of which is illustrated in Appendix 22.

As an alternative to lending money to one or more of the beneficiaries, sub-clause (2) of Example 5.4 confers a power upon the trustees to provide a guarantee or security for the beneficiaries' borrowing. This means that one or more of the beneficiaries may borrow from a third party and the trustees can stand as a guarantor to guarantee the repayment of such borrowing or, alternatively, secure such borrowing by way of mortgage or pledge of trust assets in favour of the lender.

1.4 Powers in relation to real estate and movable chattels

Example 5.5

(1) The powers conferred by this sub-clause shall be exercisable when the Trust Fund for the time being includes any real estate.

(a) The Trustees may lease all or any part of the real estate for any purpose, for any term, wholly or partly in consideration for a rent (fixed or variable) or premium, and may accept (with or without consideration) the surrender of any lease.

(b) The Trustees may sell or lease all or any part of the real estate whether the division is horizontal or vertical, reserve any easement or right of way, sell or lease any timber, mines or minerals on, in or under any part, impose any restrictions as to user affecting any part of the real estate, and enter into any contract, grant or option for the sale of such real estate.

(2) When the Trust Fund for the time being includes movable chattels, the Trustees may sell, lease, hire, deposit, store or otherwise deal with the chattels upon such terms as they think fit.

Trustees may sell or dispose of trust property only if they have power to do so in the manner contemplated. Under the terms of a traditional trust for sale (see Module 3 section 4), you will recall that the trustees are under a duty to sell the trust property but have power to postpone such sale. Under a modern investment clause (Example 5.2 section 1.1 above), a trustee may make or vary investments in real estate and/or chattels. Trustees also have a power conferred by common law principles to repair and maintain trust property. Notwithstanding these provisions, however, it is not uncommon to find a clause similar to Example 5.5 at this point in the trust instrument, giving the trustees various powers over the trust property, including the power to sell, lease, sub-divide, repair and maintain real estate or chattels that comprise the trust fund.

The plethora of powers is included in order to enlarge what can be quite restrictive statutory powers, especially in relation to chattels. It would be easier to say simply that the trustees have all the powers over real estate and/or chattels that are enjoyed by an absolute beneficial owner, but many draftsperson still prefer the long-form provisions. Most, if not all, of these powers are implied by trust legislation or covered elsewhere by typical express provision.

1.5 Power to operate a business

Example 5.6

The Trustees may carry on a trade or operate a business or take part in any venture in the nature of trade or operation of a business, either alone or jointly with any other person, whether in partnership or not (limited or general) and may exercise all or any of the powers conferred upon them by this trust in connection with such trade or business.

A specific power, such as that contained in Example 5.6, must be included in the trust instrument if the trustees intend to carry on a business using the trust fund as capital. They cannot carry on a business unless an express power specifically authorises them to do so.[132]

In practice, however, the trustees would rather incorporate a special purpose company as the appropriate medium through which to carry out trading activities, as this would afford them (as shareholders) the benefit of limited liability. If the trustees decide not to trade via a limited company incorporated for the purpose, they ought to insist upon a further sub-clause being inserted into the trust instrument, after that in Example 5.6, to the effect that the trustees shall 'be indemnified out of the Trust Fund against all liability to which they may by subject' in connection with any trade they undertake in their personal capacity as trustees.

1.6 Power to insure

Example 5.7

The Trustees may insure all or any part of the Trust Fund against any risk for any amount and on such terms as they think fit and shall pay the premiums as an expense of the Trust Fund, or its income, whichever is appropriate.

For historical reasons (which make little sense today), the 1925 Act confers upon trustees uncharacteristically restricted powers to insure the trust property. This restriction has been repealed, and the powers to insure have been extended by the Trustee Act 2000, although s.19 of the 1925 Act is still used as a model by some offshore jurisdictions. This section of the 1925 Act confers a statutory power upon trustees to insure trust property but restricts the exercise of such power to insure against the risk of fire only and to an amount of not more than three-quarters of the insurable value of the property. The trust legislation of most offshore jurisdictions has modernised this provision and typically contains far less restrictive statutory powers to insure.[133] It is, nevertheless, common practice in older trusts for a clause to extend the statutory power to insure, and to include an express provision giving the trustees power to insure against all risks, up to the full insurable value of the property, and to charge such premium as a reasonable expense of the trust.

1.7 Powers in relation to companies

Whenever trustees own shares, they have an implied power at common law to do anything in connection with those shares that is incidental to the rights of ownership. This power, together with the wide powers of investment referred to in section 1.1, is sufficient to enable the trustees to exercise all the usual shareholder rights that are conferred upon holders of such shares. It is not unusual, however, particularly in older, traditional trust instruments, to find specific express powers enabling a trustee that owns shares to vote, take up bonus and rights issues, pay calls and join in a reconstruction or amalgamation of the company, etc. This type of clause, illustrated in Example 5.8, can safely be omitted as it is superfluous.

132. ***Re Berry*** [1962] Ch 97.
133. The Bahamas – s.24 of the Trustee Act Ch. 176 1998 as amended; Bermuda – s.10 of the Trustee Act 1975 as amended; the BVI – s.20 of the Trustee Ord. (Cap 303) (restricts risk insured to fire); Cayman Islands – s.25 of the Trusts Act 2021 Rev; Gibraltar – s.12 of the Trustee Act 1895 amended 2007; Guernsey – s.30 of the Trusts (Guernsey) Law 2007; Hong Kong - s.21 of the Trustee Ord (Cap 29) amended 2013; Isle of Man - s.17 of the Trustee Act 1961 amended 2005; Jersey – art.24 of the Trusts (Jersey) Law 1984 Revised; Singapore – s.21 of the Trustee Act Cap 337 Revised Edition; Dubai – arts 67 and 68(m) of the DIFC Trust Law 2018.

Example 5.8

(1) *The Trustees may exercise the voting rights conferred upon the holder of shares of companies held in the Trust Fund, including but not limited to the right to vote to (a) waive the appointment of auditors and/or presentation of audited accounts, and (b) enter into any compromise, arrangement, or winding up in relation to any company in which the Trust Fund is invested.*

The terms of sub-clause (1)(a) confer a power upon the trustees to waive an audit of the accounts of underlying companies and their presentation to shareholders at the annual general meeting (AGM). This is included because audits are sometimes required under the local companies legislation of a few offshore jurisdictions, but the requirement may be waived in certain circumstances, provided all the shareholders agree.

1.8 The ***anti-Bartlett*** clause

An ***anti-Bartlett*** clause is designed to protect trustees from liability for breach of the common law duty to supervise management of private companies in which the trust is invested.

In the case of ***Bartlett v Barclays Bank Trust Co.***,[134] the trustees were held liable for loss caused to the trust by failing to supervise the management undertaken by the board of directors of the company in which the trustees owned 99.8% of the issued shares. The company purchased a parcel of land in the City of London for redevelopment purposes. It had no more than a slim chance of obtaining planning permission to enable the redevelopment to proceed, however, and the company did not have proper financing in place to complete the scheme. It was a hazardous, speculative investment and ended up leaving the company £0.5 million in debt. The trustees were held to be in breach of trust and liable to pay compensation to the beneficiaries of the trust for failing to enquire into, supervise and become actively involved in the management of the company.

The case gives rise to the so-called ***Bartlett*** duty, an understanding of which requires some legal analysis. Shareholders of a company have a right and power to enquire into the affairs and business operations of the company conducted by the board of directors. But they do not have a duty to do so.[135] The legal position is quite different when shares of a company are held by a trustee. This is because a trustee has an implied fiduciary duty to exercise its powers in relation to the trust property in the best interests of the beneficiaries and to use reasonable care to protect the value of such assets. This means that a trustee must exercise its powers (as shareholder, to vote, etc.) in the best interests of the beneficiaries of the trust in order to protect their interests and preserve the value of the shares held in trust.

In order to comply with this duty, it was stated in ***Re Lucking W.T.*** [1968], and subsequently in ***Bartlett*** [1980], that, in order to comply with the duties owed to the beneficiaries of the trust, trustees are required to:

134. [1980] Ch 515.
135. Unlike directors, shareholders do not owe fiduciary duties to their company. Shareholders are not required to exercise their powers (to vote, etc.) in the best interests of the company (save in relation to voting to alter the articles). A shareholder's right to vote, etc., is a proprietary right, which the holder may exercise in their own selfish interests even if it is contrary to the best interests of the company. ***North-Western Transportation Co v Beatty*** (1887) 12 App. Cas. 589, P.C; ***Burland v Earle*** [1902] A.C.83, P.C; ***Goodfellow v Nelson Line*** [1912] 2 Ch.334.

(a) keep themselves informed about the company's business and financial affairs by receiving and evaluating a sufficient flow of detailed and adequate financial and other relevant corporate information, and

(b) act upon such information when the need arises in order to protect and preserve the value of the shares held in trust.[136]

The duty makes sense. But, typically, both the settlor and the trustees wish to exclude it. This is because, in a typical scenario, an entrepreneur and owner of a small-to-medium sized family enterprise has built the company piece-by-piece, year-by-year, and in due course is advised to transfer their shares into trust for succession planning and wealth transfer purposes. But during the remainder of their life, the settlor wants to continue to run the business as CEO. They do not want the management of the business to be constrained by a trustee who is only interested in ensuring the business is operated in a prudent manner. There is an inherent conflict between the risk appetite of an entrepreneur and that of a trustee.

From the trustees' perspective, it is felt that the obligations imposed upon professional trustees to comply with the ***Bartlett*** duty are too onerous and time-consuming. The trustees may not have the expertise to make informed business decisions in a sector in which they have little or no experience. Trust companies do not want to be exposed to litigation in the event of their failure to supervise management of the investee company in a satisfactory manner.

For these reasons, both the settlor and the trustees are minded to include an ***anti-Bartlett*** clause in the trust instrument to modify or exclude one or both of the two elements of ***Bartlett*** and/or provide the trustee with an exoneration for breach. Even so, they are not recommended in all circumstances. For instance, it is submitted that an ***anti-Bartlett*** clause is not appropriate when a private or unlisted company has engaged independent, non-family member, executives to the board. In these circumstances, it is submitted that a prudent trustee ought properly to supervise and monitor the board.

There are many forms of ***anti-Bartlett*** clause; the wording and therefore their legal effect varies from clause to clause. For example, the clause may exclude or modify the whole of the ***Bartlett*** duty or just one part of it, namely (a) the duty to obtain a sufficient stream of information to evaluate and supervise management, and/or (b) the duty to act to protect the value of the shares held in trust. Alternatively, the clause may confer an exoneration from liability for breach of the ***Bartlett*** duty.

1.8.1 Clauses that *prima facie* exclude the ***Bartlett*** duty

A clause may remove completely both elements of the ***Bartlett*** duty to (a) enquire into and supervise management, and (b) act to protect the value of the shares.

136. ***Re Lucking's Will Trusts*** [1968] 1 W.L.R.866, and [1967] 3 All E.R.726, where it was stated that 'Trustees holding a controlling interest in a company must ensure, so far as they can, that they have such information as to the progress of the company's affairs as the directors have. If the trustee sits back and allows the company to be run exclusively by its board of directors, or by the minority shareholder, and receives no more information than shareholders are entitled to, the trustee does so at his peril.' In ***Bartlett v Barclays Bank Trust Company Ltd*** [1980] Ch.515 it was stated that 'It was not proper for the trustee to confine itself to the receipt of the annual balance sheet and profit and loss account and the chairman's report and to attend the AGM.' The trustee must ensure it 'receives a more frequent and sufficient flow of adequate information' to enable it to step in and prevent the board from embarking upon a hazardous project that may cause harm to the company and loss to the trust. The so-called ***Bartlett*** duty does not require the trustee to monitor the directors' every move, but rather to ensure the trustee realises at an early stage when the directors start to run the business unwisely, so it may intervene and prevent loss.

Example 5.9

The Trustee is under no duty to enquire into, supervise or be involved in any way in the management or conduct of the business of a company in which it holds shares or is otherwise interested and may leave the conduct of the business and affairs of the company wholly to the board of directors.

This is not an exoneration clause that excludes liability for breach. The clause removes the ***Bartlett*** duty owed by a trustee. If the trustee does not owe a duty to supervise management and act to protect the value of the shares, then it cannot be held liable for breach.

1.8.2 Modifying the ***Bartlett*** duty

An ***anti-Bartlett*** clause may remove the trustee's duty to enquire into and supervise management unless the trustee has knowledge (or, sometimes, 'notice') of circumstances which call for enquiry.

Example 5.10

The trustees are under no duty to enquire into the conduct of a company in which they are interested unless they have knowledge of circumstances which call for enquiry.[137]

This clause removes the first element of the ***Bartlett*** duty to enquire into and supervise the business and management of the investee company. But if the trustee becomes aware of circumstances that call for enquiry, the clause does not remove the second element of the ***Bartlett*** duty, namely the duty to act in order to protect the value of the trust assets. Note that in Example 5.10 actual knowledge of problematic circumstances is required before the duty to intervene arises. A failure to intervene when the trustee has knowledge of circumstances which call for enquiry (such as where managers are stealing or dissipating significant corporate assets) will therefore amount to dishonesty or reckless indifference and incur liability for breach of trust.

1.8.3 Exoneration from liability for breach of the *Bartlett* duty

An exoneration clause does not remove the ***Bartlett*** duty. It instead provides the trustee with an exoneration from liability for loss caused by the trustee's failure to comply with such duty.

The exoneration may release the trustee from liability for causing loss as a result of a breach of one or the other or both elements of the ***Bartlett*** duty, namely: (a) the duty to obtain a sufficient stream of relevant information to enable the trustee to supervise management, and (b) the duty to act to protect the value of the shares held in trust.

137. Standard Provisions of the Society of Trust and Estate Practitioners.

Example 5.11

The Trustee shall not be liable for any loss suffered by the Trust Fund arising from its failure to supervise adequately the management or conduct of the business of any company in which it holds shares as part of the Trust Fund; nor shall the Trustee be liable for its omission [made in good faith] *to act in order to preserve and protect the value of such shares* [unless it has knowledge of circumstances that call for enquiry and require the Trustee to act].

A trustee's exoneration clause is, of course, subject to the principle in ***Armitage v Nurse*** [1998] insofar as it may release the trustee from liability for negligent acts or omissions to act. But it cannot release the trustee from liability for dishonest acts or deliberately wilful omissions that the trustee knows will cause loss. Hence, it is usual for the clause to include the limitation contained in square brackets at the end of Example 5.11.

1.9 Power to delegate

Historically, according to common law principles, trustees could not delegate their duties or powers to administer a trust to an agent. A person either assumes the office of trustee, with all the duties and corresponding powers, or does not. Trustees cannot accept the office of trustee and then delegate the job to someone else.[138]

This strict common law rule was established to prevent fraud and protect the beneficiaries. The trustees were appointed by the settlor because they were completely trustworthy. Others, to whom the trustees might be inclined to delegate their powers, might not possess the same integrity. But as asset management began to require more expertise over time, the common law prohibition against delegation was relaxed so that trustees could employ an agent to assist them in the management of the trust assets, but only in one of the following limited circumstances. Either:

(a) the engagement of an agent was authorised in the trust instrument,[139] or
(b) it was necessary in so far as it is impossible for the trustees to carry out the proposed acts themselves and persons would, in the ordinary course of business, employ agents in similar circumstances.[140]

In these circumstances, it became common practice for an express power to be conferred upon trustees, in the trust instrument, authorising them to delegate their powers to assist them in carrying out trust administration, to professionals such as attorneys, lawyers, brokers, investment advisers, bankers, accountants, etc. A specimen clause is illustrated in Example 5.12, below.

Example 5.12

The Trustees may, instead of acting personally, employ, and pay at the expense of the Trust Fund, agents in any part of the world [whether attorneys, bankers, accountants, stock brokers, investment managers or other agents] *to transact any business in connection with this Trust.*

138. ***Turner v Corney*** [1841] 5 Beac 515.
139. ***Kilbee v Sneyd*** (1828) 2 Moll 186.
140. ***Speight v Gaunt*** (1883) 9 App Cas 1 – for example, the delegation of powers to carry out trust administration to an attorney, stockbroker, banker or accountant.

Even though by the 19th century the delegation of trustees' administrative powers to agents was allowed, trustees were still required to comply with a reasonable standard of prudent care in the choice of agent. Furthermore, agents must be employed to act only within the area of their expertise, and the trustees owe a duty of reasonable care to supervise the actions of the agents.[141] So trustees could delegate by engaging agents but could still be held liable if, for instance, their agents turned out to be incompetent, strayed outside their areas of expertise causing loss to the trust, or stole from the trust fund. The express power to delegate was, therefore, usually accompanied by a specific exoneration clause, similar to Example 5.13. The latter part of the clause exonerates the trustees from liability for loss caused by the acts or defaults of their agents, provided the agents were engaged in the first instance in good faith.

Example 5.13

The Trustees may, instead of acting personally, employ, and pay at the expense of the Trust Fund, agents in any part of the world … to transact any business in connection with this trust without being responsible for the fraud, dishonesty or negligence of such agents provided employed in good faith.

In the 20th century, it was recognised that the common law rules were too rigid and onerous and that most professionally drawn trusts contained a clause similar to Example 5.13. England therefore enacted new implied powers of delegation by legislation when it passed the Trustee Act 1925.

Section 23(1) of the Trustee Act 1925 states:

Trustees … may, instead of acting personally, employ and pay an agent, whether a solicitor, banker, stockbroker or other person to transact business (for) … the trust … and shall be entitled and paid all charges and expenses so incurred, and shall not be responsible for the default of such agent if employed in good faith.

A number of jurisdictions have included similar provisions in their trust legislation, based upon the 1925 Act model.[142] It could be argued, therefore, that an express clause permitting delegation and conferring an exoneration similar to Example 5.13 is now superfluous, as its provisions are implied by legislation. Nevertheless, it is still usual to find an express clause giving the trustees wide powers to delegate by permitting them to employ agents in almost any circumstances and containing an exoneration from liability for loss arising from the default of the agent.

An issue arose under s.23(1) of the Trustee Act 1925 (and its offshore equivalents) about

141. ***Re Weall*** (1889) 42 Ch D 238.
142. The Bahamas – s.30 of the Trustee Act 1998 is based upon the 1925 Act but also lists 'investment adviser and investment manager' as agents to whom the trustee may delegate; Bermuda – s.15A of the Trustee Act 1975 as amended permits a trustee to delegate 'delegable functions' which are defined in s.15B as including discretionary investment powers; the BVI – s.24 of the Trustee Ord Revised Edition reproduces the 1925 Act; Cayman Islands – s.29 of the Trusts Act 2021 Rev reproduces the 1925 Act; Dubai – art.70(1) of the DIFC Trust Law 2018 permits a trustee to delegate when 'permitted to do so by this law, or by the terms of the trust'. Article 70(2) permits delegation to persons 'that a prudent trustee of comparable skills could properly delegate' presumably including investment managers; Guernsey – s.33 of the Trusts (Guernsey) Law 2007 permits a trustee to delegate by engaging (a) the management of trust property to investment managers ... (b) professional persons; Hong Kong – s.25 of the Trustee Ordinance originally reproduced the 1925 Act but was amended in 2013 to include s.41B and s.41C which permits a trustee to delegate 'delegable functions', so trustees can now delegate all of their functions including investment management which is subject to s41F; Isle of Man – s.11 of the Trustee Act 2001 permits a trustee to delegate 'delegable functions', including investment management. Jersey – art.25 of the Trusts (Jersey) Law 1984 as amended permits a trustee to delegate to investment advisers or investment managers; Singapore – s.25 of the Trustee Act Cap 337 originally reproduced the 1925 Act but was amended in 2004 and replaced by s.41B which permits a trustee to delegate 'delegable functions' including investment management which is subject to s.41F.

which matters may be delegated to agents. It was held in ***Re Vickery v Stephens*** that trustees may only delegate administrative acts and not their discretions.[143] In other words, trustees can delegate to an agent the task of implementing a decision that the trustee has already reached, but not the actual making of that decision. This prohibition against delegating a trustee's discretions is particularly important in relation to the investment of the trust fund. This is because it permits the engagement of an investment adviser, but not an investment manager. You will recall the difference that:

- when trustees engage an investment adviser, the adviser makes recommendations to buy and/or sell securities (which must be approved by the trustees), but
- when trustees engage an investment manager, the manager will buy and sell securities on their own initiative whenever they, as the agent, deem it appropriate, without first consulting the trustees.

Accordingly, and especially when the power to invest is to be delegated to an investment manager on a discretionary basis, it was necessary to have an express clause authorising the appointment of an investment manager with power to select investments without specific authority from the trustees (Example 5.14).

Example 5.14

The Trustees may engage any person, partnership or entity (the 'Investment Manager') as investment manager to advise upon or to manage the investment of all or any part of the Trust Fund including the power to delegate the discretion to manage the Trust Fund within the limits and for the period stipulated by the Trustees. The Trustees may settle the terms, conditions and remuneration of the Investment Manager as they in their discretion think fit.

A number of jurisdictions (including those identified in footnote 142 above) amended their legislation which was originally based upon s.23(1) of the Trustee Act 1925 to confer upon trustees a power to delegate their 'delegable functions', which includes a statutory power to engage investment managers. Nevertheless, it is still common to find an express power to do so in the trust instrument as well as an exoneration clause that exonerates the trustees from liability for the default of the investment manager, insofar as the sub-clause shown in Example 5.15 is typically added to Example 5.14.

Example 5.15

The Trustees shall incur no liability for any action taken pursuant to or otherwise following the advice of the Investment Adviser, howsoever communicated.

Or, where investment managers are retained on a discretionary basis:

The Trustees shall not be liable for loss caused by the acts or default of the Investment Manager retained pursuant to the above provisions.

Corporate trustees typically exercise their power to delegate and engage agents

143. ***Re Vickery, Vickery v Stephens*** [1931] 1 Ch. 572.

in the administration of a trust by way of trustees' resolution, an example of which is illustrated in Appendix 23.

1.10 Power to sue and/or compromise claims

Trustees are under a duty to protect the trust assets. This may involve commencing lawsuits in order to pursue outstanding debts due to the trustees or claims against third parties. The trustees, of course, have implied power to seek legal advice and bring legal proceedings in their own name on behalf of the trust in a court of law. No special power is required in the trust instrument in order for trustees to bring a lawsuit against, for instance, tenants for outstanding rent, or against third parties for compensation for damage caused to trust property or to recover trust assets.[144] Sub-clause (1) of Example 5.16 is, therefore, arguably superfluous. The compromise of claims is a different matter.

Claims are often settled by a compromise before the filing of a lawsuit or before the case reaches trial. It is, therefore, necessary for trustees to be given a power to compromise or settle claims that they make, or that are made against them. In the absence of such a power, the trustees would have to incur the expense of obtaining directions from the court before reaching a final settlement of a claim.

The power to settle claims is now conferred by trust legislation. Most jurisdictions use the English Trustee Act 1925 as a model, and s.15 confers a statutory power upon trustees to compromise liabilities.[145] Notwithstanding these statutory provisions, it is still common for a trust instrument to contain an express power to compromise liabilities, similar to sub-clause (2) of Example 5.16.

In exercising the power to compromise claims, the trustees must balance the merits of the claim against the cost of pursuing or defending it, and exercise their discretion, after taking legal advice, in the interests of the trust.[146] But, if a trustee exercises the power to compromise a claim negligently, without justification, for a grossly inadequate consideration, such trustee can be held liable to the beneficiaries for breach of trust. For these reasons the express provisions may include an exoneration similar to the final couple of lines in sub-clause (2) of Example 5.16. In these circumstances the trustees are released from liability for entering into an erroneous compromise provided they acted honestly and in good faith. When the compromise is particularly 'momentous', involving many millions of dollars, it is still advisable to seek the 'blessing' of the court to the terms of the settlement under what is known as a category two application under ***Public Trustee v Cooper***.[147] In these circumstances, if approval of the compromise settlement is granted by the court, the trustees cannot be subsequently held liable for committing a breach of trust.

144. ***Re MF Global UK Ltd*** [2014] EWHC 2222 (Ch).

145. Section 15 of the Trustee Act 1925 states that Trustees may '…(c) pay or allow any debt or claim…(e) allow any time for payment…(f) compromise, compound or abandon or otherwise settle any debt, account or claim whatsoever relating to the ... trust … and for that purpose may enter into … such agreements as seem expedient, without being responsible for any loss occasioned by any act or thing done by him of them in good faith'.

The Bahamas – s.20 of the Trustee Act Cap 176 reproduces the 1925 Act; Bermuda – s.6 of the Trustee Act 1975 reproduces the 1925 Act; the BVI – s.16 of the Trustee Ord reproduces 1925 Act; Cayman Islands - s.21 of the Trusts Act 2021 reproduces s.15 of the Trustee Act 1925; Dubai – art.68(o) of the DIFC Trust Law 2018; Guernsey - s.31 of the Trusts (Guernsey) Law 2007 confers a power to sue and compromise; Hong Kong – s.16 of the Trustee Ordinance reproduces 1925 Act; Isle of Man – s.13 of the Trustee Act 1961 reproduces 1925 Act; Jersey – art.24 of the Trusts (Jersey) Law 1984 as amended confers upon trustees all of the powers of a natural person; Singapore – s.16 of the Trustee Act Revised reproduces the 1925 Act.

146. ***Re Esekiel's ST*** [1942] 2 All ER 224.

147. ***Public Trustee v Cooper*** [2001] W.T.L.R. 901.

Whenever a corporate trustee exercises its power to bring or defend legal proceedings or to compromise such proceedings it will usually do so via a trustees' resolution (see Appendices 24A and 24B, respectively).

Example 5.16

(1) *The Trustees may bring or defend any lawsuits, actions or other legal proceedings affecting the Trustees or the Trust Fund*

(2) *The Trustees may compromise any matters of difference, compound any debt or claim and/or adjust any disputes in relation to debts or claims made by or against them as the Trustees think fit, in each case upon the evidence that the Trustees shall in good faith deem sufficient and without being responsible for any loss occasioned thereby.*

1.11 Power to appropriate or distribute *in specie*

If the trustees wish to distribute an identified asset from the trust fund *in specie* (rather than in cash), a specific power should be included in the trust instrument. In the absence of an express power, such as that set out in Example 5.17 below, the consent of the beneficiary is required unless applicable trust legislation provides otherwise.

Example 5.17

The Trustees may make any distribution of the Trust Fund pursuant to the trusts thereof in cash or in kind, or partly in cash and partly in kind, and may for this purpose appropriate and/or apportion the Trust Fund in any manner that the Trustees think fit.

1.12 Power to vary administrative provisions

Example 5.18

The Trustees may by deed amend or add to the administrative provisions of this trust.

This power may be included in a trust instrument to empower the trustees to incorporate any additional administrative provisions that they regard as necessary for the proper performance of their duties. It gives the trustees power to revise or add to their administrative powers if a future need arises.

The power may be exercised only to vary administrative powers for the management of the trust and the trust property. It does not permit a variation of the dispositive powers conferred, or duties imposed, upon the trustees so far as distributions are concerned.

The power is exercisable by the trustees by deed, an example of which can be found in Appendix 25. Even in the absence of a clause similar to that illustrated in Example 5.18, a typical wide form of discretionary trust would, in any event, allow the trustees to settle the trust fund upon new trusts incorporating the required additional administrative provisions.[148]

148. ***Re Banks ST*** [1979] 1 WLR 1242 and see Module 3 section 6.1 hereof.

1.13 Power to pay foreign taxes

There may be a number of other clauses found in the schedule of administrative powers incorporated into an offshore trust instrument that are not necessarily administrative in nature.[149] The most obvious, and the most controversial, is the power to pay foreign taxes.

In order to understand its significance, it is necessary to explain the non-enforceability rule in relation to the payment of foreign taxes.

1.13.1 The non-enforceability rule in *Government of India v Taylor*

There is a generally accepted international conflict of revenue laws rule that the courts of one state will not enforce, by order in a lawsuit, directly or indirectly, the revenue laws of a foreign state.[150]

The rule may manifest itself as follows. Assume that the revenue authority of State A imposes tax upon Mr Taylor, serving a tax demand upon him for $100,000. Mr Taylor neglects or refuses to pay. The outstanding tax may be collected by State A, like any other debt, by the creditor by filing a lawsuit in a court of law against the debtor, seeking an order directing him to pay the $100,000. The courts of State A will enforce the liability by attachment of the debtor's (Mr Taylor's) assets. But if Mr Taylor resides in State B, the courts of State B will not enforce the liability (unless a tax treaty exists between State A and State B, the jurisdiction where the lawsuit is brought). The courts of State B have no jurisdiction to entertain an action to enforce, directly or indirectly, the collection of taxes due to State A or any other foreign state. The tax becomes unenforceable.

This is known in the UK and elsewhere in the common law world as the rule in ***Government of India v Taylor***[151] and is recognised by most countries across the globe. It is against this principle that we can now analyse a trustee's liability to pay foreign taxes.

1.13.2 Circumstances when a trustee *must* pay foreign taxes

If the claim by a foreign revenue authority is enforceable against the offshore trustees then the tax must be paid. It is a lawful debt. If it is not paid the foreign state will bring a lawsuit against the trustees, obtain judgment and recover the tax due (no doubt together with interest, penalties and costs). Furthermore, the trustees may be in breach of trust. The trustees are under a duty to pay enforceable taxes and they are entitled to be reimbursed by the trust. Payment is a proper expense and the trustees are therefore entitled to an indemnity from the trust fund.[152]

There may not be any taxes within this category when the trustees reside or, if a corporate trustee, has been incorporated offshore and the trust is wholly managed

149. See, by way of example, the precedent schedules containing administrative powers for the 17 offshore jurisdictions reviewed in *International Trust Precedents*, published by Sweet and Maxwell, London.
150. *Dicey and Morris on the Conflict of Laws*, 13th edition, Sweet and Maxwell 2000. There is, however, provision for mutual enforcement of taxes within the EU. This was implemented in the UK by the Finance Act 2002 and covers income tax, corporation tax, capital gains tax, petroleum revenue tax and development land tax. There is no mention of inheritance tax or foreign succession taxes, but foreign wealth taxes are included.
151. [1955] AC 491.
152. ***Re Baron Grimthorpe*** [1958] 1 All E R 765.

from a nil- or low-tax offshore financial centre. Nonetheless, if the offshore trustees do become liable to pay an enforceable tax due to a foreign state (such as withholding or foreign property taxes) the amount of the tax is an administrative expense. Accordingly, no special power is required in order for the trustees lawfully to pay it.

1.13.3 Circumstances where a trustee *may* pay foreign taxes

If trustees pay foreign taxes that are unenforceable against them, the trustees are arguably in breach of trust unless such payment is authorised.

Offshore trustees are authorised to pay unenforceable foreign taxes *only* when:

- payment is made pursuant to a dispositive power to benefit a beneficiary, or
- payment is made pursuant to an express power in the trust instrument.

Trustees can always use their dispositive powers to pay unenforceable foreign taxes (or, moreover, make a distribution to or for the benefit of a beneficiary to enable those taxes to be paid).

For example, assume that a trust is established by Settlor, who transfers assets to Offshore Trustee to hold upon trust for Beneficiaries. Offshore Trustee wishes to distribute $10,000 to Beneficiary who resides in Onshore State where the distribution will be subject to income tax. Offshore Trustee may make a net-of-tax distribution to Beneficiary and pay the taxes due from Beneficiary direct to the revenue authorities of Onshore State. This is no different than making a gross distribution to Beneficiary and leaving it up to him/her to pay his/her own tax liability. No special power is required to enable the trustees lawfully to make this payment as it is no more than a distribution 'to or for the benefit' of an identified beneficiary. What is interesting in this scenario is that Offshore Trustee cannot lawfully pay the taxes owing by Settlor to the revenue authorities of Onshore State unless Settlor is also a beneficiary of the trust.

In view of the somewhat complex situation described above, it is becoming typical for a modern trust instrument to include an express provision that confers upon the trustees a power to pay foreign taxes, whether or not payment is enforceable against the trustees. This is a power, not a duty, and so does not require the offshore trustees to pay unenforceable foreign taxes, but gives the trustees an authority to do so if they so wish. A typical clause is shown in Example 5.19.

Example 5.19

In the event that any tax [including income tax, capital or estate taxes, gift or wealth tax or other duties, taxes or fiscal impositions whatsoever] *becomes payable in any part of the world in respect of the Trust Fund or any part thereof in any circumstances whatsoever, the Trustees may pay all such duties and taxes out of the Trust Fund or the income thereof notwithstanding that the same shall not be recoverable from them* [or that the payment is not for the benefit or advantage of any Beneficiary].

A critical issue for the trustees is when and in what circumstances they should exercise the power to pay unenforceable foreign taxes. The answer depends upon whether the power to pay foreign taxes is fiduciary in nature or not.[153]

- If the power is construed as being fiduciary in nature it must only be exercised in the best interests of the beneficiaries.
- If the power is construed as a personal power, it may be exercised in any manner the trustees think fit, irrespective of whether payment is for the benefit of the beneficiaries.

As a matter of construction, the last words, in square brackets, of Example 5.19 make it pretty clear that a personal power has been conferred upon the trustees of this particular trust. Accordingly, the trustees may, if they so wish, exercise the power to protect themselves from potential future liability, or pay such taxes when it is in the best interests of the settlor or others. For instance, the trustees may pay foreign taxes in order to avoid the onshore revenue authorities' enforcement of payment thereof against the settlor. Payment of the settlor's tax liability would amount to a breach of trust if the power was drafted as a fiduciary power which, of course, must be exercised solely for the benefit of the beneficiaries rather than the settlor.

2. Indemnification and exoneration of the trustee

Before corporate trustees agree to take on trust business, they will assess the risk factor. If they foresee a risk that they may end up as a defendant in a lawsuit, the trustees may decline the business or, at least, adjust their scale of fees accordingly. Trustees, in general, take on new business only when they are adequately protected from liability to the extent permitted by law. In particular, trustees usually require:

- an indemnity from the trust fund in respect of any liability that they may incur to third parties during the course of their administration of the trust, and
- a restriction upon the extent of the liability that they may incur to the beneficiaries for breach of trust, also known as an exoneration or exemption clause.

2.1 Indemnity

A trustee is impliedly entitled to be reimbursed out of the trust fund for all expenses properly incurred during the administration of the trust. As the court said in ***Re Grimthorpe***,[154] the trustees 'are entitled to be paid back all that they have had to pay out'.

This indemnity applies to all expenses that are, in the circumstances, reasonably and properly incurred by the trustees, including the following.

2.1.1 Attorney's costs and legal and other professional fees

Trustees are entitled to an indemnity from the trust fund for attorney's costs, legal and other professional fees that they incur in connection with the administration of the trust, provided it was reasonable to incur them.

153. This was the issue debated in ***Bank of Nova Scotia v Tremblay*** (1998/9) 1 ITELR 673.
154. [1958] Ch 615.

As the costs incurred in prosecuting or defending a lawsuit may be enormous, the trustees are well advised, as soon as litigation is contemplated, to make an application to the court for an order, known as a 'Beddoe Order,[155] granting leave to bring or defend proceedings. The Beddoe Order essentially guarantees that the future anticipated legal costs are deemed to have been reasonably incurred.

2.1.2 Damages recovered by third parties

For instance, in ***Benett v Wyndham***[156] a trustee directed his workman to cut down certain trees on land owned by the trust. Unfortunately, a tree fell on a pedestrian, who was injured. The pedestrian sued both the workman and the trustees for negligence and was awarded substantial damages. The trustees were entitled to be indemnified out of the trust assets and reimbursed for all the compensation that they were ordered to pay to the victim.

2.1.3 Liabilities incurred in carrying on a business owned by the trust

If trustees incur personal liability, for instance, in carrying out a transaction in relation to a business owned and controlled by them, they are entitled to an indemnity out of the trust fund.

Notwithstanding the extent of the indemnity implied by common law principles, it is still usual and comforting to trustees to see an extensive express indemnity in the trust instrument, such as the one in Example 5.20 below.

Example 5.20

Any liability incurred by or imposed by law upon the Trustees to a third-party by reason of any transaction, act or omission in the administration of the Trust shall be met out of the Trust Fund unless such liability arises from or out of the fraud, wilful misconduct, wilful default, bad faith [or gross negligence] *of the Trustees.*

2.2 Exoneration or restriction of liability

Modern trust instruments typically contain express exoneration clauses to exempt, exclude or limit the liability of the trustees for acts or omissions that would otherwise amount to a breach of trust committed in the administration of the trust. It is also likely that there will be further, more specific, exoneration clauses that release the trustees from liability for acts or omissions in the performance of specific aspects of management, such as investment of the trust fund, and delegation to, and employment of, agents and custodians, etc.

A general exoneration clause is illustrated in Example 5.21 below.

155. ***Re Beddoe*** [1893] 1 Ch 54.
156. (1862) 4 De G F & J 259.

Example 5.21

The Trustees shall not be liable for any loss suffered by the Trust Fund arising by reason of:

(a) any inappropriate or unauthorised investment made in good faith
(b) the negligence or fraud of any agent employed by the Trustees in good faith even if the employment of such agent was not strictly necessary or expedient
(c) any mistake, act or omission to act made in good faith, or
(d) any other matter or thing except the fraud, dishonesty or wilful default of the Trustees.

A general exoneration clause such as the one illustrated in Example 5.21 is regarded as an essential protection afforded to corporate trustees. It exempts or exonerates the trustees from all liability to the beneficiaries in all cases, except for fraud, dishonesty or other culpable conduct.

These clauses represent a contractual provision which is binding upon the beneficiaries of the trust. They are always construed *contra proferentem*, i.e. if there is any ambiguity in their meaning they will be strictly construed against the trustee seeking to rely on the clause. In short, any ambiguity is resolved in favour of the beneficiaries of the trust rather than the trustees.

There are two issues concerning the reliability and enforceability of the terms of an exoneration clause that the trust practitioner should note:

- the extent to which the trustees may lawfully limit their liability, and
- the extent to which the exonerating provisions must be assented to by the settlor (on behalf of the beneficiaries).

2.2.1 The extent to which trustees may lawfully limit their liability

Care must be taken to ensure that the exoneration from liability is not too wide so as to invite the court to strike it down as unenforceable. If the trustees purport to exclude liability for *all* acts of default in every case, the clause is ineffective and will be struck down as void.

A number of recent cases have reviewed the enforceability (and, therefore, reliability) of the exoneration provisions of modern trust instruments, and have identified different types of conduct, by the trustees, where there are differing levels of culpability. As a general rule, the courts are much more likely to allow trustees to exclude liability for less culpable conduct but are reluctant to allow trustees to wriggle out of liability for conduct that is more culpable. The courts of the offshore jurisdictions are following a line of English authorities that hold that exoneration clauses are ineffective to protect a trustee from the consequences of conduct that is inconsistent with bona fides.[157]
In short, the trustees may not lawfully exclude liability for deliberate misconduct, fraud or dishonesty. To do so would exclude an 'irreducible core' obligation owed by trustees which is fundamental to a trust, namely the duty to act with honesty and good faith.

157. The line of cases starts with ***Rae v Meek*** (1889) 14 App Cas 558 and ends with ***Armitage v Nurse*** [1998] Ch 241.

What exactly do these terms mean? 'Fraud' means dishonesty. 'Dishonesty' means deliberately doing something (or deliberately omitting to do something) that is contrary to the interests of the beneficiaries; or alternatively recklessly doing something (or omitting to do something) not caring one way or the other whether the act or omission is contrary to the interests of the beneficiaries. 'Wilful misconduct' or 'wilful default' means a conscious act or omission to act that is dishonest in nature. 'Mala fides' means absence of good faith and is just another way of saying dishonesty.

The trust instrument may, therefore, lawfully release the trustees from liability for causing loss to the trust arising from anything other than deliberate misconduct, fraud or dishonesty, such as:

- negligence, specifically where the trustees have inadvertently acted (or failed to act) as a reasonably competent and prudent person would have acted in similar circumstances, and
- acts or omissions made in good faith, specifically acts deliberately done or omitted during the course of the administration of the trust but with bona fides (i.e. with the absence of dishonesty).[158]

It is possible that the trust instrument may lawfully seek to release the trustee from liability for causing loss to the trust arising from gross negligence.

Gross negligence is a concept with which English law is not wholly familiar, save for the law of homicide (whereby the criminal offence of manslaughter is committed by an offender who causes the death of his victim by acting in a 'grossly negligent' manner). In American jurisprudence, 'gross negligence' means a degree of fault that falls short of deliberate wrongdoing but is so far below the standard of care expected in the circumstances of the case that the perpetrator ought reasonably to be held liable. In Jersey and in Guernsey it has been held that gross negligence is a serious or flagrant degree of negligence, which is a serious departure from the normal standards of professional trustees.[159]

Notwithstanding the absence of any clear definition of the term at common law, it is not unusual to find offshore trustees, particularly those trustees who are subsidiaries of US parent institutions, seeking to exclude any liability for acts of 'gross negligence'.

In summary, the trust instrument may not lawfully purport to release the trustees from liability for causing loss to the trust arising from their own: wilful (deliberate) mismanagement or default; acts of bad faith; fraud or dishonesty; or being recklessly indifferent as to whether their conduct is contrary to the interests of the beneficiaries or not.

It was stated by Millett J in ***Armitage v Nurse*** that: 'There is an irreducible core of obligations owed by trustees to the beneficiaries ... that are fundamental to a trust. If the beneficiaries have no rights enforceable against the trustees there are no trusts. But ... these core obligations do not include the duties of skill, care, prudence and diligence.' In other words, a settlor cannot establish a trust on terms wholly of their own choosing. The settlor may include a clause in the trust instrument that modifies

158. ***Fry v Tapson*** (1884) 28 Ch D 268.
159. ***Freeman v Ansbacher Trustees (Jersey) Limited*** [2009] JRC 003; ***Khuller v FNB International Trustees Ltd*** [2019] GRC 063.

the trustees' implied duties together with an exoneration clause that exempts and releases them from liability for failing to act with reasonable care, skill, prudence and diligence. But the trust instrument cannot lawfully exempt and release the trustees from liability for failing to act honestly and in good faith. A clause purporting to do so, even if specifically drafted upon the instructions of the settlor, would be struck down and declared void.[160]

2.2.2 The extent to which exoneration provisions must be assented to by the settlor

In order to be enforceable and to afford protection to errant trustees, the exoneration clause must have been assented to by the settlor. He or she has to be aware of its existence in the trust instrument, understand its terms and appreciate its significance at the time the trust is created. If any of these requirements is missing, there is a grave risk that the clause will be subsequently struck down if challenged in a court of law, thereby exposing the trustees to liability.

There is every reason to believe that the settlor will have examined the final drafts of the trust instrument before its execution and sought advice about provisions that are not clear. The same assumption cannot be made, however, if the document is drafted as a declaration of trust that does not have to be signed by the settlor.

If the settlor does not know of the existence of, the extent of or the meaning of the exoneration clause that purports to limit the liability of the trustees, it is likely that a court will conclude that he or she did not assent to it. The clause will, therefore, be struck down and the trustees prevented from relying upon its terms. The trustees may, therefore, become liable, in a lawsuit brought by the beneficiaries, to pay compensation for loss caused to the trust by reason of the neglect of the trustees (an area of liability that they would otherwise have avoided).

These matters were the subject of a decision of the Royal Court of Jersey in the case of ***West v Lazard Brothers Trustee Company (Jersey) Ltd***. The facts of the case are extremely complicated. Suffice it to say that Mr West was very wealthy and established a complex web of Jersey trusts with Lazard's. At one time, and for reasons that are not relevant, Lazard's transferred certain trust assets and thereby lost a lot of money. Mr West sued, claiming compensation. In their defence Lazard's relied upon a very wide exoneration clause contained in the trust instrument, which said, in effect, that the trustees can never be held liable for their actions in acting as trustees of the West trusts.

It was held by the Royal Court of Jersey that:

- wide exemption from liability clauses will be struck down and declared unenforceable if they purport to exclude the trustees from all liability whatsoever and howsoever incurred; trustees cannot exclude liability for fraudulent acts or omissions (acts knowingly done or omitted), although they may exclude themselves from liability for negligence (acts inadvertently done or omitted), and

160. As a postscript to this topic, it is worth noting that while the current law may well be fairly lenient towards trustees in its approach to exoneration clauses in trust instruments, they have been the subject of some criticism by the judiciary in the UK and by some politicians. In fact, the Law Committee of England and Wales published a consultation paper on 2 December 2002 recommending that professional trustees should not be able to rely upon widely drafted exoneration clauses to avoid liability for professional negligence. The Commission noted that 'The current law [in the UK and, hence, at common law] is too deferential to trustees, in particular professional trustees'. The Law Commission did not bring forward final recommendations and the law has not been reformed. Instead, both STEP and the Law Society in England were invited to introduce codes of conduct to ensure that the settlor clearly understands and accepts the terms of an exoneration clause in a trust and, where necessary, receives independent advice. Consultative Paper No. 171, for a full text of which see *www.lawcom.gov.uk*.

- if the exoneration and indemnity clauses are contained in the trust instrument disguised as standard 'boiler-plate' terms, they must be expressly brought to the attention of the settlor, before or at the time of the creation of the trust, otherwise they may be struck down and held to be unenforceable.

There was, of course, no dishonesty or fraud on the part of Lazard Brothers in the ***West*** case but the court did find that the firm had acted in a recklessly indifferent manner. The court, therefore, struck down that part of the exoneration clause that purported to exclude the trustees from all liability and allowed Mr West to seek and, indeed, recover substantial damages.

Accordingly, an exoneration clause should only be inserted in a trust instrument when the settlor gives informed consent. It may be the case that the trustees would refuse to act unless there is a wide exoneration clause that protects them from liability for negligence. Nonetheless, this is no excuse for inserting the clause in a standard, take-it-or-leave-it, trust instrument and hoping that the settlor does not take issue with it!

3. Charging (remuneration) clause

Example 5.22

The Trustees, being a trust company authorised to undertake trust business, shall be entitled (in addition to reimbursement of its proper expenses) to remuneration for all services it provides on behalf of the trust in accordance with its published terms and conditions for trust business in force from time to time, [or in accordance with terms and conditions agreed between the Trustees and the Settlor (or Protector)].

The discussion of the topic of trustees' remuneration in Module 2 section 2 showed that an express right to receive remuneration must be included in the trust instrument, otherwise the trustees are not entitled to charge by virtue of their fiduciary position.

The clause illustrated in Example 5.22 contains the most flexible form of charging clause in so far as it authorises payment in accordance with the trustees' standard terms and conditions (or in accordance with terms agreed with the settlor or protector). This enables a corporate trustee to keep its standard terms and published fee structure under constant review and to charge accordingly.

Note that the trustees' standard terms should authorise not only direct remuneration but also indirect remuneration. The trustees may prefer to see the authority receive indirect remuneration expressed within the trust instrument itself, in order to avoid any issue developing in due course in relation to whether a particular item is authorised or not. In this case, a clause similar to Example 5.23 may be used.

Example 5.23

(1) *The Trustees may act and be remunerated as a director or other officer or as agent or adviser of any company that holds assets for the Trust or is in any way connected with the Trust Fund and shall not be liable to account for any remuneration received by the Trustees in such capacity.*

(2) *The Trustees may act as banker, broker, underwriter or other agent and to retain any brokerage or other commission or remuneration which may be received or earned by the Trustees in respect of any transaction carried out on behalf of the Trust, for which the Trustees are, in the normal course of business, allowed brokerage or other commission or remuneration.*

Sub-clause (1) of Example 5.23 authorises the trustee to charge for the provision of directorships and administration of the company underlying the trust. Sub-clause (2) is required when the trust company is part of a banking and financial services group and it is intended that other subsidiaries of the group will be appointed as the trustee's banker and broker; this sub-clause entitles the group to retain bank fees and brokerage commissions, etc.

As with the trustees' exoneration clause, the clause conferring the right to charge remuneration ought properly to be drawn to the settlor's attention at the time the trust is created.

4. Retirement, appointment and removal of trustees

The statutory provisions in relation to the retirement, removal and replacement of trustees are often extremely complicated. It is, of course, possible to rely simply upon these statutory provisions, in which case the trust instrument may remain silent on the matter. In most offshore trusts, however, there are often detailed express provisions stating how trustees may retire, be removed, and in the case of new trustees, be appointed. See Module 2 section 3.2.

5. Proper law, forum and administration

Example 5.24

(1) *The proper law of the Trust shall be that of* [jurisdiction] [and all rights hereunder, and the construction and effect of this Trust, shall be construed according to the laws of [jurisdiction].]

(2) *The courts of* [jurisdiction] *shall be the exclusive forum for the adjudication of issues, disputes and other questions arising in connection with the Trust and the administration thereof.*

(3) *Notwithstanding sub-clauses (1) and (2), the Trustees may at any time* [with the consent of the Protector] *declare by deed that the Trust shall be governed by the laws of any other jurisdiction...*

Sub-clause (1) of Example 5.24 is a conclusive selection of the law that governs the trust.

Sub-clause (2) is a submission to the authority of the courts of the selected forum or state. A common express provision found in older trusts is for a chosen country to be 'the forum for the administration of the trust'. It was held in ***Crociani*** that such a clause is ambiguous insofar as it is not a jurisdiction clause at all, but merely a statement of a geographical place where the administration of the trust is to take place.[161] The provisions in Example 5.24 are clear and unambiguous as that they refer to a court of the chosen jurisdiction being the exclusive forum for adjudicating disputes relating to the trust. For the avoidance of doubt, this requires the parties to any dispute relating to the trust (e.g. relating to its validity, construction, administration or breach) to bring proceedings before the courts of the selected country. The governing law and the forum for adjudicating disputes are usually the same jurisdiction.

Sub-clause (3) of Example 5.24 permits a change of the governing law; the precise terms of the clause, and the provisions permitting a change of the proper law, are reviewed in Module 6.

6. Power to revoke

The common law rule in England is that, if the trust instrument is silent on the question of revocability, the trust is deemed to be irrevocable. In other words, a trust is revocable only if a specific power to revoke is contained in the trust instrument.[162] Out of an abundance of caution, however, the trust instrument will often state whether it is revocable or not. When the trust is to be revocable, the revocation clause should state who can revoke it, when and how.

Example 5.25

This Trust is irrevocable, or

The Settlor may at any time by deed [written notice to the trustees] *revoke this Trust either wholly or in part*.

When the power to revoke is exercised, the trust assets revert to the settlor. The mere possibility of this happening, however, may adversely affect the settlor's onshore tax position. Accordingly, irrevocable trusts are more common, save for settlors from civil law jurisdictions whose tax laws have yet to tackle the concept of the trust, whether revocable or otherwise, or the trust was not created for tax avoidance or asset protection purposes.

A specimen deed of revocation is illustrated in Appendix 26.

7. Execution

There is no legal requirement for a trust to be in writing or for it to be executed as a deed. In practice, however, most *inter vivos* trust instruments are drafted as deeds. Others are simply written documents that are 'signed under hand'. It does not really matter which form is used. But what is the difference?

161. ***Crociani v Crociani*** [2014-15] 17 ITELR 624, [2017] JRC 146.
162. ***Re Hall ST*** [1937] 1 Ch 227.

A deed must traditionally be 'signed, sealed and delivered'. A deed is sealed by the presence of a wax or adhesive seal. A deed is 'delivered', not by a physical act of delivery of the document to the other party, but by an indication that the parties intend the document to become binding upon them. This usually occurs when the document is signed and dated, but not necessarily so, when, for instance, it is signed in escrow in readiness for a formal 'closing'.

Nowadays, a formal seal can be dispensed with and the document merely described as being executed as a deed in the manner illustrated in Examples 5.26 and 5.27.

Example 5.26

Signed and delivered as a deed	)	
by the Settlor in the presence	)	______________________
of,	)	
WITNESS		

Example 5.27

Executed and delivered as a deed	)	
for and on behalf of [Name] Trust	)	______________________
Company by [director] and by	)	
[director] in the presence of,	)	______________________
WITNESS		

8. Powers of protectors

For the sake of simplicity, the above analysis of a typical trust instrument has not dealt with some of the more usual powers conferred upon a protector. The role of the protector, their legal position and the powers generally conferred upon the protector by the settlor, are discussed in Module 7.

Task 5.2

Review your standard in-house precedent form of discretionary trust in use in the trust company where you work or have some connection.

Compare and contrast your in-house precedent with the provisions illustrated in Examples 5.1 to 5.27 above. Note any inconsistencies in:

- the trustees' administrative powers
- the trustees' exoneration and indemnity
- the remuneration clause
- provisions for retirement, removal and appointment of trustees
- proper law and forum
- irrevocability, and
- the execution clause.

If you find any provisions in your in-house precedent that you do not understand, find time to discuss the matter with a mentor, line manager or a colleague. Alternatively, raise the matter with the course tutor.

Learning outcomes

By the end of this module you should:

- be able to construe some of the standard provisions and powers that you as trustee may wish to exercise during the administration of a trust
- understand the administrative powers contained in modern trust legislation, which apply even if not listed in the trust instrument
- be familiar with the standard administration provisions found in a typical long-form trust instrument
- understand the prudent investor rule and its modifications
- be able to explain the ***Bartlett*** rule
- be able to explain when it is permissible to delegate and the clauses typically included to allow this
- understand when it might, and might not, be appropriate to pay foreign taxes on behalf of the trust, the settlor or the beneficiaries
- be able to decide the particular provisions that should be included in a draft trust instrument, given what the trust is designed for and the particular risks faced
- be able to explain the meaning of common clauses in order that you may interpret them for the settlor, a beneficiary or third party, and
- understand the limits on the indemnification and exoneration clauses that may be included in a trust instrument.

Module 5:

Self-Assessment Questions

1. List some of the statutory powers enjoyed by trustees of a trust governed by the laws of the jurisdiction in which you work or have some connection.
2. Describe three styles of drafting the express powers conferred upon trustees by express provision in a trust instrument. Identify the advantages of each and consider: (a) which is used by your firm, and (b) which you prefer.
3. Summarise the express powers of investment conferred upon trustees by a typical long-form trust instrument.
4. Explain the trustees' implied duty when exercising their power of sale in regard to risk and diversification. How, if at all, may this duty be overridden or modified by the trust instrument? Consider the reason why a settlor may wish to modify or exclude these duties.
5. Explain the typical express power conferring upon trustees the authority to lend money and give guarantees. Is the exercise of this power considered to be an investment?
6. If trustees intend to use the trust fund to operate a business, they must be given power to do so in the trust instrument. In practice, however, trustees would be better advised to trade by an alternative method. Describe that method.
7. Why may trustees require an express power to insure trust property?
8. Review the facts of ***Bartlett v Barclays Bank Trust Co.*** What principles were decided? Describe the express provision found in a trust instrument that is designed to restrict the implied obligation of trustees to supervise the activities of underlying operating companies held in trust.
9. Trace the evolution of the common law rule relating to the trustees' ability to delegate any of their powers to an agent to help in the administration of a trust. The engagement of agents is permitted nowadays under statutory powers and also, usually, by express powers conferred by the trust instrument. Having exercised a typical statutory or express power to delegate and having appointed an agent (such as an investment adviser) can trustees be held liable for the acts or defaults of their agents?
10. The power of trustees to delegate and engage agents to assist the trustees in their investment of the trust fund may be exercised on one of two bases. Distinguish the basis of each.
11. Why is a power to settle or compromise claims or lawsuits often included in a trust instrument?
12. Explain the purpose behind the typical power to appropriate trust assets *in specie*.
13. In what circumstances may the trustees add to or amend their administrative powers?

14. Settlor creates an offshore trust by transferring assets to Trustee, a trust company incorporated and conducting trust business wholly from an offshore nil-tax centre. The beneficiaries are A, B and/or C, all of whom reside onshore. In what circumstances may Trustee pay the following taxes?

    i. Taxes imposed upon Trustee in the onshore jurisdiction where Settlor resides

    ii. Taxes imposed upon A, B and/or C by the tax authorities where they reside for tax purposes

    iii. Those taxes imposed upon Settlor. Trustees have an implied right to an indemnity from the trust fund. What does this mean and in what circumstances may a trustee exercise such right to an indemnity?

15. Modern trust instruments contain express exoneration clauses to exempt or release the trustees from liability for breach of trust. To what extent may trustees lawfully exclude or limit their liability in this way? How are the limitations to a trustee's exoneration justified in law?

16. What is the difference between an indemnity clause and an exoneration clause in a trust instrument?

17. Review the facts of ***West v Lazard Brothers Trustee Company (Jersey) Ltd***. What was decided in the case and how does it impact the way the settlor should execute the trust instrument?

18. A trust instrument is silent on the matter of revocability. Is the trust revocable or not? How is a trust made revocable and what are the consequences of revocation?

19. Does a trust instrument have to be executed as a deed?

Module 6:
Choice of Law to Govern the Trust

Module 6:

Choice of Law to Govern the Trust

Learning objectives

The purpose of this module is to:

- introduce some common law conflict of laws principles used to ascertain which system of law should govern a particular transaction or occurrence
- explain the significance of conflict of laws rules in relation to multi-jurisdictional offshore trust issues whereby a trust is governed by its *proper law*
- analyse typical modern statutory conflict of laws rules enacted in offshore jurisdictions in relation to the *governing* law of a trust, and
- familiarise you with the terms of a typical trust instrument that:

  – makes an express choice of law and forum selection
  – provides for a change of governing law, and
  – contains a flee clause.

Introduction to the conflict of laws

Trust practitioners conducting trust business offshore must have a broad grasp of conflict of laws principles (sometimes called 'private international law'). These are the principles that apply whenever a transaction or occurrence involves two or more jurisdictions. Their purpose is to determine which system of law should be applied to resolve legal issues that may arise in connection with that transaction or occurrence.

Suppose you are employed by (or involved in advising) an institution doing business in an offshore centre; you are consulted by a prospective settlor from Latin America who wishes to establish a trust by appointing your trust company as corporate trustee. One of the fundamental questions is: which system of law will govern the trust? Applying the appropriate law determines whether the proposed trust structure is lawful (by applying laws in relation to capacity, certainty, perpetuity, formality, etc.), and determines the effect of the trust, its interpretation and any questions affecting its management.

By way of example, there may be a potential settlor domiciled in State A who wishes to establish a trust in an offshore jurisdiction, State B, by transferring a substantial part of his wealth to trustees situated in State B. The laws of State A prohibit the settlor from transferring such a large proportion of their wealth outside their immediate families, and thus prohibit them from creating the trust contemplated. The settlor asks your opinion as to whether, if they proceed as contemplated, the proposed trust will be valid.

In reality, the international scale of proposed trust structures often makes the issues even more complex. For instance, assume that the proposed settlor is a Brazilian national, but has been living in Canada for the last 15 years and which he considers his permanent home. The trustees are to be a trust institution in the Cayman Islands with a professional protector situated in the Bahamas. It is intended that the trust assets will comprise shares in two underlying companies: the holding company of the settlor's Latin American business empire is incorporated as an exempt company in Bermuda; and a British Virgin Islands (BVI) BC holding a portfolio of stocks and shares. The discretionary beneficiaries comprise a class of persons who reside throughout Europe and South America.

Which system of law should be applied in determining the validity of the trust? Whose laws govern the validity, the effect and the administration of the proposed trust structure? If any issues develop between the various parties, which court and in which jurisdiction should those issues be adjudicated?

These questions are resolved by applying conflict of laws principles.

The first thing to know about conflict of laws principles is that they can be complex. The second thing is that the conflict of laws rules may differ between jurisdictions. There is no international set of conflict rules that are applied uniformly by every jurisdiction globally. Accordingly, it is conceivable that, in the first scenario above, the conflict of laws rules of State A determine that some or all issues relating to the proposed trust should be resolved by the laws of State A applied by the courts of State A, but for the conflict of laws rules of State B to determine that some or all issues should be resolved by the laws of State B, as applied by either the courts of State A or State B!

The next section reviews some of the basic common law conflict of laws principles. This will illustrate just how complex and uncertain the issue can become. Section 2 reviews the features of typical offshore legislation that has sought to reduce the uncertainty and clarify the complexity of the common law by allowing the settlor to select a law to govern the trust, and to select the court of a jurisdiction to resolve trust issues by making express provision in the trust instrument. Finally, section 3 considers the terms of a typical trust instrument dealing with choice of law, forum, change of governing law and 'flee' clauses.

1. Common law conflict of laws principles

As indicated above, conflict of laws rules may differ from jurisdiction to jurisdiction. English common law principles are followed in most common law jurisdictions, including the US. The odd thing is that common law principles were not wholly followed in England, where matters concerning conflict of laws between EU countries are governed by the Brussels Convention 1968. The whole issue of English conflict of laws has been re-visited following the Brexit transition.[163] The civil law jurisdictions have, as you would expect, developed and codified their own conflict of laws rules, which can be quite different from their common law equivalent.

In the examples in the introduction, the critical question is this: which law governs the transaction?[164] In the first scenario, is it the laws of State A or State B (or, possibly,

163. Various European Union Regulations (informally known as 'Brussels 1', 'Rome 1 'and 'Rome 2') harmonised the conflict of laws rules governing court's jurisdiction, applicable law and the recognition and enforcement of judgments across EU member states. But these Regulations only apply to EU member states, and the UK is no longer a member. In response, the UK acceded to the Hague Choice of Courts Agreements Convention 2005 (to preserve the enforcement of jurisdiction clauses per Brussels 1 and choice of law clauses per Rome 1 and 2) and applied to join the Lugano Convention on Jurisdiction and Recognition and Enforcement of Judgments in Civil and Commercial Matters 2007 (to preserve free movement of judgements). Unfortunately, the UK's application to join the Lugano Convention was rejected, which essentially means that the enforcement of judgments falls back to the laws of the state where the judgment is sought to be enforced.

164. In this context, 'transaction' is defined in its widest or loosest sense and includes 'situation', 'structure' or 'occurrence'.

another jurisdiction, State C)? In the second scenario, it could be the laws of many different jurisdictions.

In determining this issue (i.e. which law applies to a particular multi-jurisdiction transaction) we will consider some general common law rules, before looking at the trust-specific common law position and then analysing the problem in the light of modern offshore legislation.

1.1 The common law: choice of law generally

Whose laws govern a transaction or occurrence involving a person domiciled in and/or a citizen or national of State A and a person domiciled in and/or a citizen or national of State B?

The answer, according to common law conflict of laws principles, requires a staged analysis of:

- forum
- characterisation
- application of relevant conflict of laws rules, and if applicable,
- *renvoi*.

1.1.1 Forum

In order for State A to apply its conflict of laws rules to an issue or controversy, the courts of State A must first be in a position to exercise jurisdiction (in this context meaning authority) over the parties to the controversy.

The courts of a common law state generally have jurisdiction (authority) over persons in the following situations.

Physical presence

Courts have authority over all persons who are physically present within the geographical territory of the court's jurisdiction.[165]

Voluntary submission

Courts have authority over other persons who are not physically within the geographical territory of the court's jurisdiction but who voluntarily submit to the jurisdiction of the court. Any person may, by their conduct, submit to the authority of the courts of a particular (foreign) jurisdiction by, for instance, voluntarily taking part in legal proceedings or by appointing a local agent to accept service of court process. When the appointed local agent is served with originating court process[166] within the geographical territory of the court's jurisdiction, it is deemed to be proper service upon the foreign principal as if they were physically present within the territory.

165. The territorial jurisdiction of the High Court in England is, for instance, England and Wales and the territorial waters up to a three-mile limit, but does not include Scotland, Ireland, the Isle of Man or the Channel Islands, or any other place beyond the three-mile limit.
166. For example, a writ, complaint, the court papers or other legal document issued by the court upon the commencement of a lawsuit.

Declaration of long-arm jurisdiction

A court's jurisdiction also covers other persons located anywhere in the world over whom the court declares it has 'long arm' jurisdiction for one reason or another. A common law court often declares that it has authority over a person who is closely connected to that jurisdiction. For instance, because a party, although residing outside the geographical jurisdiction, is nonetheless domiciled within the jurisdiction; or, for instance, because the parties have agreed, usually as a term in a commercial contract, that any issues between them should be resolved by the court of the selected forum; or because the issue between the parties relates to the commission of a tort committed within the jurisdiction or breach of a contract made or performed within the jurisdiction.[167]

Provided the forum court (say, the courts of State A) has jurisdiction over the parties, then it is possible to apply the conflict of laws rules of State A to determine which system of law should apply to, and govern, the transaction. For instance, the courts of State A, upon applying that state's own conflict of laws rules, may determine that it should apply (a) its own laws to resolve the underlying issues, or (b) the laws of State B, or (c) the laws of some other jurisdiction (State C?).

The next stages in the analysis are, therefore, to determine the nature of the controversy, and then to apply the appropriate conflict of laws rules to determine which law should govern.

1.1.2 The nature of the controversy (characterisation)

The nature of the underlying issue or controversy between the (two or more) parties must be determined, characterised and put into a particular category. Only then is it possible to apply the appropriate conflict of laws rules to determine which system of law should govern and be applied to the issue or controversy.

1.1.3 Application of the conflict rules

Different conflict of laws rules apply to different categories of dispute. For example:

- contractual disputes should be resolved by the law of the place that the parties intended to govern the contract; this may be the place where the contract was entered into, or the place where it was to be performed
- a tortious dispute (involving a claim for compensation for a civil wrong such as trespass, defamation, malpractice, etc.) should be resolved by the law of the place where the wrong was committed and loss suffered
- disputes relating to land (including tenancies of immovable property) should be resolved by the law of the situs of the property, i.e. the place where the land is situated
- disputes relating to the validity of a company, its objects or its dissolution should be resolved by the law of the place of its incorporation
- dissolution of marriage, divorce and division of matrimonial assets, etc. should be resolved by the law of the place where the marriage was celebrated or the domicile or residence of one or both parties

167. These examples, formerly set out in the Rules of the Supreme Court (Order 11), are now found in the new Civil Procedure Rules 1998 applicable to England and Wales. Similar principles are found in local rules of court made in the common law offshore centres, for example the Grand Court Rules 2023 Revision of the Cayman Islands.

- a dispute relating to the succession on death to movable property should be resolved by the law of the place where the deceased was domiciled immediately before death, and
- an issue or other controversy relating to a trust should be resolved by applying the *proper law* of the trust.

1.2 Trust-specific common law conflict of laws

The million-dollar question is: what is the proper law of a trust?

The proper law of a trust is the law that the settlor intended to govern it and is established by ascertaining the law of the jurisdiction with which the trust has its closest and most real connection. Connecting factors include:

- the terms of the trust instrument, including an express selection and references to the laws of any particular jurisdiction
- extraneous circumstances that exist at the time the trust is established
- the settlor's domicile/nationality/residence
- the trustees' domicile/nationality/place of incorporation
- the place where the trustees administer the trust, exercise their powers and fulfil their duties
- the location of the assets (the law governing issues relating to land will be the *lex situs*, i.e. the law of the jurisdiction where the land is situated), and
- any other matters that may reasonably be taken into account by objective analysis and that are indicative of the settlor's intention and/or point towards a particular system of law.

At first blush, all that settlors have to do is make it clear that they want the laws of a particular jurisdiction, say, State A, to be the proper law. This can easily be done by expressly selecting a proper law of the trust by including a short clause to that effect in the trust instrument, the so-called *professio juris*. An express choice of law would, therefore, determine which law should govern, and be applied to resolve, any underlying issues or controversy that may arise.[168] Unfortunately, the common law is not that simple, nor is it that satisfactory.

For instance, if all other connecting factors indicate that the laws of State B are the proper law, this could, at least in theory, override an express choice of law clause that selects the law of State A as the proper law. Furthermore, the proper law of a trust only governs certain aspects the trust. Other aspects of it may be governed by other laws.

i. Questions relating to the validity of the trust, the interpretation of the provisions of the trust instrument, and the rights of the beneficiaries are, according to common law principles, governed by the proper law.
ii. Questions relating to the administration of the trust, such as the exercise of the trustee's administrative powers, are arguably governed by the laws of the place where the trust administration is being carried out: the so-called law of the administration.
iii. While the proper law governs matters of substantive law (in relation to validity, etc.), any questions of procedure are governed by the law of the forum

168. *Dicey & Morris*, *The Conflict of Laws*, 15th Ed, 2017, published by Sweet and Maxwell, London.

(the so-called *lex fori*). Inevitably, there is considerable overlap between matters of substance and matters of procedure. One of the crucial anomalies is that the availability of remedies to a wronged beneficiary is governed by the *lex fori*. Accordingly, the question of what remedies are available following a breach of trust is governed by the law of the forum where the beneficiary's claim against the trustees is proceeding.

iv. Questions concerning whether the trust has been properly constituted cannot always be determined by the proper law of the trust. Occasionally, these issues can only be determined by the law that governs the transfer of the assets concerned. Assume, for instance, that the settlor wishes to transfer certain intellectual property (such as an interest in a patent, trademark, and/or design, all of which are registered in Liechtenstein) to trustees situated in another offshore jurisdiction. Clearly, the law, practice, procedure and formalities that govern the intellectual property must be followed, not the proper law of the trust. The same principle applies to foreign real estate, which is always governed by the *lex situs,* i.e. the laws of the jurisdiction where the real estate is situated.

Accordingly, notwithstanding the general rule that a trust is governed by its proper law, there is still enough controversy to cause confusion and uncertainty. The uncertainty was cleared up to an extent in England by the case of ***Chellaram v C***[169] in 1985, when it was held that the distinction between items (i) and (ii) above should be abandoned.

Unfortunately (notwithstanding ***Chellaram***), the common law leaves a number of unanswered questions, including the following.

To what extent is a settlor free to choose any particular law as the proper law of the trust?

There has been some doubt expressed as to whether a settlor is free to choose a system of law with which the trust has little or no connection. For instance, may a Latin American settlor who appoints Cayman Island trustees to hold shares in a BVI company select an unrelated law (such as the law of Jersey) as its proper law? A number of academics were of the view that, by analogy with the law of contract,[170] a settlor was only free to choose a law with which the trust has no other connection if the choice does not offend any public policy considerations in the law of the forum.

To what extent is a trust tied to a choice of law when one has been selected?

In other words, if the proper law of a trust is clear (for instance, because one has been expressly selected in the trust instrument), can that selection ever be cancelled or altered? For example, assume that a settlor creates a trust and selects Bahamian law as the proper law. The laws of the Bahamas are subsequently repealed by the introduction of legislation that imposes taxes, mandatory reporting requirements and restrictive investment powers. May the proper law of the trust be changed? English common law[171] suggests that the proper law cannot be changed in these circumstances,

169. [1985] 2 WLR 510.
170. ***Amin Rasheed Shipping Corp v Kuwait Insurance Co*** [1984] AC 50.
171. ***The Duke of Marlborough v Attorney General No 1*** [1945] Ch 7. The English Court of Appeal said: 'It may well be the case that the proper law of the trust can be changed by subsequent events, but we do not see how this can happen without the concurrence of the beneficiaries agreeing to a change of the proper law and thereby, in effect, making a new trust.' The same result arises when the trustees exercise a power of appointment and transfer the trust assets to the trustees of a new trust in a different jurisdiction – this is a new trust governed by different laws rather than a change in the governing law of the same trust. It should be noted that the ***Duke of Marlborough*** case was decided in 1945 and the learned authors of Dicey & Morris are of the opinion that it is unlikely to be followed in a modern context when an express power authorising a change of proper law appears in the trust instrument.

except by means of terminating the trust under the rule in ***Saunders v Vautier***[172] and creating a new trust. Accordingly, the proper law can be changed at common law only if all the beneficiaries, being *sui juris* and together entitled to the whole beneficial interest under the trust, combine together by mutual agreement to terminate the trust and create a new one that is governed by alternative laws.

Even if it is lawful to change the proper law of a trust, outstanding questions still remain as to whether there are any restrictions upon the exercise of such power.

What if, under the new law selected as the proper law, the validity of the trust or its interpretation is affected? Surely a change of the proper law of a trust to the laws of a jurisdiction that invalidates the trust is an improper exercise of the power to change the proper law? What, then, of a change that merely affects interpretation or administration? The common law does not provide an answer.

1.1.4 Renvoi

At this stage in the analysis it is assumed that the courts of the jurisdiction under scrutiny (State A) will accept jurisdiction over the parties (under section 1.1.1, above) and have gone on to characterise the issue and apply State A's own conflict of laws rules (under section 1.1.2 and 1.1.3 above) to determine that the underlying matters in issue should be resolved according to the laws of State B.

You could be forgiven for thinking that the analysis ends here: that the laws of State B should govern and be applied to the issue or controversy. Unfortunately, it is not as simple as that, owing to the effects of the common law conflict of laws principle known as *renvoi*.

Renvoi determines the question of whether the court of the forum (State A) should apply:

- the substantive (i.e. the domestic or internal) laws of State B to the transaction, or
- the substantive laws of State B, together with State B's conflict of law rules.

If the former applies, then the analysis stops there. The substantive laws of State B are determinative of the underlying matters in issue. If the dispute developed into a lawsuit, then the courts of State A would apply the laws of State B to adjudicate upon and decide the matter. There is no need to go on to consider *renvoi*.

If the latter (second bullet point above) applies, then the conflict of laws analysis must continue, and consideration be given to *renvoi*. In particular, it becomes necessary to consider the conflict of laws rules that apply in State B. It may very well be that the conflict of laws rules of State B determine that the laws of State A, or the laws of a wholly different jurisdiction altogether, State C, should apply to resolve the underlying issue or controversy.[173]

172. (1841) 4 Beav 115.

173. For example, in the case of ***Re Annesley*** [1926] 1 Ch 692, a British citizen moved permanently to France, so that under English legal principles he assumed a domicile of choice in France. He then died and the question arose as to which law governed the question of succession to his movable estate: English law (which provides for testamentary freedom) or French law (which provides for forced heirship)? Under English conflict of laws principles the English courts would apply the law of the jurisdiction where the deceased was domiciled at the date of his death to the succession of movable non-land assets (i.e. French law would apply). Under French conflict of laws rules (as indeed in most civil law jurisdictions) the law of the jurisdiction of the deceased's nationality or residence at date of death would apply (i.e. English law). Accordingly, there could be an impasse. Certainly, there is confusion. The courts in such cases must therefore consider the application of *renvoi*.

Unfortunately, to add to the complexity and confusion, there are three possible methods by which such an *impasse* may be resolved. The actual method employed depends upon the ways in which the conflict of laws rules have developed in the jurisdiction concerned. That jurisdiction may:

- apply only the substantive law of the foreign jurisdiction to resolve the underlying issue (in which case *renvoi* is disregarded), or it may
- apply not only the substantive law of the foreign jurisdiction but its conflict of laws rules as well: in applying the foreign conflict rules it may adopt:
  - single (or partial) *renvoi*, or
  - double (or total) *renvoi*.

i. Disregard renvoi

The domestic conflict of laws rules of the jurisdiction under scrutiny (State A in the above example) may provide that only the foreign (i.e. State B) substantive domestic law, not its conflict of laws rules, is to apply to the underlying issue or controversy between the parties. The result is that State B law governs the issue.

ii. Single renvoi

The domestic conflict of laws rules of State A may, however, provide that all the foreign law should apply to the underlying transaction, including the foreign conflict rules. The court of State A would thus be obliged to consider the precise terms of State B's conflict of laws rules. State B's conflict of laws rules determine that matters of succession to movable non-land assets should be governed by the laws of the jurisdiction of the deceased's nationality, i.e. that the underlying issue or controversy should be determined by State A law. State B's conflict rules would thus send the matter back to State A. State A is then required to 'accept the renvoi' and the 'ping-pong' would end there. Thus the internal succession laws of State A would govern and be applied to resolve the issue or controversy.

iii. Double renvoi

This alternative approach to the fact pattern requires the court of the forum to determine how the courts of the foreign jurisdiction would deal with the matter in issue. In the above example, based on the facts of ***Re Annesley***, the courts of State A must assess how the courts of State B would handle the matter. Assume that State B conflict of laws rules determine that the issue should be resolved by the laws of State A, but that the laws of State A determine that it should be resolved by the laws of State B. The matter in issue would therefore be sent back to State B to 'accept the *renvoi*'. Thus the internal domestic laws of succession of State B would govern and be applied to determine the issue or controversy. The ping-pong has gone backwards, forwards and back again – double *renvoi*.[174]

In conclusion, conflict of laws is complex and the solutions developed around the globe are seldom compatible. Even when common law conflict of laws rules are applied by two common law jurisdictions, the decision as to which law governs the transaction is still uncertain. In the past, it has often been difficult to give unequivocal,

174. ***Re Ross*** [1930] 1 Ch 377. English conflict of laws rules at common law apply double *renvoi*, whereas other jurisdictions disregard it or may apply single *renvoi*.

clear advice. The resolution of an issue or controversy that arises in connection with a multi-jurisdiction trust is equally unsatisfactory.

2. Offshore legislation

A number of offshore jurisdictions that specialise in trust-related financial services have therefore enacted conflict of laws legislation aimed at overcoming the doubt and uncertainty that exists in this area of the common law.

The first jurisdiction to address the problem was the Cayman Islands, which passed the Trusts (Foreign Element) Law 1987.[175] Over the last several decades similar conflict of laws legislation has been passed in a number of other offshore jurisdictions,[176] often based to a lesser or greater extent upon the Cayman model. The offshore financial centres have tackled the uncertainty and the problems created by common law conflict of laws rules in similar ways. We shall, therefore, review the common features of the offshore conflict of laws legislation and leave it up to you (by completing Task 6.1 in section 2.6 below) to research any provisions that are specific to the jurisdiction where you work or have some other connection.

2.1 Governing law

Modern offshore conflict of laws legislation typically stipulates that, in determining the proper law of a trust, priority is given to the terms of the trust instrument in order to discern evidence of the intention of the parties. Any other circumstances are taken into account in determining the proper law only if the terms of the trust fail to provide any evidence of intention.

Section 89 of the Trusts Act 2021 Revision of the Cayman Islands provides:

In determining the governing law of a trust, regard is first to be had to the terms of the trust and to any evidence therein as to the intention of the parties; and the other circumstances of the trust are to be taken into account only if the terms of the trust fail to provide such evidence.

Most of the offshore statutes talk about the 'governing law' of the trust rather than the 'proper law'. The new expression is taken from the Hague Convention on the Law Applicable to Trusts, 1987. The meaning of 'governing law' appears to be the same as the 'proper law'. In this module, therefore, whenever relying upon or referring to statutory conflict of laws rules, we will adopt the Cayman and Convention nomenclature and use the expression 'governing law'.

You will note that the modern conflict of laws legislation preserves the common law rule that it is the intention of the parties (presumably meaning the settlor) that determines the governing law, but that this intention must be gleaned from the trust instrument rather than extrinsic, external evidence outside the terms of the written document. This provision must, therefore, be read together with s.89(2).

175. Currently found in Part VII of the Trusts Act, 2021 Revision.
176. The Bahamas – the Trusts (Governing Law) Act 1989 as amended 1996; Bermuda – ss.5–11 of the Trusts (Special Provisions) Act 1989 as amended 2004 and 2020; the BVI – Part VIII, ss.80–83A of the Trustee Ordinance (Cap 303) Revised Edition 2020; Guernsey – ss.3 and 14 of the Trusts (Guernsey) Law 2007; Gibraltar – the Trusts (Recognition) Act 1989; Hong Kong – the Recognition of Trusts Ordinance (Cap 76) Schedule, arts 6–10; Isle of Man – the Trusts Act 1995; Jersey – arts 4 and 9 Trusts (Jersey) Law 1984, Revised; Singapore – s.90 of the Trustee Act Cap. 337 Revised; Turks and Caicos – s.6, 15–17 of the Trusts Ordinance Revised; Dubai – Pt2, arts 11–17 of the DIFC Trust Law 2018.

2.2 Selecting the governing law

Section 89(2) of the Trusts Act 2021 Revision provides:

A term in the trust expressly selecting the laws of the [Cayman] *Islands to govern the trust is valid, effective and conclusive regardless of any other circumstances*.

Similar legislation has been enacted in the other jurisdictions.[177] Accordingly, across the financial centres, the *professio juris* takes priority insofar as an express choice of the governing law is conclusive of the intention of the parties. It is valid and effective regardless of all other circumstances. It can, therefore, be a law that is wholly unconnected with the trust and the administration thereof. It is conclusive regardless of other connecting factors, such as extraneous circumstances, the trustees' domicile/nationality/place of incorporation, the place where the trustees administer the trust and the location of the assets (subject to the exceptions set out in section 2.5, below).

2.3 Matters determined by the governing law

In order to address the issue of exactly which elements of the trust and its administration are determined by the governing law, modern offshore conflict of laws legislation specifies exactly what is, and what is not, determined by the selected law.

Section 90 of the Cayman Trusts Act 2021 Revision provides:

All questions arising in regard to a trust which is for the time being governed by the laws of the [Cayman] *Islands or in regard to any disposition of property upon the trusts thereof including questions as to*

(a) the capacity of the settlor
(b) any aspect of the validity of the trust or disposition, or the interpretation or effect thereof
(c) the administration of the trust, whether the administration is conducted in the [Cayman] *Islands or elsewhere, including questions as to the powers, obligations, liabilities, and rights of trustees and their appointment and removal*
(d) the existence and extent of powers conferred or retained ... and the validity of any exercise thereof

are to be determined according to the laws of the [Cayman] *Islands, without reference to the laws of any other jurisdictions with which the trust or disposition may be connected*.

It can be seen from an analysis of the above provision that the governing law determines all issues, questions and controversies involving the trust, including those discussed below, save for the exceptions identified in section 2.5 below. Similar legislation has been enacted in other jurisdictions.[178]

177. The Bahamas – s.4(1) and (2) of the Trusts (Governing Law) Act 1989 as amended; Bermuda – s.5(1) of the Trusts (Special Provisions) Act 1989 as amended; the BVI – s.80(1) of the Trustee Ordinance (Cap 303) as amended; Guernsey – s.3(1) of the Trusts (Guernsey) Law 2007; Gibraltar – art.6, Schedule, of the Trusts (Recognition) Act 1989; Hong Kong – Art.6, Schedule, of the Recognition of Trusts Ordinance (Cap 76); Isle of Man – s.2(1) of the Trusts Act 1995; Jersey – art.4 of the Trusts (Jersey) Law 1984 revised 2019; Singapore – s.90 of the Trustees Act (Cap 337) Revised Edition; Turks and Caicos – s.4 of the Trusts Ordinance Revised; Dubai – art.11 of the DIFC Trust Law 2018.

178. The Bahamas – s.7 of the Trusts (Governing Law) Act 1989; Bermuda – s.7 of the Trusts (Special Provisions) Act 1989; the BVI – s.83A (1), (7), (8) and (12) and First Schedule of the Trustee Ordinance Cap 303; Guernsey – s.14 of the Trusts (Guernsey) Laws 2007; Gibraltar – art.8, Schedule, of the Trusts (Recognition) Act 1989; Hong Kong – art.8, Schedule, of the Recognition of Trusts Ord. Cap 76; Isle of Man – s.4 of the Trusts Act 1995; Jersey – art.9 of the Trusts (Jersey) Laws 1984 as amended; Singapore – s.90 of the Trustee Act Cap 337 does not follow the usual model; Dubai – art.13 of the DIFC Trust Law 2018.

2.3.1 The capacity of the settlor

An express choice of governing law resolves the issue of whose laws govern questions of the settlor's capacity, or lack of it, to create the trust. For instance, assume that a potential settlor, domiciled in and a citizen of State A, intends to create a trust governed by the laws of State B. Unfortunately, the laws of State A prohibit its citizens from giving away a proportion of their net worth to persons outside their immediate family, either *inter vivos* or upon death. Nevertheless, a trust is established according to the laws of State B and a substantial part of the settlor's wealth is transferred to the offshore trustees, carrying on trust business in State B.

The issue of whether the trust is valid turns on whether the settlor had 'capacity' to create the trust. They did not have capacity to do so under the laws of State A. Nonetheless, because the settlor was the absolute owner of the trust assets before the transfer into trust, is over 18 years of age and *sui juris*, and assuming that they comply with the laws of State B in establishing the trust, then the settlor does have capacity to create the trust under the laws of State B. Which laws prevail to determine the issue of capacity? Provided the trust is expressed to be or is otherwise governed by the laws of State B (which has conflict rules similar to those of the Cayman Islands), the question of the settlor's capacity to create the trust is determined according to the laws of State B. The trust is, therefore, valid.

2.3.2 The validity of the trust

Any issues or controversy that may arise in relation to the validity of the trust (namely, the law in relation to the three certainties, perpetuities, formality, sham, etc.) are all resolved by an application of the governing law of the trust as determined by s.89 of the Trusts Act, above.

2.3.3 The validity of the 'disposition into trust'

Not only is the validity of the trust itself determined by the chosen law, so also is the validity of the transfer of property to the trustees in order to constitute that trust (subject to the exceptions set out in section 2.5, below).

2.3.4 The administration of the trust

Confirming the decision in the case of ***Chellaram***, all issues arising during, or connected to, the administration of the trust (e.g. the exercise of the trustee's dispositive and/or administrative powers or the powers of the protector) are determined by the governing law, irrespective of whether the management function takes place within the geographical territory of the governing law or elsewhere in the world.

2.3.5 The validity of the powers retained (by the settlor) or conferred (upon others such as the protector)

The validity of the powers reserved by the settlor (or conferred upon the protector) is also determined by the governing law of the trust. So, for instance, the reserved powers to vary or revoke the trust, to veto or give binding directions to the trustees to exercise their dispositive or investment powers in a specified way, or add to, or exclude, beneficiaries from the class, etc., and the exercise of those powers by the settlor or protector (who may be domiciled in or a citizen of, and thereby subject to the laws of, a wholly different jurisdiction) are nonetheless determined by the governing law.

2.4 The application of foreign law is excluded

Not only does the governing law chosen by the settlor answer all questions relating to the trust (save for the exceptions in section 2.5, below) but most modern offshore conflict of laws legislation goes on, out of an abundance of caution, to exclude the application of any foreign law that may have some connection with the trust.

Section 91 of the Cayman Trusts Act 2021 provides:

Subject to [the exceptions in section 2.5 below] *it is declared that no trust governed by the laws of the* [Cayman] *Islands and no disposition upon the trusts thereof is void, voidable, liable to be set aside or defective in any fashion, nor is the capacity of the settlor to be questioned, nor is the trustee, any beneficiary or any other person to be subjected to any liability or deprived of any right, by reason that*

(a) the laws of any foreign jurisdiction prohibit or do not recognise the concept of a trust, or
(b) the trust, or disposition avoids or defeats rights conferred by foreign law upon any person by reason of a personal relationship to the settlor or by any beneficiary (whether discretionary or otherwise) or by way of heirship rights or contravenes any rule of foreign law...

Sub-paragraph (a) above is specifically aimed at preventing the laws of civil law jurisdictions (that may prohibit or, at least, not recognise the trust concept) from affecting the validity, etc., of a trust governed by the laws of an offshore jurisdiction, such as the Cayman Islands. Sub-paragraph (b) is aimed at preventing community or matrimonial property[179] provisions or forced heirship provisions[180] of certain onshore jurisdictions from affecting the validity, etc., of the offshore trust.

2.5 The exceptions

Not every issue or controversy affecting a trust can be resolved by an application of the governing law. The common law itself contains a number of exceptions to the general rule that matters affecting a trust are determined by the proper law.

Under modern statutory conflict of laws rules, it is mainly the transfer or disposition of property to the trustees that cannot wholly be determined by the governing law. In circumstances where assets that are located or otherwise held in a foreign jurisdiction (by the settlor or a third party) are transferred to trustees located in an offshore centre, it is inevitable that certain matters relating to the validity of such transfer cannot be determined by the law chosen as the governing law of the trust. Certain issues can be determined only according to foreign law. It is, therefore, necessary to have regard to applicable conflict of laws rules that apply to the type of property in the location from which the asset is transferred.

179. Community property legislation in some onshore states (for example, California in the US) states that property acquired by one spouse during marriage is automatically 'community property' and to be equally divided upon divorce. This could, of course, affect the entitlement to trust property if the beneficiaries are persons other than the estranged spouse. Foreign community property laws are, however, specifically excluded and do not affect the trust or the rights of beneficiaries if the Cayman Islands (or an offshore jurisdiction with similar laws) is expressly chosen as the governing law. Trusts designed to avoid the division of matrimonial property on divorce are considered in Module 9 section 6.3.
180. See Module 8, 'Estate Planning and Forced Heirship Issues'

Modern offshore conflict of laws legislation often specifically provides that the general rule (whereby all questions arising in regard to a trust shall be determined by the governing law) does not apply to certain circumstances.

2.5.1 Property not owned by the settlor

Section 90(i) of the Cayman Trusts Act 2021 Revision provides that the governing law of a trust:

does not validate any disposition of property which is not owned by the settlor nor affect the recognition of foreign laws in determining whether the settlor is the owner of such property.

If property is transferred by a settlor domiciled in State A, say, into trust governed by the laws of State B, and an issue arises as to whether the settlor was owner of the property at the time of transfer, that issue cannot automatically be decided according to the law governing the trust. The conflict rules relating to property rights must be analysed in order to establish which laws govern the transaction. It could be the laws of State A, State B or of some other jurisdiction may apply, such as the *lex situs* or the *lex protectionis*, i.e. the law where a purported infringement of property rights took place, or the *lex contractus*, i.e. the law of the state where a purported contract was made to acquire such property.

2.5.2 Property transferred by a corporation

Section 90(iii) of the Cayman Trusts Act 2021 Revision provides that the governing law of a trust:

does not, as regards the capacity of a corporation, affect the recognition of the laws of its place of incorporation.

If property is transferred into a trust governed by the laws of State B, by a corporate entity incorporated in State A, then any issue relating to whether the company had capacity to transfer that property, or whether the transfer was *ultra vires* (beyond the powers of the company), cannot be decided by applying the laws of State B.

The laws of the place of incorporation of the company must determine the issue.

2.5.3 The purported transfer of property without observing prescribed formalities

Section 90(iv) of the Cayman Trusts Act 2021 Revision provides that the governing law of a trust:

does not affect the recognition of foreign laws prescribing ... the formalities for the disposition of property.

If certain property (e.g. registered intellectual property rights such as a patent) located, registered and existing in State A is transferred into a trust governed by the laws of State B, then any issue relating to the prescribed formalities required to transfer that property lawfully cannot be decided by applying the laws of State B. Conflict of laws rules relating to the property in question must be considered in order to establish which laws govern the transaction. If (as is inevitable) the *lex protectionis*, namely the laws of State A govern the transfer of that property, then the appropriate method of transfer and all formalities prescribed by the laws of State A must be observed.

2.5.4 Foreign real estate

Section 90(v) of the Trust Act 2021 Revision provides that the governing law of a trust:

does not validate any trust ... of immovable property situated in a jurisdiction other than the [Cayman] *Islands which is invalid according to the laws of such jurisdiction.*

If foreign real estate located in State A is transferred into a trust governed by the laws of State B, then any issue whatsoever that arises concerning that real estate, and whether it has been validly transferred into trust, cannot be determined by the application of the laws of State B. The laws of the *lex situs*, namely State A, apply in all circumstances.

2.5.5 Testamentary trusts

Section 90(vi) of the Trust Act 2021 Revision provides that the governing law of a trust:

does not validate any testamentary trust ... which is invalid according to the laws of the testator's domicile.

If a testator domiciled in State A dies and by Will establishes a trust governed by the laws of State B, then any issue relating to the validity of the Will, or in relation to the disposition of property from the estate into the trust, cannot be determined according to the laws of State B. Conflict of laws rules relating to succession (of movable property upon death) must be considered. It is likely that the laws of the deceased's domicile will determine the issue, the so-called *lex domicilii*.

2.6 Changing the governing law

Modern offshore trust legislation permits the governing law of the trust to be changed to the laws of another alternative jurisdiction, but only if the terms of the trust contain an express provision authorising a change.

Section 89(4) of the Cayman Trusts Act 2021 Revision provides

If the terms of the trust so provide, the governing law of the trust may be changed to or from the laws of the [Cayman] *Islands provided that*

(a) in the case of a change to the laws of the [Cayman] *Islands such change is recognised by the governing law of the trust previously in effect*

(b) in the case of a change from the laws of the [Cayman] *Islands the new governing law would recognise the validity of the trust and the respective interests of the beneficiaries.*

The terms of the Cayman Islands' legislation, therefore, clear up the uncertainty as to whether the governing law of a trust may be changed and, if so, the extent of any restrictions upon the exercise of the power to change the governing law.

The statutory rules permit a change of the governing law:

- to that of the Cayman Islands, provided the change is recognised and permitted by the law that previously governed the trust
- from that of the Cayman Islands to a different law, provided the new governing law recognises:
  - the validity of the trust, and
  - the equitable rights and interests of the beneficiaries.

Similar legislation permitting a change of governing law has been enacted in other jurisdictions.[181]

Task 6.1

Review the statutory conflict of laws rules in relation to trusts that apply in the jurisdiction where you work or have some other connection, or whose laws govern the trusts under your management, and which are identified in the footnotes above.

Compare and contrast the local provisions with those enacted in the Cayman Islands that have been reviewed in this module. In particular, consider the following points.

- Are there local provisions whereby issues arising in relation to a trust are determined by the governing law? Which matters are determined by the governing law?
- How is the governing law ascertained?
- Are the effects of foreign law excluded?
- Are there any matters referred to in the conflict of laws legislation that are not be determined by the governing law?

3. The terms of a typical trust instrument

3.1 Express choice of law and forum

It is clear, under both the common law (with all its inherent uncertainty) and typical offshore statutory conflict of laws rules, that it is essential to select a proper (or governing) law, and a forum for adjudicating any dispute that may arise in relation to that trust. A typical clause is shown in Example 6.1.

181. The Bahamas – s.5 of the Trusts (Choice of Governing Law) Act 1989 as amended; Bermuda – s.6(2) of the Trusts (Special Provisions) Act 1989 as amended 2004; the BVI – s.81 of the Trustee Ordinance (Cap 303) as amended 2003; Guernsey – s.51 of the Trusts (Guernsey) Law 2007; Gibraltar – art.9, Schedule, of the Trusts (Recognition) Act 1989; Hong Kong – art.9, Schedule, of Recognition of Trusts Ordinance (Cap 76); Isle of Man – s.4 of the Trusts Act 1995; Jersey – art.41 of the Trusts (Jersey) Law 1984, revised 2014; Singapore – s.56 of the Trustees Act (Cap 337) Revised Edition requires Court approval unlike the Cayman model; Turks and Caicos – art.10, Schedule, of the Trusts Ordinance Revised. Dubai – art.12 of the DIFC Trust Law 2018.

Example 6.1

Proper law and forum

(1) *The governing* [proper] *law of this Trust shall be that of* [jurisdiction].
(2) *The courts of* [jurisdiction] *shall be the forum for the administration of this Trust and shall be the exclusive forum for the resolution of all disputes and issues arising in connection with the Trust and its administration.*

Sub-clause (1) of Example 6.1 is an express choice of law clause. The choice is now conclusive of the settlor's intention to have the chosen laws govern the trust.

Sub-clause (2) is a forum clause, similar to ones found in commercial contracts. It provides that the courts of a chosen state should have jurisdiction in disputes and other issues arising in connection with the trust and its administration. In the trust industry generally, you would expect the jurisdiction of the forum court to be the same as the governing law of the trust. In the past, forum clauses have not been clearly drafted insofar as they have typically merely stated that 'the [jurisdiction] shall be the forum for the administration of the Trust'. Following an analysis of forum clauses in the case of ***Crocianni*** it is now imperative for the clause to be specifically drafted to confer exclusive jurisdiction upon the court of the selected forum in order to ensure it cannot be disregarded to permit legal proceedings to be brought elsewhere.[182] A similar conclusion was drawn in ***Re Z Trust*** (2018).[183]

3.2 How to change the governing law

As noted in section 2.6, according to modern conflict of laws legislation, the governing law of a trust can be changed to a new law provided such change is permitted by the express terms of the trust. A specimen clause is illustrated in Example 6.2. The final four lines in square brackets could arguably be dispensed with when the governing law is similar to that of the Cayman Islands where the provisions are implied in any event.

Example 6.2

Change of governing law

Notwithstanding the provisions of sub-clauses (1) and (2), the Trustees may at any time [with the written consent of the Protector] *declare by deed that, from the date of such declaration, the governing* [proper] *law of this Trust shall be that of any specified location*. [Any exercise of this power shall be effective only if the laws of the jurisdiction specified is one under which this Trust remains irrevocable and all or substantially all the trusts, powers and provisions contained in this Trust remain enforceable, capable of being exercised and of taking effect].

A specimen deed that changes the governing law of a trust is illustrated in Appendix 27.

Further sub-clauses may be added to these provisions in order to link the change in the governing law to a change in the place of administration and change of trustees upon

182. ***Crocianni v Crocianni*** [2014] JCA 089.
183. ***Re Z Trust*** (2018) 1 CILR and ***Helmsman and Hotham Trustee Company v Bank of New York Trust Company*** (2009) CILR 490.

the occurrence of an 'emergency event'. These provisions are sometimes referred to as 'flee clauses' and are considered below.

3.3 Flee clauses

In order to understand flee clauses it is necessary to distinguish the *migration* of a trust and a *change of its proper law*.

A trust is not a legal entity. Trust assets are owned by the trustee. A trust (or at least the income and gains generated by the trust assets) is taxed in the jurisdiction where the trustee is located. Accordingly, when we talk about moving a trust to another jurisdiction (or the migration of a trust) we do not mean changing its governing law. We mean the appointment of new trustees in a different jurisdiction (whether or not this is coupled with a change in the governing law). This is where flee clauses come in.

Modern trust instruments typically contain specific clauses dealing with the removal of the original trustee and the appointment of a new trustee, whether or not located outside the jurisdiction in which the trust was created. These clauses generally confer a power upon the protector (or sometimes the settlor), exercisable in a fiduciary manner in the best interests of the beneficiaries for just cause, to remove the existing trustee and appoint a new one – see Module 2 section 3.2.1. Alternatively, the removal of the existing, and appointment of a new, trustee may occur automatically upon the occurrence of an event that is said to trigger the migration. These are so-called flee clauses. For example, upon the commencement of war or civil unrest, or the enactment of any new laws to expropriate or confiscate assets, impose currency control or interfere with trust property, express provisions may trigger a flight arrangement, whereby the governing law, the forum, the place of administration and the domicile of the trustees, are all changed to a new jurisdiction (see Example 6.3).

Flee clauses have been heavily criticised by the international onshore community. The KPMG Report[184] recommends that they be prohibited by legislation on the grounds that they can be used to obstruct lawful tracing claims. On the one hand, it is clearly unacceptable for an owner of property who claims that some of the trust assets are his own, and who brings a lawsuit against the trustee for restitution, to discover that the lawsuit has triggered flight arrangements, thereby frustrating his chances of lawfully recovering his rightful property. On the other hand, neither the UK nor the US has restricted the use of flee clauses in the manner suggested by the KPMG Report. Furthermore, there seems to be no real reason why, on the occurrence of a particular event, a settlor should not provide for the automatic removal of the trustee. Adequate protections already exist to ensure that tracing claims are not frustrated in this way. For example, in the ***Grupo Torras*** case a Bahamian court granted an interim injunction to prevent a trustee who had been automatically removed pursuant to a flee clause from transferring trust assets to the new trustee when there was a genuine dispute about the ownership of those assets.

Notwithstanding these criticisms and the debate upon the integrity of flee clauses, the offshore jurisdictions have not enacted statutory restrictions upon their use at this time. Only time will tell whether the international onshore community is prepared to concede that legislation to outlaw flee clauses, or their operation, is unnecessary.

184. *The KPMG Report on the Financial Regulation in the Overseas Territories of Anguilla, Bermuda, BVI, Cayman Islands, Montserrat, and the Turks and Caicos Islands,* published 27 October 2000, commissioned by the government of the UK and each of the six Overseas Territories.

Example 6.3

Flee clauses

1. *Provided that on the happening of any of the events specified in sub-clause 5 (the 'Emergency Event') there shall be an Alternative Trustee then, on the happening of the Emergency Event, any trustee resident, incorporated or doing trust business in the jurisdiction in which the Emergency Event occurs shall automatically cease to be a trustee and is referred to below as a Retiring Trustee.*

2. *Upon the Trustee ceasing to be trustee of the Trust upon the occurrence of an Emergency Event, the Alternate Trustee shall become the new trustee of this Trust ('the New Trustee') in place of the Retiring Trustee.*

3. *The Retiring Trustee shall be divested of title to all the assets comprised in the Trust Fund and those assets shall vest automatically in the New Trustee.* [The New Trustee [Settlor or Protector] is irrevocably granted power of attorney to transfer the Trust Fund to the New Trustee on behalf of the Retiring Trustee.]

4. *If, on the happening of the Emergency Event, the governing law of this Trust is that of the jurisdiction where the Emergency Event occurs, or such jurisdiction is the forum for the adjudication of issues and disputes arising in the administration of this Trust, then, on the happening of the Emergency Event, the governing law of this Trust and the forum for adjudicating disputes shall, notwithstanding any other provision of this Trust, automatically become the jurisdiction where the Alternate Trustee is resident.*

5. *The events in which the provision of clauses 1 through 4 shall take effect are:*

5.1 *an attack upon, or the occupation of, the territory in question by hostile military forces*

5.2 *the occurrence in that territory of civil war or of violent civil disturbances which cause, or appear likely to cause, a serious and prolonged interference with the ability of the trustee to function as such*

5.3 *the acquisition by the government, or any other public authority, of that territory of a controlling interest in the trustee, or*

5.4 *the enactment of any law, or the taking of any action by the government, or public authority, of that territory, the effect of which is*

- *(i)* *to expropriate or confiscate any assets comprised in the Trust Fund, other than a payment required in the ordinary course of taxation (not being taxation of a penal or confiscatory nature)*
- *(ii)* *to determine or restrict substantially the powers of the trustee to transfer assets of the Trust Fund out of that territory for the purpose of investment or distribution, or*
- *(iii)* *to interfere materially in the way in which the trustees administer the Trust Fund or exercise the powers vested in them.*

You will see in Example 6.3 that not only is the trustee automatically removed upon the occurrence of an 'emergency event' and a new trustee appointed, but also, according to sub-clause (3), the trust fund is also transferred automatically to the new trustee. When the trust assets are held in an underlying company, then, when the flee clause is triggered, the trust assets will continue to be held in the name of the underlying company. It is only the shares in the underlying company that have to be transferred in order to facilitate the transition of the trust fund to the new trustee. Accordingly, it is not unusual to find an additional clause which essentially confers upon the new trustee, or a third party located outside the jurisdiction where the emergency event takes place (such as a protector or the settlor), a power to transfer the assets. The legal effect of such clause may be backed up by a Power of Attorney similar to the one illustrated in Appendix 28, which is executed by the existing Retiring Trustee and held by the alternate New Trustee until such time as an emergency event occurs.

Task 6.2

Review the standard trust instrument offered to prospective settlors by the institution where you work (or a typical trust instrument of a trust under your management). Identify the choice of law clause. Does it also contain:

a. a provision allowing for a change of the governing law, and
b. a flee clause?

4. Conclusion

We began this module by observing that conflict of laws rules determining which system of law should be applied to resolve issues and controversies in a multi-jurisdictional transaction can be extremely complex. Having examined the common law conflict of laws rules, both generally and in relation to trust-specific matters, you may now agree. Most offshore financial centres have sought to simplify the conflict of laws rules and clarify some of the common law uncertainties. Nonetheless, it must be stressed that the matter remains complex. Trust professionals are, therefore, well advised to seek the opinion of in-house experts or outside Counsel where conflict of laws problems arise in practice.

Remember that conflict of laws rules may differ from one jurisdiction to the next. It is conceivable for a foreign court to declare that it has 'long-arm jurisdiction' over the trustee and/or trust assets and apply its own conflict of laws rules to determine that its own laws should govern the trust. It is also conceivable for a judge simply to rewrite the law of trusts to achieve an objective: consider the ***Anderson*** case[185] in California, where a robust judge ran roughshod over the conflict of laws rules applicable in the Cook Islands and simply imprisoned the settlors, Mr and Mrs Anderson, until the trust funds were repatriated to the US!

185. ***FTC v Affordable Media*** 179 F.2d 13130 (9th Gr 1999). See also Module 9 section 3.8.

Learning outcomes

By the end of this module you should:

- have grasped some of the basic common law conflict of laws principles in order to be able to determine which system of law to apply to a multi-jurisdictional transaction, including broad knowledge of the meaning of:
  - forum
  - characterisation
  - conflict of laws, and
  - *renvoi*
- understand the significance of conflict of laws rules in relation to issues affecting a multi-jurisdictional trust
- appreciate that, according to common law principles, a trust is governed by its proper law and be able to establish the proper law of a trust
- be able to construe modern offshore statutory provision whereby the validity of a trust, its interpretation and administration, etc., are determined by the governing law
- be able to analyse simple conflict of laws problems affecting an offshore trust, to identify its governing law and appreciate the broad exceptions to the general rule whereby the governing law will not apply to certain transactions, issues and controversies
- understand whether and in what circumstances the governing law of a trust may be changed to a new law, and
- be familiar with the terms of a typical trust instrument that makes an express choice of law and forum selection, makes a provision for its change, and contains a flee clause.

Module 6:

Self-Assessment Questions

1. What issues are resolved by the application of conflict of laws principles?

2. Is there an international set of conflict of laws rules of universal application that are applied uniformly on a global scale? Explain how conflict of laws rules have developed.

3. If a dispute arises in relation to a transaction or occurrence involving the laws of State A and State B, would the courts of each state apply their own laws to resolve the matter?

4. A three-stage analysis is required, according to common law principles, to resolve which system of law should govern a transaction or occurrence involving multiple jurisdictions (for instance, between a person domiciled in State A and a citizen of State B).

   i. Identify the stages.
   ii. What is the starting point of your analysis? The courts of a common law jurisdiction have authority over which persons?
   iii. Describe the second and third stages in the process. What are the common law conflict of laws rules that determine the system of law to be applied in resolving an underlying issue relating to (a) land, and (b) succession on death to property other than land?

5. Assume that the conflict of laws rules of State A determine that the underlying issue should be resolved by the laws of State B. What matters should now be considered? Review the three options.

6. Under common law principles, which system of law governs issues relating to a trust that has connections with, or otherwise involves, two or more jurisdictions? How is the appropriate system of law determined?

7. According to common law principles, not every aspect of a trust is governed by the proper law of the trust. Summarise the position. What further uncertainties exist at common law in relation to the choice of a proper law to govern the trust?

8. A number of offshore jurisdictions have enacted modern conflict of laws legislation to simplify and clarify the uncertainty affecting a multi-jurisdictional trust that are caused by common law conflict of laws rules. Under typical modern offshore conflict of laws legislation:

   i. which system of law governs a trust?
   ii. how is the governing law determined? And,
   iii. which matters are (and are not) determined by the governing law of the trust?

9. Settlor, who is over 18 years of age and of sound mind, is a citizen of State A, which has enacted laws that prohibit any of its citizens from establishing a trust, either *inter vivos* or upon death, in favour of non-family members.

Nevertheless, Settlor creates a trust by transferring substantial assets to trustees situated and carrying on trust business in an offshore jurisdiction, State B.

Discuss whether Settlor has capacity to create the trust.

10. On the facts of question 9 above, assume that Settlor has, by express provision in the trust instrument, chosen the law of State B to govern the trust. State B has modern conflict of laws legislation based upon the Trusts (Foreign Element) Law 1987, now Part VII of the Trusts Act 2021 Revision of the Cayman Islands. Are you able to ascertain which system of law governs the underlying issues whereby the following allegations are made?

    i. That Settlor did not own the assets transferred into trust
    ii. That the transfer of assets into trust was made by a company controlled by Settlor but that the transfer was an *ultra vires* act, namely, beyond the powers and objects of the company
    iii. That the transfer into trust did not follow the formalities prescribed for that type of property
    iv. That the trust assets comprise foreign real estate, and that the proper procedures to transfer the legal interest of the land were not observed
    v That the transfer into trust was made by a Will that was invalid according to the laws of Settlor's domicile at the date of death

11. Draft a choice of law clause and a choice of forum clause to include in a conventional trust instrument.

12. Describe a 'flee clause'. How does this differ from a clause permitting a change of the governing law?

Module 7:
The Role and Status of a Protector

Module 7:

The Role and Status of a Protector

Learning objectives

The purpose of this module is to:

- introduce the role of the trust protector
- explore who may be appointed as protector
- review some of the typical powers and rights conferred upon the protector by the settlor in the trust instrument
- ascertain the duties and obligations, if any, of the protector, as well as restrictions on the exercise of a protector's powers
- analyse the position of a trustee who is obliged to administer the trust alongside a protector, and
- summarise the position of the beneficiaries in relation to the protector.

Introduction

A settlor may wish to appoint a protector. When a protector is appointed the core of the trust structure remains the same: the settlor creates the trust by transferring the legal interest in assets to trustees, who hold and dispose of those assets in accordance with the provisions of the trust instrument for the benefit of the beneficiaries. The 'protector' is a further person inserted into the equation.

A definition of protector is difficult to give. Professor David Hayton[186] states that: 'The control of the trustee may, under the terms of the trust, be subject to fiduciary or personal powers vested in another person who may sometimes be expressly designated a "protector"'.

In some offshore jurisdictions that have included protector provisions in their local trust legislation, the office of protector has been defined by statute.

For instance, in the Cook Islands[187] the protector is:

...a person who, by whatever name or title

(a) has the power to appoint or remove a trustee, or

(b) directly or indirectly controls, whether by power of veto or otherwise, the trustee's exercise of one or more of his powers, functions or discretions under the trust, or

(c) holds the office of protector in accordance with subsection 20(2) [which provides that the express terms of a trust instrument may create the office of protector of the trust].

186. Underhill and Hayton, *The Law Relating to Trusts and Trustees*, 19th Edn, published 2016 by Butterworths, London.
187. Section 2 of the International Trusts Act 1984, as amended.

A 'protector' may go by different names – there does not seem to be a consensus on the title used. 'Protector'[188] is the most popular but 'adviser', 'appointer', 'manager', 'beneficiary advocate' or 'beneficiary representative' have been known to appear in trust instruments. Moreover, the nature of the role the protector is to fulfil is not defined by statute or case law – it can be as limited or as wide as the settlor determines. The only common feature is that the name given to the office, and the rights, duties and powers conferred upon the person holding that office, are to be found in the express terms of the trust instrument. It is, therefore, imperative that, in administering a trust with a protector, the trust officer is intimately familiar with the protector provisions of the trust instrument.

If generalisations assist, then, as the name suggests, a protector is usually an individual (or sometimes a corporate nominee), appointed by the settlor in the trust instrument, to ensure compliance with the settlor's wishes and purposes expressed therein: to assist the trustee in managing the trust assets and administering the trust; to oversee the actions of the trustee; and thus to protect the trust and its assets. The Manx High Court, in ***Steele v Paz***,[189] said that the 'essential role of a protector is to ensure that both the letter and the spirit of the trust are complied with'.

1. Who may be appointed as protector, and how?

Clearly, the identity of the person or entity appointed as the initial protector of the trust is a matter for the settlor and largely depends upon the role the settlor wants the protector to fulfil.

A settlor who requires a proactive protector and gives that person extensive administrative and dispositive powers may very well appoint a professional person – an attorney or other adviser, or corporate nominee of the firm. A settlor who confers upon the protector more limited powers and does not expect him or her to get involved in the day-to-day administration of the trust may very well appoint a lay person – a beneficiary, a committee of beneficiaries or a relative or close friend of the settlor. Alternatively, and again depending upon the preference of the settlor, the office of protector may be undertaken by both professional and lay persons acting as a committee.

The initial protector is identified in the Definitions clause of the trust instrument: see clause 1.5 of Example 3.4, Module 3.

If the initial protector retires, dies or is otherwise incapable of acting, the trust instrument must provide a mechanism for the appointment of a successor. Otherwise, the office of protector becomes vacant and the trust could become impossible to manage (if, for example, the trustees' powers of investment or disposition are exercisable only with the protector's consent, and there is no protector and no mechanism for the appointment of a new one). A sample clause is illustrated in Example 7.1, below.

188. The term 'protector' was coined in the Fines and Recoveries Act 1833 in relation to a property ownership interest known as an entail – an area of law now redundant.
189. ***Steele v Paz*** [1993–5] MLR 102.

Example 7.1

(1) *The Protector shall cease to be the Protector on death (if an individual), or on dissolution (if a corporation), or, in either case, on becoming unable or unfit to act or making a valid appointment under sub-clause 2.*

(2) *The Protector may, by deed, appoint any other person to be protector of this Trust and, if the Trustees have been given written notice of the appointment and the person appointed consents in writing, such person shall immediately become the Protector.*

(3) *The Protector may, by deed, nominate a person to become the Protector upon the person making the nomination ceasing to be the Protector, and upon such cessation, if the nomination remains unrevoked, the Trustees have been given written notice of the nomination and the person nominated consents in writing, such person shall immediately become the Protector.*

(4) *If, notwithstanding the provisions of sub-clause (1) to (3) there shall at any time be no Protector of this Trust, the Trustees [or Settlor] may, by deed, irrevocably appoint any person, not being one of the Trustees, to be the Protector.*

In accordance with sub-clause (3) of Example 7.1, the protector should nominate their own successor by deed during their lifetime and while *sui juris*. The nomination then becomes effective when the protector dies or becomes unfit to act or otherwise ceases to be protector. A sample Deed of Nomination of Successor Protector is illustrated in Appendix 29.

2. Powers of a protector

Why might a settlor decide to use the services of a protector and what types of power may a settlor confer upon such protector in the trust instrument?

These two issues are interrelated. The powers usually conferred upon a protector depend upon the role the settlor requires this person to fulfil, which in turn depends upon the reason why the settlor wants a protector to act alongside the trustee in the first place.

As indicated in the introduction to this module, the settlor may have envisaged that the protector will have a limited, passive role, leaving day-to-day administration of the trust and the trust property to the trustee and being consulted only for major policy decisions and distributions. On the other hand, the settlor may employ a protector in a more active and extensive role, assuming a significant presence alongside the trustee and having an influence in almost all administrative and dispositive matters, both major and minor.

The powers conferred upon the protector may be dispositive or administrative. They may be negative or positive in nature.

- A dispositive power is a power that enables an actual distribution of trust property to be made to the beneficiaries: for instance, a discretionary power to distribute funds among a class of beneficiaries. The exercise of such a power involves making a decision about who should receive what and when.

- An administrative power relates to those matters affecting the administration or management of the trust property, other than distributions.
- A negative power is conferred upon a protector whenever their consent is required before a trustee may carry out a proposed transaction. This is sometimes called a negative power of veto, in so far as the protector can veto the proposed actions of the trustee by withholding their consent.
- A positive power enables the protector to direct the trustees to carry out a proposed transaction. This is sometimes called a positive power of direction.

2.1 Dispositive powers

2.1.1 Power to make or approve dispositive decisions

The power to make or approve dispositive decisions is given to a protector of what, at first blush, looks like a discretionary trust, whenever the settlor wishes to transfer the power to influence or control distributions of trust property from the trustees to the protector. The power may be positive or negative: a positive power to direct the trustees to make a distribution or, alternatively, a negative power to approve or veto the exercise of a decision already made by the trustees to distribute to a particular beneficiary. In either event, close consultation will be required between the trustees and the protector before a distribution can be made from the trust fund.

Example 7.2

Dispositive provisions

(1) *Subject to sub-clause (2), the Trustees shall hold the capital and income of the Trust Fund upon trust for such Beneficiaries, at such ages or times, in such shares and in such manner generally, as the Trustees may, by deed, in their discretion, appoint.*

(2) *The exercise of the dispositive power conferred by sub-clause (1) shall be exercisable only with the prior written consent of the Protector.*

Sub-clause (1) of Example 7.2 confers a power of appointment of income and capital of the trust fund upon the trustees. Sub-clause (2) confers a negative power of veto upon the protector insofar as the trustees may only exercise their power of appointment to make a distribution if they obtain the prior written consent of the protector. A protector who withholds consent effectively vetoes the proposed distribution.

Alternatively, the trust instrument may confer upon the protector a positive power of instruction similar to the one illustrated in Example 7.3. According to the terms of the trust in Example 7.3, the power of appointment is conferred upon the trustees by sub-clause (1), but it must be exercised in accordance with the written instructions given by the protector. If/when the power of appointment is exercised, the trustees should pass a resolution and execute a deed of appointment similar to the one illustrated in Appendix 16A, save for necessary amendments to Recitals (C) and (D) to reflect the fact that the instruction has been given by the protector rather than the settlor.

Example 7.3

(1) *As Example 7.2...*
(2) *The exercise of the dispositive power conferred by sub-clause (1) shall be exercisable by the Trustees in accordance with the directions, if any, given in writing from time to time by the Protector.*

As a further alternative, the power of appointment may be conferred upon the protector as illustrated in Example 7.4.

Example 7.4

The Trustees shall hold the Trust Fund and its income upon the following trusts:

(1) *The Trustees shall hold the capital and income of the Trust Fund for or for the benefit of such one or more of the Beneficiaries at such age or time and in such shares and in such manner generally as the* ***Protector*** *shall, in his* [her] *absolute discretion, by deed, appoint during the Trust Period.*

The exercise by the protector of the power of appointment in Example 7.4 is recorded in a deed of appointment similar to the one illustrated in Appendix 16B save for necessary amendments to the parties (as the first party is the Protector) and Recital (B) should reproduce the terms of Example 7.4.

In conclusion, the power to make/approve dispositive decisions may be given to the protector:

- because the protector has a detailed personal knowledge of the class of potential beneficiaries (possibly the settlor's close family) and their financial and other circumstances and so is in a better position than a corporate trustee to know whether a proposed distribution is appropriate in the circumstances, and
- to reassure the settlor that some regard is being taken of their own wishes: to enable the settlor to exercise some, albeit indirect, control over distributions.

2.1.2 Power to make or approve additions to or exclusions from the class of potential beneficiaries

The power to add to or exclude members from the class of potential beneficiaries may be positive or negative. The power may be conferred upon the protector wherever the settlor feels that the trust requires additional dispositive flexibility, and enhanced confidentiality.

For instance, at the time of creation of the trust, the settlor may designate himself/herself, their spouse and issue as potential beneficiaries of a discretionary dispositive power. After the settlor's death or upon termination of the trust in many years' time, however, the settlor may not be too concerned with precisely who should benefit, so long as it is fair. A power given to the protector to add (or exclude) persons from the class of potential beneficiaries would enable the protector, with intimate knowledge of the family circumstances, to make the primary dispositive decisions at the appropriate stage (which may be some considerable time in the future). The settlor may require the protector to have regard to the circumstances that exist at the time of the distribution or termination of the trust and, therefore, confer upon the protector flexible powers to benefit other persons, outside the initial class of beneficiaries, whom he or she considers to be in need or deserving.

Enhanced confidentiality is achieved by not including a contemplated beneficiary as a member of the class thereof in the trust instrument at the time the trust is created, but conferring a power upon the protector to add further beneficiaries to the class at a later date. In these circumstances the identity of the beneficiary remains confidential until added to the class and a distribution is made to them (Example 7.5).

Example 7.5

Power to add Beneficiaries

The Protector may [or the Trustees may with the written consent of the Protector] *by deed at any time during the Trust Period add to the Beneficiaries such objects or persons as the Protector* [Trustees] *shall determine.*

2.2 Administrative powers

The following 13 clauses (sections 2.2.1 to 2.2.13) contain examples of possible powers that may be conferred upon a protector. Any one or more of these clauses may be appropriate, depending upon the settlor's requirements.

2.2.1 Power to appoint or remove trustees

The protector may be given power, in his or her absolute discretion, to remove trustees, either with cause (reasonable justification) or without cause (without having to justify such actions).

Example 7.6

Power to remove trustees and appoint new ones

1.1 The Protector shall have the power, exercisable by deed, to remove the Trustees as trustees of this trust.

1.2 The power of appointing new trustees is exercisable by the Protector.

Alternatively, the power may be fettered by conditions whereby the protector may replace trustees only if they have committed named acts of default or if, for instance, it is requested by a majority of beneficiaries who are *sui juris*.

This is the most common power given to the protector. The reasons for this are manifold.

- It acts as a precaution against trustees who fail to administer the trust in a satisfactory manner.

- It is comforting for the settlor to know that someone has been assigned to monitor the performance of the trustees, with power to remove them if necessary.
- It may also act as an indirect method by which the settlor can ensure that the trustees have regard to the settlor's wishes.

2.2.2 Power to approve trustees' remuneration

A power to approve the fees charged by trustees, such as the one illustrated in Example 5.22 (Module 5), is typically given to the protector in order for them to keep an eye upon the costs incurred in administering the trust. It is particularly useful when the charging clause in the trust instrument is wide and permits the trustee to charge 'reasonable remuneration', or provides for an increase in the scale of remuneration in certain circumstances. A protector with appropriate knowledge and experience in the trust industry will be able to exercise this power to prevent excessive charging by the trustees.

2.2.3 Power to approve self-dealing by trustees

The protector may be given power to authorise what may otherwise amount to a conflict of interests or a 'secret profit' being earned by the trustee. For example, the protector may be empowered to give or withhold consent to enable the trustee to purchase either trust property or a beneficiary's interest under the trust itself. These are transactions that would otherwise breach the 'self-dealing rule'.[190]

Furthermore, the protector may, by exercising this power, give authority for the trustee to receive indirect fees not specifically authorised in the trust instrument, such as directors' fees, commissions earned upon trust investments and similar profits.

2.2.4 Power to make or approve investments (or to make or approve the appointment of investment advisers)

This type of power is often conferred upon the protector when a settlor wants to ensure that the trustees comply with the settlor's investment policy in circumstances when independent trustees may form an objective view that it is too risky or hazardous or difficult to administer. It involves giving the protector substantial positive or negative powers to control investment of trust property by:

- directing the trustees to make (or retain) certain specified investments, or
- exercising a power to veto the trustees' ability to make certain investment decisions.

Example 7.7

Power to invest

1.1 Subject to sub-clause 1.2 below, any money to be invested may be invested in or upon any investment of whatever nature as the Trustees think fit.

1.2 The exercise of the power of investment conferred by sub-clause 1.1 shall be exercisable only with the prior written consent of the Protector.

190. The rules in ***Boardman v Phipps*** [1967] 2 AC 46 and ***Tito v Waddell*** (No.2) [1977] 3 All ER 129 – see Module 1 section 4.

In Example 7.7, the power to make or change investments is conferred upon the trustees but, before exercising such power, they must obtain the protector's prior written consent. Alternatively, a power to instruct the trustees how to invest the trust fund may be conferred upon the protector, as in Example 7.8.

Example 7.8

1.1 As Example 7.7...

1.2 The exercise of the power of investment conferred by sub-clause 1.1 shall be exercised by the Trustees in accordance with the directions, if any, given in writing from time to time by the Protector.

The trust instrument may confer upon the protector a power to give investment directions to the trustees in circumstances where the trust property comprises a controlling interest in the settlor's family business and the settlor's motive in creating the trust was that this business empire may endure for its own sake and/or in the interests of its workforce and the local community. A power conferred upon the protector to direct the trustees to invest in the family business avoids a potential conflict arising between the wishes of the settlor and the 'common sense' of the trustees, who may wish to sell the business and invest the proceeds in more profitable investments for the greater benefit of the beneficiaries.

The power of instruction also often enables the beneficiaries to participate in implementing an agreed investment policy, particularly when the protector is a beneficiary or a committee of beneficiaries. This objective is also met whenever the protector is a family friend or long-standing adviser, as there is often a channel of communication between the principal beneficiaries and the protector, through whom the beneficiaries may pass their investment preferences to the trustees.

2.2.5 Power to veto the exercise of the settlor's reserved powers

The power to veto the settlor's reserved powers is a safety mechanism that provides additional protection of the trust assets. The power will clearly not be exercised in circumstances where the settlor personally wishes to exercise any reserved powers (for instance, the power to revoke the trust or to direct distributions or make investments). It will, however, be exercised in circumstances where the settlor is compelled to exercise those powers in a manner prejudicial to the trust.

For instance, if the settlor is declared bankrupt, the settlor's rights and powers over the trust will become vested in the settlor's trustee in bankruptcy. In these circumstances the settlor's trustee in bankruptcy may seek to revoke the trust, or direct distributions to the settlor or the creditors.

Alternatively, to borrow the facts of the ***Anderson*** case,[191] assume that the court in the settlor's home jurisdiction threatens to hold the settlor in contempt of court unless the settlor uses his/her powers to repatriate the trust property and thus make the funds available to pay the settlor's creditors. The exercise of a veto over the settlor's reserved powers may frustrate any attempt to 'break' the trust in this manner.

191. ***FTC v Affordable Media*** 179 F.2d 13130 (9th Cir 1999) Michael and Denise Anderson, see Module 9 section 3.8.

2.2.6 Power to veto the exercise by the beneficiaries of any of their rights as beneficiaries

The power to veto the exercise of any of the beneficiaries' rights may include a power to prevent their receiving trust accounts or other information relating to the trust and the trust fund, illustrated in Example 7.9.

Litigation in a number of offshore jurisdictions has revealed a trend for individuals to use their position as beneficiaries to obtain trust accounts and other information from the trustees with the ulterior motive of using that information as evidence in a subsequent lawsuit to challenge the validity of the trust. For instance, a person who is a nominal discretionary beneficiary or object of a dispositive power under a trust, but who would receive a substantial share of the settlor's estate under forced heirship rules, may use their position as a beneficiary to obtain evidence to use in an action to challenge the trust on the grounds of invalidity or sham. A provision whereby a protector is given power to veto the exercise by a beneficiary of any such rights in that capacity would enable the protector to prevent this type of subterfuge from succeeding.

There has been much judicial debate in recent years as to whether it is lawful to deny a beneficiary's right to trust accounts and other information relating to the trust. Part of the 'irreducible core' of the trust is the right of a beneficiary to an accounting.[192] Take away that right and there is no trust. In ***Re Rabaiotti's Settlement***[193] the Royal Court of Jersey held as a general principle that a beneficiary is entitled to inspect trust documents that show the nature and value of the trust property and how the trustees have been investing and distributing it, although the court has a discretion to refuse disclosure if this is in the best interest of the beneficiaries as a whole.[194] It therefore appears that if a settlor purports to deny the beneficiaries what is considered, in equity, to be one of their core rights, the clause may be struck down as unlawful.

Example 7.9

Subject to an order of any competent court, the Trustees shall not disclose to any person, including one or all of the Beneficiaries, any document or other matter relating to this trust, unless the Protector gives prior written consent.

2.2.7 Power to give or obtain tax advice

The purpose of conferring a power upon the protector to give or obtain tax advice is to ensure that tax planning for the trust and the beneficiaries is kept up to date. At the time it is created, a trust should have been established for optimum tax efficiency, as the settlor should have had the benefit of current tax advice. In the years subsequent to creation, however, as times and circumstances change, it is possible that the onshore tax position of the trust and the beneficiaries may alter. It is also more than possible that the offshore trustees will not be able to keep abreast of all onshore tax developments. A settlor for whom tax planning is a priority may wish to confer a power upon the protector to periodically obtain tax advice and give appropriate directions to the trustees. If the protector is a tax expert, the power will probably give the protector the right to receive remuneration in respect of the tax advice offered.

192. In ***Re Dartnall*** [1895] 1 Ch 474 it was held that a trustee must give a beneficiary all reasonable information in respect of investments and distributions and, in the absence of special circumstances, allow inspection of trust documents.
193. ***Re Rabaiotti's Settlement*** [2000] WTLR 953.
194. A view confirmed by the Privy Council in ***Schmidt v Rosewood Trust Ltd*** [2003] 3 All ER 76.

2.2.8 Power to undertake regular reviews of the trust administration

The clause illustrated in Example 7.10 confers upon a protector the power to review the administration of the trust, approve the trust accounts and settle simple issues in dispute.

Example 7.10

The Trustees shall, upon receipt of a direction in writing by the Protector, deliver copies of the trust accounts and such other information relating to the administration of the Trust and management of the Trust Fund as the Protector may reasonably require to enable the Protector:

(a) to undertake regular reviews of the trust administration;
(b) to approve the trust accounts on behalf of the Beneficiaries; and
(c) to settle questions of construction or other disputes concerning the administration of the Trust.

The exercise of a protector's power to review the general trust administration acts as a precaution against mismanagement of trust assets by a rogue trustee. It is a further reassurance for the peace of mind of the settlor. It enables the settlor, albeit indirectly through the protector, to ensure that the trust is being administered in the manner intended.

In exercising this power to review, the protector may need to provide an objective report to the beneficiaries upon the administration of the trust and the performance of its investments. This may satisfy any queries or concerns that the beneficiaries may have but are unable or reluctant to raise with the trustees. The rationale behind the exercise of such a power is to keep the beneficiaries informed and reduce the likelihood that a dispute will arise.

2.2.9 Power to approve trustee accounts

Occasionally, the beneficiaries may not be competent (in both the legal and colloquial sense) to consider and scrutinise the trust accounts. The settlor may wish to transfer this function to a professionally qualified protector who can be authorised to receive the accounts and approve them on behalf of the beneficiaries.

2.2.10 Power to settle questions or disputes concerning the administration of the trust

This type of power is often conferred upon a legally qualified protector, whom may be authorised to settle questions of simple construction of the trust instrument or other simple issues arising during the administration. It may also empower the protector to settle disputes between beneficiaries, or between a beneficiary and the trustees, by mediation or some other form of alternative dispute resolution procedure. It must be noted, however, that the parties to a trust cannot agree to oust the jurisdiction of the court.[195] This means that the parties cannot, by agreement, prevent a party from issuing legal proceedings and having the court resolve questions or disputes, if that party so wishes.

195. ***Re Winn's Will Trust*** [1952] 1 All ER34.

2.2.11 Power to nominate auditors

The settlor may feel that a regular audit of the trust records is an avoidable expense. If circumstances change and an audit is merited, however, it is prudent to confer a power to nominate independent auditors upon the protector, who may then arrange an audit of the trust records and ensure that the expense is borne by the trust fund.

Example 7.11

The Protector may appoint independent auditors to examine and/or audit the trust accounts maintained by the Trustees relating to the affairs of the Trust in such manner as may be determined from time to time by the Protector, and the cost of such audit shall be met out of the capital or income of the Trust Fund.

2.2.12 Power to change the governing law of the trust and/or trigger 'flight' arrangements

Powers to change the governing law and to change the centre from which the trust is administered are usually given to a protector as a precaution, in case the current trust centre becomes unsuitable. This might happen because of the outbreak of war, civil unrest or radical change of government policy or law, etc. The protector with appropriate powers may, in those circumstances, change the governing law of the trust and transfer the trust administration to a new jurisdiction by removing the existing trustees and appointing new ones and arranging consequential transfers of trust assets, etc. This matter is reviewed in detail in Module 6 section 3.2, and is illustrated in Example 6.2.

2.2.13 Power to terminate the trust

The settlor may, for the sake of flexibility, confer the power to terminate the trust upon the protector. In these circumstances, a protector who deems it appropriate may implement the final vesting provisions and distribute all undisposed of property to the default beneficiary.

3. Duties of a protector

You will appreciate that a modern offshore trust instrument may confer extensive powers upon a protector. The extent of those powers depends upon the role that the settlor requires the protector to fulfil. You may recall from earlier modules, however, that powers are permissive rather than mandatory. In other words, a power may be exercised if the protector sees fit. A protector is not obliged to exercise a power (unlike a mandatory duty, which must be exercised).

Having been given wide discretionary powers by the trust instrument, does a protector have any guidelines as to whether and how to exercise those powers? Are there any rules that govern the protector in the same way that there are rules (or implied fiduciary and other duties) that govern trustees in their role?

Simply put, what duties are owed by a protector of a particular trust?

This is not an easy question to answer. Protectors do not typically exist onshore, at least in England. Accordingly, there is no English legislation to review and to use as a model and very little English case law on the subject. As a result, the offshore jurisdictions have gone their own way.

3.1 The protector's fiduciary duties (if any)

When a protector decides to exercise one or more of their powers, a question arises whether, when doing so, they owe fiduciary duties to the beneficiaries. In other words, are the protector's powers fiduciary or personal in nature?

Before looking at whether fiduciary duties are imposed upon a protector, let us explore why it matters.

- If the protector owes fiduciary duties, it means two things. Firstly, the protector must consider periodically whether to exercise the power. Secondly, the protector who decides to exercise a power must do so honestly and in the best interests of the beneficiaries. A protector who does not exercise fiduciary powers in the best interests of the beneficiaries (for instance, by exercising a power in a manner that benefits themself or others) is in breach of fiduciary duty and the beneficiaries can commence a lawsuit against the protector for compensation for loss.

- If the protector does not owe fiduciary duties, then the powers conferred upon them are said to be personal or beneficial powers. This means that the protector does not have to consider exercising such power but, if deciding to do so, is free to exercise it in any way. The protector does not have to have regard to the best interests of the beneficiaries and, of course, in these circumstances the beneficiaries cannot commence a lawsuit against the protector alleging breach of fiduciary duty.

So, are a protector's powers fiduciary in nature? The answer depends upon the terms of any applicable trust legislation enacted as part of the governing law of the trust and, if none exists, common law principles.

Task 7.1

Review applicable trust legislation, if any, passed in the jurisdiction where you work or have a connection in relation to a protector's powers and whether fiduciary duties are imposed upon a protector when exercising such powers.

- Does such legislation impliedly presume that fiduciary duties are owed by a protector unless the trust instrument states otherwise?
- Does such legislation impliedly presume that fiduciary duties are *not* owed unless the trust instrument states otherwise by expressly imposing fiduciary duties upon the protector?
- Or, is the governing law silent, in which case common law principles apply?[196]

3.1.1 Trust legislation

Trust legislation enacted by some offshore jurisdictions addresses the issue of whether fiduciary duties are imposed upon a protector when exercising one or more of his/her powers. The legislation (where it exists) does so in different ways probably because there is no English (or Cayman) model to follow.

196. BAHAMAS – s.81(1) of the Trustee Act 1998 states that a protector may be given a power to approve or veto the exercise of any of the trustee's powers and may lawfully be conferred with the powers listed in s.81(2)(a)–(h) and s.81A, namely an 'investment power'. The Act does not address the issue of whether a protector owes fiduciary duties but s.81(3) states that 'unless otherwise provided in the trust instrument [a protector] is not liable to the beneficiaries for the bona fide exercise of the power'. This suggests a protector of a Bahamian trust owes fiduciary duties but has a statutory exoneration from liability for breach of the duty of care, but the trust instrument may state otherwise.

BERMUDA – s.2A(1) and (2) of the Trusts (Special Provisions) Act 1989 as amended 2014 permit the trust instrument lawfully to confer the powers listed in (2)(a)–(i) upon a protector and s.2A(6) states: 'A trust instrument governed by the laws of Bermuda may provide that the reservation or grant [to a protector] of any of the powers set out in sub-section (2) shall not impose a fiduciary duty upon the holder of such powers.' So, fiduciary duties are impliedly imposed upon a protector unless the trust states otherwise.

BVI – s.86 of the Trustee Act Revised contains the same provisions as Bermuda. Fiduciary duties are impliedly imposed upon a protector unless the trust instrument states otherwise.

CAYMAN ISLANDS – s.14 of the Trusts Act 2021 revision permit the powers list in s.14(1)(a)–(h) to be granted to a protector, but does not address the issue of whether a protector owes fiduciary duties. The matter is therefore determined by common law principles.

CYPRUS – s.4A(1) of the International Trust Laws, Consolidated, permits a settlor to reserve or grant to himself as protector the powers listed in s.4A(2)(a)–(h), but makes no reference to the grant of such powers to a third party such as an independent protector. Like Hong Kong and Singapore, the issue relating to which powers may lawfully be conferred upon a protector and whether the protector owes fiduciary duties will be determined by common law principles.

DUBAI – art.84(1) and (2) permits the powers listed in art.84(2)(a)–(k) to be conferred upon a protector and art.84(7) states: 'The terms of a DIFC trust may provide that the reservation of grant [to a protector] of any of the powers listed in Art 84(2) shall not impose a fiduciary upon the holder of such power.' Article 84(8) confirms that a protector's powers are personal, not fiduciary, unless the trust states otherwise.

GUERNSEY – s.15 of the Trusts (Guernsey) Law 2007 permits the powers listed in s.15(1)(a)–(i) to be conferred upon a protector and s.15(2) states: 'The grant of a power…referred to in section 15(1) does not…, subject to the term of the trust, impose a fiduciary duty upon the holder.' Accordingly, fiduciary duties are not owed by a protector unless the trust instrument expressly says so.

HONG KONG – s.41X of the Trustee Ordinance as amended 2013 permits the settlor to reserve the powers of investment and asset-management but makes no reference to the grant of such powers to a protector. The issue relating to which powers may lawfully be conferred upon a protector and whether the protector owes fiduciary duties will be determined by common law principles.

ISLE OF MAN – the Trustee Act 1961 as amended makes no reference to settlor or protector powers and so these matters are determined by common law principles.

JERSEY – article 9A(1) and (2) permits the powers listed in art.9A(2)(a)–(h) to be conferred upon a protector and Art 9A(3A) states that the grant of any such powers shall not constitute the protector as a trustee, but makes no reference to whether such powers are fiduciary in nature.

MALTA – s.14A(1) of the Trusts and Trustees Act Cap 331 2004 permits a settlor to reserve or grant to a protector (a) the power to remove and replace trustees and (b) appoint investment advisers or managers, but does not address the issue whether such powers are fiduciary in nature.

SINGAPORE – s.90(5) of the Trustee Act permits the settlor to reserve the powers of investment and asset-management but makes no reference to the grant of such powers to a protector. The issue relating to which powers may lawfully be conferred upon a protector and whether the protector owes fiduciary duties will be determined by common law principles.

The legislation often contains presumptive provisions. Some jurisdictions such as Bermuda[197] and Dubai[198] have passed legislation which essentially states that there is a presumption that a protector's powers are fiduciary in nature, but the trust instrument may state otherwise. In other words, the trust may lawfully state that fiduciary duties are not imposed upon the protector.

Guernsey legislation,[199] on the other hand, contains an assumption that the protector's powers are personal, that is they are not fiduciary in nature, unless the trust instrument says otherwise. In other words, the powers conferred upon a protector are personal unless the trust expressly states that they are fiduciary in nature.

The BVI[200] and the Bahamas[201] have passed the same statutory model which doesn't specifically impose fiduciary duties upon a protector, but confers a statutory exoneration from liability upon a protector for the *bona fide* exercise of his powers. Exercising a power in a *bona fide* manner means the power must be exercised honestly for the purposes it was given, not a corrupt or collateral purpose. The legislation in these two jurisdictions falls short of referring to fiduciary powers but, by implication, appears to provide an exoneration for breach of a protector's duty of care (discussed in 3.1.2, below) but not for breach by a protector of his fiduciary duty.

In those jurisdictions such as the Cayman Islands, Cyprus, Hong Kong, Isle of Man, Jersey, Malta and Singapore (and, arguably, the BVI and the Bahamas) where relevant legislation on the subject doesn't exist, the issue of whether a protector owes fiduciary duties is determined by common law principles.

3.1.2 Common law principles

According to common law principles, are the protector's powers fiduciary in nature? Unfortunately, the question cannot be answered with a simple yes or no. Whether a protector's powers are fiduciary or personal must be considered in relation to each specific power that has been conferred upon the protector in the trust instrument. The fact that a protector of a particular trust owes fiduciary duties when he or she exercises one power conferred upon him or her in the trust instrument does not mean that the protector also owes fiduciary duties when exercising a different power conferred by the same instrument.

Whether a protector's powers are fiduciary depends upon the purposes or objective of the power. If the reason the settlor conferred the particular power upon the protector was in order to protect the interests of the beneficiaries, then the power is fiduciary in nature. But if, on the other hand, the reason for conferring such power upon the protector was not to protect the interests of the beneficiaries, then the power is personal.

You may very well consider the common law principles somewhat unsatisfactory insofar as it requires the protector to guess at the settlor's motive for giving the power. The nature of equitable principles permit wide judicial discretion to be exercised in the circumstances of each case.

197. Bermuda – s.2A(6) of the Trusts (Special Provisions) Act 1989 as amended 2014.
198. Dubai – article 84(7) of the DIFC Trust Law 2018.
199. Section 15(2)(b) of the Trusts (Guernsey) Law 2007.
200. Section 86(3) of the Trustee Act, Revised Edition.
201. Section 81 Trustee Act 1998 as amended.

Task 7.2

Review the powers that may be conferred upon a protector set out in section 2 of this module. Try to ascertain the purposes of, or rationale behind, the powers – were the powers designed to protect the interests of the beneficiaries and prevent abuse? In which case, which powers do you consider to be fiduciary, and which are personal?

Here are some propositions that can be considered as general guidelines.

3.1.2.1 Protector's power to remove and replace trustees

Most of the judicial decisions relate to the power conferred upon protectors to remove and replace trustees. This type of power will ordinarily be a fiduciary power to be exercised for the benefit of the beneficiaries.

In the case of ***Von Knieriem v Bermuda Trust Co. Ltd*** (BTCL)[202] heard before the Supreme Court of Bermuda, the broad facts were that the settlor created two trusts (Star I and Star II), and appointed the defendant as trustee. The trust assets comprised the shares of a Bermudian holding company that, in turn, owned a large percentage of a German pharmaceutical group. The protector was expressly given two relevant powers in the trust instrument: the power to remove and replace the trustees; and the power to veto the exercise of the trustees' voting rights in respect of the shares held in the German pharmaceutical group. The settlor was chairman of the board of directors of the German group. A dispute arose between the settlor and the other directors, and these other directors tried to have the settlor removed from the board. A general meeting of shareholders was convened, at which the settlor insisted that BTCL vote the shares held in trust to preserve his place on the board. In order to ensure the appropriate vote in favour of the settlor, the protector exercised his powers to remove BTCL and appoint another, more compliant, trustee in their place.

The matter came before the Supreme Court of Bermuda to resolve, firstly, whether the protector had exercised his power to remove the trustee properly; and, secondly whether the protector could properly withhold his consent, thereby denying the new trustees the right to vote the shares in a manner adverse to the settlor, but which would have been to the overall advantage of the beneficiaries.

The case turned on whether the protector owed fiduciary duties and, therefore, owed his allegiance to the beneficiaries, or whether the powers conferred upon him were personal powers and could be exercised in whatever way he pleased.

It was held that the answer to these questions depended upon the intended purpose behind the powers given to the protector. If the assumed purpose of the power conferred upon the protector is to protect the interests of the beneficiaries, then the protector must exercise their powers in a fiduciary manner, that is, in the sole interests of the beneficiaries. If the assumed intended purpose of the powers conferred upon the protector are to protect the protector's own interests (because, for instance the protector is also a beneficiary), then the protector may exercise the powers in any way

202. [1994] SCB 154 and 162 otherwise known as the 'Star' cases.

they think fit and is not accountable to others, provided their decision is not made for an improper or corrupt motive.

The theme running through the cases is that the power to remove and replace trustees conferred upon a protector is generally regarded as being a fiduciary power so that it should be exercised when it is in the best interests of the beneficiaries.[203] Nonetheless, that theme was disrupted in 2017 in ***Mezdhunarodniy Promyshlienniy Bank v Pugachev*** when, on the particular facts, it was held that the power to remove and replace trustees conferred upon a protector was a personal/beneficial power.[204]

In the ***Mezdhunarodniy*** case, the settlor appointed himself protector and principal beneficiary of a discretionary trust. The trust conferred upon the protector a number of dispositive powers and powers to control investments as well as a power to remove and replace trustees. The court held that, when taken as a whole, the settlor intended to confer the powers upon himself for his own benefit. In these circumstances, the power to remove and replace the trustees of the trust was one of a series of beneficial personal powers that were designed to enable the settlor to exercise complete control of the trust property for his own benefit.

The ***Mezdhunarodniy*** decision at first blush seems to contradict the ***Von Knieriem*** and ***Re Piedmont*** decisions, but it is simply the case of different judges exercising their judicial discretion in a different manner on the basis of the particular construction of the trust in question. So, also in the case of ***Blenkinsop v Herbert***, the protector had a power to veto many decisions of the trustee and it was held that the powers were not fiduciary in nature, in part because the protector was also a beneficiary.[205]

For what it's worth, here are some views that can be considered as general guidelines.

3.1.2.2 Power of appointment

If the settlor confers upon the protector a power of appointment to distribute income and/or capital of the trust fund among a wide class of beneficiaries, the power is arguably fiduciary in nature.[206] This proposition is more doubtful when the settlor is the sole or principal beneficiary of a small class and the trust confers a number of additional powers upon the protector that the settlor clearly wants the protector to exercise on the settlor's behalf.

3.1.2.3 Power of revocation

If the settlor confers a power of revocation upon the protector then, if exercised, the trust fund reverts to the settlor. In these circumstances, the power must be a personal beneficial power, rather than one that is fiduciary in nature.

3.1.2.4 Power to direct or veto investments

Where the protector has the power to direct the trustee to make investments, the power will be a fiduciary power.[207] A power of veto may be a personal beneficial

203. ***Re Piedmont Trust*** [2015] JRC 196; (2016-17) ITELR 210. ***WTHK v UBS Trustees (Jersey) ltd*** [2016] JRC 99.
204. [2017] EWHC 2426.
205. ***Blenkinsop v Herbert*** [2017] WASCA 87.
206. Tucker, L., Le Poidevin, Q.C.,.N, and Brightwell, .J, 2015. *Lewin on Trusts*. London Sweet and Maxwell, para 30-030.
207. *Lewin on Trusts,* infra, para 35-074. reviewing ***Lord Vestey's Executors v IRC*** [1949] 1 All E R 1108.

power if the protector is also the sole or principal beneficiary in a small class, as the power could arguably be conferred upon the protector for their own protection.[208]

3.2 Duty to use reasonable care and skill

The holder of an administrative power owes a duty to exercise the power with reasonable care and skill. An administrative power is one that relates to the administration of the trust property rather than distributions. If the holder of an administrative power, such as a protector, fails to use reasonable care and skill, that person may be held liable to the beneficiaries on the grounds of negligence, subject to any express exoneration found in the trust instrument or trust legislation.

Assume that a protector is given administrative powers to direct or approve trust investments. A protector who exercises this power is under a duty to select investments with reasonable care and diligence. If such powers are construed as fiduciary powers, exercisable for the benefit of the beneficiaries rather than the protector or others, the duty of care owed by the protector is to the same standard as that owed by a trustee. Accordingly, if the power to direct/approve trust investments is exercised negligently, and securities are acquired that a reasonable investor would have foreseen would lose money, the protector can be held liable to compensate the trust and the beneficiaries. This accords with traditional common law principles.

There are, however, defences available to a protector in these circumstances:

- express exoneration that the settlor may include in the trust instrument that releases the protector from liability for negligence – see Example 7.12 below, and
- statutory exoneration that may appear in the trust legislation of the jurisdiction whose laws govern the trust.

3.2.1 Express exoneration

In much the same way that a settlor may exonerate a trustee from liability for negligence by an exoneration clause in the trust instrument, a similar type of clause can also exonerate a protector.

Example 7.12

The Protector shall not be liable for any loss to the Trust Fund arising in consequence of the failure, depreciation or loss of any investment, or any mistake, omission or any other matter or thing, except caused by the wilful default, fraud or dishonesty on the part of the Protector.

3.2.2 Statutory exoneration

Some offshore jurisdictions have enacted legislation that effectively excludes the common law rule that imposes a duty to use reasonable care upon protectors.[209]

208. See ***Blenkinsop*** [2017] above.
209. The Bahamas and the BVI are the only major offshore jurisdictions to provide a statutory exoneration for protectors so far as we are aware. Others provide a statutory exoneration to trustees (in respect of which see section 5.2 below). In the Bahamas – s.81(3) of the Trustee Act 1989 amended 2004 and 2011; the BVI – s.86(3) of the Trustee Ord. (Cap 303) amended 2003 and 2013.

For instance, s.86(3) of the Trustee Ordinance (Cap 303) of the the BVI states:

...a protector exercising any of the powers in s.86(2) [which includes the power to give consent for specified acts of the trustee] ... *is not liable to the beneficiaries for the bona fide exercise of the power*.

Section 81(3) of the Trustee Act 1998 of the Bahamas contains similar provisions:

A person exercising any one or more of the powers set forth in paragraphs (a) to (h) of s.81(2) shall ... unless otherwise provided in the trust instrument, not be liable to the beneficiaries for the bona fide exercise of the power.

It is interesting to note that the Bahamian legislation automatically exonerates the protector from liability for breach of the duty to exercise reasonable care and skill. Nonetheless, the settlor may, in the trust instrument, reinstate that liability.

Where liability for breach of the duty has been excluded either expressly or by statute, the protector may be held liable only if the nature of the breach is *mala fides*. In other words, that the protector has exercised the powers dishonestly, which essentially amounts to a breach of fiduciary duty.

4. Rights of protectors

To be able to exercise the conferred powers in a proper manner, the protector must be given certain rights. These are not rights that are necessarily implied by law and, accordingly, the settlor (or the draftsperson of the trust instrument) must ensure that they are expressly provided for in the trust instrument.

The rights typically conferred upon a protector in a trust instrument include the right:

- to receive trust accounts and to review trust documents and records in the custody of the trustee (Example 7.13, below)
- to employ agents, such as attorneys or tax or other advisers, wherever the protector so wishes and to charge their fees as an expense payable by the trust (Example 7.14, below)
- to receive reasonable remuneration, and charge that remuneration as an expense of the trust (Example 7.15, below), and
- to be indemnified against claims and liabilities which may arise by virtue of the proper performance of the office of protector (Example 7.12, above).

Example 7.13

The Trustees shall, upon receipt of a direction in writing from the Protector, deliver to the Protector copies of the trust accounts and such other information relating to the administration of the trust and management of the Trust Fund as the Protector may reasonably require.

Example 7.14

The Protector may seek opinion of legal counsel or tax advisers locally or in any other jurisdiction of the world where necessary or appropriate concerning any matter relating to the Trust or the tax or fiscal position of the Trustees, the Beneficiaries, or on any matter relating to this Trust, and the cost thereof shall be met out of the Trust Fund.

Example 7.15

The Protector shall be entitled to charge and be paid out of the Trust Fund all normal professional or other charges for business done, services rendered or time spent by him [her] *personally or by such protector's firm, in the administration of these trusts, including acts which a protector not engaged in any profession or business could have done personally.*

5. The position of the trustee in circumstances when a protector is appointed

One of the clearest core duties owed by the trustees is the obligation to comply with the terms of the trust instrument.

If, therefore, a protector is given a power of appointment to distribute income and capital, the trustees are required to implement the exercise of such power. If a protector is given a power by the trust instrument to direct the trustees to carry out certain administrative transactions, such as making an investment, the trustees must obey any direction given by the protector. If they do not do so, the trustees are in breach of trust. The trustee's powers of investment are said to be imperative insofar as they are fettered by the exercise of powers of direction conferred upon the protector.[210]

If the protector's consent is required before the trustees may perform an administrative act or make a particular distribution, the trustees must obtain such consent, otherwise they have no power to act. The trustees cannot act without the consent.[211]

A trustee is nevertheless well advised to be cautious. Whenever there is a provision whereby the protector may direct the trustee to carry out a certain act and the trustee receives an appropriate direction to do so, the trustee should review the relevant provisions of the trust instrument to establish the allotment of ultimate responsibility between protector and trustee. This is particularly important in relation to investment matters where the trust instrument confers power on the protector to direct the trustees to make investments. At first sight it appears that, if the protector directs the trustee to make a particular investment, this would absolve the trustee from responsibility if the direction to invest is manifestly bad and causes loss to the trust fund. In fact, it may be that ultimate (or joint) responsibility rests with the trustee to ensure that the proposed investment is suitable.[212] The allotment

210. *Lewin on Trusts*, London, Sweet and Maxwell, para 29-023.
211. ***Orlaski v Speigel*** [2015] VSC 662; ***Re Pinto's Settlement*** [2004] JRCWTLR 879.
212. As in ***Re Duke of Northumberland's Trusts*** [1950] 2 All ER 1181.

of responsibility must be ascertained so that, if the trustee continues to have investment responsibility (notwithstanding that the protector calls all the shots), they may protect themselves against risk of liability. This can be done by any one of the following methods:

- insisting that the trust contains an express exoneration clause that effectively releases the trustee from liability or loss that may arise by following a direction given by the protector
- ensuring that the trust is governed by the law of a sympathetic jurisdiction that confers an implied statutory exoneration
- relying on statutory powers that enable a court to relieve trustees from liability provided they ought reasonably to be excused, and/or
- instructing their own investment advisers or by holding directed investments in a special purpose vehicle (SPV) owned by the trustees but with the protector as sole director.

5.1 Express exoneration for loss caused by following binding directions

An express exoneration given to the trustee in respect of liability for loss arising from following a direction given by the protector appears in Example 7.16, below. If the investments made by the trustee, in accordance with a binding direction given by the protector, suffer unreasonable losses, the settlor has effectively relieved the trustee from any liability that may arise.

Example 7.16

Trustee exoneration

The Trustees shall not be liable for any loss suffered by the Trust Fund arising by reason of

(a)..(d) [see Example 5.21 (a) through (d), Module 5 section 2.2]
(e) *the Trustee acting in compliance with, or as a result of the exercise by the protector of his [her] powers in paragraph...* [namely, the power to give binding directions to the trustee to invest as directed].

5.2 Implied statutory exoneration for loss caused by following binding directions

A number of offshore jurisdictions, in particular those that have enacted reserved powers legislation, provide a statutory exoneration to trustees in respect of any liability that may arise from following a binding direction given by a protector.[213]

213. The Bahamas – s.81(1) and 81A(1) and (2) of the Trustee Act Ch. 176 1998 amended 2011; Bermuda – s.2(3) of the Trusts (Special Provisions) Act 1989 as amended; the BVI – s.86(3) of the Trustee Ordinance (Cap 303); Cayman Islands – s.15 of the Trusts Act 2021 Revision; Dubai – article 84(3) and (5) of the DIFC Trust Law 2018; Guernsey – s.15(3) of the Trusts (Guernsey) Law 2007; Gibraltar – s.19 and s.25 of the Trustees Act 1895 amended 2007 do not cover the point; Isle of Man – s.23(1) does not directly cover the point; Jersey – s.9A(3) of the Trusts (Jersey) Law 1984 Revised 2019; Singapore – s.41N of the Trustees Act (Cap 337) does not directly cover the point and s.90 doesn't contain a conventional exoneration; Hong Kong – s.41X(2) of the Trustee Ordinance (Cap 29) amended 2013.

For example, the reserved powers legislation of the Cayman Islands, now found in ss.14 and 15 of the Trusts Act 2021 Revision states, inter alia:

14. (1) The reservation, or grant [to a protector] *by a settlor of a trust of*

> *(a)* ...
> *(b)* ...
> *(c)* ...
> *(d)*
> *(e)* *a power to give binding directions to the trustee ... shall not invalidate the trust.*

15. A trustee who has acted in compliance with, or as a result of an otherwise valid exercise of, any of the powers referred to in section 14(1) shall not be acting in breach of trust.

Similar, but slightly narrower, legislation exists in the Bahamas, where s.81A of the Trustee Act 1998 amended 2011 states:

> *(1)* *This section applies where a trust instrument provides ... that an investment power shall be exercised by the trustees as and when directed by another person (the 'power holder').*
> *(2)* *Where this section applies, the trustees shall not be liable for any loss arising in consequence of the trustees ... acting in accordance with a direction.*

5.3 Statutory provisions that enable the court to relieve trustees from liability

In the absence of an express or statutory exoneration, if the protector exercises their powers negligently or for an improper purpose, the trustee who has acted on an invalid direction/consent may technically be held liable for breach of trust. For example, assume that a protector (with appropriate powers) directs the trustee to make a distribution to a particular beneficiary or to make a particular investment, but it then emerges that the protector exercised their powers for an improper motive (say, for his or her personal benefit). As a result the trust suffers loss. The trustees have made an invalid distribution or investment and are, therefore, in breach of trust and *prima facie* liable to compensate the trust for the losses sustained.

In these circumstances, however, the trustees may be in a position to apply to the court to be excused from liability under statutory provisions found in the model English trust legislation at s.61 of the Trustee Act 1925, which has been used as a template for similar provisions offshore.[214] Section 61 provides that where it appears to the court that a trustee is, or may be, personally liable for a breach of trust, but has acted honestly and reasonably, and ought fairly to be excused for the breach, then the court may relieve the trustee from liability. The onus for establishing honesty and reasonableness rests on the trustee. The trustee is bound, therefore, to make some enquiry into the purpose behind the direction/consent received from the protector to ensure it is *prima facie* proper. If the trustee suspects, or if a beneficiary alleges, that the protector's motives

214. The Bahamas – s.70 of the Trustee Act Ch. 176 1998 amended 2004; Bermuda – s.52 of the Trustee Act 1975 amended 2004; the BVI – s.63 of the Trustee Ordinance (Cap 303); Cayman Islands – s.67 of the Trusts Act 2021 Revision; Dubai – art.20 of the DIFC Trust Law 2018; Guernsey – s.69 of the Trusts (Guernsey) Law 2007; Gibraltar – s.52 of the Trustees Act 1895 as amended 2007; Hong Kong – s.60 of the Trustee Ordinance (Cap 29); Isle of Man – s.59 of the Trustee Art 1961 amended 2005; Jersey – art.45 of the Trusts (Jersey) Law 1984 Revised 2019; Singapore – s.60 of the Trustee Act (Cap 337) Revised; Turks and Caicos – s.45 of the Trusts Ordinance.

are improper, then the trustee must carry out investigations. Unless they are sure that the protector is unimpeachable, they are well advised not to act upon the direction or consent but to seek the opinion of the court as to whether the direction or consent received from the protector is valid, and whether to act upon it.

This type of application to the court, for what are known as directions, is available under statutory provisions or rules of civil procedure in each of the offshore jurisdictions.

Finally, what should the trustees do if the protector fails or refuses to exercise their powers? For instance, assume that a protector fails to give directions that the trustees consider to be clearly in the interests of the beneficiaries, or unreasonably withholds consent to an action proposed by the trustees and which again is clearly for the benefit of the beneficiaries. What should the trustees do?

It would clearly be wrong for the trustees to act in the absence of direction or consent. It was noted at the beginning of this section that the trustees must always observe the terms of the trust and this includes, if appropriate provisions exist, acting only whenever they are directed to do so by the protector or whenever the protector consents.

If the protector's default is clearly prejudicial to the beneficiaries, the trustees should apply to the court for directions. It may be that in appropriate circumstances the court will direct the trustees to carry out the proposed action in the absence of direction or consent, as occurred in ***Re Rogers***[215] and, by analogy, in ***Mettoy Pension Trustees Ltd v Evans***.[216] In other circumstances, the court may consider removing the protector from office and appointing a new one, as occurred in the case of ***Steele v Paz Limited***,[217] where the Manx Court of Appeal felt able to appoint a new protector in circumstances where a protector had not been properly appointed in the first instance. The rationale of the ***Steele*** decision was that the powers of the protector were fiduciary in nature, which means, inter alia, that the court can remove a delinquent protector and appoint a replacement.

6. The position of the beneficiaries

The rights of the beneficiaries of a trust against the trustees are largely unaffected by the presence of a protector. In the event of a breach of trust, the beneficiaries have *locus standi* to bring proceedings against the trustees for loss sustained to the trust fund attributable to the breach, or they may trace the trust property into the hands of third parties.[218]

If the trustees commit a breach of trust only because the protector gave an invalid direction or approval to a certain act (for instance, for an improper non-trust purpose), then the trustees may be excused from liability. In these circumstances, however, the protector is liable to compensate the trust for either knowingly inducing a breach of trust by the trustees or for a primary breach of his or her own fiduciary duties.

The protector may also be held liable to the beneficiaries for simple negligence, subject to any express or statutory exoneration of the type of liability reviewed in section 3 above.

215. (1928) 63 OLR 180.
216. [1991] 2 All ER 513.
217. [1993–5] MLR 102.
218. See Module 1 section 5.2.

Learning outcomes

By the end of this module you should:

- appreciate why a settlor may wish to appoint a protector
- be able to identify the various roles of a protector and to advise upon which type is most suitable in given circumstances
- be familiar with the typical powers given to a protector, and be able to distinguish dispositive and administrative powers as well as positive and negative powers
- be aware of the duties owed by protectors to comply with the terms of the trust, and to exercise their powers in a fiduciary manner and with reasonable care and skill
- know how to manage a trust that confers dispositive and/or administrative powers upon a protector
- be able to reduce trustee risk by exploiting express or statutory exoneration provisions, and
- appreciate the broad rights and remedies of the beneficiaries against the trust protector.

Module 7:

Self-Assessment Questions

1. Describe the general role undertaken by a trust protector.

2. Who may be appointed as a protector? What criteria influences the settlor's choice?

3. How is a protector appointed? How is a new protector appointed if the existing protector dies or wishes to retire?

4. Describe and illustrate three, mutually exclusive typical dispositive powers conferred upon a protector by a trust instrument.

5. Distinguish between positive and negative powers to add (and/or exclude) persons from a class of beneficiaries.

6. Review the settlor's rationale for conferring each one of the following powers on a protector:

   i. to remove trustees and appoint new ones
   ii. to approve the trustees' remuneration
   iii. to direct the trustee to make, or to approve or veto, investments
   iv. to veto the exercise of the settlor's reserved powers
   v. to veto the exercise of the right of beneficiaries to trust accounts and other information
   vi. to give or to obtain tax advice
   vii. to undertake regular reviews of trust administration
   viii. to engage, or to direct the trustee to engage, auditors
   ix. to approve trustee accounts, and
   x. to change the governing law of the trust and trigger flight arrangements.

7. In order to be consistent with the law relating to trustees, you would expect that protectors of trusts owe fiduciary duties. However:

   i. some jurisdictions have passed legislation creating a rebuttable presumption that a protector's powers are fiduciary; what are the implications for protectors of trusts governed by the laws of these jurisdictions?
   ii. other jurisdictions have passed legislation creating a rebuttable presumption that a protector's powers are *not* fiduciary; what are the implications for protectors of trusts governed by the laws of these jurisdictions? And,
   iii. the legislation of most offshore jurisdictions is silent on whether a protector's powers are fiduciary or not; what are the implications for protectors of trusts governed by the laws of these jurisdictions?

8. In order to be consistent with the law relating to trustees, you would expect that protectors owe a duty of care. However:

   i some jurisdictions have passed legislation that releases protectors from liability when exercising their powers honestly; what are the implications for protectors of trusts governed by the laws of these jurisdictions?

ii the legislation of most offshore jurisdictions is silent on whether a protector must exercise his or her powers with reasonable care; what are the implications for protectors of trusts governed by the laws of these jurisdictions?

9. Are there any rights implied in favour of a protector? Should a settlor confer express rights? If so, which?

10. How does the appointment of a protector with extensive, express dispositive and administrative powers affect the role and duties of the trustees?

11. Settlor creates a trust and transfers the Trust Fund to Trustee. The trust instrument confers upon Protector a power to give directions to Trustee to invest the trust property. Protector directs Trustee to invest the Trust Fund in XYZ Ltd. Trustee complies. It transpires that Protector is a director and shareholder of XYZ Ltd, which was suffering cash-flow problems, approaching insolvency and in urgent need of investment.
What is the liability of Trustee?

12. On the facts of question 11 above, what is the liability of Protector?

Module 8:
Estate Planning and
Forced Heirship Avoidance

Module 8:

Estate Planning and Forced Heirship Avoidance

Learning objectives

The purpose of this module is to:

- review some of the basics of estate planning
- explain the meaning of forced heirship and distinguish it from testamentary freedom
- distinguish domestic laws of succession and international conflict of laws principles that determine which country's law of succession should apply, and
- study the interrelationship between forced heirship provisions of a foreign state and the validity of a trust created offshore, when the settlor is a citizen of the foreign state.

Introduction to estate planning

Most modern societies place considerable emphasis upon the creation of wealth and ownership of property. Society has, therefore, developed detailed and complex rules to provide how property should be transferred from one generation to the next. This is known as the law of succession. The law of succession may permit individuals to plan and determine who gets what upon their death. Alternatively, it may stipulate 'forced heirs' and determine precisely which category of beneficiary gets what upon an individual's death.

In common law jurisdictions, individuals may determine precisely to whom their testamentary estate should pass to on their death, and in what shares, by making a Will. A Will is a testamentary instrument that must comply with statutory formal requirements. The Statute of Wills enacted in England in 1540 created a number of requirements for the form of a Will, most of which survive in common law and other jurisdictions: a valid Will must be in writing, signed by the testator and attested to by two witnesses; it becomes effective upon the testator's death and can be revoked or amended until that date; and it may dispose of the testator's entire testamentary estate, both real and personal property.

The dispositive provisions of a Will may be drafted in any manner required by the testator. It may leave fixed entitlement gifts, such as:

- a specific gift of real estate, Blackacre, to X
- a pecuniary legacy of £100,000 to Y, and
- a residuary gift of whatever is left to Z.

In addition, or alternatively, a Will may create a trust by establishing successive or contingent interests for beneficiaries or it may make flexible provision for the beneficiaries by making its dispositive terms discretionary in nature.

Alternatively, an individual may carry out effective estate planning by creating an *inter vivos* trust, often discretionary in nature, during their lifetime, and then creating a pour-over Will to dispose of the free estate upon death. Essentially, the pour-over Will transfers all the testator's remaining, non-trust, property upon death to the trustees of the *inter vivos* trust for them to hold subject to the terms of the trust. The Will creates a testamentary addition to the trust.

Civil law jurisdictions, on the other hand, prefer the state to determine precisely to whom an individual's estate should pass on death by making statutory forced heirship provisions part of the civil property code relating to succession. Sharia law of Islamic jurisdictions also prescribes forced heirship by primogeniture.[219]

How and why did this divergence in philosophy develop?

In Europe, two quite distinct systems of law developed. These were the common law, which derived from England, and the civil law system, which derived from continental Europe and was, in turn, based upon Roman law. As a result of a number of influences (including ideology, religious beliefs, socio-economic factors and political preferences) these two systems of law took different paths. England embraced the freedom of individuals to dispose of their property on death, in whatever way they choose, often known as 'freedom of testamentary disposition' or 'testamentary freedom'. The interests of the individual are considered paramount. The civil law countries of continental Europe elected to follow a more structured and ordered approach. They decided to impose restrictions upon an individual's freedom of testamentary disposition in favour of the interests of the family.

As Dr Thomas Wach[220] recognises, the common law, inherited by the common law jurisdictions across the globe, imposes a duty of care on parents to look after their infant children until such time as they can look after themselves. Thereafter, children and remoter issue have no further claims on their parents' property.

Civil law systems, on the other hand, place far more emphasis upon 'family property'. This meant that in the civil law jurisdictions of Europe, Latin America and parts of Africa, property remains in the family, automatically passing from one generation to the next. It does not go so far as to say that all property belongs to the family rather than the individual, but the law of succession in civil law jurisdictions is a compromise between family and individual property ownership rights.

The two basic concepts of on the one hand testamentary freedom, and on the other forced heirship, developed as the two systems of law have become more sophisticated. The hard edges of each have been filed down. So, in some onshore common law jurisdictions, the surviving spouse, children and dependants now receive some protection against being disinherited. In some civil law countries individuals are given at least some testamentary freedom, so that only a proportion of their estate must pass to their forced heirs and the individual can dispose of the rest.

Nevertheless, forced heirship provisions represent a significant restriction upon an individual's testamentary freedom. This is why you will probably find that a number of settlors of the trusts under your management are from civil or sharia law countries. The *inter vivos* trust is one of the main vehicles used in effective estate planning for civilian or sharia clients. Rather than waiting

219. The forced heirship rules provide for property to pass down the male line.
220. In his article 'Forced Heirship and the Common Law Trust', *Trusts and Trustees*, Vol. 2, Issue No.5, pub. Gostick Hall Publications.

for the forced heirship rules to direct what should happen to their property upon death, an individual from a forced heirship state may wish to create a common law *inter vivos* trust in order to make satisfactory individual arrangements of their own choosing. The trust enables an individual to take advantage of its dispositive freedom, both *inter vivos* and testamentary. A civil or sharia law settlor who creates an *inter vivos* trust directs what should happen to their property now and in the future, post death. The terms of the trust will then determine the extent of the fixed or discretionary interests created in relation to the trust property. When the settlor dies, the trust property continues to be held in accordance with the terms of the trust, rather than passing in accordance with the terms of the forced heirship provisions that apply to the settlor's estate.

1. Domestic laws of succession

The laws of succession can be broken down globally into two broad categories: testamentary freedom and forced heirship. It is only possible to make generalisations upon the rights of a beneficiary to a deceased's estate in each category, particularly in relation to forced heirship rights. This is because the actual detailed legal provisions of the civil code differ significantly among the civilian jurisdictions, and sharia law is prone to misinterpretation by the cleric judiciary. Forced heirship ensures that a deceased's close family take a substantial benefit from the estate. The definition of the class of close family beneficiaries, the actual amount or proportion of the estate they receive and the mechanics by which it is calculated, all depend upon domestic succession law. These internal rules are complex. Accordingly, the analysis that follows is intended to offer general guidance only, in order to illustrate the problems that may affect trust practitioners in the course of administering a trust created by a settlor who is a citizen of a civil law (or non-trust) jurisdiction.

1.1 Jurisdictions that permit freedom of disposition

Historically, individuals who are subject to the laws of a common law jurisdiction may make any kind of gift of whatever amount during their lifetime. They may also make a Will that takes effect upon death, stipulating the precise beneficiaries and the extent of the gifts. Transferors/testators have complete freedom of choice. They may wish to give away the bulk of their property *inter vivos* or leave their estate, upon death, to whomsoever they choose by Will. For instance, they may gift everything to charity to the exclusion of their families if they wish.

For reasons of social responsibility and in order to protect an individual's family and dependants in certain circumstances, the principle of testamentary freedom has been diluted. In a number of common law jurisdictions the legislature has grafted, alongside the principle of testamentary freedom, a power to make judicial testamentary adjustment. This legislation gives the court a wide discretion to rewrite the Will of a deceased individual. This discretion is generally exercised by a judge in order to make appropriate financial provision for surviving members of the deceased's family, such as a spouse, child or other dependants.

The first statute to create judicial testamentary adjustment provisions was enacted in New Zealand when it passed the Testator's Family Maintenance Act in 1900. Similar statutory provisions were enacted a little later in Canada and Australia. It was not until the Inheritance (Family Provision) Act 1938 that we saw the end of centuries of unfettered freedom of testation in England. The current legislation in England is found in the Inheritance (Provision for Family and Dependants) Act 1975, which gives the court a judicial power to award a surviving spouse, child or dependant of the deceased an unspecified share of the deceased's estate provided the applicant(s) can establish that the deceased failed to make reasonable financial provision for them by Will.

In judicial testamentary adjustment cases, the court is given a statutory power to alter testamentary succession rights, but not gifts made *inter vivos*. The court may, therefore, protect family members if they have been unreasonably excluded from a deceased's Will, but not where the transfer of wealth to non-family members occurred before death.

Accordingly, an aggrieved and disinherited family member may apply to the court under judicial testamentary adjustment provisions for consideration out of a deceased's estate. The judge is given a very wide discretion to resolve the matter. So, for instance, assume that a testator (T) leaves all his estate to A, B or C, to the exclusion of his surviving spouse (W) and child (D). W and D may apply to the court for a share of T's estate. Nonetheless, the applicants, W and D, are not given a right to a fixed amount or minimum share of the estate. They have to establish that they have not been given 'reasonable financial provision'. What is reasonable depends upon the view taken by the judge of the factual circumstances of the case. Common law courts often assume than adult children who are not disabled should look after themselves and are, therefore, not sympathetic claimants. On the other hand, a disinherited but devoted spouse of many years receives sympathetic treatment by the courts and can expect to receive an equitable share from the estate of the deceased spouse as he or she would have received in the event of divorce.

The unsympathetic attitude towards adult, able-bodied children who claim a share of their parents' estate was confirmed in the landmark decision of the Supreme Court in ***Ilott v Mitson*** [2017].[221] In that case, Mrs Ilott had been completely cut out of her mother's Will, the two women having been estranged for many decades, since Mrs Ilott eloped with her boyfriend as a teenager. Instead, the deceased left her estate in excess of half a million pounds to charity. Mrs Ilott brought a claim to her mother's estate under the 1975 Act and was awarded a generous lump sum of £145,000 to allow her to buy a modest home. Upon the final appeal the Supreme Court took the opportunity to address the responsibilities of parents towards their children once they became adults and said any award should be limited to 'maintenance', and not a legacy that the adult child believe they are entitled to but did not receive. The award was reduced to (a still very generous) £50,000.

1.2 Jurisdictions with forced heirship rules

Forced heirship rules of disposition and succession stipulate that upon death the bulk of the testamentary estate of a deceased person must pass to their forced heirs, such as their descendants (i.e. surviving spouse, children – male and/or female – and remoter issue), or, if none, their ascendants (i.e. parents, grandparents, brothers/sisters, etc.)

The forced heirship rules affect gifts made by individuals on their death, and gifts made by the deceased during their lifetime.

221. ***Ilott v Mitson*** [2017] UKSC 17.

1.2.1 On death

Assume that State A applies strict forced heirship rules. Whenever an individual who is subject to the succession laws of State A dies, their estate is divided into:

- a disposable portion, which the deceased may transfer by Will to anyone at their own discretion, and
- a reserved portion, which is automatically transferred to the forced heirs.

The size of the reserved portion depends upon the jurisdiction concerned and how many close family members or dependants survive the deceased.[222]

Note that forced heirship entitlements vary from jurisdiction to jurisdiction. The division between disposable and reserved portions can be significant. In some jurisdictions the reserved portion is higher than others. In still other jurisdictions the surviving spouse appears to have the more significant right; in others, it is the children and remoter issue; in sharia law, sons have priority over daughters.

1.2.2 *Inter vivos* gifts

Sometimes, forced heirship principles also have an impact upon *inter vivos* gifts. This is in order to preserve an individual's estate, and to prevent them transferring assets away to third parties during their lifetime so that there is nothing (or not much) left to pass to the forced heirs upon death. These are known as the '*Réduction*' (French Civil Code) or the '*Herabsetzungsklage*' (Art. 47 Swiss Federal Code) rules, which we shall refer to as the 'clawback provisions'.

The rationale behind clawback provisions is that individuals should not dispose of more than a prescribed amount of their wealth outside immediate family, either on their death or during their lifetime.

This objective is achieved by the method used to calculate the reserved portion, upon which the automatic forced heirship rules apply, in conjunction with the clawback provisions. The net estate left by a deceased on death (gross value of assets less liabilities) must first be added to the amount of all, or certain,[223] *inter vivos* gifts made by the deceased before death.[224] The division between disposable and reserved portions is made on this aggregate figure (often referred to as the 'grossed-up value of the deceased's estate for forced heirship purposes'). If the actual value of the property that comprises the deceased's net estate is not sufficient to pay the forced heirs their full entitlement of the reserved portion, the forced heirs may claw back the lifetime gifts. Generally, the disappointed forced heirs will commence a lawsuit against the recipients of the *inter vivos* gifts. The court must (or may, depending upon its statutory powers) order that the lifetime gifts be repaid out of the recipients' own personal assets. So, for instance, a recipient of an *inter vivos* gift may have spent the gifted property many years ago and yet is still required to refund the amount gifted.

222. In Switzerland, the Federal Civil Code prescribes that the reserved portion is: three-quarters, if the deceased is survived by one or more children; one-half, if survived only by a spouse; and five-eighths, if survived by a spouse and children (three-eighths shared among the children, and two-eighths for the spouse). In France, the reserved portion is one-half, if the deceased is survived by one child; two-thirds, if survived by two children; three-quarters, if survived by more than two children; and one-half, if the deceased has no children but is survived by both parents (one-quarter, if by just one).

223. Variations of these rules exist in different jurisdictions. In some jurisdictions every *inter vivos* gift is subject to clawback, e.g. the French Civil Code. In others, this applies only to those *inter vivos* gifts made with the intention of evading the applicable forced heirship provisions, e.g. art.527 of the Swiss Federal Code.

224. Variations on the time frame exist in different jurisdictions. In some jurisdictions there is no time limit so that any gift made at any stage before death is subject to clawback, e.g. the French Civil Code. In others, only *inter vivos* gifts made less than five years before death are subject to clawback, e.g. art.527 of the Swiss Federal Code, or within ten years of the deceased's death in Germany.

Example 8.1

Assume that an individual testator, T, is a French citizen. T dies leaving one child (A) but no surviving spouse. By his Will, T leaves all his disposable estate to X. T's net estate is €5 million; however, prior to his death he made *inter vivos* gifts of €3 million. How much should A receive as the forced heir from the net estate of €5 million? How much should X receive as the testamentary beneficiary?

To calculate the disposable and reserved portions we must aggregate the net estate and all *inter vivos* gifts: €5 million + €3 million = €8 million. This is the grossed up value of the estate for forced heirship purposes. The reserved portion to which A is entitled amounts to €8 million x ½ = €4 million. The disposable portion to which X is entitled amounts to the balance of the net estate, namely: €5 million less €4 million = €1 million.

The clawback provisions affect recipients of *inter vivos* gifts only when the lifetime gifts cause the net estate to have insufficient funds to pay the forced heirs in full. In these circumstances, the forced heirs may commence a lawsuit against the recipient of the lifetime gift and claw back all, or a sufficient amount, of the gift to supplement the net estate.

Example 8.2

Varying the facts of Example 8.1, assume that T left three children surviving, A, B and C. Here, the French Civil Code prescribes that the children of the deceased have a reserved portion of three-quarters of the grossed-up estate for forced heirship purposes (in other words, net estate plus lifetime gifts). The grossed-up estate is €8 million, i.e. €5 million + €3 million = €8 million. Three quarters of the grossed-up estate must pass to A, B and C: €8 million x ¾ = €6 million.

Unfortunately, the actual net estate only amounts to €5 million. There is a shortfall of €1 million. The beneficiary under T's Will, X, therefore, gets nothing. A, B and C will share €5 million and also are in a position to file a lawsuit and issue proceedings against the recipient(s) of T's *inter vivos* gifts in order to claw back €1 million. The forced heirs will usually go after the most recent gifts first. If the recipients have dissipated the gifted property, the forced heirs can attach the recipients' personal property in satisfaction of the debt. The forced heirs may therefore go after the deepest pocket.

Clearly, the clawback provisions may spell danger for a trustee in the event that the lifetime gift (made by T in the above example) was a voluntary transfer of property to trustees upon the creation of an *inter vivos* trust. The forced heirs could seek to clawback their entitlement from the trustees of the trust fund. Whether the trustees are able to withstand such a claim will be reviewed in section 3 below.

2. International laws of succession

Although there are two broad categories of succession rights, the actual detailed rules of succession in civil law jurisdictions differ significantly between one jurisdiction and the next.

One jurisdiction may protect the surviving spouse to a far greater extent than children and remoter issue of the deceased. One may provide for sons and not daughters of the deceased. Another may permit testators to provide for testamentary beneficiaries with a far greater proportion of their (disposable) estate. Yet another may have more extensive clawback provisions, allowing *inter vivos* gifts made at any time during the deceased's life to be taken into account in the forced heirship calculation, rather than just gifts made within the last five or ten years before the deceased's death, or only gifts made by the deceased before death with the intention of defrauding the forced heirs.

These rules are referred to as the internal or domestic laws of succession that apply in the jurisdiction concerned. For instance, if T dies in State A, having been born and lived there all his life and with all his property situated there, it is pretty clear that the law of succession of State A should apply to all matters relating to T's death. The domestic law of succession of State A may give T complete testamentary freedom, or it may prescribe forced heirs to the bulk of T's estate with extensive clawback capability. It is clear, however, that the succession law of State A determines the matter.

Problems of resolving whether the internal law of a particular country should determine succession rights are created by the increased internationalism or globalisation of certain members of the population, particularly the ubiquitous HNWI. For instance, assume, as a variation to the above example, that T, although born and brought up in State A, had been living temporarily abroad, for the last five years, in State B, where he died; he also had a holiday home in State C and an international business with its head office in State D; finally, he had statutory citizenship in State E.

Which law of succession should apply to determine the destination of T's estate upon his death? The law of State A may give T complete testamentary freedom, while the law of States B through E may prescribe forced heirs in varying degrees.

The problem of which law of succession applies to T is resolved by conflict of laws rules. As you know from Module 6, these are rules that have developed in each jurisdiction to try and make consistent determinations about which law to apply to a particular transaction or occurrence. In our example, the transaction or occurrence is T's death.

Unfortunately, because the conflict of laws rules developed domestically rather than internationally, each jurisdiction has devised its own rules to resolve the problem of which law of succession should apply when a particular individual dies. Nonetheless, there are a few common threads.

The rationale behind all conflict of laws rules is that for a person to be subject to the laws (succession or otherwise) of a particular jurisdiction there must be factors that connect that individual to the jurisdiction in question, rather than another. It is unfortunate, however, that the international community does not agree what these connecting factors should be. Here are a number of examples.

2.1 Domicile

The conflict of laws rules that apply in the UK, and which are followed by most common law countries, including the US, provide that the laws of the country in which the deceased was *domiciled* at the date of death apply to determine succession rights to their testamentary estate. In this context 'domicile' is a technical term meaning the state in which the individual under scrutiny has their permanent home.

Domicile is essentially a common law concept. A person begins life with a *domicile of origin* which derives from the domicile of his/her father, where the child is legitimate, or the mother's domicile where illegitimate. If, while the child is a minor, the relevant parent changes their domicile, the child's domicile changes to match that of the parent and is then referred to as the child's *domicile of dependence*. The domicile of the child acquired in this way remains the domicile of the child for the rest of their life unless through their own choice they acquire a *domicile of choice*. A domicile of choice can be acquired by an adult choosing to move to another jurisdiction, taking up residence there, and having the intention to permanently reside there for the future.

If a person loses a domicile of choice they will revert to their domicile of origin, unless they acquire another domicile of choice elsewhere.

Determining domicile conclusively over a lifetime can be difficult where possible domiciles of choice become an issue. In the case of ***Agulian v Cyganik*** [2006], the Court of Appeal in England observed:

… the question … is whether Andreas was domiciled in England and Wales at the date of his death. Although it is helpful to trace Andreas's life events chronologically and to halt on the journey from time to time to take stock, this question cannot be decided in stages. Positioned at the date of death in February 2003 the court must look back at the whole of the deceased's life, at what he had done with his life, at what life had done to him and at what were his inferred intentions in order to decide whether he had acquired a domicile of choice in England by the date of his death. Soren Kierkegaard's aphorism that 'Life must be lived forwards, but can only be understood backwards' resonates in the biographical data of domicile disputes.[225]

and

All the cases state that a domicile of origin can only be replaced by clear, cogent and compelling evidence that the relevant person intended to settle permanently and indefinitely in the alleged domicile of choice.[226]

So, for example, the conflict of laws rules in England and most states of the US say that the *lex domicilii* determines succession and administration of the deceased's estate generally but the *lex situs* governs real estate.

225. Mummery LJ in ***Agulian v Cyganik*** [2006] WTLR 565.
226. Longmore LJ in the same case.

2.2 Nationality, citizenship

Some civil law countries[227] and sharia jurisdictions provide that the law of the deceased's nationality or *citizenship* applies to determine succession rights. Accordingly, if a Brazilian citizen dies while residing, or even domiciled, outside Brazil, the law of succession of Brazil shall, according to Brazilian conflict of laws rules, determine the destination of their estate.

2.3 Habitual residence

Some other jurisdictions, such as member states of the European Union and jurisdictions that have ratified the Hague Convention on the Law Applicable to Estates of Deceased Persons 1988, provide that the laws of the place where the deceased was habitually resident at the date of death should apply to determine succession rights.

The international community recognised that existing conflict of succession laws were piecemeal, archaic and complex so tried to create uniform rules to determine applicable law of succession in any given circumstance. An international meeting of experts was convened in The Hague. Together they prepared a Convention containing three broad propositions.

i. The Convention proposes that the archaic concept of domicile be abolished, and introduces in its place the sole connecting factor of 'habitual residence'. Article 3(2) states that 'succession is to be governed by the law of the state in which the deceased at the time of his death was habitually resident if he had resided there for a period of not less than five years immediately preceding his death'. Article 3(3) states that 'in other cases succession is governed by the law of the state of which at the time of death the deceased was a national...'.

ii. Article 5(1) of the Convention proposes that an individual is free to choose the law that is to govern succession to their estate, but only where the person has moved abroad. A person living throughout their life in their home country has no such choice.

iii. Finally, the Convention proposes that the applicable law, as determined by the Convention, governs the whole estate of the deceased, wherever the assets are located. There should be no distinction between real estate and movable property.

The 1988 Hague Convention is, however, only a model, which must be ratified and enacted into the laws of individual states if it is to achieve legislative effect. Thus far the uptake has been disappointing, in that only a handful of countries have shown any interest in ratifying it.[228]

227. Most European and Latin American countries historically applied citizenship to determine succession rights. However, EU Succession Regulation No. 650/2012 now harmonises conflict of laws rules for cross-border succession of most members of the European Union to deaths after 2015 – now the last habitual residence of the deceased at the time of death will determine the applicable law of succession.

228. According to the latest status report published by HCCH on their website, the only countries to ratify the Convention are Argentina, Luxembourg, the Netherlands and Switzerland. See: *www.hcch.net/en/instruments/conventions/status-table/?cid=62*.

Nevertheless, although member states of the EU have not adopted the precise provisions of the 1998 Hague Convention in full, they have adopted its main recommendations in EU Regulation No.650/2012 for deaths after 2015 insofar as:

- Art 21 states that: 'The applicable law of succession as a whole shall be the law of the state in which the deceased had his habitual residence at the time of his death';
- Art 22 states: 'A person may choose as the law to govern his succession as a whole the law of the state whose nationality he possesses…'; and
- the law of the jurisdiction which was the deceased's last habitual residence (or the law of the jurisdiction of his nationality chosen to govern) applies to all assets worldwide, there being no distinction between real estate and other assets such as money, securities, movables, etc.

The next section examines the extent of the uncertainty and the way in which a number of offshore financial centres have tried to settle the conflict issues that exist between forced heirship provisions and the validity of a common law trust.

3. Forced heirship and the common law trust

3.1 The risk of clawback

Having explained what forced heirship provisions are and how and when they apply, we can now examine the circumstances in which they may affect an *inter vivos* trust.

The main problem facing an offshore trustee, in advising upon or managing an offshore trust on behalf of a settlor who resides in, or is a national of, a forced heirship jurisdiction, relates to the effectiveness of clawback. In section 1.2.2 we saw that this may arise where a settlor from a forced heirship state creates an *inter vivos* trust and later dies. At this stage, persons claiming to have been deprived of their proper entitlement to the deceased's estate under forced heirship provisions commence a lawsuit against the trustee (as recipient of the *inter vivos* gift) seeking to claw back the trust assets, so that they may be returned to the deceased's estate and there divided up between the forced heirs.

This type of attack upon the trust may have significant consequences for a corporate trustee. If the claim succeeds, the trustee could be obliged not only to transfer all the trust assets under their control to the estate, but may also be ordered to repay all the funds ever received from the settlor. If the trust is long-standing, there may have been a number of prior distributions to beneficiaries out of capital. Annual deductions will have been made for fees and other expenses. These distributions and deductions may have to be made good by the trustee out of their own pocket.

Furthermore, the trustee may have to incur legal fees in defending the trust from the claims of the forced heirs. If the defence is unsuccessful, the trustee may end up significantly out of pocket.

How is it possible for a trustee to assess the risk of this sort of liability?

The trust may have been created long before the settlor's death, at a time when the settlor's future financial and family circumstances were not known. In any event, when the trust is created it will often not be practical to make a detailed factual investigation of the settlor's total financial position, and legal analysis of applicable foreign laws and conflict principles, in order to form any view about possible future liabilities.

Nonetheless, trustees who take on trust business from settlors who are subject to forced heirship laws need to assess their own risk. They cannot be expected simply to sit and wait, hoping not to be sued by disappointed forced heirs at some time in the future, following the settlor's death. How can trustees be confident that trusts they administer will be able to withstand attacks by disappointed heirs?

In assessing whether a trust can survive a clawback claim initiated by forced heirs, let us assume that there are only two protagonists – the forced heirs of the deceased who reside in, and are nationals of, the settlor's home jurisdiction on the one hand and, on the other, the corporate trustees of the trust, incorporated and carrying on trust business offshore on behalf of the beneficiaries, who consist of persons other than the forced heirs. There are two legal systems involved – the law of succession of the settlor's home jurisdiction, which provides for forced heirship ('the foreign state'), and the laws that govern the trust ('the offshore jurisdiction').

Disappointed forced heirs may seek to enforce clawback and attack the offshore trust on two different fronts: before the courts of the foreign state – referred to as the *foreign forum*, or before the courts of the offshore jurisdiction, the *offshore forum*.

3.2 Attack in the forum of the foreign state

Assume that the forced heirs have been deprived of their rightful entitlement to share in the estate of the deceased under the forced heirship laws of the foreign state. The objective of the disappointed heirs, therefore, is to pierce the trust in order to expose the trust property so that it reverts to the settlor's estate, or to attach the trust property to satisfy their forced heirship clawback claim.

If the courts of the foreign state have jurisdiction over the trustees, or the trust property, and are in a position to apply the local forced heirship laws of the foreign state, then clawback could be achieved by direct enforcement of the laws of the foreign state in the manner illustrated in section 1.2.2.

It is, therefore, vital for the integrity of the trust that it is not susceptible to the foreign state or the foreign forum assuming jurisdiction over the matter, as this would enable the courts of that state to determine the claims of the disappointed heirs under their own forced heirship laws.

3.2.1 In what circumstances may the courts of the foreign state assume jurisdiction over offshore trustees?

The law of each state determines the territorial authority of its own courts to entertain legal proceedings between two parties. In broad terms, however, a corporate trustee defending a claim may find itself subject to the jurisdiction of the courts of a foreign state wherever it has a connection to that foreign state. The type and extent of the connection may vary from state to state. For instance, one or more of the following factors may give rise to an assumption of jurisdiction over the trustees and/or trust property by the foreign court; specifically:

- the residence, domicile (or similar concept) of the trustee or, if corporate, its place of incorporation, or
- the place where the trustee carries on trust business, and administers the trust, or
- the place where the trust property is situated, or
- in certain unusual circumstances, where the beneficiaries reside or are domiciled within the geographic territory of the foreign state.

In order to preserve the trust and protect it from clawback provisions invoked by forced heirs in the foreign forum, it is imperative that, upon the creation of the trust in the offshore centre, all connections to the foreign state where the settlor resides and which implements forced heirship rules are reduced to nothing, or at the very least, are kept to a minimum. Conversely, it is just as important to maximise the connection of the trust and the trust property to the offshore jurisdiction. For example:

- the trustees must be incorporated and carry on business in the offshore jurisdiction and have no links to the foreign state; if the settlor is concerned about the trustee having a branch or subsidiary in the foreign state, they should consider the use of a private trust company
- the trust must be wholly administered from the offshore jurisdiction
- the trust property should be located in the offshore jurisdiction rather than in the foreign state; if investments are owned in the foreign state, then they should be held by an underlying corporate holding vehicle, the shares of which are held by the trustees in order to preserve at least the impression that the trust assets are located in the offshore jurisdiction
- the protector (if any) should preferably reside offshore or, at least, not in the foreign state, and
- if beneficiaries reside and are domiciled in, or nationals of, the foreign state, they should not be given fixed beneficial entitlements that may be attached by the forced heirs, but should be made discretionary beneficiaries or objects of a dispositive power in order to frustrate any attempt by the forced heirs to attach their beneficial interests under the trust (as recipients of gifts from the settlor under clawback provisions).

3.2.2 Enforcement of a foreign judgment

Even if the courts of the foreign state do assume jurisdiction over the claim of the disappointed heirs, and give judgment in their favour (permitting them to claw back assets disposed of by the deceased while alive), then (provided the trustees have not otherwise submitted to the jurisdiction of the foreign forum) the successful heirs will have recorded a hollow victory. The judgment or order made by the court of the foreign forum is essentially unenforceable. A foreign court order giving effect to the rights of the forced heirs is unenforceable for two reasons.

First, a foreign judgment has geographical territoriality. This means that the heirs may directly attach only trust assets situated within the territorial borders of the foreign state. If there are no such assets situated in the foreign state, then there can be no direct enforcement of the judgment. The forced heirs, as judgment creditors, have to go to the offshore jurisdiction where the trust property is situated in order to enforce the foreign judgment.

This brings us to the second problem facing the heirs in enforcing the judgment made by the courts of the foreign state. Common law rules[229] on enforcement of judgments provide that a foreign judgment (a judgment of the court of the foreign state) is capable of being enforced against assets held in the offshore jurisdiction only if it can first be established to the satisfaction of the court of the offshore jurisdiction that the foreign court had proper grounds to assume jurisdiction over the trustees. Proper grounds exist only if the trustees:

- are domiciled and carry on business within the foreign state where the court order was made (unlikely), or
- voluntarily submitted to the jurisdiction of the foreign forum, for instance, by taking part in the proceedings by actively defending them (even more unlikely), or
- agreed to submit to the jurisdiction of the foreign forum, for example, by including a jurisdiction clause in the trust instrument whereby the trustee agrees that the courts of the named foreign forum should have jurisdiction to determine trust-related disputes (still more unlikely).

In summary, provided the trust structure is such that it minimises its connection to the foreign state where the settlor resides or is domiciled, etc., and maximises its connection to the offshore jurisdiction where the trustees carry on business, so that the trust is managed offshore and the trust property is situated offshore, it is likely that:

- the courts of the foreign state will not be in a position to assume jurisdiction over the trustees in connection with the clawback claims made by the disappointed heirs, and
- even if the foreign forum does assume jurisdiction under its own civil law code or rules of procedure and enters judgment in favour of the forced heirs:
  - the forced heirs are unable to enforce that judgment in the foreign state because there will be no trust assets situated in the foreign state to attach in order to satisfy the judgment, and
  - they are unable to enforce that judgment in the offshore jurisdiction because, under common law principles, the foreign court did not have proper grounds to assume jurisdiction over the trustee.

3.2.3 Legislation to protect against enforcement of a foreign judgement

Furthermore, most offshore jurisdictions have enacted statutory conflict of laws rules that complement the above common law principles relating to the enforcement of foreign judgments based upon forced heirship claims. These are known as the 'firewall'. The purpose of the firewall is to prevent the courts of the offshore jurisdiction from recognising or enforcing a judgment made by a foreign state, which is based upon and has given effect to forced heirship rights.

The Cayman Islands was the first to enact such firewall provisions and these have been used as a model by a number of other jurisdictions. Section 6 of the Trusts (Foreign Element) Law 1987, as amended, now found in s.91 of the Trusts Act 2021 Revision, provides that:

229. See Dicey, Morris and Collins, *The Conflict of Laws*, 2018. Sweet and Maxwell, London, 15th edition.

...No trust governed by the law of the [Cayman] *Islands...is liable to be set aside or* [is] *defective in any fashion...by reason that the trust… avoids or defeats rights, claims or interests conferred by foreign law upon any person … by way of heirship rights, [as defined in s.92] or contravenes any rule of foreign law or any foreign judicial or administrative order intended to recognise, protect, enforce or give effect to any such rights.*

Section 6B, introduced by the 1995 Law, now s.93 of the Trusts Act 2021 Revision, then provides that:

A foreign judgment shall not be recognised or enforced or give rise to any estoppel in so far as it is inconsistent with section 91 or 92.

Where the trust is governed by the laws of the Cayman Islands, the statutory firewall appears to have sealed the fate of a claim by the forced heirs to enforce a judgment made in their favour by a foreign court. These provisions clarify and confirm the common law position that foreign court orders that give effect to forced heirship claims shall not be enforceable or recognised in the Cayman Islands. Similar legislation has been enacted in other offshore financial centres.[230]

3.3 Attack in the forum of the offshore jurisdiction

3.3.1 The terms of the offensive attack

If the disappointed heirs realise (or are advised) that there is no merit in pursuing, or no prospect of successfully enforcing, their forced heirship entitlement before the courts of the foreign state, they may seek to enforce their claims by bringing a lawsuit before the courts in the offshore jurisdiction where the trustees and trust property are situated.

The objective of the heirs in these circumstances is either (a) to enforce the forced heirship clawback provisions of the foreign state, or (b) to set aside the trust in order to expose the trust property so that it reverts to the settlor's estate and becomes available to satisfy their claims – any claim that affects the validity of the trust will, therefore, succeed in achieving the objective, including:

- an attack upon the validity of the trust itself, or
- an attack upon the validity of the disposition into trust, namely the transfer of the trust assets to the trustee to constitute the trust.

We will review the arguments against the trust, that is, in support of it being set aside, before looking at how offshore legislation has, in most circumstances, come to the rescue.

230. The Bahamas – s.10 of the Trusts (Choice of Governing Law) Act 1989 as amended 1996; Bermuda – s.11(2) of the Trusts (Special Provisions) Act 1989 as amended 2020 (although Bermuda may enforce a foreign judgment based upon judicial testamentary adjustment); the BVI – s.83A(19) of the Trustee Ordinance Cap 303 last amended 2013; Cayman Islands – s.93 of the Trusts Act 2021; Cook Islands – s.13D of the International Trusts Act 1984 as amended; Dubai – art.16 of the DIFC Trust Law 2018; Guernsey – s.14(4) of the Trust (Guernsey) Law 2007; Gibraltar – there is no statutory provision in the Trustees Act regarding enforcement of foreign judgments against trust assets; Hong Kong – there is no statutory provision in the Trustee Ordinance (Cap 29) regarding enforcement of foreign judgments against trust assets (although note s.41Y(3) inserted by the 2013 amendments which permits forced heirship avoidance); Isle of Man – s.5(2) of the Trusts Act 1995 as amended 2015; Jersey – art.9(4) of the Trusts (Jersey) Law 1984 2019 Revision; Singapore – s.90 of the Trustees Act (Cap 337) Revised Edition is similar to the legislation in Hong Kong insofar as it permits forced heirship avoidance but omits the clause dealing with enforceability and recognition of foreign judgments; Turks and Caicos – s.13(2)(b) of the Trusts Ordinance Revised.

i. *Attack upon the validity of the trust*

The forced heirs have sought to argue before the courts of the offshore jurisdiction that the trust itself is invalid. For instance, the forced heirs may allege that under international conflict principles the trust ought to be governed by the law of the jurisdiction where the settlor was resident and domiciled and/or a national at the time the trust was created. If the laws of that jurisdiction do not recognise the trust concept, it is arguably unlawful for the settlor to create a trust. Forced heirs have also argued that the trust is invalid under the laws of the foreign jurisdiction that render *inter vivos* transfers ineffectual whenever the donor retains any right, possession or power over the property transferred.[231]

The success or otherwise of these arguments turns on which law determines the validity of the trust: the law of the foreign state or the law of the offshore jurisdiction where the trustees reside and carry on business. The conflict of laws position according to common law principles is uncertain enough to cause both the settlor and the trustee considerable concern.

ii. *Attack upon the validity of the transfer into trust*

You will recall that the creation of a valid trust involves two processes, namely (a) the creation of the trust, and (b) the lawful transfer of the legal interest in assets by the settlor to the trustees to constitute the trust.[232]

This type of assault upon the trust by the forced heirs involves an attempt to establish that, according to applicable law, the second process referred to above is defective.

You may recall the maxim 'equity will not perfect an imperfect gift'. The settlor must do all that is necessary to transfer legal title in the trust property to the trustees. If the transfer is not complete or, according to applicable law, is invalid, the trust fails. The trust property, therefore, reverts to the settlor (or their estate) and is available to satisfy the claims of the forced heirs.

The forced heirs may argue that the transfer into trust was invalid for a number of reasons.

The first is that the settlor lacked capacity to transfer the property to the trustees. The civil code in some civil law systems, such as France, says that it is unlawful for individuals subject to its provisions, to give away more than the disposable portion of their property, whether on death or during their lifetime. This, it has been submitted by the forced heirs, creates a fatal defect in the capacity of the settlor to transfer property upon the creation of an *inter vivos* trust, thereby invalidating the trust. The logic of this argument again depends on which system of law is applied to determine capacity: that of the foreign state where the settlor/transferor resides, or the offshore jurisdiction where the trustee/transferee is located. The common law rules are certain only in the

231. This is the rule *donner et retinir ne vaut*, translated as meaning 'to give and keep back is invalid', referred to in the ***Rahman*** case (see Module 1 section 2.3).
232. Module 1 section 3.

case of real estate, where the *lex situs* governs the validity of the transfer. In the case of movables, it is probably the system of law which the parties intended to govern and with which the movable property and the transaction are most closely connected.[233] There is also an old maxim: *Mobila sequuntur personam*, which suggests that the law of the transferor's domicile should determine capacity. In either event, according to common law principles, it is more than possible that the law of the foreign state may govern the settlor's capacity, which could have fatal consequences for the trust.

Secondly, the forced heirs may argue that the settlor did not validly transfer legal ownership in the property to the trustees because the settlor (again, according to the laws of the foreign state) did not have an absolute ownership interest in the property in the first place, because:

- an ownership interest had already vested in the forced heirs at the time of the transfer into trust, or, alternatively
- the ownership rights of the forced heirs crystallise upon the settlor's death and have priority over *inter vivos* recipients of the property (including the trustees).

The third line of attack is that the prescribed procedures and formalities required, under the appropriate foreign law, for transferring the property to the trustees had not been adhered to. This again turns on the law that governs the transaction. In the case of real estate, the choice is straightforward – the *lex situs* governs. In relation to movables (cash, stocks, shares, debts, etc.), however, the position is far from clear.[234] This may leave the way open for the disappointed heirs to develop an argument that the transfer into trust suffered from some fatal defect in relation to prescribed formalities or procedures that were not followed.

3.3.2 The defence of the trust

You will appreciate that the key to the offensive arguments that may be raised by the disappointed heirs in support of their claim to set aside the trust and enforce their entitlement to the property of the deceased under forced heirship rights depends upon whether the law of the foreign state determines those rights. Clearly, the law of the foreign state would respect the rights of the forced heirs. On the other hand, the governing law of the trust generally seeks to preserve the trust and respect the rights of the beneficiaries of the trust, provided it had been properly created under the laws of the offshore jurisdiction.

As indicated in Module 6, this is not an issue resolved by trust law. It is a conflict of laws problem.

The Cayman Islands tackled the uncertainty by enacting the Trusts (Foreign Element) Law 1987, to clarify some of the common law conflict of laws principles. The legislation resolved the uncertainty in favour of preserving the trust wherever it is appropriate to do so. The 1987 Law, and its amendment in 1995, does not allow foreign laws

233. ***Cooper v Cooper*** (1886) 13 App Cas 88.
234. Some cases suggest that the lex situs governs, namely, the law of the country where the movable property was located when the transfer took place: ***Winkworth v Christie Manson and Woods*** [1980] Ch 496 and ***McMillan Inc v Bishopgate Trust*** (No 3)[1996] 1 WLR 387. Older cases suggest that the law with which the movable property has its most real and close connection applies: ***Cooper v Cooper*** (1886) 13 App Cas 88.

(including forced heirship provisions) to apply to most matters affecting the creation, administration and legality of the trust, and the transfer of the trust assets to the Cayman Islands' trustee.

The Cayman approach is simply to establish a general rule that all questions relating to a 'Cayman' trust must be determined by the laws of the Cayman Islands, provided Cayman Islands law is chosen as the 'governing' law of the trust. In determining the governing law, an express choice of law clause contained in the trust instrument is decisive and conclusive.

Once it has been established that the trust is governed by Cayman Islands' law, then that law determines all questions that may affect the trust (save for the stated exceptions: see Module 6 section 2.5). In particular, it is provided in s.5 of the 1987 Law, now s.90 of the Trusts Act 2021 Revision, that:

All questions arising in regard to a trust which is for the time being governed by the laws of the [Cayman] *Islands or in regard to any disposition of property upon the trusts thereof, including questions as to:*

(i) *the capacity of the settlor*
(ii) *any aspect of the validity of the trust or disposition or the interpretation or effect thereof*
(iii) *the administration of the trust, whether the administration be conducted in the* [Cayman] *Islands or elsewhere, including questions as to the powers, obligations, liabilities and rights of trustees and their appointment and removal, or*
(iv) *the existence and extent of powers, conferred or retained, including powers of variation or revocation of the trust and powers of appointment, and the validity of any exercise thereof*

are to be determined according to the laws of the [Cayman] Islands, without reference to the laws of any other jurisdictions with which the trust or disposition may be connected.

For the avoidance of any doubt, s.91 of the Trusts Act 2021 Revision, provides a further firewall, as we saw in Module 6 section 2.4.

…It is expressly declared that no trust governed by the law of the [Cayman] *Islands and no disposition of property to be held on the trusts thereof is void, voidable, liable to be set aside or defective in any fashion, nor is the capacity of the settlor to be questioned, nor is the trustee or any beneficiary or any other person to be subjected to any liability ... by reason that*

(a) *the laws of any foreign jurisdiction prohibit or do not recognise the concept of a trust, or*
(b) *the trust or disposition avoids or defeats rights ... conferred by foreign law upon any person by reason of ...* [forced] *heirship rights.*[235]

The conflict of laws rules that the courts of the Cayman Islands must apply are now clear. Only Cayman Islands law applies to a trust expressly governed by Cayman law.

235. Where 'heirship right' is defined in s.92 of the Trusts Act 2021 Revision which states that: 'An heirship right conferred by foreign law in relation to the property of a living person shall not be recognised as (a) affecting the ownership of immovable property in the [Cayman] Islands or movable property wherever situated for the purposes of paragraph 90 [of this Act] or (b) constituting an obligation or liability for the purposes of the Fraudulent Dispositions Law or for any other purpose'.

The firewall frustrates any argument that an *inter vivos* trust created by a settlor, who at the time of creation had some substantial connection to or was a citizen of a forced heirship state, is invalid. This is because the issue of validity is determined by Cayman Islands law, rather than the law of the foreign state. Not only is the settlor's capacity to create the trust governed by Cayman Islands law, so also is the transfer of property to the trustees of the Cayman trust. You will note that ss.90 and 91 apply not just to 'questions arising in regard to a trust ... governed by the laws of the [Cayman] Islands', but also to 'any disposition of property upon the trusts thereof'. This, therefore, includes the question of both the validity of the trust and the validity of the transfer of property into trust.

The general conflict of laws firewall set out above is not, nor could it be, all embracing. There are a number of exceptions set out in s.90 (a) through (f), where the law of a foreign state still applies. For instance, the law of the Cayman Islands does not govern issues relating to:[236]

- original ownership disputes affecting the trust property
- the capacity of a foreign (non-Cayman Island) company to transfer property into trust
- the formalities or procedures involved in transferring foreign assets
- foreign real estate, and
- trusts created or dispositions made by a Will of a testator who died while domiciled in a foreign state.

These statutory forced heirship avoidance provisions set out in s.90 through s.93 of the Trusts Act 2021 Revision, have been used as a model by most of the major offshore financial centres.

Task 8.1

Review the trust legislation enacted in the jurisdiction where you work, or have some other connection. Compare the local statutory forced heirship avoidance provisions with the Cayman model described above.

4. Summary

In summary, the basic conflict of laws rules stated in sections 3.2 and 3.3, above, bear repetition. The statutory conflict of laws rules enacted in the offshore jurisdictions to clarify the common law conflict of laws issues bind only the courts of the jurisdiction in which the statute is passed. The provisions of the Trusts Act 2021 apply only to the Cayman Islands, the Trusts (Choice of Governing Law) Act 1989 apply only in the Bahamas, and so on. The courts of a foreign state will apply the conflict rules applicable to that foreign state, which may very well say that foreign law (not Cayman/ the Bahamas, etc., law) applies to determine the validity of the trust. In those circumstances, any of the trust assets situated within the geographical territory of that foreign state are liable to be attached by the forced heirs; and any trustee or protector who resides and is domiciled in that foreign state is vulnerable to sanctions imposed by the foreign court (if, for instance, they refuse to comply with an order of the court giving effect to the entitlement of the forced heirs).

236. You should cross-reference the precise terms of the statute found in Module 6 section 2.5.

It is, therefore, important that, upon the creation of a trust in an offshore jurisdiction, all connections to the foreign state where the settlor is domiciled and of which they are a national be kept to an absolute minimum, and that the connection of the trust to the offshore jurisdiction be maximised. This is done by the methods discussed in section 3.2 above.

A similar conflict of laws firewall applies to defeat claims made by the spouse of the settlor or a beneficiary of a trust upon divorce. These are reviewed in Module 9 section 6.

Learning outcomes

By the end of this module you should:

- understand basic estate planning methods
- understand forced heirship provisions and be able to distinguish the concept from freedom of testamentary disposition
- appreciate the opportunity to market *inter vivos* offshore trusts to persons from civil law jurisdictions who wish to take advantage of estate planning
- be able to discuss not only how forced heirship provisions affect testamentary gifts on death, but also how clawback provisions affect the recipients of certain gifts made during the lifetime of the deceased (including the creation of an *inter vivos* trust)
- understand the interrelationships between forced heirship provisions of a foreign state and the validity of a trust created offshore by a settlor from that foreign state; in particular, you should be able to advise upon:
  - the type of claim that the trustees may face in the forum of the foreign state
  - the type of claim that the trustees may face in the forum of the offshore jurisdiction, and
  - the terms of typical offshore statutory conflict of laws rules that confirm that all questions concerning the validity of the offshore trust and disposition of property thereto should be governed by the laws of the offshore jurisdiction.

Module 8:

Self-Assessment Questions

1. What does an applicable law of succession govern?
2. Different systems of law have developed different laws of succession. Describe two of the main approaches to the issue.
3. Which system of law is applied to determine rights of succession to an individual's property upon their death?
4. Define the *lex domicilii*.
5. The freedom to permit individuals carte blanche to dispose of their property by Will to whomsoever they wish has been diluted by modern judicial testamentary adjustment legislation enacted in some common law jurisdictions, including England. Describe this legislation and give examples.
6. Domestic laws of succession that apply strict forced heirship provisions affect two types of gift. Identify the types of gift and briefly explain how the forced heirship rules apply. Explain clawback provisions.
7. How, if at all, may the creation of an *inter vivos* trust by a person subject to forced heirship laws affect succession rights in the forced heirship state?
8. The Deceased was a citizen of, and habitually resident in, Switzerland. The Deceased dies with a net worth of SF1 million. He leaves no spouse surviving but does leave three children: A, B and C. The Deceased has not made any lifetime gifts and leaves a Will giving all his disposable property to charitable organisations to fund medical research.

   How much can A expect to receive under applicable forced heirship provisions?
9. How would your answer to question 8 differ if the Deceased had established an *inter vivos* trust in 2024 by transferring SF3 million to trustees (situated in Switzerland) to hold and dispose of to fund medical research?
10. What are the risks to which a trustee is personally exposed in the event that an *inter vivos* trust is set aside following a claim by the deceased settlor's forced heirs who have been deprived of their lawful inheritance?
11. How may the trustees of an offshore *inter vivos* trust ensure that, when the settlor dies, they will not be amenable to (or subject to the authority of) the courts of the state of the settlor's habitual residence or citizenship (which apply forced heirship provisions and determine claims brought by the settlor's disappointed heirs)?
12. Settlor is citizen of, and habitually resident in, Country A, whose law of succession includes strict forced heirship provisions. In order to frustrate the operation of the forced heirship rules, during his lifetime Settlor creates an offshore discretionary trust and duly transfers all his property to corporate trustees carrying on business in Offshore State B, an offshore common law jurisdiction. Settlor subsequently dies.

His forced heirs are thus deprived of what they consider to be their lawful inheritance and are able to bring clawback proceedings in Country A.

The courts of Country A enter judgment against the trustees and order them to pay over $1 million to Settlor's estate for distribution between the forced heirs.

i. Is the judgment of the court in Country A directly enforceable against the trust property situated in Offshore State B?
ii. Is the judgment of the court in Country A capable of being recognised by Offshore State B to enable the judgment to be enforced according to common law principles?
iii. Is the judgment of the court in Country A capable of being recognised by the courts of Offshore State B, in the event that Offshore State B has passed modern offshore conflict of laws legislation? Give an example of the type of firewall currently enacted by legislation passed in the offshore jurisdictions to cover this point.

13. Assume for the purpose of this question that the facts are as stated in question 12 above, except that the forced heirs, who have been deprived of what they consider to be their lawful inheritance, bring their lawsuit and issue proceedings against the trustees of the trust before the courts of Offshore State B (where the trustees and the trust property are situated).

    On what grounds have disappointed heirs in similar circumstances been known to base their claims?

14. Modern statutory conflict of laws legislation enacted in a number of offshore financial centres create a firewall that can be relied on (in those jurisdictions) by trustees in order to overcome claims of forced heirs in similar circumstances to the facts of question 12. What does that legislation provide? How are the forced heirship claims defeated? Are there any limitations or exceptions that get around the statutory firewall?

Module 9:
Asset Protection Trusts

Module 9:

Asset Protection Trusts

Learning objectives

The purpose of this module is to:

- introduce the concept of asset protection planning
- establish the common law principle that a person's assets should be available to meet their debts
- review the remedies available to creditors of the settlor and related asset-protection legislation
- explain how a settlor's bankruptcy may affect trusts created earlier, and
- explore how offshore trusts may protect family wealth from the effects of asset division upon divorce.

Introduction to asset protection

It is natural for individuals, particularly those who have worked hard all their lives in order to accumulate real wealth, to seek some form of insurance against the vicissitudes of life. Asset protection, in its widest sense, is the process of structuring clients' financial affairs to safeguard their assets against certain risks. A trust is typically used to safeguard assets, protect them from expropriation and help reduce or manage risk. When its main objective is to protect assets it is often referred to as an 'asset protection trust'.

For instance, persons living in a politically unstable area may wish to transfer assets to offshore trustees in order to protect them from governmental seizure without due process. They may wish to protect wealth against the imposition of exchange controls (that may, for example, make it illegal to transfer assets out of the country) or other onerous governmental regulation. Persons living in an economically unstable country may wish to transfer assets to offshore trustees in order to try to protect and preserve them in the event of a business disaster at home, so that the financial security of their family is not threatened. Persons living in an aggressively litigious society, or who conduct high-risk occupations, may wish to transfer assets to offshore trustees in order to protect them from future claims or legal actions. Persons living in a jurisdiction that implements forced heirship laws may wish to protect those assets from potential claims from hostile family members who have been disinherited. A spouse may wish to protect assets upon divorce.

Trusts have been used for asset protection purposes for centuries. They have undergone a renaissance over the last couple of decades, particularly in the US, where the phrase 'asset protection trust' seems to have originated. The increased interest in asset protection trusts by potential settlors domiciled in that jurisdiction has coincided with an increase in highly competitive market conditions, and the increased willingness of that society to litigate, where speculative lawsuits against wealthy defendants have proliferated and where awards of damages, often assessed by a jury, sometimes seem to have no correlation to actual loss sustained. Accordingly, it is not surprising that successful professional persons, who have practised a chosen profession for many years, may wish to ensure that a proportion of their hard-earned wealth is effectively insulated from the effects of a freak lawsuit or other uninsured loss. Alternatively, those involved in business who have spent the best part of their lives building a business empire may wish to ensure that at least some of their assets are protected in the event of a calamitous business collapse caused by economic conditions beyond their control.

Risk management of this sort is not a new concept. Insurance is a traditional example of risk management. It involves the pooling or sharing of certain risks between a number of persons. Another example is the limited liability company where, in exchange for agreeing to comply with certain formalities, the shareholders of a company acquire the benefit of limited liability. The shareholders cannot be held personally responsible to creditors for the debts of the company.

The modern asset protection trust plays a significant part in the management of risk and the process of asset protection planning. This is a process defined by Barry S. Engel[237] as involving the organisation of one's clients' assets and affairs, in advance, so as to safeguard them against risks to which they would otherwise be exposed: in particular, claims made by creditors.

This module will review the common law position so that you may appreciate the principle upon which asset protection trusts are based (section 1) and then trace the evolution of the statutory protection afforded to creditors, commencing with the Statute of Elizabeth (section 2), and review how those provisions have been modified in a number of offshore jurisdictions (section 3). Section 4 reviews how an asset protection trust should be structured, and section 5 analyses the effect of modern bankruptcy legislation. Finally, section 6 discusses the contentious issue of protecting family wealth from the effect of the division of matrimonial assets upon divorce.

1. The common law position

A trust is established by a two-stage process: the legal interest in the trust property must be lawfully transferred to the trustees and then, by virtue of the provisions of the trust instrument, the trustees are required to hold, control and ultimately dispose of the trust property in accordance with the terms of the trust for the benefit of the beneficiaries.

Trusts created for asset protection purposes rely on the principle that once the trust property has been transferred by the settlor to the trustees in the above manner, such property is no longer owned by the settlor. It henceforth belongs, in law, to the trustees.

To illustrate, assume that S creates an *inter vivos* trust by transferring Blackacre to trustees. Some time later, S is successfully sued by P, who obtains judgment against him for, say, $100,000. The judgment creditor (P) is unable to attach the trust property (Blackacre) in satisfaction of the judgment debt. The trust property does not form part of S's personal wealth for enforcement purposes. Likewise, if S is subsequently declared personally bankrupt, the trust property still belongs to the trustees of the trust

237. In his article 'Asset Protection Trusts: An Analysis of the Big Question', *Trusts and Trustees*, Vol. 1, No. 9, published by Gostick Hall Publications.

rather than forming part of S's personal estate which vests, upon the making of the bankruptcy order, in the court-appointed trustee in bankruptcy.

Accordingly, creditors of a settlor, and/or the settlor's trustee in bankruptcy, are not able to pierce the trust in order to attach the trust property for the purpose of using trust funds to discharge the settlor's lawful debts. The trust has effectively protected those assets from lawful creditors of the settlor. This is often an extremely bitter pill for creditors to swallow, particularly if the settlor does not have sufficient money or other personal wealth of his or her own to discharge all their debts in full. The injustice is exacerbated if the settlor and their family is able to derive a substantial benefit from the property held in trust.

You will appreciate from this scenario that there are two competing, conflicting interests in the equation: the rights of the lawful creditors of the settlor to be fully and punctually paid what is properly due to them on the one hand; and the rights of the debtor, namely the settlor and the beneficiaries under a properly constituted trust, on the other.

The rights of the creditors in these circumstances have been protected by creditor protection legislation dating back to the 16th century. Some jurisdictions, however, predominantly the offshore financial centres, have instead elected to protect the interests of the debtor by introducing legislation that strives to preserve the trust for the benefit of the beneficiaries. To be fair, most of the offshore jurisdictions have affirmed the principle of creditor protection legislation that a person's assets should *prima facie* (and within reason) be available to meet their debts. What offshore legislation has done in the majority of centres is to strike a balance between the protection of creditors (so that they may enforce payment of their debts from the assets of their debtors) and the protection of debtors (so that the trust structure is insulated from claims made by creditors in certain defined circumstances).

2. Statutory provision for the protection of creditors: the Statute of Elizabeth

The first legislation to come to the assistance of creditors and prevent trusts being used as a dishonest device to frustrate the enforcement of lawful claims by creditors of the settlor was enacted in England in the 16th century, in the form of the Fraudulent Conveyances Act 1571, known as the Statute of Elizabeth.[238]

The mischief that the statute was intended to tackle was as follows. Before 1571 it was lawful for a settlor, S, when facing mounting debts, to transfer assets (say, Blackacre, S's last remaining asset) to a third party – such as a spouse, associate or trustees, to hold on trust. S's creditors could continue to press for payment but now S had no assets with which to pay. By transferring Blackacre to a third party, S had become a self-made 'man of straw', to the clear prejudice of any lawful creditors, who now had no hope of being paid. This sort of device was used in the 16th century to great effect, making apparently wealthy individuals effectively debt-proof. The practice was clearly fraudulent and had to be stopped, so that the 'real' assets of debtors can be made available to meet their debts.

238. 13 Eliz 1 Cap 5.

The Statute of Elizabeth tackled the problem by enabling a creditor to apply to the court to set aside any 'fraudulent conveyance' of property, namely a transfer made to a third party with the intention of defrauding creditors.

Thus, in the above example, the Statute of Elizabeth would provide S's creditors with a remedy. They could apply to the court for an order to set aside the transfer of Blackacre to S's spouse, associate or into trust, so that Blackacre is effectively transferred back to S and is, therefore, available to be 'attached' and sold, so that its proceeds can be used to pay S's lawful creditors.

In the above example, S's actions are clearly fraudulent and it is right that the transfer of Blackacre into trust be set aside so that Blackacre is available to meet lawful debts. On the other hand, what about a person who voluntarily transfers Blackacre to trustees upon the creation of a trust at a time when she or he is completely solvent, and does not owe any money whatsoever to third parties, but is about to embark on some kind of risky enterprise? Should future creditors of the settlor have a right to set aside the trust? This issue, and others addressed by the statute, will now be reviewed in detail.

The Statute of Elizabeth states that all conveyances made by individuals, of any kind of property, with intent to defraud their creditors, are liable to be set aside upon application to the court by a creditor.

2.1 Conveyance

A conveyance is essentially a transfer of assets. It includes all 'gifts, grants, [and] alienations' of property. It therefore covers a transfer of property by way of gift to a spouse; or a transfer into the joint names of the debtor and their spouse; or a transfer by way of gift to family members or other associated person(s).

The transfer is often by way of gift, but could include a sale at an undervalue, namely, for an amount less than 'good consideration'. For example, a sale of an asset valued at $1,000 to an associated person for the sum of $100 represents a 'conveyance' that is liable to be set aside.

The term also includes a lease or mortgage, where the debtor parts with a legal interest in property, or creates some security over it, in favour of an associated person to the prejudice of creditors. It also covers the situation where a debtor who is being chased by creditors transfers the whole of their property to a company of which they are director and shareholder.[239]

Last but not least, a conveyance clearly includes the creation of a trust where property is voluntarily transferred by the debtor/settlor to trustees for no consideration.

2.2 Property

The conveyance may be of any kind of property and any interest therein. 'Property' in this context means real estate, movables, chattels and *choses in action* such as money in a bank and securities such as stocks, shares and bonds.

239. ***Re Fasey*** [1923] 2 Ch 1.

2.3 Intent to defraud

The conveyance of property by the debtor has to be made with an intention to 'hinder, delay or defraud creditors'. It has been held that 'defraud' in this context means dishonestly depriving creditors of property that would otherwise be available by way of attachment to satisfy their debts. Dishonesty on the part of the debtor is a vital element.

In determining whether the conveyance was made with intent to defraud, the common law courts were invited in ***Re Twyne's Case***[240] to look for certain 'badges of fraud'. For instance:

- whether the conveyance was made voluntarily, as a gift, or at an undervalue, or for full consideration – clearly fraud is more willingly inferred in the case of a voluntary conveyance, or gift for no consideration, than one where partial or full consideration is received by the transferor
- whether the conveyance is of all, or substantially all, the debtor's property – clearly if the settlor transfers all their property to trustees, leaving no (or very little) free property available for their creditors, there is a strong inference of fraud
- whether there is a close relationship or association between the debtor and the transferee – if the debtor transfers property to their spouse, close family members or associates for no commercial reason, the court is more prepared to accept a fraudulent intent than if the transferee is an arm's length stranger
- whether the debtor remains in possession, or otherwise continues to enjoy the property, after purporting to have transferred it to the transferee: a trust created in favour of close family members, where the settlor continues to receive a direct or indirect benefit from the trust property to the prejudice of creditors, is strongly suggestive of fraud
- whether a power to revoke is reserved by the settlor – whenever the settlor is in a position to revoke the trust (for instance, after creditors become tired of pressing for payment), it is indicative of a fraudulent intent
- whether the transfer is made after the debt becomes due, or claim notified to the transferor, or at a time when litigation was pending – the creation of a trust after a lawsuit has been notified or filed against the settlor, or just before enforcement of a judgment, is highly suggestive of fraud and indicates that the settlor's purpose in creating the trust is to frustrate creditors in the enforcement of their debts
- whether the transferor is insolvent when the transfer is made, or became insolvent as a result thereof – a transfer of property to trustees when the settlor is insolvent is probably the most cogent and compelling badge of fraud, and
- whether the trust instrument or document effecting the transfer contains a gratuitous statement that the transfer is made without fraudulent intent – such a statement, made for no apparent or good reason, is indicative in itself of a guilty or dishonest mind.

The presence or absence of fraudulent intent is a question of fact to be determined by the court. The so-called badges of fraud do, however, provide guidance when deciding whether it is reasonable to infer that the factual circumstances amount to fraud. It is not, therefore, necessary for a creditor to prove that the conveyance was voluntary, or, for instance, that it was made at a time when the transferor was insolvent (or about to become insolvent as a result of the gift), but these are very strong indicators of the presence of fraudulent intent.

240. (1601) 30 Co 80.

The first bullet point, in the list set out above from ***Re Twyne's Case***, is significant in practice, not just as a badge of fraud, but also because it determines the party on which the burden of proof rests, that is, the side that has to prove an intention to defraud (or lack of it). So, for instance, if the transfer of assets was for valuable consideration, i.e. in exchange for the payment of a price or other consideration, the burden of proving that the transferor intended thereby to defraud the creditors rests on the creditor who seeks to set the transfer aside. On the other hand, if the transfer was voluntary, made without good consideration, the burden is shifted to the transferor to prove that there was no intention of defrauding the creditors.

2.4 Creditor

Any creditor of the transferor (present or future) may apply to set aside a conveyance made with intent to defraud.

A 'present creditor' in this context means one whose debt is currently owed at the date of the conveyance – the date of the gift of Blackacre to the debtor's spouse or associate in section 2 above, or the date of the transfer of assets to trustees in the preliminary examples given in the introductory paragraphs of section 2. A future creditor is one whose debt does not exist at the date of the conveyance but becomes due and owing on some future date.

The distinction is illustrated by a classic asset protection-planning scenario. Assume that an individual who is solvent, without current debts, decides to transfer assets (into trust or elsewhere) because of concerns about future prospects. Alternatively, it may be because they are about to embark upon a hazardous enterprise or enter into a risky business deal. It was stated in the case of ***Re Butterworth***[241] that:

*The principle of **Mackay v Douglas** (1872) LR 14 Eq 106 and that line of cases, is this, that a man is not entitled to go into a hazardous business and immediately before doing so settle all his property voluntarily upon trust, the object being this: 'If I succeed in business, I make a fortune for myself. If I fail, I leave my creditors unpaid. They will bear the loss'. That is the very thing which the Statute of Elizabeth was meant to prevent. The object of the settlor was to put his property out of the reach of his future creditors. He contemplated engaging in this new trade and he wanted to preserve his property from his future creditors. That cannot be done by a voluntary settlement. That is to my mind a clear and satisfactory principle.*

Accordingly, both a present and a future creditor of the transferor have *locus standi* to apply to set aside a fraudulent conveyance. Nonetheless, it has to be recognised that it is far easier for an existing creditor to prove fraudulent intent than a future creditor. This is particularly the case if the future creditor's debt was contracted a number of years after the relevant transfer that the creditor seeks to set aside, and all the transferor's existing debts owed at the date of the transfer have been duly discharged in full.

The facts of ***Re Butterworth*** provide an illuminating example. Mr Butterworth was a successful businessman and was considering diversifying into another field. Before he did so, he transferred a substantial sum into trust for his wife and children. He then proceeded with his new business venture. Unfortunately the venture failed;

241. (1882) 19 ChD 588.

he sold what could be salvaged from the new venture and discharged all its debts. He then continued in his original line of business for over three years. Then, it too failed and went into liquidation. The court appointed a liquidator, who then sought to set aside the transfer to the trust in favour of the spouse and children on the grounds that it defrauded creditors. The liquidator argued that the trust defrauded future creditors of the settlor – not those in existence and identified at the date of the trust. The settlor clearly had these unidentified creditors in contemplation at the time he created the trust, as he deliberately attempted to safeguard the trust assets in the event of the new, diversified business venture failing. The trust was set aside, even though all Mr Butterworth's creditors to whom money was owed in respect of the failed business venture were paid in full.

The principle was again relied on in ***Re Lane-Fox***[242] where it was said:

But if a voluntary settlement ... is impeached by subsequent creditors whose debts had not been contracted at the date of the settlement, then it is necessary to show either that the settlor made the settlement with the express intent 'to delay, hinder or defraud' creditors or that after the settlement the settlor had no sufficient means or reasonable expectation of being able to pay his then existing debts, that is to say was reduced to a state of insolvency, in which case the law may infer that the settlement was made with such intent to delay, hinder or defraud creditors, and therefore fraudulent and void.

It appears from this passage, and from statements of law in other cases,[243] that it does not matter whether a creditor's claim or debt arises as a result of a transaction or occurrence that takes place before or after the date of the allegedly fraudulent conveyance. Nor does it matter whether the debtor knew of or even contemplated that the existence of such claim or debt would arise in the future. All that a creditor has to establish is that, at the time of the transfer, the transferor intended to put assets beyond the reach of creditors generally. Those creditors can be existing or ascertained creditors to whom the transferor currently owes money, or they can be future creditors, whose identity is not yet known. It is enough to render the transfer liable to be set aside if, at the time of the transfer, the transferor contemplated the future possibility of ending up insolvent or bankrupt – in other words, the fear and contemplation behind the creation of most types of asset protection trust structures!

Furthermore, the Statute of Elizabeth sets no time limit within which a creditor must bring the action to set aside the allegedly fraudulent transfer. There is no so-called limitation period.

For example, assume that S created a trust in 2010 prior to, and in order to safeguard against, a hazardous new business venture, at a time when he was solvent but nevertheless owed money to X. Suppose that the business venture is a success. In 2015, S enters into a further speculative business deal but on this occasion the venture fails and S is left owing $1 million to Y, which he cannot pay. In these circumstances X, as an existing creditor, could have applied back in 2015 to have the conveyance into trust set aside, provided she could prove that S had an intention to defraud her when creating the trust. Moreover, Y may also apply to have the conveyance into trust set aside at this time, in the year 2025 (fiftenn years after it was created!) provided that she

242. [1900] 2 QB 508.
243. For example, ***Crosley v Elworthy*** (1871) 12 Eq 158.

can establish that, back in 2010, S created the trust with the intention of defrauding creditors generally (whether existing or potential, present or future ones). The identity of Y had not been ascertained nor was she within the contemplation of S as an anticipated or future creditor at the time the trust was created. Nevertheless, as there is no time limit under the Statute of Elizabeth, Y may bring the action to set aside the transfer at any time, many years after the trust was created.

2.5 Summary of the effects of the Statute of Elizabeth

The principle embodied in the Statute of Elizabeth protects creditors who transact business in good faith in the expectation that the monies properly due from debtors will be paid. In the event that monies properly due are not paid, a creditor may, through the usual court process, attach any assets belonging to a debtor in satisfaction of the debt. The Statute of Elizabeth was designed to prevent dishonest debtors from deliberately and fraudulently placing their assets beyond the reach of their creditors.

Having identified some of the reasons why an individual may wish to create an asset protection trust, it has to be said that the Statute of Elizabeth is a major obstacle to effective asset protection planning. This is because any transfer of assets into trust made for the purpose of protecting those assets is liable to be set aside upon application being made by either:

- present identified creditors, to whom the settlor owes money at the date of the transfer, and/or
- future unidentified creditors, to whom the settlor does not owe money at the date of the transfer but who are nevertheless within the general contemplation of the settlor when the transfer to the trustee is made.

Whenever the Statute of Elizabeth applies, an asset protection trust is always at the mercy of a future creditor of the settlor emerging with *locus standi* to make an application for the transfer into trust to be set aside. The liability of the settlor to the creditor making the application can theoretically arise at any time – before or after the creation of the trust. Even though the trust is 5, 10 or 20 years old when the settlor's financial position deteriorates so as to leave a creditor unpaid, that creditor may apply to have the earlier conveyance into trust set aside if they can establish that it was created for the purpose of unlawfully protecting the settlor's assets.

The next question to be addressed, therefore, is whether the Statute of Elizabeth applies in the offshore financial centres. Can the Statute be used by creditors of the settlor of a trust governed by the laws of one of the offshore jurisdictions, as a basis for an application to set aside the conveyance (in order that the creditor may attach the trust assets in satisfaction of the debt)?

The Statute of Elizabeth once applied as an integral part of the law in the common law offshore jurisdictions, but it has recently been repealed, in most cases. So why did an English statute such as the Statute of Elizabeth apply in the offshore jurisdictions in the first instance?

The Statute of Elizabeth, expressed as 'An Act against Fraudulent Conveyances', was enacted in 1571 to apply to all 'the Queen's realm and dominions'. At that time a number of the current common law offshore financial centres were either considered part of the Queen's dominions or were soon to become such. The common law offshore jurisdictions were thereby deemed to have inherited English law, including its old statutory provisions. There is still academic debate about whether the Channel Islands and the Isle of Man were deemed to have imported English legislation and, therefore, some doubt whether the Statute of Elizabeth has ever applied there.

The Statute of Elizabeth remained in force in England until its revision by s.172 of the Law of Property Act, 1925 (the LPA).[244] Section 209 of the LPA provides that 'This Act extends to England and Wales'. The logical conclusion therefore is that the LPA did not repeal the Statute of Elizabeth in the offshore jurisdictions which comprise the 'Queen's dominions'. Accordingly, the Statute of Elizabeth survived the LPA amendments in 1925 and remained in full force in the Queen's dominions, unless repealed by the legislature of each specific jurisdiction (in respect of which you are referred to footnote 247 in Task 9.1 below).

3. Modern offshore asset protection legislation

We have identified two competing interests in connection with asset protection policies:

- the protection of lawful creditors, to ensure that they are paid in full, with assets belonging to the debtor being reasonably available for the purposes of enforcement, and
- the protection of debtors or, rather, of transactions made by the debtor (including the creation of trusts), so that there is some limitation on when and in what circumstances a creditor may apply to set an existing transaction (such as a transfer to trustees) aside.

A number of offshore jurisdictions have entered the asset protection trust market. They have done so by repealing the Statute of Elizabeth and creating a modern equivalent to tip the balance slightly more in favour of the debtor than of the innocent creditor. In other words, they have made trusts governed by the laws of their jurisdiction less open to attack by creditors of the settlor. Some jurisdictions have gone further than others as they compete against one another for this type of trust business.

The rest of this section reviews some of the common themes and features of modern offshore asset protection legislation, using the Fraudulent Disposition Act 1989 (1996 Rev) of the Cayman Islands (the FDA) as the model, as this was the first to be introduced and has been used as a template in other jurisdictions such as the Bahamas and Bermuda. Other jurisdictions such as the BVI, Hong Kong and Singapore have mostly updated the legislation by using the English model, whereas Jersey and Guernsey have not even been bothered to do that and simply rely on *Roman Actio Pauliana* principles. A comparison of the statutory models adopted by the major offshore jurisdictions is provided in footnote 247 below.

244. Section 172 of the Law of Property Act 1925 states: 'Every conveyance of property made with an intent to defraud creditors shall be voidable at the instance of any person thereby prejudiced.' You will appreciate that, with a few tweaks, this statutory provision was used as a template for the modern Cayman asset protection legislation. Section 432 of the Insolvency Act 1986 states: 'In the case of a person entering into a transaction [contemplated by s.423(1) namely a gift or sale at an undervalue] an order shall be made if the court is satisfied that it was entered into for the purpose of putting assets beyond the reach of a person who is making, or may at some time make, a claim against him.' The current position in England is that modern legislation has further reduced the possible uses of trusts to 'protect assets'. Transfers of assets to an English governing law trust can be attacked if such transfer is intended to defeat (a) creditors (s.339 and s.432 of the Insolvency Act 1986) (b) division of matrimonial assets upon divorce or separation (s.37 of the Matrimonial Causes Act 1973 and paras 74 and 75 of the Civil Partnerships Act 2004), and (c) judicial testamentary adjustment on death (s.10 of the Inheritance (Provision for Family and Dependents) Act 1975.

3.1 Repeal of the Statute of Elizabeth

Section 1 of the FDA (and indeed in most of the other statutory provisions in other jurisdictions) gives the commencement date and s.2 contains the interpretation provisions. Accordingly, the first section that contains the new principle is s.3, which repeals the Statute of Elizabeth by providing:

With effect from the appointed date the FDA shall apply in place of the law in effect prior to the appointed date to every disposition of property made before or after the appointed date by any person and whether or not the property, the subject of the disposition, is situate in the Cayman Islands or elsewhere.

The 'law in effect prior to the appointed day' (the commencement date) was the Statute of Elizabeth. As we shall see, although the Statute of Elizabeth is repealed, its spirit lives on in so far as fraudulent dispositions or transfers made with intent to defraud creditors are still liable to be set aside by new statutory provisions covered in s.4 of the FDA, below.

3.2 Avoidance of fraudulent dispositions

Section 4(1) of the FDA provides:

Subject to the provisions of the FDA, every disposition of property made with an intent to defraud and at an undervalue shall be voidable at the instance of a creditor thereby prejudiced.

The phrases 'disposition', 'intent to defraud', 'undervalue' and 'creditor' are all defined terms set out in s.2 of the FDA.

- 'Disposition' means any transfer of any nature whatsoever; it therefore includes the creation of a trust, the transfer or assets to trustees, or the making of a gift, or a sale at an undervalue.
- 'Intent to defraud' means an intention dishonestly and wilfully to defeat an obligation owed to a creditor.
- 'Undervalue' means that no consideration is given for the transfer or, alternatively, a consideration is given but the value of which (in money or money's worth) is significantly less than the value of the property transferred.
- 'Creditor' means a person to whom money or an obligation is owed which existed on or before the date of the relevant transfer and of which the transferor had notice.

It is, perhaps, obvious where the new provisions differ from the old. In order for a creditor to have *locus standi* to set aside a fraudulent transfer, the obligation owed by the debtor must:

- be an existing liability, i.e. one that is owed as at the date of the disposition (the date of the allegedly fraudulent transfer to the trustees of the trust), and
- the transferor must have notice of it, i.e. the settlor must know the obligation has been incurred.

Accordingly, a settlor who creates an asset protection trust prior to embarking upon a risky business venture is not caught by the new provisions of the FDA. If the new business venture fails, any creditors of the settlor must, by their very nature, be future creditors; this is because at the date of the transfer, a 'future' creditor did not exist and could not be known. If they do not exist as creditors when the trust is created and the property transferred to the trustees, it is impossible for the settlor to have actual notice of them.

A further effect of s.4 is that if a settlor has, and knows about, existing creditors at the time the trust is created, but at some time thereafter those creditors are paid in full, and if the settlor then incurs further debts with new creditors, those new creditors do not have *locus standi* to apply for the transfer to be set aside. This is because only creditors who are in existence and who are owed an obligation at the date of the transfer into trust may apply to set it aside. Accordingly, if the case of ***Re Butterworth***[245] were tried today under modern offshore asset protection legislation, the creditor who did not receive payment of his debt in full in the liquidation would not be able to set aside the earlier transfer into trust. This is because, as you will recall, Mr Butterworth ensured that all his creditors in existence or in contemplation at the date the trust was created, and property transferred to the trustees, had been fully discharged.

The key words in s.4 remain the same: 'intent to defraud'. A transfer of assets into trust can be set aside only by a qualifying creditor who can establish that the debtor made a 'disposition of property ... with intent to defraud and at an undervalue'. The transfer of property to trustees of a trust is inevitably at an undervalue as it is gratuitous – transfers of property to trustees are made by way of voluntary transfer without consideration.

How does a creditor who is prejudiced by the transfer of assets into trust prove that the settlor had an intention to defraud?

The answer is in exactly the same way as under the Statute of Elizabeth – by searching for evidence of the 'badges of fraud' mentioned in ***Re Twyne's*** case (see section 2.2 above).

3.3 Limitation period

A creditor must not only have *locus standi* to set aside a fraudulent transfer to trustees by being owed an obligation at the date of the disposition, but must also bring the application promptly, within the appropriate limitation period. Section 4(3) of the FDA provides that:

No action ... shall be commenced pursuant to this Act unless commenced within 6 years of the date of the relevant disposition.

The new limitation period in Cayman is six years, but this differs between jurisdictions. It is also six years in Bermuda; but it is three years in Anguilla and in Barbados, and two years in the Bahamas and the Cook Islands.

The purpose of this, and indeed the previous provision, is to prevent long-term liabilities that may adversely affect the validity of the trust coming to the surface out of the blue, many years after the trust was created. Nowadays, any challenge

245. See section 2.3, above.

to a trust must be made within a fixed limitation period, which starts to run on the date of the allegedly fraudulent transfer of assets to the trustee. After the limitation period has expired, the trust is bullet-proof and cannot be set aside under creditor protection legislation.

3.4 Burden of proof

Section 4(2) of the FDA provides:

The burden of establishing an intent to defraud for the purposes of the FDA shall be upon the creditor seeking to set aside the disposition.

You will recall that, according to the common law rules of evidence under the Statute of Elizabeth, if the disposition was made for valuable consideration (but at an undervalue), the burden of proving an intention to defraud rested on the creditor; but if the disposition was voluntary (a gift, made without consideration, which transfers to trustees of a trust always are), then the courts would presume an intention to defraud. This had the practical effect of shifting the burden of proof to the debtor/settlor, who had to prove that there was no intention to defraud. If the debtor/settlor could not discharge that burden, the transfer to the trustee was automatically set aside.

This rule of evidence is revised by s.4(2) of the FDA, which provides that the burden of proving a dishonest intention always remains with the creditor seeking to set aside the transfer.

3.5 Survivability of the trust

Under the Statute of Elizabeth, if a creditor could prove the constituent parts of their case, namely, that the settlor had made a transfer into trust with an intention of defrauding creditors, the whole disposition would be set aside. The whole transfer into trust would, according to the archaic words of the Statute of Elizabeth, be 'utterly void, frustrate and of none effect'. The creditor who applied for the transfer to be set aside would, therefore, be able to satisfy the debt out of the trust property. But suppose that having satisfied the debt in full from the trust property there are still further trust funds remaining in the hands of the trustees. To whom do these further funds belong?

Under the Statute of Elizabeth, upon the transfer into trust being set aside, any additional, unused funds comprised in the transfer belong, in law, to the settlor. The funds do not belong to the trustees as the whole of the transfer into trust is declared void *ab initio*. Accordingly, if the settlor owes money to other third parties, those other creditors may enforce payment of their debts by attaching the balance of what was part of the trust fund. The original court order, whereby the transfer is set aside, therefore benefits all creditors, not just the creditor who applies for the transfer to be set aside.

Under modern offshore legislation, the fraudulent transfer is set aside only to the extent necessary to pay the debt owed to the creditor applying for it to be set aside. Section 6 of the FDL provides that:

A disposition shall be set aside under this law only to the extent necessary to satisfy the obligation to a creditor at whose instance the disposition has been set aside together with such costs as the Court may allow.

For instance, assume that Settlor has assets of $1 million and transfers whole $1 million to trustees upon the creation of a trust, despite owing a creditor $700,000. In other words, the transfer of $1 million to the trustees causes Settlor to become insolvent. The creditor brings a lawsuit, under modern fraudulent transfer legislation, to have the fraudulent transfer set aside. The action is successful and the creditor is also awarded her court costs of $50,000. The transfer is set aside but only to the extent of $750,000. The balance does not revert to Settlor (and thus does not become available to any other creditors to whom he owes money, whether existing at the date of the trust or future creditors). The remaining $250,000 is retained by the trustee and held according to the terms of the trust for the beneficiaries. The fraudulent transfer into trust is not therefore declared void *ab initio* for all purposes, but may survive if sufficient funds are available.

3.6 Validity of prior dispositions

As stated above, if a transfer is set aside under the Statute of Elizabeth, it is set aside *ab initio*. This means it is treated as never having lawfully existed. In this event, when the transfer is made to trustees of a trust, all previous deductions from the trust fund in payment of professional fees and distributions to beneficiaries become *ex post facto* unlawful. The creditor is, therefore, able to claim these payments back from the trustee and/or the beneficiaries concerned.

Under modern asset protection legislation, however, while the transfer into trust may be set aside, provided the trustee and the beneficiaries have acted in good faith, this does not invalidate earlier deductions or distributions from the trust fund. Section 5(1)(a)(ii) of the FDA provides that, when any disposition is set aside pursuant to the FDA, provided the court is satisfied that the transferee (i.e. the trustee) has not acted in bad faith:

the relevant disposition shall be set aside subject to the proper fees, costs, pre-existing rights, claims and interests of the transferee (and of any predecessor transferee which has not acted in bad faith).

This provision means that, if a transfer into trust is set aside, the trustees who can establish that they acted in good faith may keep all fees properly charged to the trust during the period of its existence. Most commentators[246] agree that 'good faith' in this context means that the trustees must have accepted the transfer of property into trust honestly and without actual notice or knowledge of the fact that the settlor had intended to defraud the creditor and without constructive knowledge of the fact by deliberately 'closing their eyes' to obvious or reasonable suspicion.

Section 5(1)(b) goes on to provide that in the event that any disposition is set aside under the FDA:

if the Court is satisfied that a beneficiary of a trust has not acted in bad faith the disposition shall only be set aside subject to the right of such beneficiary to retain any distribution made consequent upon the prior exercise of a trust, power or discretion vested in the trustee of such trust, or any other person, and otherwise properly exercised.

246. See *International Trust Law* B6.317-221, by John Glasson, published Jordans, London.

This provision means that, where a transfer into trust is set aside, any beneficiaries who have received distributions from the trust in good faith may keep that benefit and do not have to refund the distribution. Nor do the trustees, provided they made the distribution in good faith. 'Good faith' has a similar meaning to that given above.

Accordingly, assume, for example, that Settlor creates an asset protection trust by transferring $1 million to trustees to hold upon trust for W, A and B, intending thereby to defraud an existing creditor, C, to whom she owes $1 million. C successfully applies to have the transfer of $1 million into trust set aside and discovers that the trust fund now amounts to only $500,000 as, since its inception, $25,000 has been paid in fees to the trustee and $475,000 has been distributed to the beneficiaries W, A and B. If C can establish that the trustee, W, A and B each knew (or had constructive knowledge) of the settlor's ulterior motive in establishing the trust (i.e. that she intended to defraud C), C is able to pursue the trustee, and W, A and B, to recover the $25,000 and $475,000 respectively, in order to satisfy the balance of the debt. This is because (a) the trustee charged fees and (b) the beneficiaries received their respective distributions, in each case in the absence of good faith. But, if the trustee, W, A and B were not aware of Settlor's dishonest motives, they may retain their fees and distributions without being required to repay them as they were as they were received in good faith.

3.7 Legal costs

Modern offshore legislation also contains a provision to protect trustees from incurring liability for using trust assets as a fighting fund to pay lawyers to resist the creditor's application.

For instance, assume that a creditor makes an application under fraudulent transfer legislation to set aside a transfer into trust. The trustees engage lawyers and are advised to contest the application in order to protect the trust fund on behalf of the beneficiaries. The attorneys are initially paid by the trustee out of the trust assets. Unfortunately, after a long and hard fight, the litigation is concluded in favour of the creditor and the transfer into trust is set aside. May the creditor seek to recover from the trustees a sum equal to the trust assets dissipated in payment of fruitless legal fees?

Section 5(1)(a)(i) of the FDA provides:

In the event that any disposition shall be set aside under this law, then:

(a) if the Court is satisfied that the transferee has not acted in bad faith:

> *(i) the transferee shall have a first and paramount charge over the property, the subject of the disposition, of an amount equal to the entire costs properly incurred by the transferee in the defence of the action...*

Accordingly, provided the trustees act in good faith (as defined above, namely, honestly and without knowledge of the fact that the settlor intended to defraud creditors), the trustees may pay the legal costs incurred in defending the creditor's action out of the trust fund and do not have to reimburse the trust fund from their own pocket.

Task 9.1

Review the fraudulent transfer legislation in the jurisdiction where you work or have a connection.[247] Compare and contrast your chosen legislation with that of the Cayman Islands. In particular, highlight the sections of your local legislation (if any) that:

i. repeal the Statute of Elizabeth
ii. contain the new criteria that must be satisfied before a fraudulent transfer may be set aside

247. BAHAMAS – the Fraudulent Dispositions Act 1991 is based on the Cayman model and, in respect of the Task 9.1 questions, refer to: (i) s.3(1); (ii) s.4(1); (iii) s.2; (iv) s.4(3); (v) s.4(2); (vi) s.6; (vii) s.5(1)(b); (viii) s.5(1)(a).

BERMUDA – s.36A–E of the Conveyancing Act 1983 as amended 1994 is based upon the Cayman model and, in respect of the Task 9.1 questions, refer to: (i) s.36B; (ii) s.36C(i); (iii) s.36 A(i); (iv) s.36C(2); (v) s.36D(2); (vi) s.36E; (vii) s.36D(i)(b)–(c); (viii) s.36D(1)(a).

BVI – s.81(1) of the Conveyancing and Law of Property Act Revised Edition 2023 states: 'Every conveyance of property made… with intent to defraud creditors shall be voidable at the instance of any person thereby prejudiced.' S.81(3) states: 'This section does not extend to any interest in property conveyed for valuable consideration and in good faith to any person not having, at the time of the conveyance, notice of the intent to defraud creditors.' This is the extent to the BVI creditor protection legislation and copies s.172 of the Law of Property Act 1925 referred to in footnote 244 above. It has all the hallmarks of the Statute of Elizabeth and, in respect of the Task 9.1 questions: (i) and (ii) it repeals the Statute of Elizabeth and replaces it with the provisions found in s.172 of the Law of Property Act 1925; (iii) claimants must satisfy the definition of a 'person thereby prejudiced' which has a broad meaning insofar as it is not restricted to existing or eligible creditors who are owed an obligation when the conveyance was made but includes future creditors who were neither owed money nor were they known nor ascertained when the conveyance was made; (iv) there is no specific limitation period mentioned in s.61, which means that claims are governed by general statutory limitation rules in the BVI, in particular s.19(1) Limitation Ordinance 1961 – claims to set aside a fraudulent conveyance are treated in the same way as claims to recover trust property transferred by a fraudulent breach of trust, so there is no limitation period for bringing a claim; (v)–(viii) there is no statutory provision so common law principles apply per section 2 of the manual and a trustee is therefore exposed in relation to fees, prior distributions and legal costs.

GUERNSEY – the Channel Islands of Guernsey and Jersey did not import the Statute of Elizabeth into their legislation and have not passed modern asset protection legislation based upon the Cayman model. Instead, creditors may apply to set aside fraudulent transfers of assets into trust by applying an ancient part of Roman law that was imported into the Channel Islands by French customary law known as Actio Pauliana ('Pauline Action'). A Pauline Action entitles a creditor to set aside a transaction between a debtor and third party which was made to defeat the interests of the debtor's creditors. Specifically, it states: 'If a person has alienated property in fraud of creditors…they may bring an action to cancel the alienation… (Justinium, Book IV, Title VI, para 679, no.4). The remedy is very similar to the provisions of the Statute of Elizabeth and has been analysed in the extensive Grupo Torres litigation in Re Esteem Settlement [2002] JLR 53 and applied in Emirates NBD Bank PJSC v Almakhawi [2024] JRC 256. For a creditor to succeed and have a transfer set aside, he must establish (a) that they are a creditor at the time of the transaction, (b) the transferor was insolvent when he made the transfer, and (c) the transaction was carried out with the intention of defeating the creditor's claim. In relation to the Task 9.1 questions: (i) the Statute of Elizabeth never applied; (II) new or modern legislation has not been passed; (iii) a claimant for a Pauline order must be a creditor at the time of the transaction; (iv) there is no specific limitation period applicable to Pauline actions and, indeed, no statute of limitations in Guernsey (or Jersey) so, instead, a customary law of 'prescription' is applied – under general principles when a cause of action arises as a result of fraud, there is no limitation or prescription period for bringing a claim; (v)–(viii) common law principles apply so a trustee is exposed in relation to fees, prior distributions and legal costs.

HONG KONG – s.60 of the Conveyancing and Property Ordinance Cap 219 reproduces s.172 Law of Property Act 1925, in respect of which see the commentary to the BVI legislation above; there is no limitation period applicable to fraudulent transfer claims in Hong Kong due to s.20(1) of the Limitation Ordinance Cap 347.

ISLE OF MAN – Manx law has not introduced modern asset protection legislation. Instead, the archaic Fraudulent Assignments Act 1736 applies which states: 'All fraudulent assignments and transfers of a debtor's goods or effects shall be void and of no effect against his just creditors.' This archaic legislation was considered in Re Heginbotham (Common Law Div 15 February 1999) where the lower Manx court observed that it is basically equivalent to the Statute of Elizabeth although claimants with legal standing must be 'just creditors', meaning they must be existing, known and ascertained creditors on the date of the assignment or transfer made by the debtor. In relation to the Task 9.1 questions: (i) and (ii) The 1571 Statute of Elizabeth has been replaced by the 1736 Act; (iii) a claimant with legal standing must be a 'just creditor', namely owed an existing debt when the fraudulent transfer was made; (iv) there is no specific limitation period mentioned in s.61, which means that claims are governed by general Manx statutory limitation rules found in s.21 Limitation Act 1984 – claims to set aside a fraudulent transfer are treated in the same way as claims to recover trust property transferred by a fraudulent breach of trust, so there is no limitation period for bringing a claim; (v)–(viii) common law principles apply so a trustee is exposed in relation to fees, prior distributions and legal costs.

JERSEY – see Guernsey, above.

SINGAPORE – s.73B of the Conveyancing and Law of Property Act 1886 Cap 61 reproduced s.172 of the Law of Property Act 1925 (in respect of which see footnote 245 and the commentary on the BVI above). But this was repealed and replaced in 2018 by s.438 Insolvency Restructuring and Dissolution Act Cap 40 2018 which reproduces s.423 of the English Insolvency Act 1986 – see footnote 244 above. In relation to the Task 9.1 questions: (i) and (ii) of the Statute of Elizabeth and LPA equivalent are repealed and replaced by s.438 (3)(b) and 438(5) which are set out in footnote 245 above; (iii) to have legal standing a claimant must be a 'victim of a transaction who is, or is capable of, being prejudiced' thereby permitting him to bring an action to set aside a fraudulent transaction; this was explained in England in Clydesdale v Smailes [2009] EWHC 3190 to mean only existing creditors that are known and ascertained at the date of the transaction, not persons who only become creditors at a later date; (iv) there is no specific limitation period mentioned in s.438, which means that claims are governed by general Singaporean statutory limitation rules found in s.22 of the Limitation Act 1959 2020 Revision – claims to set aside a fraudulent conveyance are treated in the same way as claims to recover trust property transferred by a fraudulent breach of trust, so there is no limitation period for bringing a claim; (v) the creditor who brings the action has the burden of proof; (vi)–(viii) if the claim is successful, the whole of the transaction is set aside in accordance with s.438(6), affirmed in England in Re Simon Carves [2013] EWHC 685, so a trustee is exposed in relation to fees, prior distributions and legal costs.

iii. define 'creditor' with *locus standi* to apply under the legislation
iv. set out the applicable limitation period
v. determine which party carries the burden of proof
vi. deal with the survivability of the trust
vii. deal with the validity of prior distributions from the trust fund, and
viii. protect the trustee against incurring legal costs in defending a creditor's action to set aside a trust.

3.8 Summary of modern asset protection legislation

There is inevitably an ethical tension in advising a prospective settlor who desires genuine asset protection planning.

It has been said by some commentators located onshore that simply taking advantage of certain offshore legislation (which can be extremely protective towards a dishonest debtor) is in itself a badge of fraud. Both the court of first instance and the Cook Islands' Court of Appeal in the ***Orange Grove*** case expressed astonishment that the legislature could possibly have meant what the International Trusts Act 1984 (as amended in 1989 and 1991) seemed to provide, namely, a safe haven for dishonest debt dodgers!

It is clearly unethical to accept new business from a settlor who is making one last ditch attempt to put assets out of the reach of existing creditors. Not only is it unethical but it also exposes the trustee to two aspects of civil liability and potential criminal liability.

First, as we have seen in sections 3.6 and 3.7, if the trustees do not act in good faith, they will not be able to retain their professional fees charged to the trust and may end up having to pay the legal bill of an unsuccessful defence in the event that the transfer is set aside.

Secondly, the trustees could become liable to the creditor as a constructive trustee if they knowingly assist the debtor to commit a breach of duty towards the creditor, or knowingly receive property rightfully belonging to that creditor (otherwise known as 'dishonest assistance').[248]

Furthermore, the exposure to criminal liability must not be underestimated. In onshore jurisdictions such as the US and England, a professional person or trustee advising and/or assisting an individual to establish a fraudulent scheme to put assets beyond the reach of creditors may become liable for criminal conspiracy. The trustee who takes part in a scheme to keep assets out of the hands of the settlor's trustee in bankruptcy may also become liable for the criminal offence of bankruptcy fraud. While there have been no prosecutions so far as we are aware in the offshore world, it is imprudent to assume that the risk of criminal liability is negligible.[249]

It is still proper, however, in the correct circumstances to advise a reasonable and respectable client, who is perhaps in a high-risk line of work, and who is genuinely concerned about the risks of liability to future creditors, about the extent of the protection that can be afforded by modern offshore asset protection legislation.

248. See the STEP Advanced Certificate in Principles of International Taxation, AML and Compliance.
249. This could also, depending upon the construction of applicable all-crimes money laundering legislation, amount to money laundering.

At the outset it is imperative that you carry out a thorough 'know your client' investigation. You must establish:

- that the settlor has the means and fully intends to discharge the debts due to all existing creditors
- that no potential future creditors are known to exist (or, if they do, the settlor has the means and fully intends to discharge such creditors), and
- that the settlor is solvent and will remain solvent after transferring the intended assets into trust.

It is vital that the above criteria are met, otherwise the objective of the trust, namely, to protect the assets from the settlor's creditors, will not be achieved. Furthermore, the trustees face serious liability as constructive trustees, or may be required to refund all fees earned to date and other distributions made to beneficiaries out of their own pocket.

A final word of warning. Notwithstanding the most thorough and meticulous asset protection planning, it is almost inevitable that a judge will, whenever there is room to do so, be more sympathetic to the (honest) creditor than the (dishonest) debtor. This is no better illustrated than in the ***Orange Grove*** case where the judiciary of the Cook Islands strained the interpretation of the relevant legislation almost to (or beyond) breaking point to decide in favour of the unpaid creditor rather than the rogue debtor.

The facts of the ***Anderson*** case[250] in California are also illuminating. Mr and Mrs Anderson were settlors of a trust established in the Cook Islands, of which they were co-trustees together with a Cook Islands' institution, and protector. They then became embroiled in litigation in California and were ordered by the judge to produce financial records relating to the trust and arrange to return the trust funds to the US. As a consequence, and in order to protect the trust, the institutional trustee removed the Andersons as co-trustees and refused to produce the records or return the funds. Whereupon the judge, to ensure he got his way and in order to avoid any esoteric international conflict of laws problems, simply imprisoned Mr and Mrs Anderson for contempt of court.

The judge said they would be released when they had purged their contempt and the court order had been complied with by the trustees returning the funds to the US.

This type of judicial attitude serves as a reminder that no asset protection structure, even in the most secure jurisdiction, can be completely watertight.

4. Structuring an asset protection trust (APT)

The term 'asset protection trust' does not describe any one particular type of trust. Moreover, it refers to the objective or aim of the trust, which is to protect the trust assets. Accordingly, almost any type of trust that is governed by a law which contains modern asset protection legislation may properly be described as an asset protection trust in appropriate circumstances, whether it is structured as a fixed life interest, a contingent interest or a discretionary trust.

250. ***FTC v Affordable Media*** 179 F.2d 13130 (9th Cir 1999). A similar case is In ***Re Stephen Jay Lawrence*** 238 BR 498 (Bankr SD Fla 1999) where, within weeks of an arbitration award against him of $20 million, Mr Lawrence established a trust in Mauritius. He was imprisoned for contempt, with the judge saying 'Mr Lawrence, you're not going to get away with this...'

There are a number of matters that should be borne in mind when drafting or amending a standard in-house trust document. Trust practitioners agree that the following structure should be adopted for maximum asset protection. The trust should:

- be expressly governed by the law of a jurisdiction with modern asset protection laws and, preferably, contain a 'flee clause'
- appoint offshore trustees
- be irrevocable
- contain few, if any, powers reserved to the settlor
- be discretionary in nature, and
- be completely constituted by appropriate trust property being held by the trustees in a jurisdiction which is far removed from the jurisdiction where the settlor is located.

4.1 Governing law

It is vital that the trust instrument contains an express clause selecting a sympathetic law as the governing law of the trust. As you are aware, most offshore jurisdictions make this selection conclusive and thus prevent creditors from arguing that international conflict of laws rules apply the laws of any other country to issues that may arise in relation to the validity of the trust. For example, it prevents a foreign creditor claiming that the creditor protection laws or bankruptcy legislation of an onshore jurisdiction should determine the validity of the trust, which, as we have seen, often favour the creditor rather than the settlor/debtor. It is also prudent to include a 'flee clause' in the trust instrument.

4.2 Offshore trustee

The settlor should appoint trustees who are incorporated in, and carry on trust business from within, the offshore centre only (or who, at the very least, do not have a presence in the settlor's country of residence or domicile). This is to ensure that the trustees do not inadvertently submit to the jurisdiction of the court of an alternative foreign jurisdiction, which may apply its own laws to issues relating to the trust.

Whenever the settlor is appointed as a co-trustee, they are clearly at risk of being subjected to the authority of the courts of the country where he or she resides, is domiciled and/or is a national. The foreign court could in these circumstances, in legal proceedings brought by creditors, order the settlor to exercise their powers as trustee, for instance, to repatriate trust assets to make them available to creditors. This, you may recall, was the judicial strategy in the Anderson case. A foreign court, on the other hand, will not have such authority over a truly offshore trustee.

4.3 Irrevocable with few (if any) powers reserved by the settlor

An asset protection trust should be irrevocable. If the trust is revocable, the foreign court of the jurisdiction where the settlor resides could, in proceedings brought by creditors, exercise its *in personam* jurisdiction over the settlor and order him or her to revoke the trust and thus expose the assets to satisfy the creditors' claims. The foreign court is not in a position to set the trust aside, but it does have power to imprison the settlor for contempt in the event of a refusal to revoke the trust! This was the fate suffered by Mr and Mrs Anderson.

In the event of the settlor's bankruptcy, the rights and powers of the settlor become exercisable by the court-appointed trustee in bankruptcy. If the trust is revocable, the trustee in bankruptcy acquires the ability to revoke the trust in lieu of the settlor, to enable the trust property to revert to him/her and, therefore, become available to satisfy the claims of creditors.

Furthermore, even if the trust is irrevocable, the trust instrument must not confer extensive powers upon the settlor, such as the right to change trustees, to add to the class of beneficiaries or to dictate investment policy or determine distributions. There are two reasons for this.

- If the settlor reserves a number of powers that they may exercise over the trust property, the creditors may very well attack the trust by arguing that the powers constitute a 'badge of fraud' and are grounds to set the trust aside as a fraudulent transfer.
- Secondly, if the settlor is declared bankrupt, all the powers vested in the settlor are succeeded to by the court-appointed trustee in bankruptcy. Accordingly, the trustee in bankruptcy may exercise those powers in a manner that is favourable to the creditors rather than the beneficiaries. For instance, they may appoint themselves as trustee and add themselves to the class of beneficiaries and distribute in their own favour. Alternatively, they may simply repatriate the trust property so that the creditors of the settlor can attach the property directly to satisfy their debts.

4.4 Discretionary nature of the trust

The trust should preferably be a discretionary trust, so that the trustees are given a discretionary power to distribute funds to whichever beneficiaries from the class they think fit.

Even if the settlor is a member of the class of beneficiaries, they do not have a vested or quantifiable interest in the trust property. This means that the settlor's interest cannot be attached by creditors or 'seized' by a trustee in bankruptcy. The explanation is, of course, that the settlor does not have any interest, but only an expectancy or possibility of an interest in the event of the trustees exercising their discretion in his or her favour.

It is also the view of some offshore asset protection planners that the settlor should not even be a member of the class of discretionary beneficiaries, in order to reduce the possibility of it being considered a badge of fraud.

4.5 The trust property

The type of property held in trust and its location also affects the effectiveness of the protection afforded by the trust. This is again because of conflict of laws principles. Ideally, all questions relating to the trust and the trust property should be resolved by the law of the offshore centre rather than foreign law, which will probably favour the settlor's creditors. If the trust property comprises real estate or movable chattels that are physically located in the jurisdiction where the creditors are domiciled, it is likely that the creditors will be able to attach those assets under the law applicable to their *situs* rather than under that which governs the trust.

Most trust practitioners, therefore, consider that the safest approach is to ensure that the trust property should comprise movable assets, such as bank deposits, stocks, shares and other marketable securities, all of which can be held by the trustees in the offshore environment.

4.6 Summary of the methods of structuring an asset protection trust

In order to be effective in achieving the settlor's objectives an asset protection trust should:

- be established at a time when the settlor is solvent
- not comprise all or substantially all of the settlor's personal wealth; the settlor must retain sufficient assets to meet all foreseeable future debts and liabilities
- be established at a time when the settlor has no known creditors or creditors whom he or she cannot or does not propose to pay, and when there are no known potential claimants
- be properly constituted, by complying with all the legal formalities and requirements necessary to transfer the legal interest in trust assets to the trustee, and
- be properly structured, so that the trustee has legal ownership of and full control over the trust assets and the settlor's reserved powers are non-existent or, at most, nominal.

5. Bankruptcy

Bankruptcy is a topic related to fraudulent transfer legislation in so far as it can lead to a transfer of assets into trust being set aside by creditors of the settlor. Bankruptcy, you may recall, occurs when an individual commits an 'act of bankruptcy', usually by becoming insolvent and being unable to pay debts as they fall due. This gives a creditor grounds to apply to the court for an order that the debtor be declared bankrupt, whereupon the court appoints a 'trustee in bankruptcy', whose function is to collect the debtor's property for distribution among all the creditors in proportion to their debts.

Many common law jurisdictions, including the Bahamas, Bermuda, the Cayman Islands and the Isle of Man (and formerly the BVI, Hong Kong and Singapore) have enacted bankruptcy legislation based upon that which existed in England prior to the Insolvency Act 1986 (which provided a new, comprehensive bankruptcy code). In other words, the bankruptcy provisions that exist in these offshore jurisdictions are modelled upon the Bankruptcy Act 1914 (itself based upon the Bankruptcy Act 1869).

Other offshore jurisdictions, including nowadays the BVI, Hong Kong, Jersey and Singapore, have enacted bankruptcy legislation based upon the more modern Insolvency Act 1986.

Certain provisions of the 1914 and 1986 Acts are relevant to the discussion of asset protection trusts. This is because the 1914 and 1986 Acts give the court power to set aside transfers of property (including the transfer of assets into trust) made by an individual within 'x' years prior to being declared bankrupt. You will appreciate that this has considerable significance for a settlor who, for the reasons discussed in the introduction to this module, is worried about the risks posed by future creditors and is considering the desirability of some kind of asset protection structure.

The typical scenario may look as follows. S is a successful professional or businessperson and wants to protect the wealth he has already accumulated against a freak lawsuit or other financial calamity. He therefore transfers $1 million to trustees to hold upon trust for his wife and children. Unfortunately, his fears are realised some time later when he is sued by a creditor/claimant and judgment is entered against him for $2 million. S has assets of no more than a nominal value in his own name and so is unable to satisfy the judgment. The judgment creditor, therefore, applies to the court under the provisions of bankruptcy legislation and obtains an order that S is declared bankrupt. The court then appoints a 'trustee in bankruptcy' whose statutory duties are: to collect in all the bankrupt's property from every source; recover debts due to the bankrupt; to reduce all of the bankrupt's total wealth into money; advertise for creditors to whom the bankrupt owes money; prepare accounts; and then distribute the pot of available money *pari passu* among the bankrupt's creditors.

In order to adequately protect the interests of creditors and ensure that the pot of money available for distribution represents the entirety of the bankrupt's wealth, the 1914 and 1986 Acts confer upon the court-appointed trustee in bankruptcy a statutory power to set aside voluntary dispositions or gifts made by the bankrupt within the relevant period (namely one, five or 10 years before the bankruptcy). You will appreciate that this power could be exercised in order to set aside any transfers of assets made by a bankrupt settlor within the relevant period. If the transfer into trust is successfully set aside, the trust assets may then be seized by the trustee in bankruptcy and added to all other property of the bankrupt in the melting pot available for division between the creditors.

5.1 The 1914 Bankruptcy Act model

Section 42 of the Bankruptcy Act 1914 provides:

Any settlement of property, not being a settlement made before and in consideration of marriage, or made in favour of a purchaser in good faith and for valuable consideration ... shall, if the settlor becomes bankrupt within two years after the date of the settlement, be void against the trustee in the bankruptcy; and shall, if the settlor becomes bankrupt at any subsequent time within ten years after the date of the settlement, be void against the trustee in the bankruptcy, unless the parties claiming under the settlement can prove that the settlor was, at the time of making the settlement, able to pay all his debts without the aid of the property comprised in the settlement, and that the interest of the settlor in such property passed to the trustee of such on the execution thereof.

The provision found in s.42 of the 1914 Act has been used as a model in a number of offshore jurisdictions. Accordingly, the interpretation of, and case law that developed alongside, the Bankruptcy Act in England after 1914 is still good authority in the offshore jurisdictions in relation to the rights and liabilities of a bankrupt settlor, their trustee in bankruptcy and the trustees of an asset protection trust.

There are two relevant provisions. The first enables a court-appointed trustee in bankruptcy (who is given statutory powers to administer the assets of a bankrupt on behalf of the creditors), to set aside a 'settlement of property' made by the settlor, provided that the settlor is declared bankrupt within two years after the date of the 'settlement'.

The second provision enables a trustee in bankruptcy to set aside a settlement of property made by the settlor, provided that the settlor is declared bankrupt after two years but less than ten years after the date of the settlement, unless the parties claiming under the settlement (namely the trustees) can prove that the settlor was solvent when making the settlement and remained solvent after transferring the trust property to the trustees.

We will now review s.42 of the 1914 Act in a little detail.

5.1.1 Settlement

A 'settlement of property' under the 1914 Act means any transfer of property of whatever nature by way of absolute gift or into trust, but does not include a settlement made upon and in consideration of marriage or a transfer to a purchaser in good faith for valuable consideration.

The provision therefore applies to all gifts made by the bankrupt within two (or 10) years of bankruptcy, and all transfers to trustees other than the creation of a trust made upon and in consideration of marriage. The second exception excludes from the ambit of s.42 sales made by the bankrupt (before being declared bankrupt) to a purchaser for a price roughly equal in terms of value to the property received.

5.1.2 The transfer is void(able)

'Void' in the context of s.42 is construed as meaning *voidable.* Accordingly, if a settlor creates a trust and is subsequently declared bankrupt and the trustee in bankruptcy has the trust set aside, the 'settlement' is not void *ab initio*. It is void as from the date the settlor is declared bankrupt.[251] This preserves the validity of deductions and distributions made from the trust fund prior to that date.

When a settlement is declared void under this provision, it is all void, however, not just such part of the settlement that is required to satisfy the settlor's creditors in the administration of his bankruptcy.[252]

5.1.3 The time limits

The time limits found in s.42 provide an interesting distinction. The first part creates an automatic provision: if a settlor is declared bankrupt within two years of transferring assets into trust, that transfer becomes automatically void. There are no defences available.

The second part, on the other hand, does contain a defence. If the settlor is declared bankrupt after two but within 10 years of making a transfer into trust, that transfer shall be void unless the parties claiming under the settlement (i.e. the trustees) can establish to the satisfaction of the court that the settlor was solvent and in a position to pay all the debts in full, both immediately prior to the transfer and immediately after transferring the assets to the trustees. In other words the settlor must prove they were able to discharge all debts and liabilities without the aid of the trust property.

251. ***Re Carter and Kenderdine's Contract*** [1897] 1 Ch 776.
252. ***Re Windle*** [1975] 1 WLR 1628 and ***Re Farnham*** [1895] 2 Ch 799.

Task 9.2

Review the bankruptcy legislation in the jurisdiction where you work or have a connection.[253] Compare and contrast your chosen legislation with the Bankruptcy Act 1914 described above. In particular, highlight the sections of your local legislation (if any) that:

(a) confer upon the trustee in bankruptcy a power to set aside 'settlements of property', and
(b) create the relevant time limits.

5.2 1986 Insolvency Act model

Section 339 of the English Insolvency Act 1986 provides:

[W]*here an individual is adjudicated bankrupt and he has at the relevant time (as defined in s.341) entered into a transaction with any person at an undervalue, the trustee of the bankrupt's estate may apply to the court for an order* [to set such transaction aside] … *for restoring the position to what it would have been if that individual had not entered into the transaction.*

253. BAHAMAS – s.71 of the Bankruptcy Act Cap 69 1870 is based upon the 1914 Bankruptcy Act model; in relation to the Task 9.2 questions (a) and (b) s.71 is identical to s.42 of the 1914 Act model, creating a two- and ten-year period within which the settlement of property can be set aside.

BERMUDA – s.45 of the Bankruptcy Act 1989 is based upon the 1914 Bankruptcy Act model; in relation to the Task 9.2 questions (a) and (b) s.45 is identical to s.42 of the 1914 Act model, save that it creates a two- and five-year (not 10-year) period within which the settlement of property can be set aside.

BVI – s.44 of the old Bankruptcy Act Cap 8 copied the 1914 Bankruptcy Act but was repealed and replaced in 2020 by ss.402, 405 and 406 of the Bankruptcy Act which is based upon s.339 of the English 1986 Insolvency Act model. Sections 402 and 405 state that if a bankrupt makes a gift or undervalue transaction within the 'vulnerability period' (of five years prior to the date of the presentation of the petition) it becomes a voidable transaction and can be set aside in whole or in part by the court upon an application by the bankruptcy trustee

CAYMAN ISLANDS - s.107 of the Bankruptcy Act 1997 is based upon the 1914 Bankruptcy Act; in relation to the Task 9.2 questions (a) and (b) s.107 is identical to s.42 of the 1914 Act model, creating a two- and ten-year period within which the settlement of property can be set aside.

GIBRALTAR – s.42A of the Bankruptcy Ord 1990 was based upon the 1914 Act model, but this has been repealed and replaced by the Insolvency Act 2011, ss.435 to 430 based upon the 1986 Act model which gives the court a judicial power to set aside undervalue transactions entered into within a 'vulnerability period' of five-years.

GUERNSEY – the existing personal bankruptcy law is found in the 1929 Désastre Act which has been little used and unsophisticated insofar are there are no statutory provisions designed to set aside prior dispositions made by a bankrupt. It is in the process of being reformed and modernised.

HONG KONG – the old Bankruptcy Ordinance Cap 6 was based upon the 1914 Bankruptcy Act model but was modernised by the 1996 amendments. Section 49 of the current Bankruptcy Ordinance is based upon the 1986 model and states that when a debtor is adjudicated bankrupt within the 'relevant time' and has made an undervalue transaction, the court can set such transaction aside in whole or in part upon an application made to it by the trustee in bankruptcy. Section 51 defines the relevant time as within five years of the presentation of the petition as described in the manual.

ISLE OF MAN - s.30 of the Bankruptcy Code 1892 is based upon the 1914 Bankruptcy Act model; in relation to the Task 9.2 questions (a) and (b) s.30 is identical to s.42 of the 1914 Act model, creating a two- and 10-year period within which the settlement of property can be set aside.

JERSEY – art.17 of the Bankruptcy (Désastre)(Jersey) Law 1990 Consolidated is based upon the English 1986 Insolvency Act model. Article 17(1) states that if a debtor at the relevant time enters into a transaction at an undervalue the court may set aside the transaction in whole or in part to restore the position to what it would have been had the transaction not taken place. By art.17(7) the relevant period is five years insofar as undervalue transactions within two years of the presentation of the petition will be set aside, whereas those transactions withing five-years will be set aside unless it can be established that the transferor was solvent when making it of became insolvent as a result of it.

MAURITIUS – s.49 of the Bankruptcy Act was based upon the 1914 model, but this was repealed and replaced in 2009 by the Insolvency Act, where ss.319 to 325 is loosely based upon the 1986 model and gives the court a power to set aside undervalue transaction within a 'vulnerability period of five-years.

SINGAPORE – s.98 and s.100 of the Bankruptcy Act Cap 20 Revised Edition 2009 is based upon the English 1986 Insolvency Act model, s.339 as set out in the manual below.

We will now review s.339 of the 1986 Act in a little detail.

5.2.1 Transaction at an undervalue

According to s.339(3) a transaction is at an 'undervalue' when it involves a gift of property for no consideration or a sale of property for a consideration which is significantly less than the value of such property.

5.2.2 The transaction is voidable

The transaction, which in the context of a trust is the voluntary transfer of property by the bankrupt settlor to trustees for no consideration, is voidable, rather than being automatically void. According to s.342, when the claim by the court-appointed trustee in bankruptcy is successful, the court has a discretionary power to make such order as it thinks fit. This means the court can declare the transfer void *ab initio*, or void from the date of the order and the court can set aside the whole transaction so the entire amount becomes vested in the trustee of the bankrupt's estate, or just part of it.

5.2.3 The time limits

According to s.341, when a bankruptcy petition upon which the settlor is adjudicated bankrupt is presented within two years of the settlor transferring an asset into trust, an order will typically be made for the transaction to be set aside.

When the petition is presented after two years but within five years of the settlor transferring the asset into trust, the transaction will be set aside when it can be established that the settlor was insolvent when he or she made the transfer or became insolvent as a result of it. However, when a transfer is made to an 'associate' (such as a trustee) during this period, there is a rebuttable presumption that the bankrupt transferor was indeed insolvent, so the onus is upon the settlor to establish his or her solvency.

5.3 Jurisdiction of the offshore court: recognition of a foreign trustee in bankruptcy

In what circumstances may a settlor of an offshore trust be declared bankrupt in the jurisdiction where the trustee is located and the trust administered?

As we know, an offshore trust is generally created by an individual settlor who does not reside or have a permanent home in that offshore jurisdiction. So, in what circumstances may the courts of an offshore centre assume bankruptcy jurisdiction over a settlor so that it may declare that person bankrupt (and thus enable the court-appointed trustee in bankruptcy to apply to the court to have the transfer of assets into trust set aside under offshore bankruptcy provisions)?

The courts of a common law offshore financial centre have bankruptcy jurisdiction whenever an individual (who is allegedly insolvent and unable to pay their debts) has a close connection with that centre. The type of connection generally required is residence. In particular, any creditor may apply to the court of an offshore centre to make an individual debtor bankrupt, provided the debtor:

- resides within the jurisdiction when the act of bankruptcy was committed, i.e. was unable to pay debts in full as they became due, or
- carries on business within the jurisdiction personally, or through an agent, manager or partner.[254]

It is most unlikely that a typical settlor resides or carries on business in the offshore centre where the trustee is located and the trust is administered. Accordingly, the offshore centre does not generally have bankruptcy jurisdiction over the settlor. The application to have the settlor declared bankrupt cannot, therefore, take place before the courts of the offshore centre. A settlor is generally declared bankrupt by a court that has bankruptcy jurisdiction over him or her – more often than not this is a foreign court which presides onshore where the settlor lives.

That is not to say, however, that the provisions of s.42 of the Bankruptcy Act or s.339 of the Insolvency Act, or their offshore equivalent, are redundant.

A trustee in bankruptcy appointed by a foreign court may have *locus standi* to apply to the offshore court where the trustee and the trust assets are located for an order to set aside an earlier transfer of assets made by the bankrupt. A foreign trustee in bankruptcy who wants to apply must first demonstrate that their status as the trustee in bankruptcy over the assets of the bankrupt should be *recognised* by the courts of the offshore centre.

As a general rule[255] a foreign court-appointed trustee in bankruptcy is recognised by a court of a common law jurisdiction provided that:

- the bankrupt person resides or is domiciled in the jurisdiction where they have been declared bankrupt, or
- the bankrupt voluntarily submitted to the bankruptcy proceedings.

In either of these circumstances, the courts of the offshore centre are prepared to recognise the foreign trustee in bankruptcy, who is therefore allowed to take proceedings before the offshore court where the trustee and the trust assets are situated, in order to set aside the transfer into trust under local bankruptcy legislation.

6. Family wealth protection upon divorce

6.1 Introduction to questions arising from divorce

An increasing number of international spouses try to have their divorce heard in England. There are several reasons for this:

- a significant number of HNWIs who are not UK citizens reside in the UK, particularly in London, and are therefore able to invoke the jurisdiction of the English divorce court,[256] and

254. See, for example, s.2 of the Bankruptcy Act (Revised) applicable to the Cayman Islands, although similar rules exist in the other offshore centres, e.g. the Bahamas – s.71 of the Bankruptcy Act 1870; Bermuda – s.45 of the Bankruptcy Act 1989; the BVI – s.44 of the Bankruptcy Act, Cap 8; Cayman Islands – s.107 of the Bankruptcy Act Revised; Gibraltar – Insolvency Act 2011; Hong Kong – s.47 of the Bankruptcy Ordinance, Cap 6; Isle of Man – s.30 of the Bankruptcy Code 1892; Jersey – Bankruptcy (Désastre)(Jersey) Law 1990; Mauritius – Insolvency Act 2009; Singapore – Bankruptcy Act, Cap 20, 2000 Revised Edition.

255. Dicey and Morris confirm that this is a matter of general conflict of laws principles. Dicey, A., Collins, L., Morse, C. G., and Briggs, A., 1999. *Dicey and Morris on The Conflict of Laws*. London: Sweet and Maxwell.

256. This was because of the generous UK tax regime that allows non-domiciled foreign individuals to enjoy modest rates of taxation upon foreign income and gains although non-dom tax status was abolished in 2025 and replaced by a new Foreign Income and Gains regime which caused a wholesale evacuation of HNWIs from the UK and London in particular.

- awards tend to be generous towards an economically weaker spouse (or civil partner) in extreme wealth cases.[257]

Accordingly, it is becoming increasingly common for the economically stronger spouse to try to protect family wealth from spousal claims by establishing an offshore trust and transferring a significant proportion of his or her wealth to offshore trustees. In turn, the disadvantaged spouse tries to expose and attach the trust assets. This is the cause of considerable tension between the interests of the spouse and the interests of the beneficiaries; between the divorce court and the offshore trust industry; between family lawyers and the Chancery Bar.

6.2 Assault on the trust assets upon divorce

There are several ways in which a spouse may attack a trust in divorce proceedings:

- having the divorce court take trust assets into account as a resource of one party
- applying for an order to vary a nuptial settlement, or
- applying for an order to have the trust set aside.

6.2.1 Treating trust assets as a resource

A spouse may, in proceedings for the division of matrimonial property upon divorce, establish that the trust assets are a resource of the other, often economically superior, spouse. When the trust assets are huge this can significantly swell the assets available for equal division between the spouses. Whether the trust assets can be treated as a resource of one party depends upon the 'reality of the trust situation', rather than the terms of the trust. So, for example, the letter of wishes and the historical pattern of investment and distributions by the trustees are decisive factors. The law reports are full of cases where assets have been treated as an asset of a spouse who, according to the terms of the trust and established equitable principles, is merely one of a number of objects of a class of potential beneficiaries.[258] This essentially allows the divorce court to treat trust assets as if they are in the settlor's bank account.

6.2.2 Variation of a nuptial settlement

In divorce proceedings an English court has the statutory power to vary a trust in favour of one or the other or both spouses in order to make financial provision from the trust fund in favour of the economically inferior spouse, notwithstanding that such spouse is not a beneficiary.

257. Before 2000, a financial award to the economically weaker spouse was based upon 'reasonable requirements', and would probably provide such spouse with a home, and car and a fairly modest annual income based upon the so-called 'Duxbury' calculation. There was a seismic shift in 2000 following ***White v White*** [2000] 2 FLR 981, when the House of Lords said that the economically weaker spouse should receive an equal share of the couple's combined assets, notwithstanding who earned or acquired such assets, and notwithstanding when such assets were earned or acquired, i.e. the 50/50 split is not just of assets accumulated during the marriage, but also those assets earned or acquired before the marriage and also after its breakdown (***Charman v Charman*** [2007] 1 FLR 1246). Several high-profile, world-breaking divorce settlements followed, earning London the reputation as the 'Divorce Capital of the World'. See Bowcott, Owen (4 March 2013). 'How London earned its status a divorce capital of the world' *Guardian*.

258. ***Mubarak v Mubarak*** [2001] 1 FLR 673; [2001] 1 FRL 698; [2003] 2 FLR 553; [2004] 2 FLR 932. The essential facts of this series of cases involve Mr Mubarak ('H'), a successful jeweller who, in 1997 created a discretionary trust in Jersey with assets of approximately £5 million in favour of a class that comprised H, his wife ('W') and their four children, although H had the power to exclude beneficiaries. When the marriage got into difficulty, H excluded W from the class. In lengthy, multi-faceted legal proceedings in London, where the parties resided as 'non-doms', the courts came to the view that the trust assets should be treated as H's. The court said in respect of the trust: 'In reality, it has always been, and remains, the alter ego of the husband, interposed as a means of avoiding tax and enabling orderly succession'. The court relied on principles stated in ***Brown v Brown*** [1989] 1 FLR 291. The same rationale was applied in ***Charman v Charman*** [2006] FLR 422.

The relevant statutory provision is found in s.24(1) of the Matrimonial Causes Act 1973 (MCA) which states:[259]

On granting a [divorce] *the court may make … an order varying for the parties of the marriage and the children of the family any anti-nuptial or post-nuptial settlement made on the parties.*

This provision enables a divorce court to look at a so-called ante- or post-nuptial settlement made in favour of either spouse and decide whether to vary it upon divorce. A trust created before the marriage which makes some form of continuing financial provision for one spouse is an ante-nuptial settlement; a similar trust made after the celebration of the marriage is a post-nuptial settlement. The English divorce court has a wide discretion to vary the terms of such nuptial settlements. For example, it may order the distribution of capital to the economically inferior spouse, or create an entirely new trust out of capital or make income provision for such spouse.[260] The power to vary applies to an English trust (one with English trustees, where England is the governing law and the trust fund is located in England), and equally to an offshore trust (with offshore, non-English trustees, managing a trust governed by the laws of an offshore jurisdiction and when the trust fund is located offshore).[261]

6.2.3 Order to have the trust set aside

The final line of attack on trusts on divorce arises not by applying divorce laws (as is the case in sections 6.2.1 and 6.2.2), but by applying trust law. Any grounds that establish that the trust is invalid (or that the transfer of assets upon trust is invalid) has the effect of restoring the assets to the settlor. When the settlor has an economically inferior spouse, then, if the trust (or the transfer into trust) can be set aside, it swells the assets available for equal division upon divorce. Relevant grounds for impeaching the integrity of the trust (or the transfer into trust) include:

- that the trust lacks the 'three certainties', in particular the settlor's intention to create a trust
- that the settlor did not have appropriate capacity
- that the trust was created by undue influence or mistake
- that the trust is a 'sham', i.e. rather than, or in addition to, applying for the trust to be varied or for the trust assets to be taken into account as a resource, a spouse of a settlor may seek to challenge the validity of the trust on the grounds that it is a sham.[262]

6.3 The response by the offshore centres specialising in trust services

By treating trust assets as a resource of a mere object of a discretionary dispositive power, or varying a trust in favour of a non-beneficiary spouse, or otherwise setting

259. The *genesis* of this legislation is the Matrimonial Causes Act 1857, which was passed at a time when it was common for wealthy fathers to establish marriage settlements in favour of their daughter upon the celebration of her marriage. This was done partly to make the daughter a more attractive prospect and, secondly, to ensure that the daughter maintained an interest in property which would otherwise have vested in her new husband upon the celebration of the marriage. If the marriage subsequently ended in divorce it was considered appropriate for the court to be able to vary such trust, usually in the husband's favour. Marriage settlements are a thing of the past, but the power to vary trusts created for the husband or the wife survives and has undergone a renaissance in high-net-worth divorce cases involving family trusts.

260. In ***E v E*** [1990] 2 FLR 233 the settlor was the father of the husband, who established an offshore discretionary trust of over £1 million in favour of a class of beneficiaries that included his son (the husband), the son's wife and their children. The court varied the trust by removing the trustee and the protector and granting the son's wife a lump sum of £50,000 and a life interest in £200,000.

261. ***Nunneley*** (1890) 15 PD 186, followed in modern cases such as ***C v C*** [2009] 2 FLR 493 where the husband had created a Cayman trust and transferred assets worth $5 million to Cayman trustees. Even though the court recognised there may be problems in enforcement of their order, the English court declared that it had clear power to vary the foreign, Cayman Islands nuptial settlement in favour of the wife.

262. ***Browne v Browne*** [1989] 1 FLR 291; ***A v A and St George Trustees Ltd*** [2007] EWHC 99 (Fam); ***Minwalla v Minwalla*** [2005] 1 FLR 771.

a trust aside, the divorce courts in England show a willingness to disregard established equitable principles. Surely the trust assets belong to the trustees to hold upon trust for the beneficiaries according to their equitable rights set out as the express terms of the trust? Not surprisingly, the offshore financial centres that specialise in trust services often rely upon established equitable principles and conflict of laws rules to protect the interests of the beneficiaries at the expense of the rights of a divorcing spouse.

As you are probably aware, it may be that the English (or, indeed, any foreign) court assumes jurisdiction over parties to a marriage and makes an order upon divorce affecting an offshore trust, but the interesting question is whether that foreign court order is enforceable against the offshore trustees and the trust assets that are held offshore. What is clear is that the trustees must be very careful not to comply with a non-enforceable order, as by doing so they commit a breach of trust.

For example, assume that the English court makes an order under s.37 of the MCA, or sets aside an offshore trust, the effect of which purports to oblige the offshore trustees to transfer a significant sum to the wife or husband of a settlor in divorce proceedings. The trustees should comply with the order only if it is enforceable. If it is not and the trustees nevertheless comply with it, they are at risk of a lawsuit being brought against them by the beneficiaries for the amount of their loss.

The question of enforcement can be complex. There are two kinds: enforcement under the provisions of a bilateral or multilateral agreement and enforcement according to common law principles. The major offshore financial centres have not entered into any, or any significant, international agreements regarding enforcement of foreign court orders. This leaves enforcement under common law principles.

For a foreign court order to be recognised by an offshore court so that it may be enforced against locally held assets, the local offshore court must be satisfied that the foreign court exercised proper jurisdiction over the trustees in the first instance. This is usually established in circumstances where the trustees reside in the territory of the foreign court, or submitted to its jurisdiction or otherwise consented to the foreign court's assumption of jurisdiction by prior agreement.[263] In practice, offshore trustees are not often made a party to the lawsuit (which are essentially divorce proceedings) or, if they are made a party, the offshore trustees do not take part in the lawsuit and do not thereby submit to the jurisdiction of the foreign court. The trustees, therefore, argue that the foreign court order is unenforceable as the foreign court lacks grounds to assume proper jurisdiction. This means that the trustees do not comply with it and the trust assets remain held in trust where they are.

Just as important as the issue of conflict of laws rules relating to the court's jurisdiction, is the provision of specific asset protection legislation enacted offshore. This type of asset protection legislation not only protects trust assets from third parties such as creditors of the settlor and forced heirs, it also protects them from spouses.

As you are aware, the Cayman Islands was the first jurisdiction to enact wide and extensive asset protection legislation aimed at preserving the trust and its assets. This is designed to provide a defence against attack not just from creditors and claimants (reviewed in sections 1 through 4 above), trustees in bankruptcy (section 5),

263. See Module 8, section 3.2.1.

forced heirs (Module 8), but also matrimonial claims by divorcing spouses. The Cayman Islands model has been used as a template by a number of other offshore financial centres. Sections 87 and 90 through 94 of the Trusts Act 2021 Revision state as follows.

All questions arising in regard to a trust governed by the laws of the [Cayman] *Islands or in regard to any disposition of property upon the trusts thereof … are to be determined by the laws of the* [Cayman] *Islands without reference to the laws of any other jurisdiction…* (s.90 of the Trusts Act).

… no trust governed by the laws of the [Cayman] *Islands and no disposition of property upon the trusts thereof is void, voidable, liable to be set aside or is defective in any fashion … nor is the trustee, any beneficiary or any other person to be subjected to any liability or deprived of any right by reason that … the trust or disposition avoids or defeats rights, claims or interests conferred by foreign law on any person* ***by reason of a personal relationship to the settlor*** *or any beneficiary (whether discretionary or otherwise)*[264] *… or contravenes any … foreign or judicial or administrative order intended to recognise, protect, enforce or give effect to such rights, claims or interests.* (s.91 of the Trusts Act).

… 'personal relationship' includes any form of relationship by blood or marriage including former marriage and in particular a personal relationship exists between two persons if … one is married to the other … or one cohabits with the other … (s.87 of the Trusts Act).

A foreign judgment shall not be recognised, enforced or give rise to an estoppel insofar as it is inconsistent with section 91 or 92 (s.94 of the Trusts Act).

The combined effect of these statutory provisions in the Cayman Islands trust legislation is this. Firstly, it confirms that Cayman law governs all aspects of a Cayman trust.[265] Secondly, it makes it clear that a Cayman trust cannot be attacked in the Cayman Islands, or elsewhere, according to Cayman law, or according to foreign laws based on 'personal relationships', including marriage and divorce. Thirdly, it confirms that a Cayman trustee cannot be held personally liable to either party to a marriage as a result of a court order made by a foreign court upon divorce. Finally, s.93 makes it clear that even if a foreign court assumes jurisdiction over the trustees and makes an order affecting a Cayman trust (for instance, by varying the same under s.37 MCA or equivalent, or setting the trust aside in divorce proceedings) the foreign court order is unenforceable in so far as the Cayman court does not recognise and will not enforce that order to give effect to the decision.

264. The words 'or any beneficiary (discretionary or otherwise)' were added by the Trusts (Amendment) Act 2019. The reference to 'personal relationship' includes marriage, so protects a Cayman trust from challenge by a spouse of the settlor on divorce. The addition of 'or any beneficiary…' expands the protection so will protect the trust from challenges by a spouse of a beneficiary as well as spouses of the settlor.

265. There are exceptions, listed in Module 6 section 2.5, but the above statement represents the general rule.

Task 9.3

Review the trust legislation enacted in the jurisdiction where you work or have some other connection, relating to the protection of trusts from an attack based upon spousal claims upon divorce. Compare and contrast this with the Cayman Islands model described above. In particular, does the local trust legislation:

(a) extend beyond claims based upon forced heirship rights to include spousal rights upon divorce?
(b) release trustees from personal liability arising from the fact that the trust defeats or avoids matrimonial claims by a spouse or contravenes foreign law or foreign judicial orders made in favour of a spouse upon divorce?
(c) confirm that court orders entered by a foreign divorce court which affect the trust property are unenforceable?

The Cayman Islands anti-spousal claim provisions are subject to exceptions such as in relation to foreign real estate and situations where the settlor did not have title to, nor could they transfer, assets to the trustees of a Cayman trust in the first instance. But it is pretty clear that if a settlor is serious about protecting wealth from the effects of asset division upon divorce, the economically superior spouse should use a trust governed by the laws of the Cayman Islands (or the laws of such other offshore jurisdiction that uses the Cayman statutory model). It will annoy the economically inferior spouse and his or her team of lawyers in high-value divorce cases as well as the foreign family court, but it protects the interests of the beneficiaries and shields family wealth from attack in divorce proceedings.

Learning outcomes

By the end of this module you should:

- appreciate the ethical tension between the principle that the entirety of an individual's assets ought to be available to meet their unpaid debts, and the asset protection objective of safeguarding and preserving assets transferred into trust
- understand how a trust may protect assets from claims brought against the settlor by third parties
- be able to explain how the Statute of Elizabeth sought to protect the interests of creditors
- be able to advise upon how offshore asset protection legislation has repealed the Statute of Elizabeth in key areas
- know how to structure an asset protection trust
- understand how bankruptcy legislation empowers a court-appointed trustee in bankruptcy to set aside transfers (including transfers to trustees) made by a bankrupt within 'x' years before being declared bankrupt, and
- be able to apply asset protection principles to a typical divorce scenario.

Module 9:

Self-Assessment Questions

1. List some hypothetical reasons why an individual may wish to create an offshore asset protection trust.

2. Explain the basic theory that permits a trust to protect assets against claims and lawsuits brought by third parties against the settlor.

3. Creditors were first protected from unscrupulous debtors by which statute? Describe the mischief that the legislation was intended to overcome. How did it protect creditors?

4. Under the provisions of the Statute of Elizabeth precisely which type of 'conveyance' was liable to be set aside? Give examples.

5. List some of the factual circumstances that often indicate that a transfer of property has been made with the 'intention of defrauding creditors'.

6. Define the type of creditor who has *locus standi* to apply to the court to set aside a fraudulent conveyance under the Statute of Elizabeth.

7. S is a successful businesswoman with assets of £2 million and no debts. It is 2020 and she is about to start a new business venture. Before doing so, however, she creates a trust of £1 million in favour of her family. The business struggles for a number of years and eventually fails in the year 2025. S is left owing Creditor the sum of £750,000.

   Discuss whether Creditor can set aside the transfer of £1 million into trust in order to attach the trust assets under the provisions of the Statute of Elizabeth.

8. Explain why the Statute of Elizabeth applies in most of the offshore common law jurisdictions unless specifically repealed.

9. Offshore asset protection legislation has repealed the Statute of Elizabeth and replaced it with similar provisions that are said to strike a better balance between two competing interests. Identify and describe those interests.

10. Modern offshore asset protection legislation has, in general, retained the principles behind the Statute of Elizabeth. Although each jurisdiction is free to enact its own provisions, there are common themes insofar as a number of jurisdictions (though not all) have followed the Cayman Islands model.

    i. Detail which dispositions may now be set aside in a jurisdiction of your choice.
    ii. Who has *locus standi* to apply to set aside a fraudulent transfer?
    iii. When must such an application be made?
    iv. Who is said to have the burden of proof?
    v. If a creditor's claim is successful, is the transfer into trust void *ab initio*?
    vi. What is the position in relation to prior distributions of trust property when a transfer into trust is subsequently set aside?

        (a) May the successful creditor claw back those distributions from the beneficiary?

(b) May the creditor claim any losses from the trustee who made the distribution?

(c) May the creditor claim a refund of the administration fees paid to the trustees from the trust fund in order to 'swell' the assets available to satisfy the debt?

vii. If a lawsuit brought by the creditor to set aside a fraudulent transfer is unsuccessfully resisted by the trustees (so that the creditor wins), who is responsible for the trustees' legal costs?

11. Review some of the ethical dilemmas involved in accepting new trust business from a customer who desires asset protection. Give examples of some of the risks.

12. Recite the facts of the *Anderson* case. How did the US court deal with the asset protection trust created by Mr and Mrs Anderson in the Cook Islands?

13. Several common law jurisdictions have bankruptcy laws based upon the Bankruptcy Act 1914 of England. What does s.42 of the 1914 Act provide?

14. Settlor is a businessperson with net assets of £2 million. In 2024 he creates a trust in favour of his family and transfers £1 million to the trustees thereof. Unfortunately, his business collapses and Settlor is left owing Creditor £1 million. Creditor issues bankruptcy proceedings. In the year 2025 Settlor is declared bankrupt, as he is unable to pay all his debts in full, and the court appoints a trustee in bankruptcy to administer the bankrupt's assets and in whom all Settlor's assets vest.

    i. In what circumstances may the court-appointed trustee in bankruptcy apply to set aside the 2024 transfer into trust in order to claim the £1 million trust property for distribution to Creditor (and Settlor's other creditors, if any)?
    ii. Would your answer differ if Settlor had created the trust in 2020 and transferred £1 million to trustees at that time?

15. In what circumstances does a bankruptcy court have bankruptcy jurisdiction over an individual debtor? In what circumstances may a typical settlor of a trust be declared bankrupt in an offshore jurisdiction where the trustees are located and the trust administered?

16. Does a trustee in bankruptcy appointed by a foreign court have *locus standi* to apply before the courts of an offshore centre to have a transfer into trust set aside?

17. What sort of trust structure should ideally be used for an asset protection trust?

18. Which matters should a trust practitioner discuss with a potential settlor before establishing a trust whose sole objective is to protect assets from claims brought by creditors?

19. Identify the ways in which a spouse may seek to attack a trust in divorce proceedings in order to get access to the trust assets.

20. Describe how a number of jurisdictions, such as the Cayman Islands, have reacted by passing legislation designed to protect the trust and its assets from spousal claims in divorce proceedings.

Module 10:
Purpose Trusts

Module 10:

Purpose Trusts

Learning objectives

The purpose of this module is to:

- explain why trusts established for the benefit of a purpose rather than persons are invalid under generally accepted equitable principles
- identify the common law exceptions to the general rule that prohibits purpose trusts
- examine modern trust legislation that permit trusts to be created in favour of a purpose, and
- review some of the practical uses of purpose trusts, including trusts designed to hold shares of an operating company, private trust company or other commercial purposes.

Introduction

A purpose trust is a trust created in favour of a specified purpose rather than individual human beneficiaries. These trusts, unless they are charitable in nature or fall within a narrow list of anomalies, are invalid according to generally accepted equitable principles. A number of offshore jurisdictions have, however, enacted modern legislation permitting trusts to be created in favour of a purpose, provided certain safeguards are met. In this module we will review:

- the common law position in relation to purpose trusts in England (section 1)
- offshore purpose trust legislation (section 2), and
- some of the uses for which purpose trusts are created (section 3).

1. Purpose trusts: the common law position in England

1.1 The starting point – the human beneficiary principle

You will recall from Module 1 that a trust is not a separate legal entity like, for instance, a company or a foundation. It is essentially an obligation created by the settlor but owed by the trustees to the beneficiaries.

Under this core obligation the trustees owe fiduciary duties to the beneficiaries and the beneficiaries have corresponding equitable rights that they may enforce against the trustees. Accordingly, two sides to the obligation are required in order to make it binding – duties owed by the trustees, and corresponding equitable rights enjoyed by the beneficiaries whereby they may enforce the duties of the trustees in a court of equity, if necessary.

How does the court, in a practical context, enforce the obligations owed by the trustees to the beneficiaries? The court must first be *seized* of the issue; this occurs when a beneficiary files a lawsuit and begins legal proceedings to ask the court to enforce their rights under the trust.

According to common law principles, a trust established in favour of a purpose rather than a person is struck down and declared void. A purpose trust is considered void on two bases: one theoretical, the other practical. In theory only a human beneficiary can possess an equitable right; a nebulous and abstract purpose cannot. In practice, only a human beneficiary can enforce the core obligations of the trust by issuing legal proceedings. In other words, a purpose cannot instruct attorneys or file a lawsuit. This is known as the 'human beneficiary principle' and is nicely summarised in ***Re Astor's Settlement Trusts***.[266]

[A trust exists where] *the legal owner of property is constrained by a court of equity to deal with it as to give effect to the equitable rights of another. These equitable rights have been hammered out in the process of litigation in which a claimant on equitable grounds has successfully asserted rights against a legal owner or other person in control of property. Prima facie, therefore, a trustee would not be expected to be subject to an equitable obligation unless there was somebody who could enforce a correlative right, and the nature of that obligation would be worked out in proceedings for enforcement.*

[However, the courts have permitted] *attempts to create trusts for charitable purposes which there was no equitable owner to enforce ... But if the purposes are not charitable, great difficulties arise both in theory and in practice. In theory because, having regard to the historical origins of equity, it is difficult to visualise the growth of equitable obligations which nobody can enforce, and in practice, because it is not possible to contemplate with equanimity the creation of large funds devoted to non-charitable purposes which no court and no department of state can control or, in the case of maladministration, reform*.

It was, therefore, essential at common law to be able to distinguish between a trust established for a purpose and a trust established to benefit living persons in a particular manner – the former being invalid, the latter valid.

Take, for example, Trust A, created by a settlor by transferring $100,000 to T to hold upon trust 'to educate my children and grandchildren in the skills of horsemanship so that they may follow in my footsteps and join the Blackacre (fox) hunt'. Compare the terms of the above trust to the provisions of Trust B, created by a settlor 'to further the country sport of fox hunting', or 'for the promotion of horse riding as a leisure activity among children', or 'for the purposes of breeding hounds (or horses) for hunting'.

Is Trust A a purpose trust, namely one created in favour of a purpose: to teach the settlor's children and grandchildren to ride? Or is it, rather, what might be described as a person trust in favour of the settlor's children and grandchildren whereby the settlor is merely describing the motive for the trust? Or is it further still a person trust with a direction that the beneficiaries receive their benefit only in a particular manner, i.e., the gift is only to be used to enable them to learn to ride?

266. [1952] Ch 534.

It is more than likely that Trust A would be construed as a trust in favour of persons, namely, the settlor's children and grandchildren, but that the trust fund must be applied by the trustees in order for the beneficiaries to learn to ride so that they may, in due course, join the hunt. As such, the trust is valid at common law. In the case of Trust B, the objects of the various trusts are clearly purposes. The settlor intended the trust fund to be used in the promotion of fox hunting, horse-riding generally or for the breeding of hounds or horses for the fox hunt. All these objects are abstract purposes rather than human beneficiaries.

The common law rule in relation to purpose trusts is that they are invalid. They offend the human beneficiary principle. Person trusts, on the other hand, which benefit living persons but only in a particular manner, are valid. In practice, any rigid rule can lead to harsh results. The law reports are littered with cases where judges have done their utmost to stretch the common law rule in order to carry out the intention of the settlor rather than strike an apparent purpose trust down. Take, for example, the case of ***Re Denley's Trust Deed***,[267] where land was transferred by the settlor, upon his death, to trustees to hold on trust for the purpose of allowing it to be used as a sports ground for employees of a particular company. This was *prima facie* a purpose trust and, therefore, invalid. Nonetheless, the judge upheld the trust, rationalising that it was really a trust of land in favour of the individual employees of the company, rather than mere purposes, and, therefore, fell outside the mischief of the beneficiary principle. There is still academic discussion as to whether ***Re Denley*** was correctly decided. When establishing a trust in similar circumstances, English advisers generally err on the side of caution and ensure that human beneficiaries are visible and mentioned in the trust deed, so as not to offend the beneficiary principle and invalidate the trust.

Putting the theory propounded in ***Re Denley*** to one side for a minute, if a settlor purports to create a trust in favour of a purpose, then, even if the trustees agree to accept and comply with the obligations contained in the trust instrument, the trust is void. It offends the human beneficiary principle as there is no one with an equitable interest to enforce the trust obligation against the trustee, if necessary. The property transferred by the settlor in order to constitute the trust will, therefore, be held by the trustees on a resulting trust for the settlor, or, if he or she is dead, the settlor's estate.

1.2 Exceptions to the general rule

There are two broad exceptions to the common law rule: anomalous trusts of imperfect obligation and charitable trusts.

1.2.1 Trusts of imperfect obligation[268]

There is a series of miscellaneous English cases which are treated as anomalies, in so far as the trusts created are clearly purpose trusts that infringe the human beneficiary principle, and yet they have been upheld as valid. It appears that they have been treated as valid because the trusts create an unproblematic moral obligation that the trustee unreservedly undertakes to carry out. They are said to be concessions to human sentiment.[269] The trust is valid but unenforceable. In other words, the trustee promises

267. [1968] 3 All ER 65.
268. The anomalous exceptions to the rule that valid trusts require human beneficiaries were identified as trusts of 'imperfect obligation' in ***Re Endacott*** [1960] Ch 232.
269. Per Roxburgh J in ***Re Astor's Settlement Trusts*** [1952] Ch 534.

to perform the terms of the trust, but the court will not enforce the trust if the trustee fails to do so. The court will not, however, strike the trust down as void. In reality there is no trust at all (save in relation to unincorporated associations discussed in point iv. below).

i. Trusts to erect or maintain monuments and graves

A provision in a testator's Will directing their executors to *build* a tomb or gravestone for the testator is considered to be a lawful funeral expense payable from the testator's residuary estate. It does not create a trust per se. On the other hand, when a settlor transfers funds to a trustee to hold upon trust to *maintain*, or for the *upkeep* of, a family vault; or to erect a monument to someone else; or to keep in repair specified graves – these are all *prima facie* purpose trusts. Nonetheless, they have been held to be valid, provided they do not offend the rule against perpetuities.[270]

For example, in ***Mussett v Bingle***,[271] the testator's Will contained a provision whereby £300 was given to trustees to build a monument to the testator, and £200 given to trustees to hold upon trust to use the income therefrom for its upkeep, maintenance and repair. The first part, i.e. the gift of £300, was valid, but the trust of £200 was void as it was a trust that by its very nature could last in perpetuity. Had it been limited to, say, 80 years, it would have been valid.

ii. Trusts for the saying of mass

Trusts to finance the saying of mass *in public* are valid charitable trusts under the second broad exception, reviewed in section 1.2.2 (below). A trust for the saying of mass *in private* is not charitable in nature and is therefore *prima facie* invalid as a purpose trust. For example, a fund of money transferred to trustees to provide an annual stipend for a priest to say mass for a particular family should be unlawful as a purpose trust and, therefore, void. Nonetheless, these types of trust have been held to be valid non-charitable purpose trusts at common law, provided the obligation does not endure beyond the appropriate perpetuity period.[272]

iii. Trusts for the upkeep of specific animals

A gift to animals generally is charitable in nature and, therefore, valid under the second broad exception, to be reviewed in section 1.2.2. Nonetheless, a gift to a *specific* animal creates a non-charitable trust; the trustee must *prima facie* hold the trust funds and apply them to keep and feed the animal. This type of trust should be invalid as a purpose trust, but has been held to be valid as a common law exception. So, for example, the transfer of a modest sum by Will to trustees to hold upon trust to apply the income for the upkeep of the deceased testator's horses has been upheld.[273]

270. As you will recall, the rule against perpetuities is a common law rule (now supplemented by statute) that sets a maximum limit for the duration of a trust. The common law perpetuity period is the lifetime of a person in being (i.e. a person who is alive at the date of creation of the trust) plus 21 years. In practice, that period is often replaced by a simplified statutory maximum period measured in years. If a trust to erect or maintain monuments and graves, which is otherwise valid, is capable of lasting indefinitely or beyond the appropriate perpetuity period, it will be declared void. Note, however, that the rule against perpetuities has been abolished in a number of offshore jurisdictions – see Module 3 section 3.2.
271. [1876] WN 170.
272. ***Bourne v Keane*** [1919] AC 815.
273. ***Pettingall v P*** (1842) 11 LJ Ch 175.

iv. Gifts to an unincorporated association or club

An unincorporated association, unlike a limited company, does not have a separate legal entity: it is basically a club that comprises members who are bound together under its rules and regulations to pursue a common purpose. That purpose may, for example, be political or in support of social purposes, such as intellectual or leisure activities or sports.

As an association does not have a legal personality of its own, how can it hold funds? Moreover, how can a settlor or testator make an association the beneficiary of their trust or Will? Gifts to unincorporated associations were considered in the case of ***Neville Estates Ltd v Madden***,[274] which essentially held that when a settlor transfers funds (usually by gift by Will) this ought to be construed as a transfer to trustees (who are usually a committee of officers of the association) to hold upon trust for the general purposes of the association. On the face of it this looks like an invalid purpose trust, but it is considered valid as an exception to the common law rule.[275]

1.2.2 Charitable trusts

According to common law principles, a trust that is intended to benefit abstract purposes, as opposed to human beneficiaries, is void unless it falls within one of the narrow categories of exceptions. A purpose trust offends the human beneficiary principle as it does not have a competent person with *locus standi* to enforce the trust in the event of a breach by the trustees. It also lacks essential certainty in so far as the identity of the objects of the trust are not certain – one of the 'three certainties' that must exist for a trust to be valid.

Nonetheless, if a purpose trust is charitable in nature, as a matter of public policy, the common law would allow it to overcome the problems caused by the fact that it offends the human beneficiary principle, potential uncertainty and the rule against perpetuities. Accordingly (and subject to the anomalous exceptions identified in section 1.2.1), a trust for a pure purpose is void (and the property reverts back to the settlor) but a trust for charitable purposes is valid.

So how do the courts distinguish between a purpose trust (which is void at common law) and a charitable purpose trust (that is valid)? What are the defining features of a charitable trust?

According to common law principles,[276] a charitable trust must fall within one or more of four classes of trust, set out by Lord McNaughten in ***IRC v Pemsel***,[277] and be established for:

- the relief of poverty
- the advancement of education

274. [1962] Ch 832.
275. ***Re Drummond*** [1914] 2 Ch 90 (a gift to the Old Bradfordians Club); ***Re Taylor*** [1940] Ch 481 (a gift to the Bank Staff Ass); ***Re Price*** [1943] Ch 422 (a gift to the Anthropological Society).
276. The common law principles are those that applied in England before the Charity Act 2006 which, inter alia, created a detailed definition of 'charitable', although it covers all that was previously defined by the common law. Some jurisdictions have provided a statutory definition of charitable purposes. For instance, art.38(1) of the DIFC Foundation Law 2018 states: 'A charitable trust may be created for the relief of poverty, the advancement of education or religion, the promotion of health or art, the protection of the environment, or any other purposes which are beneficial to the general public.'
277. [1891] AC 521.

- the advancement of religion, or
- any other purposes beneficial to the community.

Examples of trusts that are clearly charitable at common law include the following.

Relief of poverty: a trust to help the old, the poor and the sick, for instance; a trust to establish and run a 'soup-kitchen and cottage hospital' was held to be charitable,[278] as was a trust to 'provide and maintain accommodation for aged persons of limited means'.[279]

Advancement of education: trusts in favour of a school to establish and maintain, for instance, a library, or build squash courts,[280] or to carry out research,[281] have been held to be charitable.

Advancement of religion: trusts to 'spread the word' of any religion, spiritual belief or faith are charitable.[282]

Other purposes beneficial to the community: trusts to fund medical research, to provide public fire-fighters[283] or lifeboats, or to treat the sick, or to provide private hospital care, even animal welfare, are all charitable.

Charitable trusts, because of their nature, are treated more sympathetically than non-charitable purpose trusts. They occupy a privileged position in so far as equity has always tried to give effect to the settlor's charitable intentions whenever possible, so as to benefit the community as a whole, in the public interest. The theoretical arguments that lead to purpose trusts being struck down as void are addressed in relation to charitable trusts in the following manner.

i. The human beneficiary principle

A purpose trust fails if there is no identifiable human beneficiary to enforce the core trust obligation. In the case of charitable trusts, the government (in the form of the Attorney General) steps in to enforce the trust and uphold the settlor's charitable intention against the trustee, if necessary.

ii. Certainty of objects

A private trust fails if the objects or beneficiaries are not identified or described with sufficient certainty. If the objects of the trust are clearly charitable, but vague (or, for example, if the purpose is impractical or impossible to achieve), the trustees may use the trust property for some other charitable purpose as near as possible to that contemplated by the settlor. This is known as the *cy-près* doctrine. It applies only to charitable trusts to help prevent their being struck down and declared void because of uncertainty of objects.

For example, in ***Biscoe v Jackson***[284] a settlor transferred funds into trust for the purposes of establishing and running a homeless persons' hostel in Shoreditch.

278. ***Biscoe v Jackson*** (1887) 35 Ch D 460.
279. ***Re Cottam*** [1955] 3 All ER 704.
280. ***Re Marriette*** [1915] 2 Ch 284.
281. ***Re Hopkins Will Trusts*** [1964] 3 All ER 46.
282. ***Bowman v Secular Society Ltd*** [1917] AC 406.
283. ***Re Wokingham Fire Brigade Trusts*** [1951] 1 All ER 454.
284. (1857) 35 Ch D 460.

It was impossible to carry out the trust as no site was available upon which to build the hostel. Nevertheless, the trust was valid as it was held that the funds could be applied *cy-près* to help the poor and homeless of Shoreditch by other methods. The same principle applies if the intended purposes are vague or uncertain. Instead of the trust being struck down because of uncertainty, it is upheld and the trustees permitted to apply the trust funds *cy-près*.

iii. Perpetuity

Charitable trusts are not subject to the rule against perpetuities.[285] They can last forever or until the trust funds are exhausted.

Unfortunately, English case law in the area of charitable and purpose trusts is erratic and sometimes confusing. The dividing line between trusts that are deemed charitable (and, therefore, valid) and those that are deemed non-charitable (and, therefore, invalid) is blurred.

This is partly because of the complexities of the law of charities and their favourable tax position in England. A number of tax exemptions and reliefs are available to trusts for charitable purposes, which are not available to trusts in favour of private persons or non-charitable purposes. Hence a trust qualifies for tax relief as a charitable trust only if it is 'wholly and exclusively' charitable. If the trustees can apply any part of the income or capital of the trust to non-charitable purposes, it is not a charitable trust (as defined) and is, therefore, void. This has led to some rather bizarre decisions, as the following examples show.

In ***Farley v Westminster Bank***[286] a gift to a church 'for parish work' was held capable of being used for non-charitable as well as charitable purposes and was, therefore, outside the definition 'of wholly and exclusively charitable'. The trust was, therefore, struck down and declared void.

In ***McGovern v AG***[287] a gift to Amnesty International was held to be non-charitable (as defined) as some of the objects of Amnesty were considered political and, therefore, not wholly and exclusively charitable in nature.

In ***Re Macduff***[288] a trust 'for charitable or philanthropic purposes' was struck down and declared void, as it was held that philanthropic purposes are not necessarily wholly and exclusively charitable. The court observed that if the draftsperson of the trust had used the word 'and' instead of 'or', the trust would have been valid!

In ***Attorney General of the Cayman Islands v Wahr-Hansen***,[289] it was held that a trust where income could be distributed to 'any one or more religious, charitable or educational institutions, or any institutions operating for the public good' was not wholly and exclusively charitable. The purposes that consisted of religious, charitable or educational were clearly charitable, but the purposes consisting of 'institutions operating for the public good' were held to be not exclusively charitable. Also, since there was no time limit within which the trust property must vest absolutely in a beneficiary, the trust was struck down and declared to be void.

285. ***Chamberlain v Brocket*** (1872) 8 Ch App 206.
286. [1939] 3 All ER 491.
287. [1981] 3 All ER 493.
288. [1896] 2 Ch 451.
289. [2001] WTLR 345.

These uncertainties in the law are among the main reasons why the offshore financial centres that specialise in trust services have sought to review this whole area of law, remove the uncertainty and, ultimately, to validate non-charitable purpose trusts.

The offshore jurisdictions have overcome the issues in relation to enforcement, uncertainty and perpetuity that, in England at least, determine that purpose trusts are void.

2. The position of purpose trusts offshore

A number of offshore trust jurisdictions that follow English common law principles (and, hence, once prohibited purpose trusts) have now passed legislation permitting a settlor to create a trust in favour of non-charitable purposes.[290]

We will review the first generation of purpose trust legislation illustrated by the provisions enacted in Bermuda in 1989 in the form of the Trusts (Special Provisions) Act. This legislation set the standard requirements for such trusts, in so far as similar provisions were later enacted in other offshore jurisdictions. We will then review the second generation of purpose trust legislation by analysing the Bermudian Trusts (Special Provisions) Amendment Act 1998 and, finally, an alternative purpose trust approach contained in the Special Trusts (Alternative Regime) Law 1997 (now s.95–105 Trust Act 2021) that introduced the STAR trusts regime in the Cayman Islands.

2.1 The first generation of purpose trust legislation

The first generation of purpose trust legislation was introduced by Bermuda in 1989 in the form of the Trusts (Special Provisions) Act ('the 1989 Act'). The 1989 Act has been used as a model by a number of other jurisdictions, for instance:

- BVI – ss.84 and 84A of the Trustee Ordinance Cap 303, Revised Edition 2020[291]
- Dubai – Art.39 DIFC Trusts Law 2018
- Gibraltar – Purpose Trusts Act 2015
- Guernsey – sections 12 and 13 Trusts (Guernsey) Law 2007
- Jersey – Arts.12 through 14 Trusts (Jersey) Law, Consolidated 2025
- Isle of Man – the Purpose Trusts Act 1996, and
- Turks and Caicos – ss.45 through 50 Trust Ordinance Cap 16.12, revised 2018.

On the other hand, the Bahamas has based its Purpose Trusts Act 2004 on the second generation of the Bermudian model.[292]

In Singapore charitable trusts are lawful and valid (s.64 of the Trustee Act Cap. 337), but non-charitable purpose trusts are void as discussed in ***Goi Wang Fim (Ni Wanfen) v Chee Know Ngee (Pte) Ltd*** [2015].[293] A Singaporean 'business trust' created in

290. The first jurisdiction to introduce non-charitable purpose trusts was Liechtenstein in the PGR, 1926, followed by Nauru enacting s.6 Foreign Trusts, Estates and Wills Act 1972 and the Cook Islands by s.12 International Trust Law 1984. The early purpose trust legislation in Nauru and the Cook Islands was somewhat unsophisticated but addressed the so-called beneficiary principle by stating that the trust be enforceable according to the terms set out in the trust instrument by the person named in it to enforce the trust. A number of jurisdictions have used the Trust (Special Provisions) Act 1989 of Bermuda as a basic template, including Antigua, Belize, the BVI, Cook Islands, Cyprus, Guernsey, Isle of Man, Jersey, Labuan, Nevis, Nauru, Turks & Caicos Islands. A comparative table summarising the purpose trust legislation of Bermuda, Cook Islands, Belize, Cyprus and the BVI appears in *Trusts and Trustees* Vol. 1 No. 8 p.14 (although it should be noted that the Bermudian legislation was amended in 1998). There is also a very thorough analysis in Volume 6, Issue No. 1 page 21.
291. For a detailed analysis see the Guide to Non-Charitable Purpose Trusts in the BVI by Carey Olsen.
292. The offshore financial centres of Hong Kong and Singapore have not enacted specific purpose trust legislation, although law reform groups have made recommendations.
293. [2015] 1 SLR 1049.

accordance with the Business Trusts Act (Cap 31A) 2005 is essentially a unit trust or form of collective investment fund, rather than a trust designed to hold private family wealth. The position is much the same in Hong Kong where, according to s.57A of the Trust Ordinance (Cap.29), charitable trusts are valid, but there is no provision for the creation lawfully of a non-charitable purpose trust.

According to the 1989 Act in Bermuda, and other jurisdictions that have passed legislation based upon the 1989 Bermudian model, a settlor may create a valid trust for a purpose or purposes (whether charitable or not, and without human beneficiaries) for a term not exceeding 100 years, provided that the additional statutory requirements set out in the Act are met. The requirements, found in s.13 of the 1989 Act, are as follows.

2.1.1 The purposes

The trust must be created in favour of purposes that are 'specific, reasonable and possible' and that are not 'immoral, contrary to public policy or unlawful'.

So, for example, trusts established 'for artistic purposes' or to 'promote family values' would no doubt be void as being too unspecific, uncertain or vague and impossible to fulfil. It should be noted that there is nothing in the 1989 Act which allows trusts for purposes that are unspecific or uncertain to be applied *cy-près* to the purpose nearest to what it is thought the settlor intended. Trusts to build and maintain grandiose and expensive statues of the settlor and their family would probably be void as being unreasonable. Trusts to fund purposes that encourage gambling, prostitution, dishonesty or racism would no doubt be void as being immoral, contrary to public policy or unlawful.

2.1.2 Method of creation

The trust must be created by the settlor by deed or by a Will in the proper form.

2.1.3 Trustees

The sole trustee, or at least one co-trustee, must be a 'designated person', that is, a lawyer or accountant entitled to practise in Bermuda, or a licensed trust company.

2.1.4 Enforcement

The trust instrument must provide for the appointment of an independent person or entity as 'enforcer'. The duty of the enforcer imposed by the 1989 Act is to enforce the provisions of the trust on behalf of the purpose. The presence of the enforcer, therefore, satisfies the beneficiary principle to ensure that the trustees observe their core trust obligations. The enforcer's specific duties are to inspect the trust accounts, ensure that the trust fund is invested in an appropriate manner, oversee distributions and ensure that the purposes set out in the trust instrument are being met. If they are not, the enforcer must take action and, if necessary, issue legal proceedings against the trustees.

The enforcer is appointed by the settlor in the trust instrument and may be the settlor personally or the person otherwise designated as the protector. The trust instrument must provide not only for the appointment of an enforcer, but also for the appointment of a successor upon the enforcer's retirement, to ensure that there is always an enforcer in place, ready, willing and able to act. In addition to the other duties owed by trustees, ss.13(2) to (4) provide that a designated trustee who believes that the enforcer is dead, unwilling or refusing to act as, or is incapable of acting as, enforcer, must inform the Attorney General. The Attorney General may then apply to the court for a successor enforcer to be appointed.

The 1989 Act does not stipulate exactly how or when the enforcer should enforce the trust. It is pretty clear, however, that the enforcer must intervene whenever the trustee has misapplied trust funds or threatens to do so, i.e. to distribute trust assets to causes other than those specified in the trust instrument. The enforcer must promptly issue legal proceedings to protect the trust property and/or seek its recovery. Alternatively, depending upon the terms of the breach, the enforcer must compel the trustees to comply with the terms of the trust, e.g. by compelling the trustees to distribute income or capital for the trust purposes, if that is what the trust instrument requires, or, at least, to consider a distribution if the trust instrument gives the trustees discretionary dispositive powers.

An enforcer who negligently performs this function, for example by allowing the trustees to misapply trust assets, may become personally liable to make good the loss suffered by the trust.

2.1.5 Termination

The perpetuity period fixed by the 1989 Act is 100 years (although this has been repealed by the 1998 Act so purpose trusts may have an unrestricted duration). Furthermore, the 1989 Act stipulates that the trust instrument must define how and when the trust must end and what should happen to any surplus assets at that time, by providing for a default beneficiary.

Task 10.1

If you work in, or manage trusts governed by the laws of, the BVI, Dubai, Gibraltar, Guernsey, Isle of Man, Jersey, Nevis, Nauru or the Turks and Caicos Islands, review the local purpose trust legislation. Compare and contrast the local provisions with those found in the Trusts (Special Provisions) Act 1989 of Bermuda. In particular, highlight the provisions relating to the prescribed:

- purposes
- method of creation
- trustees
- enforcement, and
- termination.

2.2 Second generation of Bermudian purpose trust legislation

The second generation of purpose trust legislation was enacted in Bermuda by the Trusts (Special Provisions) (Amendment) Act 1998 ('the 1998 Act'). These modern provisions have sought to simplify and streamline the 1989 Act. The minimum requirements of a valid purpose trust, and the safeguards built into the 1989 Act, have been reduced and simplified.

2.2.1 The purposes

By s.12A(1) of the 1998 Act, a trust may be created for non-charitable purposes provided that the new conditions found in s.12A(2) are complied with, i.e. that the purpose for which the trust is created is:

- sufficiently certain to allow the trust to be carried out
- lawful, and
- not contrary to public policy.

This does not appear to change the previous requirements in any practical way. The test for certainty of purposes under the 1998 Act is probably the same as that for certainty of objects under the 1989 Act. If a fixed interest purpose trust is created, the purpose must be sufficiently clear and identifiable from the words used in the trust instrument so that the trustees know exactly how to apply the trust property. The trust must be workable and the trustees in no doubt about what is expected of them, otherwise the trust will be struck down and declared void. In the event that the trustees are given dispositive discretion to apply trust funds between a list of several purposes, the class of purposes must be conceptually certain.

2.2.2 Method of creation

Under s.12A(3) of the 1998 Act, a modern purpose trust need only be created in writing. A formal deed is no longer required.

2.2.3 Trustees

Under the 1989 Act at least one of the trustees had to be a responsible trust professional, labelled a 'designated person'. One of this person's functions was to ensure that an active and well-informed enforcer was always in place. This provision, which clearly existed as a safety measure, has been entirely removed by the 1998 Act. In the meantime, however, a general licensing requirement for trustees has been introduced.

2.2.4 Enforcement

The nature of a purpose trust means that there are no human beneficiaries to enforce the trust against the trustee, if it is considered necessary. The 1989 Act, therefore, created the office of an enforcer, whose role was to prevent intentional or inadvertent misapplication of trust property or other abuse by a rogue trustee. The 1998 Act abandons the specific office of enforcer. Instead, s.12B(1) provides that any one of several persons may apply to the court in the event of a threatened, anticipated or actual breach of trust, namely:

i. any person appointed by the trust instrument for this purpose
ii. the settlor, unless the trust instrument provides otherwise
iii. the trustee, or
iv. any other person whom the court considers has a sufficient interest in the enforcement of the trust.

The persons appointed by the trust instrument under i. above may be the settlor, the protector, or an express enforcer. The trustee, under iii. above, would presumably not bring proceedings against themself, but could in appropriate circumstances bring proceedings against a co-trustee. 'Any other person with a sufficient interest', under iv. above, includes a person who, while not having an equitable ownership interest in the trust assets as beneficiary, has already, or may in the future reasonably expect to receive, some indirect benefit from the purposes for which that the trust was created. Take, for example, the facts of ***Re Denley***: if a trust is created for the purposes of maintaining a sports ground for employees of a particular company, any one or more of the employees of that company have *locus standi* to issue legal proceedings against the trustee in the event of a breach. If a trust is created to help fund the purposes of an association (such as a political or social body), members of that association have *locus standi* to enforce the trust in the event of a breach.

As an additional safety measure, in the event that it appears to the Attorney General that there is no person within the categories i. to iv. above, the Attorney General may apply to the court to enforce the trust.

2.2.5 Termination

Under the 1989 Act a purpose trust could not be created for longer than 100 years and the trust instrument had to state when and in what circumstances the trust would come to an end. Under s.12(A)(4) and (5) of the 1998 Act it is possible to create a purpose trust for an indefinite term, to endure until all the capital has been distributed in favour of the stated purposes.

The transitional provisions contained in s.4 of the 1998 Act provide that the new regime applies not only to purpose trusts created after the commencement date of 1 September 1998, but also to those trusts validly subsisting under the old regime immediately before that date. Accordingly, existing purpose trusts are brought within the second-generation principles. An enforcer appointed under the 1989 Act automatically becomes the person appointed under s.12B(1)(a) of the 1998 Act.

Task 10.2

If you work in or manage trusts governed by the laws of the Bahamas or Bermuda, or any other jurisdiction that uses the second generation of Bermudian purpose trust legislation as a model, review the local purpose trust legislation. Compare and contrast the local legislation with the Bermudian 1998 Act described in section 2.2 above, in particular in relation to the provisions relating to the prescribed:

- purposes
- method of creation
- trustees
- enforcement, and
- termination.

2.3 STAR trusts in the Cayman Islands

As a wholly alternative type of purpose trust legislation to the Bermudian statutory model, the Cayman Islands has come up with the so-called STAR trust. The Cayman Islands permit a settlor to create a purpose trust governed by the Special Trusts (Alternative Regime) Law 1997 ('STAR').[294] This does not follow the format of purpose trust legislation of other jurisdictions, but creates a whole new legal framework – an alternative trust regime (to borrow the phrase from the title of the Law).

It is an alternative regime in that it allows all types of trusts, not just purpose trusts, to be created, administered and enforced by STAR methods, which depart from the traditional common law norm. The alternative regime exists alongside the traditional trust regime of the Cayman Islands, regulated by the Trusts Act. It preserves all the existing rules (save as modified by STAR) that apply to ordinary, non-STAR trusts.

The essence of the STAR regime is twofold: firstly, it enables a valid purpose trust to be created and enforced; and secondly it allows a private trust in favour of persons to be created but which is subject to STAR principles. This, in effect, enables a settlor to create a trust in favour of an individual beneficiary and yet deprive that beneficiary of all other core rights as beneficiary (such as an equitable interest in the trust property, a right to information concerning the trust, a right to trust accounts and a right to enforce the terms of the trust against the trustee). In these circumstances, the requirements of the beneficiary principle to ensure that some person is ready, willing and able to enforce the trustee's obligations under the trust is undertaken by persons appointed as enforcers.

We will review STAR under the same headings used above to examine the Bermudian legislation, for ease of comparison.

2.3.1 The purposes

This heading is somewhat misleading because STAR is not merely restricted to purpose trusts. All trusts, including trusts in favour of persons, may be made subject to STAR provisions by the inclusion in the trust instrument of a simple 'declaration to the effect that [STAR] is to apply'.[295]

Accordingly, the objects of a STAR trust may be persons, purposes or both.[296] In other words, the legislation can apply to purpose trusts, or trusts in favour of persons, or mixed purpose and person trusts.

The legislature included this provision in order to avoid any fundamental argument (which used to occur in England and which could still occur in other offshore jurisdictions) as to whether a particular trust is a purpose trust or a person trust.

In Bermuda, for instance, you will appreciate that person trusts are subject to traditional equitable principles and the Bermudian Trustee Act 1975, as amended, wherein only the beneficiaries have the core right (or *locus standi*) to bring proceedings to enforce the trust against the trustees. Only pure purpose trusts are subject to the

294. Now found consolidated in Part VIII, ss.95–109 Trusts Act 2021 Revision
295. Section 3 (1), now s.96(1)(b) of the Trusts Act, 2021 Rev. See clause 2 of the Specimen STAR Trust in Appendix 30.
296. Section 6 (1), now s.99(1) of the Trusts Act, 2021 Rev, 2018 Revision. See clauses 3 and 4 of the STAR Trust in Appendix 30.

1998 Act, which confers *locus standi* upon the appointed enforcer to bring proceedings to enforce the trust against the trustees. There is often considerable debate (and, therefore, possible litigation) as to whether certain trusts under scrutiny are, in fact, purpose trusts, or person trusts in disguise.

To get a flavour of the debate, look again at the issues relating to the distinction between purpose trusts and person trusts, raised in section 1.1, and the case of ***Re Denley***. For example, what sort of trust, purpose or person, is a trust established by a settlor 'to educate my grandchildren (or the children of A) in the skills of horse riding'? Is it a purpose trust to educate the children in a particular way, namely, in the skill of horsemanship (and, therefore, subject to the purpose trust legislation)? Or is it a trust in favour of persons who may receive a benefit only in a certain manner (and, therefore, subject to the ordinary trust legislation)?

The answer depends upon whether you can determine which of the two elements of the settlor's intention dominates the other. If, on the available evidence, it appears by objective analysis that the settlor intended the gift to the children to dominate, then it is a person trust (and, therefore, valid in England or subject to traditional trust principles in Bermuda and elsewhere). If the settlor intended the purpose of education in horsemanship to be the dominant feature of the gift, then it is a purpose trust (and, therefore, invalid in England, creating a resulting trust for the settlor or their estate, or subject to the purpose trust legislation in Bermuda and other jurisdictions that permit non-charitable purpose trusts).

The arguments outlined above, and the consequential uncertainty created, are resolved by making STAR applicable to both purpose and person trusts alike. Section 6 (now s.99 of the Trusts Act 2021 Revision) provides that the purposes of a STAR trust may be of any number or kind, charitable or non-charitable, provided they are lawful and not contrary to public policy. The limitation to 'lawful' objects will invalidate trusts established for corrupt or immoral purposes (see section 2.1.1).

There is a further aspect of the Cayman model that affects the purposes of a STAR trust, namely an extension of the *cy-prés* doctrine. You will recall that the objects of a trust, including a purpose trust, must be certain. For purpose trusts, this means that the trustees must be able to ascertain the proper purposes that the settlor intended to benefit by the terms of the trust instrument. On a practical level, the trustees must be able to tell whether any proposed distribution is authorised. The 1989 Act in Bermuda requires the objects of a purpose trust to be 'specific, reasonable and possible'. Under the 1998 Act this is expressed in a different way, in so far as the purposes have to be sufficiently certain to allow the trust to be carried out. If the trust purposes are uncertain, the trust cannot be carried out. The trustee would, in those circumstances, be well advised to apply to the court for directions in order to ascertain the settlor's true intentions. If those intentions are not ascertainable by the court after construing the trust instrument, the trust will be struck down and declared void. The trust property is then held for the settlor or their estate.

STAR tries to save such trusts where the stated purposes are equivocal and would otherwise be declared void. It even provides a mechanism that avoids the trustees having to make an application to the court for directions. Section 10(1) of the STAR (now s.103 of the Trusts Act 2021 Revision) states that a STAR trust is not rendered void by reason of uncertainty of its objects. The terms of a STAR trust may give the trustee (or any other person such as the protector) power to resolve an uncertainty as to its objects. Accordingly, if the trust instrument is rather vague and the trustee is in doubt as to the precise purposes the settlor intended the trust to favour, then the trustee or other authorised person can resolve the uncertainty by making a subjective decision. The trust is not void, nor is the trustee obliged to apply to the court for directions.

Furthermore, if the purpose of a trust is clear but, over the years, such purpose becomes obsolete, impossible to achieve or inappropriate to carry out, the common law would declare the trust void at that time. This creates a resulting trust in favour of the settlor or their estate and the property reverts back to the settlor. If the trust purpose merely becomes obsolete or inappropriate, the trustees must carry on administering the trust regardless. Under STAR, however, the settlor may, by the terms of the trust, allow the trustees to vary the purposes *cy-près*. This means that the trustee may use the trust property for a purpose as close to that intended by the settlor as is possible and reasonable. If the trustees cannot resolve the problem, the trust does not automatically become void as the trustees may then apply to the court for directions. The court has a statutory power to reform the trust, or to settle a plan for its administration (to make it workable).

So, for example, to use the illustrations given by Anthony Duckworth,[297] assume that a STAR trust was established 'to finance the campaign to elect A to public office' but in due course A withdraws from the race; or that a trust is established 'to fund research to discover improved methods of treatment of disease B', but disease B is in due course eradicated by inoculation. In these circumstances the trusts will be, respectively, impossible and inappropriate to administer. STAR would, therefore, allow the trustees or the court to vary the objects. Only if the trust is incapable of rational variation consistent with its general intent will the court order the disposal of the trust property under a scheme of distribution.

2.3.2 Methods of creation

By s.3(1) of the STAR (now s.6 of the Trusts Act 2021 Revision), for a trust to come under the STAR regime, it must first be created by a written instrument (either *inter vivos* or testamentary) and, secondly, the written instrument must contain a declaration to the effect that STAR is to apply. This is a mandatory choice of law clause.

2.3.3 Trustees

In order to safeguard the beneficiaries, who are deprived of rights of redress in the event of a breach of trust, STAR ensures that a responsible and accountable trustee must always be at the helm. Section 1(2) of the STAR (now s.105 of the Trusts Act 2021 Revision) provides that the trustees must be (or include) a trust company duly licensed to carry on trust business within the Cayman Islands. Accordingly, the local regulator, the Cayman Islands Monetary Authority, is able to take control of the affairs of a rogue trust company that commits a breach of trust, in extreme cases such as fraud, etc.

2.3.4 Enforcement

An abstract purpose cannot enforce the terms of the trust and, therefore, requires human agents to do so on its behalf. The 1989 and 1998 Acts of Bermuda prescribe

297. Duckworth, A., 1998. *STAR Trusts*. Cambridge: Gostick Hall Publications.

that enforcement of purpose trusts is the responsibility of an enforcer. The STAR legislation follows suit, but extends the role of the enforcer to enforce the terms of person trusts governed by STAR, as well as those of purpose trusts. Therefore, even when a STAR trust is created in favour of human beneficiaries, or a mixture of persons and purposes, the human beneficiaries do not (in their capacity as beneficiaries) have standing to enforce the trust, nor do they have any other enforceable rights against the trustee or trust property. Instead, s.7(2) of the STAR (now s.100 of the Trusts Act 2021 Revision) states that the only person who has standing to enforce a STAR trust is the enforcer. There may be more than one enforcer.

The STAR legislation requires the trust instrument of a STAR trust to appoint, or provide a method of appointing, enforcers. Enforcers are one of two types: an enforcer may be subject to an express fiduciary duty to enforce the STAR trust (often referred to as 'obligatory enforcers');[298] or alternatively an enforcer may merely be given an express power, but no duty, to enforce the trust ('voluntary enforcers').

As obligatory enforcers are subject to a duty, they may be held liable to the trust for loss sustained as a result of their breach of duty. So, the obligatory enforcer can be held liable for negligently failing to enforce the terms of a purpose trust in circumstances where they ought to have done so. An express duty to enforce the trust is usually imposed upon an obligatory enforcer whenever a settlor wants to be doubly sure that the terms of the trust are carried out to the letter of the trust instrument. In practice, it is usually professionals, such as attorneys, professional protectors or other advisers, who are appointed as obligatory enforcers, while lay, unpaid beneficiaries may become voluntary enforcers. Clearly, a voluntary enforcer who is also a beneficiary will be diligent and meticulous in supervising the trustee to ensure that the trust is administered in a proper fashion for their own benefit. A professional, obligatory enforcer should be just as, if not more, diligent. Because of having a paid position, however, an obligatory enforcer may be held liable to make good any loss caused to the trust by their default. According to clause 16 of the specimen STAR Trust instrument illustrated in Appendix 30, the enforcer is an obligatory enforcer, owing a duty to enforce the terms of the trust (sub-clause 16.1), and a fiduciary duty to exercise their powers in good faith in furtherance of the stated objects and purposes (sub-clause 16.2).

There are further safeguards to preserve the integrity of a STAR trust and protect the beneficiaries, in so far as provisions exist to ensure that an enforcer is always *in situ* to supervise the trustee. A duty is imposed upon the trustee of a STAR trust to apply to the court to appoint a replacement enforcer in circumstances where there is no other enforcer ready, willing and able to act as such.

Sections 7(4) and (5) of the STAR (now section 100(4) and (5) of the Trusts Act 2021 Revision) provide that the trustee must apply to the court whenever a STAR trust does not have an incumbent enforcer, who is willing and capable of acting.

A trustee who fails to apply to the court in these circumstances is liable to criminal prosecution and a fine of up to $10,000. This type of sanction should not be necessary in respect of the specimen STAR Trust illustrated in Appendix 30, having regard to the terms of clause 13, in particular sub-clause 13.2.

298. See *STAR Trusts* by Anthony Duckworth published by Gostick Hall Publications referred to above. See also the article 'Using STAR trusts to own private trust companies' by Ian Lambert and Richard Williams, *Trusts & Trustees*, Vol. 5, Issue 2, p.14.

An enforcer has broadly the same rights and remedies as a beneficiary in relation to a traditional trust:

- the right to receive information from the trustees about the trust and its administration
- the right to receive trust accounts
- personal remedies against the trustees, being able, therefore, to claim compensation to make good any loss sustained by the trust fund by virtue of a trustee's breach, and
- ownership or proprietary remedies to trace trust property into the hands of third parties.[299]

2.3.5 Termination

Under STAR, the rule against perpetuities has been abolished. Accordingly, STAR trusts may be of indefinite duration and endure, if the settlor wishes, in perpetuity, or until the trust fund is exhausted.

Pursuant to clause 23 of the specimen STAR Trust instrument illustrated in Appendix 30, the trust may be brought to a premature end by deed executed by the trustee with the written consent of the enforcer. Upon the exercise of this power, the default provisions set out in clause 8 apply.

3. Uses of purpose trusts

There are several modern applications for a purpose trust:

- as a private trust established by a settlor to benefit philanthropic purposes that are not wholly and exclusively charitable in nature
- to hold shares of a family operating or investment company, or of a private trust company
- to operate and administer an employee benefit scheme, or
- as part of a financial or commercial transaction, often used as loan security.

3.1 Private trusts for non-charitable purposes

Modern purpose trust legislation allows a trust to be created for purposes that do not come within the traditional definition of 'charitable'.

We have already looked at the grey area encountered in trying to differentiate between charitable and non-charitable trusts.[300] Accordingly, purpose (or STAR) trust legislation provides a solution to settlors, or their advisers, who are not sure whether a proposed object is wholly and exclusively charitable in nature. For example, purpose trusts may now be validly created:

- to fund philanthropic causes, such as a private art collection, or private museum
- to benefit a political party or promote political views or propaganda
- to promote an ecological cause

299. Other than a bona fide purchaser for value without notice of the breach of trust: see Module 1 section 5.2.
300. See ss.1.2.2 ii., 2.2.1 and 2.3.1 and the case of ***Re Denley***, section 1.1.

- to promote human rights and basic freedoms
- to further a particular profession or industry
- to benefit a trade union or trade association (for the purposes of the union/association rather than its members)
- to fund particular sports, leisure pursuits or recreational activities, and
- to promote other non-charitable causes.

This was not the main reason behind the enactment of purpose trust legislation in the offshore jurisdictions, however; it is merely a by-product. The main motive was to promote the jurisdiction concerned as an offshore financial centre: to encourage the use of the jurisdiction for large, heavy-weight, complex international transactions, such as bond issues and off balance sheet securitisation and project financing structures. Some of these matters are reviewed (in simple terms) in section 3.5 below.

3.2 To own a family operating or investment company

A purpose trust is an appropriate structure for owning shares in a family trading company, particularly where the primary purpose desired by the settlor is to hold the shares (and thus the company) for some time, rather than to benefit particular persons.

An individual who has built up a business (or a portfolio of investments) during the course of their lifetime may, for reasons of estate planning, transfer their shares in the business or investment holding company, *inter vivos*, to trustees of a purpose trust. The trust is not expressed to be in favour of individual beneficiaries, but exists for a purpose, namely, to hold the shares. A traditional trust in favour of persons may not be appropriate in these circumstances as it runs the risk that the settlor's wishes could be overridden by the beneficiaries under the rule in ***Saunders v Vautier***.[301] Under this common law rule, all the beneficiaries of a trust who are *sui juris* (over 18 years and of sound mind) and together entitled to the whole beneficial interest in the trust property, may combine together and break the trust and bring it to an end by agreement. The purposes behind a purpose trust clearly do not have the same ability to override the trust.

For example, assume that a settlor creates a traditional trust of the shares in the 'family' company that he has built up over his lifetime. The trust is expressed to be in favour of future generations of his family and to provide for the continuation of the business in the manner envisaged by the settlor. Notwithstanding the terms of the trust, there would be nothing to prevent the beneficiaries, who together comprise the whole beneficial entitlement, from combining together by agreement and terminating the trust, dismantling the family business and selling it piecemeal to the highest bidder. A purpose trust, on the other hand, enables the trustees to comply with the wishes of the settlor, for instance, to 'hold and retain the shares of and promote the interest of the [named] company'. This enables the trustees to resist any attempt by the beneficiaries to break the trust or, alternatively, to resist any attempt by the beneficiaries to persuade the trustees to sell the shares (or the underlying assets) and for the proceeds to be invested elsewhere, perhaps in more profitable ventures. The settlor's primary wish, to provide for the continuation of the family business for generations to come, is therefore guaranteed.

301. (1841) 4 Bear 115.

The purposes and terms of a purpose trust designed to hold shares in the settlor's operating company, where day-to-day management is to remain entirely with its board of directors, is illustrated in Example 10.1, below.

Example 10.1

THE PURPOSES

The purposes for which this Trust is established (the 'Purposes') are:

1. *to hold the shares or other securities issued by the Company [as defined as the Settlor's operating company] (the 'Shares')*
2. *to provide a mechanism for the control of the Company by exercising the rights conferred upon the holder of the Shares to vote at general meetings of the Company*
3. *to carry out the Business Plan described in the Schedule in dealing with the Trust Fund and exercising the right to vote the Shares of, and control, the Company.*

THE TRUSTS

4. *During the Trust Period until the Termination Date, the Trustees shall hold the Trust Fund and its income UPON TRUST to pay or apply the whole or any part thereof in or towards the fulfilment of the Purposes and to accumulate such part of the income not paid or applied by investing the same in any investments authorised hereby and holding the same as an accretion to the capital of the Trust Fund.*
5. *The Trustees shall on the Termination Date distribute the Trust Fund to those persons, entities or charities designated in writing by the Enforcer PROVIDED, for the avoidance of doubt, that this provision shall not confer upon any person a beneficial or other right or interest in the Trust Fund.*

SCHEDULE

The Business Plan is:

To hold all the Shares issued by the Company with a view to the Company being left to carry out all of the business activities whatsoever of the Company as the board of directors of the Company may from time to time determine, and to exercise the rights conferred upon the holder of the Shares, inter alia, to procure that:

a. *the day to day management of the business of the Company shall be left to its board of directors (or committee or persons to whom the appropriate powers are delegated by the board of directors) and the Trustees shall not be required to enquire into, or make any determination in relation to, or take any action in respect of, or be responsible for, any transaction entered into by the board of directors of the Company whether or not such transaction is for the commercial benefit of the Company;*

b. *the Company may form or acquire any other company or companies in any jurisdiction for such business purposes as the board of directors of the Company deem appropriate; and*

c. *any funds which are surplus to the requirements of the business of the Company shall be invested by the Company or by the Trustees pending their application in furtherance of the purposes contained in this Business Plan.*

[PROVIDED ALWAYS that the Trustees shall not, without first obtaining the written consent of the Settlor [Enforcer],

(a) vote the Shares at a general meeting of the Company or
(b) transfer, redeem, repurchase or otherwise dispose of or deal with the Shares in the Company.]

[PROVIDED FURTHER that in the event that the Company is wound up in accordance with its constitution and applicable law, the Trustees may thereafter apply the resulting Trust Fund in accordance with the Purposes or purposes contained in this Business Plan or, following consultation with the Enforcer, hold, re-invest and/or deal with the Trust Fund in accordance with the terms of this Trust].

Holding shares of a private company in accordance with the terms of such trust has the following advantages:

- the trust exists to promote the interests of the company so the shares cannot be sold by the trustees; instead, the shares are preserved to ensure the continuation of the business
- the trustee can vote the shares to control the composition of the board (to include a seat for the settlor and/or other family members, if this is what the settlor wishes) but then allow the board exclusively to run and manage the business without supervision or interference, and
- the beneficiaries cannot persuade the trustees to sell the shares or break the trust under *Saunders v Vautier*.

3.3 To hold shares in a private trust company

Instead of a traditional corporate trustee being appointed as trustee of a conventional family trust (for example, to hold shares of the settlor's private operating or investment company), the settlor may be advised to incorporate a private trust company and obtain a PTC license from the local regulator permitting it to act as trustee for the one identified trust. The PTC will then delegate administration of the trust to a traditional trust company. The question is: who should own the PTC? If the settlor or the beneficiaries own the shares of the PTC its value forms part of their estate when they die and there is a risk that the whole structure may be regarded as a sham. It is essential, therefore, that the PTC is 'orphaned', so it doesn't have parent owners. In these circumstances, the shares of the PTC can be transferred to trustees of a purpose trust. The purposes of the trust will be to hold the shares of the PTC and vote the shares to control the composition of its board, but then to allow the board exclusively to run and manage the PTC without supervision or interference. The terms of the purpose trust and its stated purposes are likely to be similar to those set out in Example 10.2.

Example 10.2

THE PURPOSES

The purposes for which this Trust is established (the 'Purposes') are:

1. *to incorporate or procure the incorporation of a company to be called [Name of Private Trust Company] whose principal object is to be a private trust company (the 'Private Trust Company') in order for it to be appointed as trustee of, and to administer, the [Name] Trust;*
2. *to hold the shares or other securities issued by the Private Trust Company (the 'Shares');*
3. *to provide a mechanism for the control of the Private Trust Company by exercising the rights conferred upon the holder of the Shares to vote at general meetings of the Private Trust Company;*
4. *to carry out the Business Plan described in the Schedule in exercising the right to vote the Shares and control the Private Trust Company.*

THE TRUSTS

5. *During the Trust Period until the Termination Date, the Trustees shall hold the Trust Fund and its income UPON TRUST to pay or apply the whole or any part thereof in or towards the fulfilment of the Purposes and to accumulate such part of the income not paid or applied by investing the same in any investments authorised hereby and holding the same as an accretion to the capital of the Trust Fund.*
6. *The Trustees shall on the Termination Date distribute the Trust Fund to those persons, entities or charities designated in writing by the Enforcer PROVIDED, for the avoidance of doubt, that this provision shall not confer upon any person a beneficial or other right or interest in the Trust Fund.*

SCHEDULE

The Business Plan is:

To hold all the Shares of the Private Trust Company with a view to the Private Trust Company being left to administer the [Name] Trust and the assets held in such trust in the manner that the board of directors of the Private Trust Company may from time to time determine, and to exercise the rights conferred upon the holder of the Shares, inter alia, to procure the following:

(a) *To appoint such directors to the board of the Private Trust Company as the Enforcer may from time to time direct in writing*

(b) *That the day-to-day management of the Private Trust Company shall be left to its board of directors (or committee or persons to whom the appropriate powers are delegated by the board of directors) and the Trustees shall not be required to enquire into or make any determination in relation to, or take any action in respect of, or be responsible for, any transaction entered into by the board of directors (or committee, etc.) of the Private Trust Company in the administration of the [Name] Trust.*

(c) *That insofar as any funds held in trust are surplus to the requirements of the Purposes, the funds shall be invested by the Trustees pending their application in furtherance of the purposes contained in this Business Plan.*

3.4 To hold employee benefits

Employees, in particular the highly skilled and well-paid variety, are often offered not only an attractive remuneration package, but also additional benefits such as a retirement pension, generous severance provisions and/or stock options.

An employee benefits trust (EBT) may be structured as a species of discretionary trust for the benefit of such employees. When settled offshore, an EBT usually takes the form of a purpose trust where the stated purposes are to operate and administer an employee benefits plan for and on behalf of key employees and officers of a company.

Complex and restrictive rules exist onshore for the use of, and type of investment that can be made by, the funds earmarked to provide the employees' pension and severance monies. Furthermore, the profits and realised gains made by these segregated funds are subject to complex regulatory and taxation provisions.[302] It is therefore becoming increasingly popular to form an offshore trust in order for independent trustees to hold and manage certain types of earmarked funds in a flexible yet segregated manner, insulated from the company's own property. These so-called employee benefits trusts are purpose trusts which hold assets for the benefit of a defined class of employee's, in order to fund things such as:

- employees' pension or savings plans
- severance packages, or
- plans that hold stock options to acquire shares in the employer company, or the shares themselves when acquired by the employee exercising the stock options at a price below the market price.[303]

For an EBT, the employer acts as settlor and establishes a purpose trust as part of the operating structure of the EBT. The employer (and possibly also the employee) then transfers funds to the trustee of the purpose trust to hold upon trust. The trust fund is usually invested in various securities in order to finance the pension or severance (or to invest generally for the benefit of the employees). The trustee holds the assets in a tax-free environment and ensures that the trust fund is administered according to the trust instrument and that distributions are made only in accordance with the rules governing the employee benefits plan.

Granting stock options to key employees is also an increasingly popular addition to employees' remuneration packages. The theory is to offer key employees and officers of a company the right to purchase stock in the company at any time in the future during the period of employment but at today's stock price. Thus, if the employees perform well, the company's profits increase, and the market price of the shares will rise. By the time an employee exercises the option, he or she will be able to purchase shares at a discounted price. The company benefits from increased productivity and the employee receives recompense when the company's share price rises. Win/win. But such schemes are heavily regulated.[304] It is therefore sometimes easier for the employee's stock options to be held by the trustee of an EBT.

302. In the US, employee benefit plans must comply with the Employee Retirement Income Security Act 1974 ('ERISA'); Internal Revenue Code ('IRC') §401(k) plans, etc.
303. These are referred to in the US as Incentive Stock Option Plans (ISOs) or Employee Stock Purchase Plans (ESPPs) and, in the UK, as Employee Share Ownership Plans (ESOPs).
304. Financial information has to be disclosed to the SEC, special accounting rules apply to how stock options must be shown in the company's financial statements, special tax rules apply on how and when the employee is taxed and when the employer can take the deduction as a business expense.

An example of a Cayman Islands' STAR Trust designed to be an EBT is illustrated in Appendix 30. The purpose trust owns the shares of an offshore special purpose company (namely the 'Controlled Company', which is administered by an administrator in accordance with the terms of the plan). The Controlled Company holds the stock options for the employee. These stock options, when exercised during the course of an employee's contract of employment, enable the Controlled Company to acquire shares in the employer at a discount. The shares may be retained or distributed *in specie* to the Controlled Company's shareholder, namely the trustee of the purpose trust, from where they can be distributed to the employee as human beneficiary of the STAR Trust. Alternatively, upon the stock option being exercised and the shares acquired at a discount, the shares can be sold at the high market price, and the net proceeds of sale distributed to the trustee of the purpose trust for onward cash distribution to the employee as beneficiary of the STAR Trust.

3.5 International financing transactions

Trusts, and especially purpose trusts, play an increasingly important part in international financial transactions. They are often used so that assets may be held as security for lenders in a manner that provides the lenders with additional protection. These arrangements take advantage of the fact that a trust can separate the legal and equitable interests in property representing a lender's security, and that strict fiduciary duties are imposed upon trustees to protect the lender's equitable ownership rights therein.

Purpose trusts are typically used in complex asset or project financing deals.

3.5.1 Subordination trusts

A feature of the financing arrangements for large projects, or for the purchase of capital assets, is the fact that funds are often provided by a number of different lenders and at different times. Insolvency laws of most jurisdictions provide that, in the event of a corporate financial collapse, if the borrowing entity is wound up, its assets are sold, reduced to money and distributed to all creditors *pari passu*. In other words, all unsecured creditors rank equally, i.e. they get to share in the assets of the insolvent company equally, usually each creditor receiving 'x' cents per dollar owed. In a complex financing deal, certain creditors (often referred to as 'senior creditors', who often take the greatest risk and provide finance earlier and in a larger amount than later, smaller lenders) wish to have their loans repaid first, in priority to other creditors. This is known as debt subordination, meaning that certain creditors are subordinated to other, senior creditors.

In these arrangements many different investors participate in lending to a company through the medium of a purpose trust. The lenders lend money to the trustee of the purpose trust and, in exchange, receive bonds or other securities issued by the trustee. The trustee then lends the collective fund to the borrowing entity and, in turn, holds the contractual right to enforce repayment of the loan upon trust for the beneficiaries, namely the initial lenders, according to the terms of the trust. The purpose of the trust is to accept and account for the loan repayments made by the borrowing entity. The trust instrument of the purpose trust prioritises certain senior creditors, so that they are paid first, and subordinates the more junior creditors.

3.5.2 Project financing

Project financing, as the name suggests, involves several lenders lending money to a borrower to finance a specified project. A term of the financing deal is usually that the borrower is required to provide the lenders with adequate security. The borrower may be in a position to give the lenders a charge over real estate or other tangible property. In many large projects, however, additional or alternative security is required over the borrower's cash flow receivables that will be earned by the completed project. This income source has to be collected, accounted for, managed and often used to service loans made by several lenders (who may comprise a fluctuating group, as old lenders are discharged and new lenders make additional loans). This type of security package requires something more sophisticated than an ordinary loan agreement or mortgage.

Accordingly, deals are often structured in a similar fashion to debt subordination trusts, with additional provisions whereby the borrower's income source, generated by the completed project, is assigned to trustees who receive the income subject to the terms of a purpose trust. The trust instrument imposes a duty upon the trustees to receive the gross income generated from the completed project, pay therefrom the various lenders to service and repay their debt, and pay the net balance to the project operator.

This type of financing is often used in large commercial construction projects, mineral exploration, oil drilling and mining operations. When the office building has been completed and leased to tenants, or when oil has been found and is being pumped onshore, the borrower's income (derived from the rent or the oil revenue) is paid to the trustees of a purpose trust to ensure that the various lenders are repaid according to the terms of their initial lending.

3.5.3 Asset financing

Asset financing works in a manner similar to project financing. Purpose trusts are used to provide security and protection to lenders who lend monies to a borrower for the purpose of buying an income-producing asset. This type of financing is common in ship and aircraft purchase or lease arrangements.

4. Conclusion

You will appreciate that the traditional common law trust, usually established for the benefit of future generations of the settlor's family, has gone through a metamorphosis offshore. Trusts may nowadays be made subject to a whole raft of new legislation so that they can be used for a range of commercial purposes.

Learning outcomes

By the end of this module you should:

- appreciate the reasons why trusts that have purportedly been established for the benefit of purposes rather than persons are invalid under common law principles
- be able to identify the common law exceptions to the general rule prohibiting purpose trusts
- understand the basic terms of the first generation of purpose trust legislation, and be able to explain the model form found in The Trusts (Special Provisions) Act 1989 of Bermuda
- understand the basic terms of the second generation of purpose trust legislation found in the Trusts (Special Provisions) Amendment Act 1998 of Bermuda
- be familiar with an alternative purpose and person trust regime found in the Special Trusts (Alternative Regime) Law 1997 of the Cayman Islands, and
- appreciate some of the practical uses of purpose trusts, including holding shares in operating companies and PTCs, and their use in commercial financing transactions and other business activities.

Module 10:
Self-Assessment Questions

1. Why are trusts that are created for the benefit of a purpose, rather than persons, invalid according to common law principles?
2. The common law permitted purpose trusts to exist in two limited circumstances. Describe the types of purpose trust allowed at common law.
3. Why does the common law make an exception in the case of purpose 'trusts of imperfect obligation'?
4. What are the defining features of a charitable trust? How do charitable trusts address the issues against the validity of purpose trusts referred to in question 1 above?
5. S creates a trust of £100,000 to 'provide assistance to the old and sick of the City of York or other socialist purposes'. Under English common law principles, would this be a valid charitable trust or an invalid purpose trust? Give reasons for your answer.
6. Offshore legislation permits non-charitable purpose trusts to be established. Is there any limitation upon the type of purpose allowed? Give examples of purposes that are not allowed.
7. In the 1989 Act of Bermuda, what was the rationale behind the requirement to have a 'designated person' serve as trustee? Why is this requirement now redundant?
8. Under the 1989 Act of Bermuda, how does a purpose trust overcome the common law beneficiary principle?
9. How does modern purpose trust legislation address the issues against the validity of purpose trusts referred to in question 1 above?
10. The 1998 Act of Bermuda abandons the specific office of enforcer. In its place a number of persons may apply to the court in the event of a threatened or actual breach of trust. Who are those persons?
11. Compare and contrast the Bermudian purpose trust legislation with the STAR trust regime of the Cayman Islands.
12. Under STAR, what is the rationale behind the provision whereby STAR may apply to both purpose and person trusts, if the trust instrument so provides?
13. Analyse the two types of enforcer under STAR. What are the minimum enforcer requirements for a STAR trust?

14. Settlor establishes a trust of $1 million in 2020 for the purposes of inoculating children below the age of five years, who reside in Country A, against disease X. The trust is expressed to be governed by STAR. In 2025 the government of Country A establishes an extensive inoculation programme whereby it undertakes to inoculate all children against a spectrum of diseases, including disease X.

    How does this affect the trustees? What ought they to do, if anything?

15. Give examples of some of the non-charitable purposes that a modern private purpose trust may be established to benefit.

16. Draft the typical purposes of a trust designed to hold the shares of the settlor's private operating company. What are advantages of holding shares in this way?

17. Draft the typical purposes of a trust designed to hold the shares of a private trust company (PTC). What are the reasons for holding the shares of a PTC in this way?

18 Describe some of the typical components of an 'employee benefit plan' which provides generous remuneration and other rewards to incentivise 'key' employees of an employer.

19. Define an employee benefit trust and explain why an offshore purpose trust is the typical holding structure for employee benefits.

20. One of the motives for enacting purpose trust legislation was to encourage the use of trusts (established and managed in the jurisdiction passing the law) in large project and capital-asset financing transactions. How are purpose trusts often employed as part of these transactions? Give examples.

Module 11:
Private Foundations

Module 11:

Private Foundations

Learning objectives

The purpose of this module is to:

- review the development of foundations in offshore centres
- define a private foundation and summarise its essential characteristics
- review the procedure to establish a private foundation
- review the governance of a foundation and explain the roles, rights and duties of those involved, and
- discuss factors that determine whether a private foundation or a trust is the most suitable structure for a client.

1. Introduction: The origin of private foundations

Private foundations developed from the vehicle originally used to set up religious houses in Europe in the Middle Ages. These early charitable bodies still exist in most civil law countries and are principally concerned with philanthropic and charitable activities.

In 1926, Liechtenstein broadened the appeal of foundations when it enacted the Personen-und Gesellschaftrecht (Persons and Companies Act [PGR]) and made the foundation suitable for use as a vehicle for managing family assets. In other words, the Liechtenstein 'private foundation' is no longer restricted to charitable purposes and can be used to hold and manage private assets.

Liechtenstein remained unique in establishing private foundations until Panama introduced the Foundation Law No. 25 of 1995. Since that date, foundation legislation that provides for the establishment of private asset-holding foundations has been enacted by the other jurisdictions, including Aruba, Anguilla, Antigua, the Bahamas, Cayman Islands, Cyprus, Dubai, Guernsey, Isle of Man, Jersey, Labuan, Malta, Netherlands Antilles, Nevis, St Kitts, Samoa, Seychelles and Vanuatu.

A central characteristic of modern foundation legislation is that it allows the essential regulation of private foundations to be determined by their constitutive documents. The legislation does not tend to provide default provisions, in contrast to trust legislation. This means that foundations vary greatly, not only from one jurisdiction to the next, but also within a particular jurisdiction. Founders may make provision for whatever they wish, provided it falls within the wide parameters permitted by the legislation.[305]

305. In a similar way, companies legislation leaves the detailed provision to the incorporating promoter to draft in the constitutive documents (the memorandum and articles), although the articles typically conform to a specimen set of articles (Table A) found in a schedule to the companies legislation. Foundation legislation does not make similar provision in the form of specimen constitutive documents, except for a model charter found in the schedule to the Bahamian legislation. This makes the foundation very versatile, but also leads to wide variations in form.

Furthermore, there has been very little litigation giving rise to case law on private foundations. Therefore, in contrast to trusts, limits to their legitimacy and effectiveness for asset management purposes have not yet been tested by close judicial scrutiny. This makes a thorough knowledge of the legislation of the jurisdiction in which the foundation is established especially important.

- **Liechtenstein:** the original private foundation legislation, the PGR 1926, was substantially modified in 2008 by new foundation legislation, which is now found in a.552 of the PGR, ss.1–41. Nonetheless, the Liechtenstein PGR remains the basic model legislation emulated by others.
- **Panama:** in 1995 Panama introduced the Foundations Law No. 25, which is a much simpler piece of legislation than the original Liechtenstein model, and which itself has been used as a model for subsequent legislation in other jurisdictions.
- **The Bahamas:** the Foundations Act 2004, Cap 369D as amended, is clearly influenced by the Liechtenstein and Panamanian models, but makes a Bahamian foundation similar to a traditional company, particularly in relation to incorporation and management.
- **Jersey**: the Foundations (Jersey) Law 2009, Revised Edition, also draws upon the original Liechtenstein model and not only imports some corporate principles in relation to incorporation and management, but also borrows from trusts and purpose trusts by way of its guardianship provisions.
- **Guernsey:** the Foundations (Guernsey) Law 2012 is influenced by the foundation legislation of its neighbour, Jersey.
- **Isle of Man:** the Foundations Act 2011, like other jurisdictions, is based upon the Liechtenstein model.
- **Dubai:** DIFC Foundations Law 2018
- **Labuan:** the Foundations Act 2010
- **Samoa:** the Foundations Act 2016
- **Antigua and Barbuda:** International Foundations Act 2007
- **Cayman Islands:** the Foundation Companies Law 2017 provides for a unique and alternative type of vehicle which is essentially a limited liability company with a constitution, board of directors and secretary that may cease to have members provided there is a supervisor to attend and vote at general meetings.[306]

2. Definition of a private foundation

The foundation legislation of some jurisdictions provides statutory definitions of a private foundation.

For example, art.552, s.1 of the revised Liechtenstein PGR states:

A foundation within the meaning of this Section is a legally and economically independent special-purpose fund which is formed as a legal entity (juristic person) through the unilateral declaration of will of the founder. The founder allocates the specifically designated foundation assets, stipulates the purpose of the foundation, entirely non-self-serving and specifically designated, and also stipulates the beneficiaries.

306. The Cayman Islands Foundation Company is essentially a company with limited liability, has a registered office, a constitution which comprises a memorandum and articles of association, a board of directors together with a mandatory company secretary who must be a licensed company management services provider. So far, it looks much like any other company. The constitution of the Foundation Company may, however, allow the company to have no members provided (a) its memorandum permits and (b) it has a supervisor who has the right to attend and vote at general meetings of the company. The constitution may also authorise the Foundation Company to have beneficiaries to whom distributions can be made but have no ownership or equity interest in the Foundation Company nor rights to information, accounts or other information, nor to bring proceedings to enforce the directors' duties.

This definition suffers a little in translation, but it can be seen that private foundations have some characteristics of corporate entities and some of trusts.

The International Foundations Act 2007 of Antigua and Barbuda, defines an 'international foundation' as:

[A] separate legal entity set up after the proper execution of a foundation charter, or equivalent document by a founder, and managed by members of the foundation council and to which the founder transfers rights, title or interest in the property for a specific purpose.

This is, once more, a useful description but not a comprehensive definition.

In other jurisdictions, such as the Bahamas, Jersey, Guernsey and the Isle of Man the foundation legislation merely states that a foundation is something established under the relevant legislation.[307]

Any definition of a private foundation will include that a private foundation is a legal entity but without shareholders, where the beneficiaries do not acquire any interest in the foundation assets. These two characteristics distinguish foundations from companies and from trusts. Accordingly, the following definition is perhaps a little more comprehensive:

A private foundation is a self-governing separate revocable or irrevocable legal entity, without shareholders or the equivalent, which is managed by a foundation council or similar body and set up following a declaration, registration or incorporation by, or on behalf of, a founder and designed to hold, administer and distribute the foundation's endowment for the benefit of beneficiaries, or for a purpose, where the entire ownership of the foundation assets rests with the foundation but which are managed according to the requirements of the charter and regulations (or articles) made under the charter.

This definition is not universal, but it covers both the unique structure of a private foundation and the purposes for which they are created.[308]

3. Summary of the main characteristics of private foundations

A private foundation is often described as an 'incorporated trust', but this statement obscures an essential difference. An incorporated body such as a limited company has shareholders who are the owners of the company, on whose behalf the directors are under a duty to operate the company for profit. A private foundation has no shareholders – the beneficiaries of a foundation are not equivalent to shareholders in so far as they do not own any share of the foundation but are merely donees of gifts. The ultimate control of a foundation is in the hands of the foundation council. The control of the foundation by the council may, depending on the charter or regulations, be shared with the founder (depending on the extent of his or her retained powers) and may be influenced by a third party such as a guardian or protector.

307. In the Bahamas, see s.3 of the Foundations Act 2004 as amended. See the definition of a foundation in art.1, the Interpretation clause, the Foundations (Jersey) Law Revised Edition 2021; ditto in s.52 for the interpretation clause of the Foundations (Guernsey) Law 2012 and s.3 of the Manx Foundations Act 2011.

308. The Cayman Islands has a novel form of foundation. It is essentially a company incorporated under companies legislation but declared to be a 'Foundation Company'. It therefore has a memorandum and articles of association, a board of directors, a secretary and a body of shareholders. When it ceases to have members, however, it must appoint a 'supervisor'. The rest of this module describes a foundation that follows the typical model rather than a Cayman Foundation Company.

The following sections contain a summary of the main characteristics of a foundation, and subsequent sections of this module will explore the issues associated with them in greater depth.

3.1 Formation

A private foundation is established in accordance with the provisions of applicable legislation. This typically requires the registration or deposit of the foundation charter in a public registry. The foundation is, of course, governed by the laws of the state of its registration (in the same way that a company is governed by the law of the state of its incorporation).

3.2 Separate legal entity

When the constitutive documents are registered upon formation, the registrar enters the name of the foundation in the register and typically issues a certificate of registration (or incorporation). The entry of the foundation in the register constitutes a form of publicity of the existence of the foundation as a legal entity in its own right and gives notice to third parties. Where the formation requirements do not necessarily involve registration, as in Liechtenstein, the separate legal existence of the foundation remains a private matter.

3.3 Constitution

Details of the foundation's purposes and management structure, etc., are contained in its charter and often in regulations made under the authority of the charter. These are roughly equivalent to a company's memorandum and articles.

3.4 Purpose

The core purpose of a foundation is to carry out the wishes of the founder as set out in its constitutive documents. The founder's wishes are either charitable and philanthropic in nature or, especially in respect of those foundations established in the offshore financial centres, involve the management and distribution of family wealth. Accordingly, a foundation is said to protect the founder's hereditary wishes. The founder's heirs have no right to revoke the creation of a foundation or the transfers made to it. There can be no objection to a foundation on the grounds that the transfer of assets to the foundation is contrary to any forced heirship laws of the state where the founder resides or is a citizen.

3.5 Transfer of assets to the foundation

The foundation assets are made up of so-called endowments (or transfers) of assets by the founder or from third parties. Assets may be of any nature, although they are usually tangible assets such as cash, securities and real estate. The transfer of assets made to the foundation may be disputed if such transfer is made with the intention of defrauding creditors.

3.6 Ownership of foundation assets

The assets of a private foundation are separate from those persons who create the foundation; that is, the assets are owned by the foundation as a legal entity in the same way that a company owns corporate assets. It is often said that a foundation's assets constitute an independent estate. This means that endowments made to a foundation and its earnings may not be seized or attached, except in connection with the foundation's own activities. The separation of these assets from the founder's personal assets means that the assets of the foundation may not be used to meet obligations of the founder.

3.7 Ownership of the foundation

A foundation does not issue shares or any other document that represents participation in its ownership. In fact there is no such participation. A foundation is regarded as 'self-owning'. There are beneficiaries of a foundation, often identified in the constitutive documents as members of a class of potential beneficiaries to whom distributions may be made. But the beneficiaries do not own or control or have any rights to the foundation assets.

3.8 Management

A foundation is managed by the foundation council in a manner similar to the way a company is run by a board of directors. Council members typically owe fiduciary duties to the foundation. The founder can be a member of such council (although this could have adverse tax consequences).

3.9 Protector or guardian

Foundation legislation in some jurisdictions, such as Jersey, requires a protector or guardian to be appointed to supervise the council and safeguard the assets that are under the management, and at the disposal, of the foundation council. In other jurisdictions, such as the Bahamas, the office of protector or guardian is optional. The role is similar to that of a protector of a trust, or enforcer of a purpose trust, although company law makes no provision for any such supervisory figure.

3.10 Taxation

A private foundation may have tax advantages, depending upon the rules of the jurisdiction in which the foundation is considered to reside for tax purposes. Under recognised international tax principles, a foundation is resident for tax purposes in the state where it is registered or the state where its central management and control are located and exercised.

3.11 Duration and succession

A foundation can be used as a substitute for the founder's Will. A foundation exists indefinitely (unless it is expressly made to endure for a specified period or is revocable) and its provisions endure beyond the founder's death. And whereas shareholders of a company can dispose of their shares by Will, the beneficiaries of a foundation (who are likely to be discretionary beneficiaries) have no assets to bequeath.

4. Establishment of foundations

4.1 Registration

The practice and procedure for establishing a foundation differs from jurisdiction to jurisdiction, but there is a common theme. Apart from Liechtenstein, which permits a more informal procedure by 'declaration of establishment', most jurisdictions follow the corporate model of incorporation. This requires a founder or their advisers[309] to file with the registrar the proposed charter, which contains prescribed information, together with an application to incorporate or register the foundation in a central register of foundations. Upon receipt of such application and payment of a prescribed fee, the registrar scrutinises the application and, if it is in order, enters the name of the foundation in the register of foundations and issues a certificate of registration bearing a date and identifying registration number.

The formation procedure may require a licensed service provider to act for the founder in the registration process.[310] When not required by law, a nominee founder, such as a lawyer or other licensed service provider, is typically used to execute the charter and other documentation. In these circumstances, the service provider acts as an agent or 'nominee' of the founder and the nominee's client then contributes funds to the foundation after it has been formed.

The later endowment of assets upon the foundation does not cause the person providing the funds to become the founder for the purposes of founder-reserved powers.[311] This may enhance confidentiality, but it has an undesirable consequence, namely that the real founder (the nominee's client) does not have the founder's rights – these belong to the nominee. In such circumstances the founder may give the nominee a letter of wishes. Alternatively, the charter may allow the regulations or articles made under the authority of the charter to confer powers upon the real founder, as opposed to the nominee; as the regulations are not available for public inspection, it further enhances confidentiality without depriving the client of the founder's rights.

As you will appreciate, the basic procedure for establishing a foundation is similar to the incorporation of a company, as shown in the following examples.

4.1.1 Liechtenstein

Registration of the charter in the Public Registry is required whenever the objects of the foundation are predominantly for public charitable purposes (so-called 'common-benefit foundations') and for 'foundations carrying on business run along commercial lines' (so-called 'commercial foundations'); on the other hand, a private foundation for the benefit of private individuals is formed by 'a declaration of establishment', which may be registered in the Public Registry but there is no legal requirement to do so.[312] In circumstances where the constitutive documents are

309. Regulations exist in the more tightly regulated offshore financial centres that restrict the persons who are qualified to apply for registration to attorneys or licensed service providers (such as banks, trust companies, corporate services providers and licensed registered agents).

310. Art.2 of the Foundations (Jersey) Law 2009; s.21 of the Foundations Law 2004 of the Bahamas; Isle of Man by a registered agent licensed under Financial Services Act 2008 according to s.4 of the Foundation Act 2011.

311. For example, art.19 of the Foundations (Jersey) Law Revised 2014 states that the endowment of a foundation does not make the person a founder or vest in that person any rights of the founder unless the regulations provide otherwise.

312. Article 552 of the PGR contains statutory provisions that regulate Liechtenstein foundations: s.2 distinguishes public charitable or 'common-benefit' foundations and 'private-benefit' foundations; s.14 deals with the formation requirements for an *inter vivos* foundation – s.14(4) requires public charitable foundations to be registered in the Public Registry, while s.14(5) states that private foundations may be registered but there is no obligation to do so; s.19(2) and (3) contain statutory provisions for the voluntary registration of private foundations; while s.20 contains provisions requiring a 'deposit of notification of the formation of a foundation' when it is not officially registered.

voluntarily registered, the Registrar enters the name of the foundation in the Public Registry and this constitutes notice that the foundation has come into existence as a separate legal entity. When a private foundation is not registered, the foundation council must 'deposit a notification of formation of the foundation' with the Office of Lands and Public Registration. When the unregistered foundation enters into transactions with third parties, the foundation council has to show, to the satisfaction of the third party, that the foundation exists and has the authority to enter into the proposed transaction.

4.1.2 Panama

A foundation is formed when the charter is signed by the founder in the presence of a notary public, and registered at the Public Registry upon payment of a registration fee and annual registration tax. The registration of the foundation charter is said to 'confer juridical personality [upon the foundation] and constitutes a means of publicity with regards to third parties'.[313] In other words, once registered, the foundation becomes a separate legal entity.

4.1.3 Jersey

A 'qualified person' (namely a regulated service provider under the Financial Services (Jersey) Law 1998) may apply for the incorporation of a foundation by submitting a copy of the proposed charter and registration fee to the Registrar. The Registrar incorporates the foundation on being satisfied that the application complies with the requirements of the law. The Registrar then enters the name of the foundation and other particulars in a register and issues a Certificate of Registration with an identifying number.[314]

4.1.4 The Bahamas

The registration documents and fee must be filed with the registrar and, if the registrar is satisfied that the application conforms with the Act, he or she registers the foundation, enters its name and other particulars onto the register of foundations and issues a Certificate of Registration – from that date the foundation takes on a separate independent legal existence in its own right.[315]

4.1.5 Guernsey

An application for the establishment of a foundation is made by a licensed fiduciary[316] to the Registrar of Foundations, accompanied by its Charter and appropriate fee. The applicant is required to confirm that the Charter is accurate, complies with the law, and whether there are any 'disenfranchised beneficiaries'. On approving the application, the Registrar enters particulars in the Register of Foundations and issues a Certificate of Registration with a registration number, whereupon the foundation becomes a separate legal entity.

313. Articles 4, 6, 8 and 9 of the Foundations Law No. 25 1995.
314. Article 2 of the Foundations (Jersey) Law Revised 2014 deals with applications for incorporation; Arts 27–29 Foundations (Jersey) Law Revised 2014 deal with incorporation and art.30 with the corporate status of foundations upon incorporation.
315. Section 5 of the Foundations Law 2004 deals with the mode of establishing a foundation in the Bahamas – either *inter vivos* or by will; ss.21–24 of the Foundations Law 2004 deals with the registration methodology – requiring the following documents to be submitted to the registrar: statement by the foundation agent, secretary or attorney containing particulars prescribed in ss.21(1)(a)(i)–(ix), a list of names and addresses of the foundation's officers and a statutory declaration of compliance, together with the registration fee. The registrar issues a certificate of registration in accordance with s.22, which is conclusive and confers corporate status upon the foundation (s.24).
316. First Schedule, para 7(2) of the Foundations (Guernsey) Law 2012.

4.1.6 Isle of Man

A registered agent licensed under the Financial Services Act 2008 makes an application to the Registrar of Foundations for the establishment of a foundation. The application must be accompanied by a 'foundation instrument' and appropriate fee. The applicant is required to confirm that it will be the registered agent and will provide the business address for the foundation, and is in possession of the 'foundation rules'. On approving the application, the Registrar enters particulars in the Register of Foundations and issues a Certificate of Establishment with a registration number, whereupon the foundation becomes a separate legal entity.

4.1.7 Dubai

A DIFC foundation is created in accordance with Part 3 Foundations Law 2018 by the founder making an application to the Registrar by filing a prescribed form signed by the founder containing prescribed information which includes the details set out in Art 17(2), such as the name of the foundation and its registered office, name and address of the founder and each council member together with a copy of the proposed Charter and, unless a licensed Registered Agent is appointed, its by-laws. If satisfied that the application is satisfactory, the Registrar issues a Certificate of Registration, assigns a number and issues a licence to operate pursuant to Art 9 of the Operating Law no.7 of 2018.

4.1.8 Cayman Islands

A foundation company is incorporated in the Cayman Islands in exactly the same way as a Cayman Islands company: by a licensed service provider, by making an application to the Registrar of Companies in accordance with the Companies Act. Section 5(2) of the Foundation Companies Act 2017 also allows the directors and members of an existing Cayman Islands company to apply to the Registrar for the company to become a foundation company. If satisfied that the requirements of a foundation company are met, the Registrar will issue a new Certificate of Incorporation containing a declaration that the company is a foundation company.

4.2 The endowment of assets upon a foundation

In most jurisdictions with foundation legislation there are statutory requirements that a foundation must have assets of a minimum value. The minimum capital of a Liechtenstein foundation is CHF30,000 (or €30,000 or US$30,000);[317] in the Bahamas the minimum capital is US$10,000 or the equivalent in any currency;[318] in Panama it is 10,000 balboas or US$10,000.[319] The prescribed minimum endowment is under attack by other jurisdictions such as the Seychelles, which requires a foundation to have assets of not less than one US dollar, while some others, such as Jersey, and the Isle of Man[320] have no minimum capital requirements at all. Guernsey foundations and those establishments in Dubai require an 'initial capital' but there is no minimum amount.[321]

317. Article 552, s.13 of the PGR.
318. Section 8 of the Foundations Law 2004.
319. Article 5(2) of the Foundations Law 1995.
320. Section 15(1) of the Foundations Act 2011, art.7(1) of the Foundations (Jersey) Law 2009 Consolidated Revision.
321. Section 2(1) and s.52 of the Foundations (Guernsey) Law 2012; arts 27 and 28 of the DIFC Foundations Law 2018.

The minimum capital must be endowed upon the foundation when it is established by the founder as part of the incorporation or registration process. The main bulk of the assets are subsequently transferred to it as additions by the founder or other third party. According to typical foundation terminology, these assets are 'endowed' upon the foundation. Once the legal ownership of assets is transferred by the procedure appropriate to the assets concerned, such assets are assets that have been endowed upon, and henceforth belong to, the foundation as a separate legal entity (in much the same way as corporate assets are owned by a company). Foundation assets do not form part of the founder's (or transferors) estate for bankruptcy, succession or forced heirship purposes.

When a third party other than the founder transfers assets to a foundation, the third-party transferor does not thereby become a founder for the purposes of the exercise of powers reserved by the founder.

Where a founder or other third party undertakes to endow assets to a foundation, and this is recorded in the charter, the foundation may enforce the undertaking once registered.

Private foundations that are established in some of the offshore financial centres are granted tax concessions and guarantees that no taxes will be imposed upon the foundation for an identified period in the future. These tax privileges are often conferred on condition that the foundation does not own real estate or conduct business within the geographic jurisdiction in which it is established.[322]

4.3 Conflict of laws

Modern foundation legislation, particularly the legislation enacted in the common law centres, contains conflict of laws provisions. These rules draw on the jurisdiction's expertise in trust litigation and its familiarity with the issues that arise when offshore structures receive transfers of assets from foreign citizens.

Firstly, the legislation confirms that the laws of the state of registration govern the foundation and the endowment of assets to it.[323] While there can be no objection to the former proposition (that the foundation itself, its validity, interpretation of its charter and rules relating to general administration, are subject to the laws of the state where it is registered, much like a company), the latter proposition (that the endowment is also governed by such laws) is more contentious. Surely the law of the transferor, or of the state where the transfer originates, should govern the transaction, rather than the law of the transferee? As you are aware, these matters have been debated in trust-related conflict of laws legislation. This is why modern foundation legislation is not all-embracing – it sets out a general rule that local laws govern, confirms which matters are indeed governed by the law of the foundation (such as the capacity of the founder), but makes the general rule subject to internationally recognised exceptions (such as where issues arise that relate to a defect in the transferor's title to foreign assets, foreign real estate or defective foreign Wills).

322. This is a statutory restriction in any event in some jurisdictions such as the Bahamas – see s.4(5) of the Foundations Act 2004.
323. Article 32(1)–(3) of the Foundations (Jersey) Law Revised 2014; the Bahamas – s.68(2) and (3) of the Foundations Act 2004; Guernsey – s.37 of the Foundations (Guernsey) Law 2012; Isle of Man – s.37 of the Foundations Act 2011; Dubai – article 13 of the DIFC Foundations Law 2018.

Secondly, the legislation contains forced heirship avoidance and spousal claim avoidance provisions[324] by stating that a foundation shall not be void, voidable, liable to be set aside or otherwise invalid by reason that:

i. the laws of a foreign jurisdiction prohibit or do not recognise foundations or prohibit the endowment
ii. the foundation or endowment to it avoids or defeats spousal claims conferred by foreign law upon the spouse of the founder, assignee of the rights of the founder or person endowing assets upon the foundation, and
iii. the foundation or endowment to it avoids or defeats forced heirship rights conferred by foreign law upon the family of the founder, assignee of the rights of the founder or person endowing assets upon the foundation.

Finally, modern foundation legislation states that any foreign judgment shall not be recognised nor enforced whenever such judgment is based upon the matters i. through iii. above, or is otherwise inconsistent with the legislation.[325]

Task 11.1

Review the foundation legislation enacted by the Channel Islands, Isle of Man, Dubai or the Bahamas in so far as it relates to the conflict of laws principles that govern the foundation and the endowment of assets to it. Compare this with similar trust legislation analysed in Modules 6 and 8.

5. The constitution of a foundation

A foundation must have a written constitution that sets out its name, purposes and other critical information such as its internal structure, powers and duties of officers, management practices and procedures.

5.1 Charter (Foundation Deed)

The fundamental constitutive document of a foundation is called the 'foundation deed' in Liechtenstein,[326] and the 'charter' elsewhere, such as in the financial centres of Panama,[327] the Bahamas,[328] Jersey, Guernsey[329] and Dubai.[330] It is drafted by, or upon the instructions of, the founder. It is similar to the memorandum of a company in that it expresses the basic characteristics of the entity and its purposes. A specimen Charter is illustrated in Appendix 31.

324. Article 32(4)–(8) of the Foundations (Jersey) Law Revised 2014; the Bahamas – s.68(5) of the Foundations Act 2004; s.37(3) of the Foundations (Guernsey) Law 2012; Isle of Man – s.38 of the Foundations Act 2011; Dubai – article 14 of the DIFC Foundations Law 2018.
325. Article 32(8) and (9) of the Foundations (Jersey) Law Revised 2014; the Bahamas – s.68(7) of the Foundations Act 2004; s.37(4) of the Foundations (Guernsey) Law 2012; Isle of Man – s.38(7) of the Foundations Act 2011, Dubai – art.16 of the DIFC Foundations Law 2018.
326. Chapter B, Title II, s.16, of the PGR.
327. Article 5 of the Foundations Law No.25 of 1995.
328. Section 6 of the Foundations Act 2004.
329. Section 3 of the Foundations (Jersey) Law Revised 2014; s.4 of the Foundations (Guernsey) Law 2012; however, the document is called the 'foundation instrumental' in the Isle of Man according to s.5 of the Foundations Act 2011.
330. Dubai – arts 18 and 19 of the DIFC Foundations Law 2018.

Foundation legislation typically prescribes required information that *must* be included in a charter, and lists other information that *may* be included.[331] But even the list of optional information is not exhaustive in so far as it does not prevent other matters from being included if the founder so wishes. For example, the required information for the charter of a typical foundation is its name, its objects or purposes, its endowment or initial capital, its first council members and its term or provision for its winding up. These matters are illustrated by Articles 1 through 6 of the Charter found in Appendix 31. The optional material for the charter of a typical foundation relates to the adoption of regulations, matters relating to the supervisory body, if any, choice of governing law and redomiciliation and other matters that may otherwise appear in the regulations.

A specimen charter is found in the Schedule to the Bahamian foundation legislation which, according to s.6(4) of the Foundations Act 2004, may be adopted in whole or in part to govern a Bahamian foundation, and shall apply in default if the actual foundation charter does not modify or exclude the provisions of the model.

5.2 Regulations (articles, by-laws or rules)

As the charter is a public document many founders prefer to keep some or all of the optional items confidential, in particular the dispositive provisions of the foundation.[332] This is achieved by relegating such matters to an ancillary set of rules called the regulations (sometimes called articles, by-laws or rules) made under the authority of the foundation deed or charter. Some examples follow.

- In Liechtenstein the PGR allows the founder to draw up a supplementary foundation deed or an ancillary constitutive document called 'regulations' that typically contains the dispositive provisions of the foundation.
- In Panama, art.2 of the Foundations Law No.25 of 1995 provides that a private foundation shall be governed by the foundation charter and its regulations; art.5 prescribes the minimum content of the charter, allowing other ancillary matters to be relegated to the regulations.
- Article 11 of the Foundations (Jersey) Law 2009 Consolidated Revision requires a Jersey foundation to adopt 'regulations' setting out those matters prescribed in arts.12 – 16, unless such matters are dealt with in the charter. The prescribed matters relate generally to the council, its members and the guardian. The regulations may, according to art.16 'provide for any other matter in respect of the foundation' and typically contain dispositive provisions.
- The Bahamas s.6(2)(h) of the Foundations Act 2004 as amended allows a Bahamian foundation to make ancillary 'articles' that may include matters listed in section 7, namely provisions relating to distributions to beneficiaries.
- Section 3(b) of the Foundations (Guernsey) Law 2012 states that a Guernsey foundation must have a set of 'rules' which are required to contain those matters listed in s.5(1) but may contain the additional information set out in s.5(2), together with other internal rules the founder deems appropriate, usually administrative, investment and dispositive provisions.

331. Section 6(1) of the Foundations Act 2004 lists matters that must be included in the charter of a Bahamian foundation, whereas s.6(2) lists matters that may be included; arts 4–9 of the Foundations (Jersey) Law Revised Edition 2014 list matters that must be included in the charter of a Jersey foundation, whereas art.10 lists matters that may be included; s.16 of the PGR, paragraph (1) lists matters that must be included in the foundation deed of a Liechtenstein foundation, whereas s.16, paragraph (2) and s.17 and s.18 anticipate additional optional matters; art.5(1)–(10) of the Foundations Law No.5 of 1995 is a list of matters that must be included in the charter of a Panamanian foundation, while Art.5(11) states that it may also contain any other matter that its founder may deem convenient; s.4(1) of the Foundations (Guernsey) Law 2012 lists matters that may be included in the charter of a Guernsey Foundation and s.4(2) lists matters that may be included; ss.5–9 Foundations Act 2011 list matters that must be included in the charter of a Manx foundation; Dubai – art.19(2) and (3) of the DIFC Foundations Law 2018.

332. Sector 16 paras. 2(1) and (2), s.17 and s.18 of the PGR.

- Section 4(b) and s.10(1) of the Foundations Act 2011 state that a Manx foundation must have a set of 'rules' which are required to contain those matters listed in ss.10 through 13 but may contain the additional information set out in ss.14, 15 and 17 and, according to s.18, other internal rules the founder deems appropriate, usually administrative, investment and dispositive provisions.
- Art.20(1) of the DIFC Foundations Law 2018 in Dubai states that the 'by-laws' must set out the function of the Council and the procedures for removal and replacement, decision-making powers, remuneration and voluntary winding-up; Art 20(2) contains a list of matters that may be included in the by-laws such as the dispositive provisions and investments.

The regulations of a foundation (or its articles, by-laws or rules) contain administrative and dispositive provisions. They may contain details of matters that relate to the management of the assets of the foundation when such matters are not dealt with in the charter. But they almost always contain provisions as to how such assets should be distributed to the beneficiaries. The dispositive provisions contain the identities of the beneficiaries and the nature and extent of the benefits to be awarded to each of them. Alternatively, they confer discretionary dispositive powers upon, for example, the foundation council, or the founder or some other person to select deserving beneficiaries from the identified class. Specimen regulations (articles, by-laws or rules) of a typical foundation can be found in Appendix 31.

The regulations may be amended according to the foundation legislation, the provisions of the charter or the regulations themselves.

Task 11.2

Review the foundation legislation enacted in the jurisdiction where you work or have a substantial connection. If that jurisdiction does not provide for foundations (such as Bermuda, the BVI, Hong Kong or Singapore and others), review the online version of the Foundations (Jersey) Law Consolidated Edition or the Bahamian Foundations Act 2004 or the Dubai Foundation Law 2018.

i. Establish the prescribed matters that must be included in the charter, together with the optional extras.

ii. Review the same foundation legislation to establish the ancillary matters that may be relegated to the ancillary regulations (of a Jersey foundation) or articles (of a Bahamian foundation) or by-laws of a Dubai foundation.

iii. Try to get hold of specimen regulations (articles or rules) of a foundation under the management of your firm. Consider the matters referred to: do they contain dispositive provisions? If so, are these fixed interest or discretionary rights?

iv If you work in the Cayman Islands, review the specimen memorandum and articles of association of a foundation company contained in Schedule 2 of the Foundation Companies Law 2017.

The charter is often a public document, which provides the basic structure of a foundation. A third party dealing with a foundation may find that it is rather uninformative. For those practitioners who manage foundations, the charter must be read in conjunction with the foundation legislation and ancillary regulations (articles, by-laws or rules) that remain private and confidential.

6. Reserved rights of founder

The charter may include express provisions that reserve or confer rights and/or powers upon the founder. Alternatively, such rights and powers may be conferred by the regulations (articles, by-laws or rules) made under the authority of the charter. For example, the founder may reserve the administrative power to determine or influence how foundation assets are invested, or the dispositive power to determine or influence how foundation assets are to be distributed to beneficiaries.

Accordingly, the founder does not have to surrender complete control over the assets endowed upon the foundation. Even though the founder has transferred legal title of assets to the foundation by way of endowment – and even though the foundation has a council whose usual duty is to manage the foundation to achieve its stated objectives – the founder may reserve rights to dictate or control the way the assets are managed and/or distributed. The reservation of rights by the founder in this way does not cause the foundation to be a 'sham' as it does under common law equitable principles relating to trusts.

The precise nature of the powers conferred upon the founder depends upon the specific provisions of the charter, or regulations (articles, by-laws or rules) made under the charter, of the foundation under scrutiny. For example, Article 18 of the Foundations (Jersey) Law 2009 Revised Edition states:

(1) A founder of a foundation has such rights (if any) in respect of the foundation and its assets as are provided for in its charter and regulations.
(2) Any rights a founder of a foundation may have in respect of the foundation and its assets may be assigned to some other person if the charter or regulations of the foundation so provide.
(3) Where a founder has rights in respect of the foundation or its assets…and the founder dies…those rights vest in the guardian unless its charter or regulations provide otherwise.

The Bahamian foundation legislation contains similar provisions in so far as s.6(2) of the Foundations Act 2004 states that the charter may include provisions 'for the reservation of rights or powers to the founder'. For Liechtenstein foundations, s.11 of the PGR permits the founder to be appointed as the 'controlling body', with powers to control the way in which the council manages and distributes foundation assets. Similar provisions exist in Panama, where the legislation expressly confirms that a founder may reserve certain rights and powers, such as the power to revoke the foundation, remove council members and appoint replacements etc. as well as for the founder to be appointed as a council member, a protector and/or member of a supervisory body.

Section 29(1) of the Foundations Act 2011 states that a founder of a Manx foundation has 'such rights (if any) in respect of the foundation and its assets as are provided for in the foundation rules'. According to s.11 of the Foundations (Guernsey) Law 2012 a founder may reserve rights to amend, revoke, vary or terminate the foundation, which powers are restricted to the duration of the founder's life or 50 years. Similar legislation has been passed in Dubai in respect of which see Art 26 DIFC Foundations Law 2018.

Section 7(1) of the Foundation Companies Law of the Cayman Islands states that:

A foundation company's constitution may, as well as providing for its management by directors … give rights, powers and duties of any type to members, directors, officers, supervisors, founders or others concerning the foundation company.

The founder's rights and powers, if any, are typically assignable, i.e. the founder may assign or transfer their rights to a third party of their own choosing. For example, s.9(2) of the Foundations Act 2004 of the Bahamas states that:

The founder may, in the foundation charter or by instrument in writing, assign or transfer any or all of his rights, powers and obligations under the Act, the charter and the articles to such person as the founder in his absolute discretion shall determine.

The ability of the founder to assign or transfer rights and powers is invaluable in circumstances where the founder, for the purpose of establishing a foundation, is a service provider acting as nominee of the true founder or client, in which case such powers that are reserved or conferred upon the nominee founder can be assigned to the client or person providing the endowment.

These reserved powers allow the founder considerably more authority over the management of a foundation than a settlor of a trust may have over the management of a trust. Nonetheless, the exercise of these reserved powers must generally be implemented through resolutions of the foundation council and not directly. This is because the assets do not actually belong to the founder but to the foundation, and so the founder must give an instruction to the council or officers for them to implement in the manner stated in the charter or regulations.

7. Foundation governance: The council

7.1 Statutory requirements

It is a statutory requirement of foundation legislation that a foundation must have a council. An exception to this statutory rule exists in the Bahamas where, in lieu of a council, a Bahamian foundation may have an officer and a foundation agent or secretary instead.[333] In the Cayman Islands a foundation company has a board of directors and a 'qualified person' as company secretary.[334]

The council manages the assets of the foundation and must ensure that it fulfils its purposes set out in the charter.[335] Where the purposes are to hold, invest, manage and, ultimately, to distribute family wealth, then the council is responsible for seeing that such objectives are achieved.

333. Section 10 of the Foundations Act 2004 as amended requires a Bahamian foundation to have an officer; s.12 requires a foundation to have an agent or secretary, who is also an officer of the foundation (as defined); s.14 states that in circumstances where no officers are appointed, a foundation must have a council. Hereafter in this section, references to the foundation's council include the officers of a Bahamian foundation.
334. Section 7(1) and s.16(1) of the Foundation Companies Law 2017.
335. Liechtenstein – s.24(1) of the PGR; the Bahamas – ss.10–14 of the Foundations Act 2004; Jersey – Arts 20 and 21 Foundations (Jersey) Law 2009 Consolidated Revision. Isle of Man – s.24(1) of the Foundations Act 2011; Guernsey – s.19(4) of the Foundations (Guernsey) Law 2012; Dubai – art.22 of the DIFC Foundations Law 2018 in particular art.22(7) and art.22(8).

7.2 Appointment (and removal)

The first councillors are appointed by the founder in the charter or under powers granted in the charter. It is possible for the founder to be a member of the foundation council provided there are other members (as there is generally a prohibition against the founder being the sole member of the council, as this would make the foundation a mere nominee of the founder).[336]

A member of the council must satisfy the requirements of the legislation to meet the usual 'capacity' criteria – a person who is a minor, mentally incapacitated, an undischarged bankrupt or is otherwise disqualified under law cannot be a member of the council of a foundation.

A person appointed as a councillor continues until one of the events, laid down in the relevant legislation, charter or regulations, occurs. At that time, the councillor must vacate the office and a replacement is usually appointed by the person empowered by, and according to the procedure laid down in, the charter or regulations, and a notice has to be filed with the registrar. The court also has statutory power to remove and appoint replacement council members in the event of misconduct.

The appointment of a councillor is personal to that person and may not be assigned. Any liability to the foundation that they may have incurred in that capacity persists after they cease to be a councillor.

7.3 Duties of councillors

A councillor owes a duty to manage the assets of the foundation, in accordance with the constitution, to fulfil the objects of the foundation. This duty is typically owed to the foundation itself, not to the beneficiaries, either individually or as a class. This duty is similar to the duty owed by directors (to the company as a whole comprising the totality of shareholders, rather than to individual shareholders) and in contrast to the duty owed by a trustee (to the beneficiaries individually and as a class).

The powers of management of the foundation and administration of the foundation assets are fiduciary in nature and must be exercised with reasonable care and skill.[337] In other words:

- when exercising their powers, councillors are required to act honestly, in good faith and with a view to the best interests of the foundation, and
- councillors are required to exercise the care, diligence and skill that a reasonably prudent person would exercise in comparable circumstances.

The management and administration of the assets must be carried out in accordance with the procedures laid down in the constitutive documents. Procedures vary from foundation to foundation, but it is not uncommon for the charter to contain a provision that decision-making procedures are governed by provisions laid down

336. There is good reason why the power to manage the foundation assets should be clearly separate from the founder as it prevents any suggestion that the foundation assets are in reality those of the founder and can, therefore, be used or attached to meet his or her obligations, or to cause the foundation to be deemed to reside onshore for tax purposes.

337. Jersey – article 22(2) of the Foundations (Jersey) Law 2009 Consolidated Edition; Guernsey – s.19 of the Foundations (Guernsey) Law 2012; Isle of Man – s.24(2) of the Foundations Act 2011; the Bahamas – s.11 and s.15 of the Foundations Act 2004 as amended; Panama – art.18 and art. 22(2) of the Foundations Law no.25, 1995; Dubai – art.22(8) of the DIFC Foundations Law 2018.

in the regulations (articles or rules). The regulations then prescribe corporate-style procedures whenever the composition of the foundation council merits such formality. This usually means that decision making is by majority vote at properly convened meetings of the council, save in circumstances where a sole councillor is appointed, in which case decisions are made by way of written resolution. Regulations usually state that councillors may meet at such times and in such manner and in such places as they may determine, either from time to time or according to procedural rules set out in the regulations. A councillor may typically appoint an alternate to attend in his or her place. The council meeting may require advance notice to be served on each member, and for the meeting to be quorate or adjourned, and for a permanent record of the proceedings to be maintained in the form of minutes. Meetings may be held by telephone or electronic means. Specimen minutes of a meeting of the council and written resolutions are illustrated in Appendix 32.

The minutes of the meetings and copies of all written resolutions are confidential and are not open to public inspection. But, on receiving a written request, the councillors may be obliged to provide details to a supervisory person and to a beneficiary of full age. The information sought can relate to all matters affecting the foundation and its administration. In addition, before entering into a transaction, for example, when investing foundation funds, the other party may require evidence of the authority of the foundation council to carry out such transaction and may require a certified copy of the resolution to show that the proposed transaction is a legitimate act of the foundation.

The duties imposed upon the directors of a Cayman Islands foundation company are set out in its constitution rather than by legislation: s.7 of the Law. In order to illustrate what this may look like you are referred to arts 5.6–5.9 of the specimen articles found in Sch.2 of the Foundation Companies Law 2017.

7.4 Liability and exemption from liability

A councillor must do all that is necessary to properly administer the foundation and achieve its objects. In particular, a councillor must manage the assets with proper care and authorise a distribution to a beneficiary only in accordance with any relevant provisions in the charter or regulations. Council members incur personal liability for loss caused by their misconduct and breach of duty. Nonetheless, the charter or regulations may include an exoneration clause that exempts a councillor from liability for honest errors or mistakes.[338] Councillors may also be indemnified against all expenses and other costs where they acted honestly and in good faith.

7.5 Council and the residence of a foundation for tax purposes

Taxes may be imposed upon a foundation by the revenue authority of the state where the foundation is deemed to reside for tax purposes. The place of residence of a foundation is sometimes difficult to determine as judicial decisions on the subject are almost non-existent. The nearest comparison is to companies – a company is deemed to reside for tax purposes in the state where it is incorporated or the state where its central management and control are exercised. Accordingly, in order to achieve the desired tax advantages, it is essential for the place of residence of a foundation

338. Liechtenstein – s.24(6) of the PGR; the Bahamas – s.11(3) applies unless excluded by the provisions in the articles under s.7(2) of the Foundations Act 2004; Jersey – art.24(1) and (2) of the Foundations (Jersey) Law 2009 Consolidated Edition; s.28(1), (3) and (4) of the Foundations (Guernsey) Law 2012; Isle of Man – s.26 of the Foundations Act 2011 art.25(2) DIFC Foundations Law 2048. For a specimen exonerations clause, see Appendix 31, Regulation 4.4.

to be offshore in the state where it is registered, rather than in the state where the founder is resident, as this will clearly have adverse tax consequences. This is achieved by ensuring that the councillor(s), or a majority of them, reside in and manage the foundation from an offshore nil- or low-tax jurisdiction.

8. Further governance: the protector, guardian or supervisory body

Most modern asset-holding or trading entities or vehicles separate, in some way, ownership and control. Control of day-to-day operational administration is delegated to a body of managers; ownership of the vehicle is held by investors. Certain checks and balances must therefore be put in place to ensure the managers do not abuse their position at the expense of the owners of the structure. The owners, or representatives on their behalf, are conferred with powers of oversight and supervision in order to ensure that the managers perform their duties in a proper manner.

- Companies: the shareholders appoint the board of directors and have the power (but not the duty) to supervise them and, if necessary, remove them and collectively bring a lawsuit for misfeasance.
- Trusts: the beneficiaries have equitable rights to enforce the trust, which include the right to supervise trustees and, in the event of a breach, any one or more of their number may bring a lawsuit to remove a trustee and recover compensation. For purpose trusts, the checks and balances are provided by the enforcer.
- Limited partnerships: the operational management of the limited partnership is undertaken by the general partner(s), while the limited partners have the power to supervise and, if necessary, collectively to bring a lawsuit against the general partner(s) for mismanagement.

Similar checks and balances are anticipated or required for foundations. Because a foundation does not have owners in the form of shareholders, the checks and balances cannot, however, be provided by them; nor are they provided by the foundation's beneficiaries, who may not have rights of supervision and oversight. Foundation legislation and/or typical express provisions found in the charter provide for the appointment of a controlling body, or a guardian or protector with powers of oversight and supervision. Some examples follow.

The Liechtenstein legislation, which is used as a basic model by other jurisdictions, allows for the creation of a 'controlling body'. This is not a mandatory requirement, but an optional extra.[339] The controlling body must be independent from the foundation and its council and consists of one or more persons or entities, which may include the founder. This controlling body, when one has been appointed in the constitutional documents, is under a duty to ensure that the assets are managed and distributed in accordance with the purposes or objects of the foundation as set out in the charter.[340] In the event that the controlling body believes that the assets have been mismanaged or distributed in breach of the terms of the foundation, the body must notify the beneficiaries and consult the court. Accordingly, the role of the controlling body is one of oversight: it must supervise the foundation council to ensure it conforms to the purposes and objects of the foundation. It is similar to the position of an enforcer of a purpose trust, and similar, but not identical, to that of a protector in trust practice.

339. Article 522 s.11 of the PGR.
340. Section 11(4) of the PGR.

A similar role is fulfilled by a guardian of a Jersey foundation. In Jersey, however, the office of a guardian is a mandatory requirement.[341] Article 14 Foundations (Jersey) Law Consolidated Revision states that the regulations of the foundation must contain provisions for the initial appointment, and possible removal and replacement, of the guardian. The statutory duties of the guardian are imposed by art.14(4), namely, to supervise the council and ensure it carries out its functions correctly and in accordance with the constitutive documents. If it does not, the guardian has legal standing to issue proceedings in court.

In Guernsey, a foundation is required to have a guardian but only in circumstances where its purposes include non-human or disenfranchised beneficiaries.[342] Disenfranchised beneficiaries are, according to s.33 of the Foundations (Guernsey) Law 2012, those beneficiaries who are not entitled to accounts and information about the foundation. It is anticipated that beneficiaries who are entitled to accounts, etc., can adequately supervise the council, making a further level of governance superfluous. When appointed, the guardian has a supervision and oversight role and, being a so-called 'participant', may issue legal proceedings for mismanagement.

Dubai follows the Guernsey model insofar as Art 23 DIFC Foundation Law 2018 states that a guardian must be appointed when the foundation has charitable or non-human objects, but is otherwise optional. Art 23(7) confirms 'The Guardian must take reasonable steps to ensure that the council caries out it's functions' and Art 23(8) 'may require the council to account to the Guardian'.

Bahamian foundation legislation follows the Liechtenstein model in that the additional checks and balances over the council are optional rather than a mandatory requirement. Section 6(2) of the Foundations Act 2004 states that the charter may, if so desired by its architect, the founder, contain provisions:

(d) *for the appointment of … supervisory persons (including but not limited to a protector or committee of protectors) for the maintenance of the objects of the foundation and their relationship to the officers and the foundation council … and*

(e) *specifying the duties, functions, powers and rights to remuneration of a protector and committee of protectors, their relationship to the officers and the foundation council and how they shall be appointed and removed and how they shall conduct themselves whilst in office.*

Panamanian foundation legislation provides for the optional appointment of a protector, committee of protectors or supervisory body.[343] The Isle of Man refers to these additional supervisory officers as 'enforcers', but they are not mandatory.[344]

According to s.8(2) of the Foundation Companies Act 2017, when a Cayman Islands foundation company does not have members it must have a 'supervisor'. A supervisor has all the powers usually conferred upon shareholders to receive accounts and information, the right to attend and vote at general meetings of the company and, thus, supervise the management of the business of the foundation company conducted by the board. The specific powers and duties of a Cayman supervisor are set out in the company's constitutive documents: see art.6 of the Specimen Articles found in sch.2 of the Foundation Companies Act 2017.

341. Article 13 of the Foundations (Jersey) Law 2009 Consolidated Revision.
342. Section 10 of the Foundations (Guernsey) Law 2012.
343. Articles 19–24 of the Foundations Law No.25 of 1995.
344. Section 14 of the Foundations Act 2011.

In summary, what is the function of the controlling body, guardian or protector, as the case may be, depending on jurisdiction-specific legislation, and foundation-specific constitutive documents? It is an independent person or body of persons that exists for oversight purposes to ensure that the council fulfils its duties and complies with the requirement to manage and distribute the foundation assets in accordance with the wishes of the founder as expressed in the constitutive documents.

The controlling body, guardian, and protector may be under a *duty* to supervise the council and enforce the terms of the foundation in the event of mismanagement (as in Jersey and, when there exists non-human or disenfranchised beneficiaries, in Guernsey and Dubai). Alternatively, they may have a *power* to supervise, etc. (as, when appointed in the constitutive documents, in jurisdictions such as Liechtenstein, the Bahamas, Isle of Man and Panama).

The practice and procedures that govern the exercise of the relevant entities' powers are set out in the charter or regulations. For example, members of the first controlling body, the guardian and protector, are usually appointed by the founder. When there is more than one person, they must act unanimously or by majority vote. A member, protector or guardian may be a natural person or legal entity. The appointment is personal and may not be assigned or delegated. The appointment of a sole beneficiary or a sole councillor as guardian or protector is prohibited and therefore gives the role a degree of independence. There is no reason why the founder should not be the guardian or protector in much the same way as the founder may equally be one of the members of the council. This, together with their retained powers, allows the founder to exert considerable influence over the affairs of the foundation far beyond those of a settlor over the affairs of a trust. It must be remembered, however, that such concentrated powers may influence where the foundation is deemed to reside for tax purposes, and have adverse tax consequences. For this reason the guardian and protector should ideally be completely separate and independent parties, and are usually an offshore service provider.

9. The beneficiaries

9.1 Who are the beneficiaries of a foundation?

Note that the objects of a foundation, or the purposes it must fulfil, are set out in its constitutive documents. It may be a charitable purpose, but most foundations established offshore exist to hold and manage family wealth. If the object or purpose set out in the charter is to hold and manage family wealth, then who or what are the beneficiaries?

The beneficiaries are persons to whom the foundation, by its charter or regulations, may distribute foundation assets.[345] They may be designated as beneficiaries by name

345. The Bahamas – s.2 of the Foundations Act 2004 as amended defines a beneficiary as 'a person designated as such in the charter or articles'; Jersey – s.1(1) of the Foundations (Jersey) Law 2009 Consolidated Edition defines a beneficiary as 'a person who is or is a member of a class of persons that is specified in the charter or has been determined in accordance with the charter or regulations of a foundation for the purpose of those objects'; Liechtenstein – s.5(1) of the PGR states that beneficiaries are 'persons or legal entities that…derive or may derive an economic benefit from the foundation' and s.5(2) categorises beneficiaries as: (1) the entitled beneficiaries (who by s.6(1) are named and have a specified and determined benefit), (2) the prospective beneficiaries (who by s.6(2) are named and have a contingent interest to a specified and determined benefit on the occurrence of a specified event), (3) the discretionary beneficiaries (who, by s.7, are members of a class of persons that benefit upon the exercise of a discretionary power), and (4) the ultimate beneficiaries (who, by s.8, receive a benefit when the foundation is dissolved); Guernsey – s.31 of the Foundations (Guernsey) Law 2014 'a person who may benefit from a foundation'; Isle of Man – s.3 of the Foundations Act 2011; Cayman Islands – according to s.2(1) of the Foundation Companies Law 2017 a '"beneficiary" is a person who will, or may, benefit from the foundation company carrying out its objects' and Art 7.1 of Schedule 2 of the FCL confers a power upon the founder, exercisable by notice to the foundation company, to designate persons as beneficiaries; Dubai – art.29 of the DIFC Foundations Law 2018 call the objects of a foundation 'Qualified Recipients' to whom distributions may be made and may have fixed entitlement or discretionary.

or described by reference to a relationship to a person such as the founder, or by reference to an identifiable class of persons.

The founder may be a beneficiary and may even be the sole beneficiary during their lifetime, provided that the charter or regulations designate or otherwise provide for one or more beneficiaries after the founder's death.

The charter or regulations may contain a provision whereby additional beneficiaries may be added, or existing beneficiaries excluded. The power to amend the class of beneficiaries in this way is typically reserved by the founder or conferred upon the council. The exercise of such power may require the additional consent of the protector or guardian.

Finally, there is nothing to prevent a foundation from being a beneficiary of a trust or another foundation. But a foundation cannot form a group of interlinked connected foundations nor can a foundation have a subsidiary or any other form of sub-foundation. Such an arrangement is impossible as a foundation does not have share capital to represent ownership of the entity – foundations do not have owners in the traditional sense and so cannot own, or be owned by, another foundation.

9.2 Duty to distribute or discretionary dispositive powers?

The dispositive provisions may be contained in the charter. But, as this is a public document, they are usually found in the regulations, articles or rules made under the authority of the charter.

A dispositive duty may be imposed upon the council when beneficiaries are given a fixed right to receive specified and determined distributions in the constitutive documents. But this is unusual. The terms of a private foundation typically confer a discretionary dispositive power upon the council or, alternatively, such power could be reserved by the founder. In addition, the exercise of such power could be made subject to an express power of approved or veto conferred upon the guardian or protector.

In other words, the regulations, articles or rules may:

- give an identified beneficiary or beneficiaries the right to a pre-determined distribution(s)
- establish a condition precedent that must occur before an identified beneficiary or beneficiaries obtain the right to receive a distribution (such as attaining 25 years of age or marrying)
- establish a class of persons and confer a discretionary power upon the founder or the council (or the council after the founder's death) to decide who (from the class) gets what and when
- confer upon the founder or council a power to amend the class, by adding or excluding beneficiaries
- make the exercise of the dispositive discretion subject to the requirement to obtain the consent of some other person, such as the founder, or the guardian or protector (or the guardian/protector after the founder's death), or
- contain an ultimate default beneficiary to receive the surplus foundation assets when it is wound-up.

9.3 The rights of beneficiaries

Beneficiaries have no interest in the foundation's assets. They are not shareholders with legal rights and do not have equitable ownership rights over the assets like beneficiaries of a trust.

Save as appears below, the beneficiaries are not specifically owed any statutory or implied duties by the foundation or the council or others appointed by the constitutive documents, such as the guardian or protector.[346] The duties of the council, officers, guardian and protector to comply with the foundation legislation and the constitutive documents are owed to the foundation, not the beneficiaries (although, as indicated below, beneficiaries do have legal standing to bring a lawsuit for breach). In the absence of ownership rights and implied equitable rights, a beneficiary of a foundation is in a less powerful position than a beneficiary under a trust.

In the unusual circumstances where a beneficiary is given a fixed right to receive a pre-determined distribution by the constitutive documents, and such distribution is not made, the beneficiary can apply to the court for an order that the foundation, by its council, comply with the express provisions.[347] In practice, most foundations established in the offshore centres establish a class of potential beneficiaries and distributions are subject to the exercise of a discretionary dispositive power, and so the beneficiaries cannot seek an order to compel the foundation to make a distribution.

The beneficiaries have no right or power to influence the way the foundation assets are managed. The foundation must be managed by the council in a manner that satisfies the objects or purposes of the foundation and complies with its constitutive documents. In the event that the council is in breach of its duty or fails to manage the foundation in accordance with the constitutive documents, a beneficiary can apply for the removal and replacement of the councillor(s) or officers.[348]

But how would the beneficiaries know that a breach had occurred? The beneficiaries are typically given limited statutory rights to information, such as copies of the charter,

346. Article 25(1) of the Foundations (Jersey) Law 2009 Consolidated Edition; Liechtenstein legislation does not contain a similar provision, accordingly the constitutive documents may impose express fiduciary duties and rights but this would be most unusual; the Bahamas – according to s.11(3) of the Foundations Act 2004, an officer and the council of a Bahamian foundation must exercise their powers with care and skill (but are not subject to a statutory fiduciary duty) and such duty of care and skill is owed to the foundation, not the beneficiaries; similar provisions apply in Guernsey according to s.19 of the Foundations (Guernsey) Law 2012 and s.24 of the Foundations Act 2011 in the Isle of Man. Article 7.2 of the specimen Articles in Sch.2 of the Foundation Companies Act 2017 of the Cayman Islands states 'a beneficiary does not, as such, have any rights, powers or interests in or against the foundation company , the founder, the directors, the supervisors or any property of the foundation company…' ; In Dubai, art.29(3) states: 'A Qualified Recipient has no right to or interest in the property of the foundation other than a right to payment and amounts which arises by virtue of the terms of the by-laws.'

347. Liechtenstein – under s.9(4) of the PGR the beneficiaries' dispositive rights can be enforced in 'special non-contentious civil proceedings; Jersey – under art.25(2) of the Foundations (Jersey) Law 2014 Revision 'if a beneficiary under a foundation becomes entitled to a benefit in accordance with the charter or regulations and the benefit is not provided the beneficiary may seek an order of the Royal Court ordering the foundation to provide the benefit'; a similar provision exists in the Isle of Man – s.30(1) of the Foundations Act 2011; the Bahamas – under s.10(11) of the Foundations Act 2004 when an officer of a foundation fails to comply with their duties under the charter or articles, and under s.13(12) when the council fails to comply with its duties under the charter or articles, a beneficiary can apply to the court for the removal of such officer or councils member(s) and for their replacement with fit and proper persons who will comply with such provisions; Dubai – art.29 of the DIFC Foundation Law 2018.

348. Jersey – a beneficiary is conferred with 'standing' under art.1 to bring a lawsuit before the Royal Court under Part 5, arts 43–51 to compel the foundation or its council to comply with the requirements of the foundation legislation and its constitutive documents; the Bahamas – s.10(11) of the Foundations Act 2004; s.35 of the PGR allows a 'foundation participant' to apply to the court to enforce the legislation or the terms of the charter in the event of a breach – and by s.3 a foundation participant includes the beneficiaries, including entitled, prospective, discretionary and ultimate beneficiaries; in Guernsey a 'participant' as defined in s.30 of the Foundations (Guernsey) Law 2012 may bring a lawsuit to compel the foundation or its council to comply with their requirements and duties; by s.51 of the Foundations Act 2011, 'any person with sufficient interest in respect of a [Manx] foundation, may apply to the High Court' for similar relief; Cayman Islands – s.11 of the FCL 2017 deals with dispute resolution and authorises any one of more of the directors, officers, interested parties, or beneficiaries (to the extent the beneficiaries have rights) to bring legal proceedings for damages for loss caused by a breach of duty. Dubai – art.39 confers legal standing upon any Person with Sufficient Interest to bring legal proceedings against councillors or other persons who have breached an obligation imposed upon them for compensation or to order compliance and Art 39(4) leaves it to the court to determine whether any particular person satisfies this definition which prima facie includes (a) the Founder, (b) Contributor, (c) a member of the Council, (d) a Guardian, (e) Registered Agent, (f) person appointed in the by-laws, like an enforcer, (g) a Qualified Recipient or beneficiaries.

regulations and any amendments to them, audit reports (if any) and other financial statements and minutes of the foundation council.[349]

10. Capacity of foundations

Once formed, a foundation has the same capacity, rights and privileges as a natural person of full legal capacity. This means that any act or transaction that is not covered by the objects of the foundation and would otherwise be *ultra vires* cannot be challenged. A councillor, beneficiary or supervisory person such as the guardian or protector may bring a lawsuit to restrain a foundation from carrying out an *ultra vires* act or transaction, but cannot bring any proceedings to retract an act already performed or transaction already entered into.

In addition, the validity of any action of the foundation council cannot be challenged on the grounds of lack of capacity by reason of any provisions in the charter or regulations. Clearly a councillor or supervisory person must observe any limitation on their powers set out in the constitutive documents. But no act, transaction or disposition of property shall be invalid on the grounds that the council acted *ultra vires*, that is, beyond their powers. Nonetheless, their lack of capacity may again be asserted in a lawsuit brought by another member of the council, a beneficiary or supervisory person to restrain or prohibit the performance of an unauthorised act.

Accordingly, persons dealing with a foundation may assume that the councillors are acting within and in accordance with their powers as set out in the charter and/or regulations. These powers are typically broadly expressed in any event, such as 'to do anything that a natural person can do to achieve the foundation's objects'.

A transaction entered into by a foundation is made as if between natural persons. If a contract is required to be made in writing it must be in writing and executed by councillor(s) or other officers in accordance with the constitutive documents. If a document is required to be made by deed or under seal it must be made by an instrument that is sealed with the seal of the foundation (if it has one) or at least executed for and on behalf of the foundation with an express declaration in the execution clause that the document is intended to be a deed.

11. Termination

Like a company, a foundation has perpetual succession and can endure forever until it is formally dissolved.[350]

The practice and procedure in relation to the winding-up and dissolution of a foundation is more or less the same as for a company. So, for example, a foundation can be compulsorily wound-up by court order if it is insolvent or if it is just and

349. The Bahamas – s.41 of the Foundations Act 2004; Liechtenstein – ss.9 and 11 of the PGR; Jersey – art.26 of the Foundations (Jersey) Law 2014 Revision; s.21 of the Foundations (Guernsey) Law 2012 (but s.32 distinguishes the rights of enfranchised beneficiaries from disenfranchised beneficiaries under s.32); Isle of Man – s.43 of the Foundations Act 2011; Dubai – art.33 states that accounts must be signed by the council and rendered to the Regulated Agents if none, to the Registrar.

350. As regards dissolution, see: the Bahamas – ss.50–55 of the Foundations Act 2004; Jersey – arts 53 and 54 of the Foundations (Jersey) Law 2009 Consolidated Revision modify insolvency legislation to permit winding-up and art.56 permits regulations to be made regarding, inter alia, dissolution; Liechtenstein - s.39-41 of the PGR; Panama – art.25 of the Foundations Law 1995; Guernsey – Part III, Second Schedule, of the Foundations (Guernsey) Law 2012; Isle of Man – s.16 and s.63 of the Foundations Act 2011; Cayman Islands – foundation companies are dissolved in accordance with the Companies Law and note art 15 of the specimen articles in sch.2 of the FCL 2017, which confers a power upon the founder to voluntarily wind up the foundation company by notice to its registered office, whereupon the person nominated (or the directors) becomes the liquidator; Dubai – Part 9 arts 67–72 DIFC Foundations Law 2018.

equitable for the court to do so. It cannot be voluntarily wound up by members, however, as it doesn't have any in the corporate sense. Instead, a foundation may, by its charter, be made expressly revocable by the founder. Alternatively, a foundation may be subject to other express provisions in the charter, making it subject to a term of years or automatically dissolving on the occurrence of a specified event. In circumstances when the foundation is dissolved and assets still belong to the foundation, the charter should state how those assets should be dealt with. This is usually by a final disposition of property or, in default thereof, by way of a transfer to an ultimate default beneficiary.

In some jurisdictions the foundation legislation allows a foundation to migrate to or from another jurisdiction or transform itself into a foundation from another type of entity or structure.

12. Trusts or foundations: pros and cons

It can be seen from the above summary that a foundation can be used as a complex, family investment-holding and gift-making vehicle. Foundations can also be used as 'ownerless' vehicles to hold shares of an operating company or a private trust company or in wider commercial financing transactions. In other words, they can be used as an alternative to a trust, or a purpose trust. The question is: which is better, a foundation or a trust? The preliminary answer is that it should not be assumed automatically that one vehicle is better than the other. In a jurisdiction that offers both trusts and foundations, a choice can now be offered to a client. In doing so, the following characteristics of foundations may appeal.

- A private foundation is usually established by registration or incorporation of its constitutive documents. This means that once the process has been completed and the foundation is entered on the register, there is no doubt that the foundation exists as a separate legal entity. This is an advantage over trusts as, firstly, there is no need for clients to try to grasp the complex idea of 'three certainties' to create an 'equitable obligation' and, secondly, no risk that the foundation may be subsequently set aside as a 'sham'.
- A foundation exists with the sole expressed objective of holding and administering private wealth that has been endowed upon the foundation by the founder or other donors. The private nature of a foundation is emphasised by certain foundation legislation that prohibits the conduct of commercial activities.
- A private foundation is a separate legal entity managed by a council or officers whose duties and loyalty are owed to the foundation and not directly to the beneficiaries.
- Being based upon civil law concepts, there is no division in the ownership of foundation assets – no legal ownership in the hands of the council or officers and no equitable interest in the hands of the beneficiaries. The beneficiaries do not, therefore, have any proprietary rights in the foundation assets and are consequently less privileged than beneficiaries under a trust.
- A private foundation is designed to comply with the wishes and intentions of the founder, rather than to serve the interests of the beneficiaries.

Learning outcomes

By the end of this module you should:

- understand the origins and characteristics of a private foundation and be able to give a working definition
- be able (to explain how) to establish a foundation
- be aware of conflict of laws issues that could affect the validity of the endowment of assets to a foundation
- be familiar with the constitutive documents of a foundation and construe their provisions
- understand governance issues and how to manage a foundation and, in particular, appreciate the division of power between founder, foundation council and guardian/protector
- understand the legal position of the beneficiaries and be familiar with typical dispositive provisions usually found in the regulations, and
- be able to give objective advice to a HNWI client on the pros and cons of a foundation when compared with a trust.

Module 11:

Self-assessment questions

1. What is the origin of the foundation?
2. What is the main purpose or use of a modern offshore private foundation?
3. Define a private foundation.
4. Summarise the main characteristics of a foundation.
5. Compare and contrast a private foundation with a trust.
6. A foundation may be described as an 'incorporated trust'. Is this accurate?
7. Concisely describe how a foundation is established (in a jurisdiction of your choice).
8. Define an 'endowment'.
9. Analyse conflict of laws rules that apply by virtue of modern foundation legislation, such as, for example, that enacted in Jersey or the Bahamas, in relation to foreign spousal claims and foreign forced heirship rights.
10. Identify and describe the broad content of the constitutive documents of a foundation.
11. Is it lawful for the founder to reserve rights over foundation property, and if so, how? Describe typical reserved rights.
12. Describe the role of the council and identify typical powers conferred upon, and duties owed by, the council.
13. Explain how the exercise of the powers of a foundation may have tax consequences.
14. Explain the typical role of the supervisory body (otherwise known as the guardian, protector or enforcer, depending upon the jurisdiction of registration) of a foundation.
15. Identify types of beneficiaries of a foundation and describe the nature of their interest, if any, in the foundation assets.
16. How, if at all, can beneficiaries enforce their rights under a foundation?
17. In the event that the council mismanage the assets of the foundation, who has legal standing to issue legal proceedings against them?
18. How may the life of a foundation be brought to an end?

All Modules:

Answers to self-assessment questions

Module 1:

Self-Assessment Questions – Answers

1. There are a few alternative definitions in section 1: a trust is defined in The Hague Convention on the Law Applicable to Trusts, as well as in the trust legislation of certain jurisdictions such as the Crown Dependencies of Jersey and Guernsey. Additionally, the definition analysed in the course manual is that a trust is established by a settlor when the legal ownership of trust property is transferred to the trustee and equity compels the trustee to hold and manage such property, or distribute it to or for the benefit of the beneficiaries in strict accordance with the terms of the trust and the fiduciary duties imposed upon the trustee, so that such beneficiaries have equitable ownership therein (and any one or more of their number can compel the trustee to comply with the terms of the trust and, in certain circumstances, can trace and recover such property from third parties).

2. The settlor establishes a trust by transferring property to trustees (thereby constituting the trust) and setting out the terms upon which they must hold, manage and dispose of that property (creating the trust obligation). As soon as the trust has been created and constituted, the settlor's role in the traditional trust relationship disappears and he or she no longer retains ownership or power to manage the assets.

3. A settlor who is *sui juris* (namely over 18 years old, of sound mind and not an undischarged bankrupt) has capacity to create a trust. The law that determines the settlor's capacity is the *lex domicilii* according to common law conflict of laws principles, following ***Bodley Head Ltd v Flegon***, save in relation to real estate, where the *lex situs* governs. Because this could curtail the use of trusts for tax and forced heirship avoidance, according to modern offshore trust legislation the issue of capacity is governed by the law of the trust which, according to the principles of *professio juris*, is the law chosen by the settlor in the trust instrument.

4. The 'three certainties' are certainty of intention, subject matter and objects. A settlor creating a trust must manifest a clear intention to do so. If there is doubt, the trust fails. Furthermore, under *Rahman*, if a trust is 'made to appear what it is not' or 'the settlor does not honestly expect the trust to have legal effect', it will be struck down and declared void as a sham.

5. Some settlors are reluctant to create a trust, particularly a discretionary trust, because they lose control of the management of the assets held in the trust fund, investment and distributions. This is because, once established, the settlor transfers legal ownership in the trust property to the trustee and equitable ownership to the beneficiaries and retains no residual ownership interest or other rights personally over the trust assets.

The loss of control can be reduced by making the settlor a beneficiary (but this will probably have tax consequences) or, alternatively by:

- reserving special powers in the trust instrument, e.g. power of revocation, to remove or replace trustees, to direct the trustees to exercise their powers in a certain way or the power to veto any of the trustee's decisions
- by an advisory, non-binding letter of wishes, or
- by appointing a protector and conferring upon that person powers (such as those set out above) to control, influence and/or oversee or supervise the actions of the trustee.

6. The trustees hold the legal interest in the trust property and are required to manage and dispose of that property in accordance with:

   - the specific wishes of the settlor as expressed in the trust instrument, and
   - the general fiduciary duties and duty of care imposed upon them by law.

7. Legal ownership is tantamount to absolute ownership. A legal owner of property has rights of possession and enjoyment, the right to the income generated by the property and the right to dispose of it (by gift, sale, mortgage, lease, Will, etc.) These rights are *in rem* and so are enforceable against anyone in the world. Legal ownership is transferred from A to B (or, for our purposes, from S to T) by the prescribed method and procedure applicable to the particular item of property. For example, real estate is typically transferred by deed, movable chattels by delivery, money by cheque or wire transfer, stocks by stock transfer and intellectual property by assignment. See generally section 3.3.

8. Legal ownership of property represents absolute ownership. It entitles the legal owner to all the benefits of ownership, in particular possession and enjoyment of the property and its income. A legal owner can protect his or her ownership interest against a challenge by a third party, both physically and in a court of law. A legal interest is an interest *in rem* insofar as it is enforceable against anyone in the world (who may wish to steal, damage, trespass upon or challenge the legal owner's rights in or over the property). A legal owner must also bear the burden of property ownership – so, by way of example, he or she must pay for the cost of maintenance of the property, repair and insurance; he or she may be found liable if the property causes damage or loss; and he or she must pay all property taxes imposed on the property. An equitable ownership interest in property is carved out of the legal interest.

   A legal owner may create an equitable interest in the property that he or she owns in favour of another. This, in effect, divides the ownership horizontally. The legal owner retains legal title to the property and must bear all the burdens of property ownership set out above. However, he or she holds the property subject to the rights of the equitable owner. An equitable ownership interest in property usually entitles the beneficial owner to possession of and to enjoy the property or its income according to the terms of the interest, e.g. for life, upon marriage, at 25 years, etc. A person's equitable ownership interest in property is enforceable against the legal owner – it is said to operate *in personam*. Accordingly, the equitable owner can force the legal owner to observe the terms of his or her equitable interest. Furthermore, the equitable owner may enforce his or her rights against certain third parties on an *in rem* basis in certain circumstances. An equitable owner can enforce his or her equitable ownership rights against any third party except a *bona fide* purchaser of the legal interest who purchases the trust property honestly without having actual or constructive notice of the existence of the equitable interest behind it (a so-called 'bfp'). See Module 1 section 5.2. It is this horizontal division of ownership, between legal and equitable ownership, that is not recognised in civil law jurisdictions.

9. When the settlor transfers property to an offshore trustee, conflict of laws questions arise concerning which system of law should determine the issues of the settlor's ownership of such property and capacity to transfer it to the trustee. There are alternatives: the *lex domicilii*, the *lex situs* or the *professio juris*, namely the law of the trust. Modern conflict of laws legislation states that all such issues should be governed the law of the trust unless they relate to:

   - the ownership of property that it is alleged the settlor did not own in the first place – this issue is governed by the *lex situs* for real estate and personal chattels
   - the lack of capacity of a corporate transferor – this issue is governed by the *lex domicilii*
   - the transfer of real estate – governed by the *lex situs*, and
   - a transfer made by the Will of a deceased person – governed by the *lex domicilii.*

10. Trustees are required:

   - to hold the legal title to the property of the trust fund upon trust
   - to manage and distribute the trust property strictly in accordance with the terms of the trust instrument
   - to exercise their powers over the trust property in the best interests of the beneficiaries, in particular to preserve and protect its value, and
   - to comply with the fiduciary nature of their duties by complying with the rules listed in the answer to SAQ 11 below (see also Module 1 Section 4).

11. A `fiduciary' is someone who acts on behalf of another (the principal) in a particular matter or transaction. A fiduciary has power or authority that they may exercise to affect the legal position of the principal. Accordingly, because of potential possibility for abuse, the law has imposed a number of onerous duties upon a fiduciary. These are duties implied by equity and are owed by a trustee to the beneficiaries of his trust. In particular, a trustee at all times must:

   - act honestly and in good faith and exercise his or her powers in the best interests of the beneficiaries
   - be loyal to the beneficiaries and transparent with his or her dealings relating to the trust and trust property
   - avoid conflicts of interests, so that he or she must not put themself in a position where their duty to the beneficiaries conflicts with their own self-interest or their duties to others
   - keep trust property separate from his or her own, maintain accurate records relating to trust property and be ready to produce accounts showing historical receipts and payments made from the trust fund
   - not profit, unless authorised, and
   - avoid self-dealing.

12. The rights can be described as follows.

    The beneficiaries' *in personam* equitable rights entitle them to compel the trustee to comply with the terms of the trust or, if the trustee has committed a breach of trust, to bring a lawsuit for compensation.

    The beneficiaries' *in rem* equitable rights entitle the beneficiaries to trace and recover the trust property when it has been transferred in breach of trust to a third party (provided the third party is not a 'bfp').

13. No, a trust is much more than a management contract for three principal reasons. First, the legal title to the trust property is vested in the trustees. The trustees therefore have full power to sell, mortgage, lease or gift the property to third parties. This is why equity imposes a strict fiduciary duty upon trustees to act at all times, and in all aspects, in accordance with the terms of the trust and in the best interests of the beneficiaries. There are no similar burdens impliedly imposed upon the parties to a commercial contract, whose simple obligation is to adhere to the terms agreed upon, no more, no less.

    Second, the terms of a trust are not created by the parties to it, i.e. the trustee and beneficiaries, but by the settlor. For instance, in an ordinary commercial contract such as a management agreement, the terms are negotiated and agreed upon between the parties to the contract – the manager of the property and the principal employer. Each have to give and receive some benefit or 'consideration' to form the bargain. The terms of a trust are, however, created by the settlor. The settlor sets out the terms upon which the trustees must hold, manage and dispose of the trust property in the trust instrument.

    Finally, a contract is typically enforceable only by the parties who are privy to it. If one party breaks the contract the innocent party may sue to enforce compliance or seek compensation for breach in a court of law. Under equitable principles, once a trust has been created the settlor no longer has the right to enforce the terms of the trust (unless such a power is specifically reserved or the settlor is also a beneficiary, in which case he or she can enforce the trust as a beneficiary, not in his or her capacity as settlor). The right to enforce the terms of the trust is conferred upon the beneficiaries, even though they have not given any consideration for their rights.

14. See sections 6.1 and 6.4 of this module of the course manual.

15. According to the principle in ***Cock v Cooke***, if it is clear from the terms of an *inter vivos* trust that if the trust is intended to take actual effect only upon the settlor's death, then it is a testamentary instrument and must be executed as a Will and the efficacy of the Will must be confirmed by way of a 'grant or probate' from the applicable probate court. In order to ascertain which probate court has jurisdiction over the Will of a deceased, you are referred to Module 8 section 2.

    It is often said that the Will must be admitted to probate. If it is not executed as a Will nor admitted to probate, the Will, and therefore the trusts contained therein, are invalid. The trust is void and of no effect. Modern trust legislation based on the Cayman Islands model (s.4 of the Trusts (Immediate Effect…) Law 1995) states that, unless the trust instrument is a Will, or is expressed to take effect only upon the settlor's death, it is presumed to be an *inter vivos* trust and takes immediate effect when the trust instrument is executed (and should not therefore be held to be a Will). This has the consequential effect of saving a settlor-directed trust created *inter vivos* from being declared an invalid Will in circumstances where it fails to comply with the Wills Act 1837 (or jurisdiction-specific equivalent).

Module 2:

Self-Assessment Questions – Answers

1. An effective offshore financial centre should ideally be a well-regulated, stable, democratic, nil-or low-tax separate jurisdiction with its own laws that cater for the requirements of foreign investors and specialising in the provision of wealth management services. See the list at section 1.1 of Module 2 of the course manual.

2. Meeting and advising prospective high-net-worth clients; responding, whether orally or in writing, to initial enquiries; and keeping existing clients' requirements under review.

3. Misrepresenting the trust concept by:

   - promising mechanisms for control in the client's favour that would put the trust at risk of being set aside as a sham
   - advising upon tax matters that are beyond the expertise of the adviser
   - reassuring potential clients that the trust is bullet-proof and able to withstand attack in all circumstances from creditors of the settlor, forced heirship, spousal and other claimants, and
   - stating that the trust relationship enjoys absolute secrecy, anonymity and confidentiality.

4. Trustees owe fiduciary duties and must always act in the best interests of the beneficiaries. They must be (and must be seen to be) loyal to the beneficiaries, dependable and trustworthy. They must not put themselves in a position where that duty and their own self-interest conflict. This means that a trustee must not allow the prospect of payment for their services to influence any of their actions or decisions. In other words, a trustee must not render services out of the desire to make a personal profit from their position. The starting point, therefore, is that a trustee must act gratuitously, free of charge. The fiduciary position of trustees implies two 'remuneration rules'. Trustees must:

   - act free of charge unless specifically authorised (by the settlor in the trust instrument or otherwise), and
   - turn over to the trust any unauthorised profit they make.
   -

5. Direct fees are those charges rendered for providing pure trustee services (usually an acceptance fee followed by annual trust service fees and any 'carve-out' additional fees for unexpected work). Indirect fees are profits earned by virtue of the trustee's position (such as director's fees, fees for company administration, property management fees, brokerage and other commissions, etc., charged by associated entities related to the corporate trustee).

6. A corporate trustee may be authorised to charge remuneration by:
   - the trust instrument (the most common method)
   - agreement with all the beneficiaries, provided they are *sui juris*

- by statute, but usually only if the court appoints the trustee in the first place, and
- by the court under its residual (inherent) powers over trusts.

7. A sample of a modern charging clause is contained in clause 9 (in particular sub-clauses 9.1, 9.4 and 9.5) of the specimen trust instrument found in Appendix 1 of your online study resources. Specimen published terms and conditions referred to in sub-clause 9.1 above can be found in Appendix 2. See also section 2.1.1 of Module 2 of the course manual and the result of your independent learning required by Task 2.4.

8. Matters that prospective clients should consider when comparing fee quotations include:

   - most importantly, matters other than simply the amount of the fees charged, such as the pedigree and reputation of the trust company, and
   - whether the fee quotations cover similar services, such as:
     – investment advice
     – the cost of incorporating and providing the officers of an underlying company, and
     – the provision of periodic accounts.

9. The acceptance fee may be lowered; a discount may be offered on the first year's annual fee; and the annual fee may be reduced in future years. Some settlors prefer a fixed fee to an *ad valorem* fee (percentage of assets under administration).

10. Continuity, expertise and experience, impartiality, sophisticated systems and procedures, a solid capital base and international resources.

11. The settlor appoints the initial trustee by the trust instrument – the trustee is a party and must therefore execute the document confirming their consensual acceptance of the trust. A testamentary trust is created by Will and becomes effective upon the testator's death. A testamentary trust created by Will is executed by the testator and not by the trustee. So, when the testator dies and the trust takes effect, the trustee must decide to accept the trusteeship or reject it. It the trustee selected in the deceased's Will wishes to reject the trusteeship, the trustee may decline to act by 'disclaiming', typically by deed, before doing any act indicative of accepting office. See the specimen Deed of Disclaimer in Appendix 3 of your online study resources.

12. A trustee may voluntarily retire as trustee of a trust under statutory provisions based upon s.39 of the Trustee Act 1925 (typically used as a model by most offshore jurisdictions), provided at least two co-trustees (if individual persons) or a trust company remain in office following such retirement. The statutory rules relating to retirement are designed to ensure there is always a trustee in place ready, willing and able to act as trustee. If there is going to be a change of trustee, the transition from outgoing to incoming trustee must ensure minimal disturbance for the management of the trust property.

13. Trustees are usually compulsorily removed from office by the exercise of an express power contained in the trust instrument wherein a person (usually the settlor or protector) is given an express power to (a) remove existing trustees, and (b) appoint new, replacement trustees. The exercise of such power does not require the person to establish reasons or give any sort of justification. See clause 10 of the specimen trust instrument in Appendix 1 of your online study resources.

In the absence of an express clause in the trust instrument, a statutory power to remove trustees is conferred by trust legislation typically based upon s.36 of the Trustee Act 1925 which states that the person given the power by the trust instrument to appoint new or additional trustees may also remove an existing trustee but only in circumstances when such person can establish statutory grounds, namely that the existing trustee is either: (a) dead or, if a corporate, has been dissolved; (b) remains out of the jurisdiction of the governing law of the trust for more than 12 months; (c) is unfit, unwilling or incapable of acting as trustee; or (d) desires to be discharged. In the absence of an express power, or statutory grounds being established, a trustee cannot lawfully be removed.

14. Prior to, or upon taking on, an existing trust, the new trustee should: (a) become familiar with the terms of the trust and the trust fund; (b) conduct an AML review to investigate the identity and background of the settlor and principal beneficiaries, the provenance of the trust funds and purpose of the trust in just the same way as if a new trust were being established (covered in the STEP Diploma Advanced Certificate no.4 on Tax and Compliance); (c) conduct a compliance review to establish the tax residence of the settlor and principal beneficiaries for FATCA and CRS purposes (also covered in Advanced Certificate no. 4); and (d) conduct an investment review to determine whether the trust fund is invested in a suitable and appropriate manner (covered in the STEP Advanced Certificate no. 3 on Investing and Managing the Trust Fund).

15. The compulsory removal of an existing trustee is typically carried out by the person who has been conferred with the express power to remove and replace trustees. The trust instrument typically stipulates that such power of removal of the trustee and the power to appoint a replacement are exercisable by deed – see clause 10 of the specimen trust instrument in Appendix 1. In these circumstances, both the removal and the replacement of the old with a new trustee is typically recorded in a Deed of Removal [Retirement] and Appointment of New Trustee (a 'DORA'). A specimen DORA is found in Appendix 5 of you online study resources.

16. A DORA will generally contain a vesting declaration whereby the legal interest in the trust property held by the outgoing trustees is vested in the incoming trustees – see sub-clause 3.1 of the DORA in Appendix 5 of your online study resources. But the vesting provisions conferred by the trust legislation do not apply to stocks and shares and foreign real estate. Accordingly, whenever trust property includes stocks and shares or foreign real estate, autonomous documents must be prepared and executed by the outgoing trustees in the following manner.

    Stocks and shares should be transferred to the new trustees by the method prescribed in the articles of the private company concerned or by method prescribed by applicable stock exchange rules for publicly listed companies.

    Real estate should be transferred by the method prescribed by the property law applicable to the jurisdiction where the land is situated (e.g. deed of conveyance).

    In offshore trust practice, where the trust fund is held by an underlying company whose shares are held by the trustee, the assets of the trust are usually simply transferred to the new trustees by the outgoing trustee transferring their shares in the underlying company to the new trustee by way of a stock transfer form.

17. See s.3.2.3(iv), 'Release' and clause 4 of the DORA in Appendix 5 of your online study resources. The release provides an express exoneration upon the old trustee for any prior breaches of trust, save those breaches of a fraudulent or wilful nature.

18. See s.3.2.3(iv), 'Indemnity' and compare with clause 5 of the DORA in Appendix 5. The indemnity is a promise made by the new trustee to the old trustee whereby the new trustee shall reimburse the old trustee out of the trust fund an amount equal to any liability incurred to third parties that the old trustee may be required to pay in the future. There are typically limitations to the extent of the old trustee's right to an indemnity, namely: it excludes those liabilities not covered by existing provisions in the trust instrument, such as a future liability arising from the old trustee's fraud or wilful act (sub-clause 5.1(i) of Appendix 5); the indemnity comes with a deadline in time (clause 5.1(ii) of Appendix 5); and is subject to a maximum sum, usually the value of the trust fund (sub-clause 5.1(iii) of Appendix 5).

Module 3:

Self-Assessment Questions – Answers

1. A generic name for the document creating a trust is a 'trust instrument'. Alternatives include trust deed, deed of settlement, declaration of trust, indenture and deed-poll.

2. Fundamental matters that the draftsperson must consider include the following.

   i. What structure is appropriate for the settlor's requirements (e.g. fixed interest or discretionary)?
   ii. What is the most appropriate jurisdiction for achieving the settlor's objectives? For example, whether reserved powers legislation is required.
   iii. How will the trust affect the tax position of the settlor and the beneficiaries?
   iv. Does the settlor have any special requirements that call for a revision of the standard trust precedent?

   Specialist legal and tax advice should be obtained in all the jurisdictions affected by the proposed trust, which will be mainly:

   - those jurisdictions where the settlor pays taxes, i.e. where they are domiciled or reside for tax purposes, or of which he or she is a national
   - those jurisdictions where the proposed principal beneficiaries pay their taxes
   - the jurisdiction chosen as the proper law of the trust, and
   - those jurisdictions where the assets are situated or will be held, if different from the above.

3. A deed of settlement, or trust deed, has two parties: the settlor and the corporate trustee – see Module 3 section 1, Example 3.1. In the deed the settlor records that he has transferred the initial trust fund to the trustee who confirms it has accepted such property and agrees to hold it in trust upon the terms set out in subsequent clauses of the deed. A declaration of trust, on the other hand, is made by one party: the corporate trustee – see Module 3 section 1, Example 3.2. In the declaration of trust the trustee records that it has received the initial trust fund and declares that it holds such property upon the terms set out in subsequent clauses of the declaration. Apart from that there is no material difference between the two forms insofar as subsequent operative provisions contain the detailed terms of the trust. Some trust companies and law firms recommend a declaration as it is considered more confidential, but this is merely superficial.

4. The recitals are not part of the operative provisions of the trust and are not, therefore, considered to be binding upon the trustee. In these circumstances it is a matter for the settlor and the draftsperson to decide whether to include recitals or omit them altogether. It is fairly common trust industry practice for the recitals to give a summary of the intended purposes of the trust (Recital (A) of Example 3.3 of the study text) and cover some preliminary or background matters (Recitals (B) and (C) of Example 3.3). See also the recitals in the specimen trust instrument in Appendix 1

5. See section 3.1. Certainty of subject matter is achieved by describing the initial trust property in detail in the definition section of the trust instrument. The initial trust fund is generally a nominal amount such as $1.00, and is added to later – after the trust has been established – by either the settlor or third parties making additions to the trust fund.

6. The settlor's estate will argue that the trust has not been created as the settlor had not signed the trust instrument and, accordingly, the trustees hold the funds upon a resulting trust for the settlor's estate. The trustees (on behalf of the beneficiaries) may argue that the terms of the trust are evidenced by the approved, but unexecuted, draft trust instrument, or that the settlor declared themself trustee of the assets to hold upon the trusts contained in the draft trust instrument.

7. The rule against perpetuities states that a trust (or any future interest in property) cannot last forever. The trust property must vest absolutely in the beneficiaries before the expiry of the so-called perpetuity period. It is an ancient rule intended to enhance the marketability of property interests by limiting the ability of a person to place controls or qualifications that affect ownership long after they have died, referred to as control by the 'dead-hand' (or mortmain). This refers to controls that the dead are able to impose by way of excessive limitations on ownership of property by the living.

   The rule stated that property held in trust must vest absolutely in a beneficiary within the so-called 'perpetuity period'. The perpetuity period was initially a measuring life plus 21 years, but was later simplified to 100 years from the date of the creation of the trust.

   The rule was particularly relevant to real estate, where it is considered to be contrary to public policy for real estate to be tied up in trust for an indefinite period. These public policy concerns do not really apply to other forms of property such as cash or securities – it surely doesn't matter that a company's shares are held in trust for an extended period of time. Accordingly, a number of offshore jurisdictions have abolished the rule against perpetuities, so that offshore trusts governed by their laws can now last forever. See section 3.2 of Module 3 of the course manual. If the governing law has abolished the rule, the 'Trust Period' is typically defined in the trust instrument as such period ending on a date that the trustees in their discretion may determine – for example, see the alternative sub-clause 1.2 in the specimen trust instrument found in Appendix 1 of your online study resources.

8. Certainty of objects is achieved by ensuring that the beneficiaries are named, identified or described in the trust instrument, so that they can be ascertained with certainty. See a typical definition of the composition of a class of 'Beneficiaries' of a discretionary trust in sub-clause 1.3 of Appendix 1.

9. The composition of the class of potential beneficiaries of a discretionary trust must be conceptually certain – it must be possible for an independent person (the trustee or a judge) to say with certainty whether a particular person is or is not a beneficiary. Even if it is impossible to identify every single member of the class (i.e. every single employee, former employee, relative or dependant), the trust is valid provided it is still 'workable' – not too large for a trustee to handle logistically.

10. A discretionary trust is administratively unworkable if the class of beneficiaries is simply too large for the trustees to be able to carry out their duties properly.

11. This clause illustrates a traditional express trust for sale. The original purpose of the clause in England was to ensure that a 'strict settlement' (under the Settled Land Act 1925) was not created if any part of the trust fund consisted of English real estate. This has no application offshore. It is, therefore, just as effective (and more logical) for the trustees simply to be given a power to sell any of the trust investments in the list of their administrative powers found later on in the trust instrument – see Module 3 section 4.

12. The property transferred to the trustees by the settlor (or others) to be held in trust must be lawfully transferred by the correct method of transfer to convey the legal interest in that property. For example, chattels are transferred by delivery or bill of sale, money by negotiable instrument or bank transfer into the trustee's account, shares by stock transfer form, real estate by deed of conveyance/transfer of land, intangible property by assignment, etc.

Module 4:

Self-Assessment Questions – Answers

1. The dispositive provisions of a typical discretionary trust are divided into three paragraphs or clauses.

   - The first confers upon the trustees a discretionary power to accumulate or distribute trust income to any one or more members of the class of beneficiaries at such time as they think fit.
   - The second confers a discretionary power of appointment permitting the trustee to distribute capital.
   - The third appoints an ultimate default beneficiary who takes the trust property if and in so far as the capital is not exhausted by the trustees in exercising their powers to distribute income and/or capital during the period of the trust.

2. (a) A discretionary power to accumulate income means that the trustee may retain, rather than distribute, income generated by the trust fund and add it to the capital, usually at the financial year-end to coincide with the rendering of accounts.

   (b) Income can typically be accumulated throughout the trust period (as defined in the trust instrument). In those jurisdictions that have retained a statutory perpetuity period (in respect of which see Module 3 section 3.2), the so-called 'accumulation period' within which income can be accumulated is the same as the perpetuity period. This means that income can be accumulated throughout the lifetime of the 'Trust Period' as there is no alternative statutory restrictive maximum 'accumulation period' based upon the English model legislation in the Perpetuities and Accumulations Act 1964. In those jurisdictions that have abolished the rule against perpetuities, a trust can last 'for such period as the trustee may specify by deed'; accordingly, income can be accumulated for an indefinite period until the trustee specifies by deed that the trust has been brought to an end.

3. The typical offshore discretionary trust is usually drafted not as a true (or pure) discretionary trust at all, but as a fixed interest trust in favour of a default beneficiary that provides a platform to support a series of very wide discretionary dispositive powers. A trust is imperative and has to be performed, whereas a dispositive power is merely an authority to distribute if the trustees choose to do so. For example, a true discretionary trust would state as follows: 'The Trustee shall hold the Trust Fund upon trust for such of the Beneficiaries as the Trustee ***shall*** during the Trust Period appoint.' In this trust the trustee does not have to make any distributions in any one year, but is required to fully distribute the entire trust fund within the trust period before the trust is brought to an end.

   The trust instrument of a typical so-called discretionary trust is actually drafted to confer a wide discretionary dispositive power upon the trustee to distribute the income and capital of the trust fund. For example, it would state: 'The Trustee shall hold the Trust Fund upon trust for such of the Beneficiaries as the Trustee ***may*** during the Trust Period appoint and, if not wholly distributed during the Trust Period, the Trustee shall hold the remaining balance of the Trust Fund for the Default Beneficiary absolutely.' In this trust the trustee does not have to make any distributions in any one year, nor does the trustee have to be fully distributed within the trust period, because any remaining balance held in the Trust Fund when the trust is brought to an end must be transferred to the default beneficiary.

4. The distinguishing features are explained in section 1.4 and relate, in summary, to whether the beneficiaries:

   (a) hold an equitable interest in the trust fund
   (b) have the authority to terminate the trust under the principle in *Saunders* v *Vautier*
   (c) can ensure that the trustees consider periodically whether to exercise their dispositive powers, and
   (d) have the right to know that they are beneficiaries, insofar as they have a right to information and accounts.

5. When trustees make an appointment of an absolute interest they are essentially carving off a proportion of the trust fund (the 'Appointed Fund') and declaring by deed that they own the Appointed Fund for and on behalf of the selected beneficiary absolutely. The beneficiary thereby becomes the sole absolute owner of the Appointed Fund and can call upon the trustees to transfer it to them, or as they direct. The appointment is typically made by Deed of Appointment, illustrated in Appendix 9 of your online study resources.

6. When trustees make a trust appointment (sometimes called an appointment upon new trusts) they are essentially carving off a proportion of the trust fund (the 'Appointed Fund') and declaring by deed that they now own the Appointed Fund on new trusts in favour of a chosen beneficiary as declared in the Deed of Appointment. The trustees have essentially created a new trust of which they are the new trustees in favour of the selected beneficiary. They have re-written the existing discretionary trust so that the Appointed Fund is now held upon different trusts that benefit the chosen beneficiary from the class of the original trust. An example of a Deed of Appointment which creates new trusts in this way is illustrated in Appendix 10 of your online study resources.

7. A power of appointment is typically exercised by trustees by way of a deed of appointment. The deed of appointment records that the trustees now hold the appointed fund for and on behalf of the chosen beneficiary absolutely. The beneficiary can then call on the trustees to transfer such funds to their personal account, or to instruct the trustees to transfer the appointed fund to a third party. Alternatively, the deed of appointment may record that the trustees now hold the appointed fund upon new trusts. This is not actually a new trust, but the existing discretionary trust has basically been re-written by the deed of appointment.

   On the other hand, a power of re-settlement is typically exercised by trustees by way of a deed of re-settlement. The deed of re-settlement records that the trustees are essentially transferring all or part of the trust fund to different trustees of another trust (namely the transferee trust) to hold upon the terms of the transferee trust.

The transferee trust may not only have different trustees, but may also be governed by a different governing law; the trust fund may be held on completely different trusts and be subject to different taxation provisions. The only pre-condition is that there must be a common beneficiary in the class of the original trust and in the transferee trust. In a nutshell, the original trust has not been altered, as when a power of appointment is exercised. Instead, there are now two trusts: the original trust, which consists of the remaining part of the trust fund; and the new trust to which the re-settled fund has been transferred by way of an addition.

8. The ultimate default provision in favour of the default beneficiary ensures that the trust does not offend the rule against perpetuities, in those jurisdictions where the rule survives. It also ensures that the settlor does not retain a possible interest under the trust which may adversely affect his or her onshore tax position.

9. Factors to consider are discussed in section 1.6 and include:

   (a) the value and nature of the trust fund
   (b) the personal and financial circumstances of the beneficiaries
   (c) the foreseeable tax consequences for the settlor and recipient beneficiary
   (d) the settlor's wishes, while being aware of the desire to avoid a sham situation arising, and
   (e) risk issues whenever the trustees have received notice of a claim by a third party against the trust fund or the trustees (section 1.6.6 and question 10, below).

10. If a trustee receives notice that the trust fund is or may be claimed by a third party (A), such trustee will be liable to A if it distributes all or any part of the trust fund and the claim subsequently proves well-founded. See the *Guardian Trust* case in section 1.6.6 (a). The trustees should not distribute in these circumstances unless:

   (a) there are sufficient assets left in trust to cover the third-party claim
   (b) the trustees obtain an indemnity from the recipient beneficiary, or
   (c) the trustees apply to the court and obtain a 'Benjamin Order', giving them leave to distribute without incurring personal liability to the third-party under the *Guardian Trust* principle.

11. Common distribution procedures are set out in section 1.7 as follows.

   (i) Receive a distribution request.
   (ii) Review the dispositive provisions of the trust instrument to ascertain whether the proposed recipient is a beneficiary (or can be added to the class), whether consents are required and whether any applicable express procedures should be followed, such as recording the distribution as a deed.
   (iii) Consider the settlor's letter of wishes.
   (iv) Record decision as a trustee's resolution (illustrated in Appendices 8 and 11).
   (v) Prepare the requisite deed when required and get it executed by the trustee and beneficiary (for example Appendices 9, 10 and 12).
   (vi) Make the distribution by bank transfer to the beneficiary's account (or that of a third party when authorised), obtain a receipt and an indemnity (illustrated in Appendix 15).

12. The dispositive provisions of a typical settlor-directed trust confer wide discretionary powers of distribution upon the trustees, but then either:

    (a) restrict the exercise of those powers by a requirement that the trustees must obtain the prior consent of the settlor before distributing (sometimes called the reservation of a power of approval or veto) – illustrated in Module 4 section 2.1.1, Example 4.3
    (b) require the trustees to exercise their powers of distribution in accordance with the directions given by the settlor from time to time – illustrated in section 2.1.2, Example 4.4A, or
    (c) confer a power of appointment and re-settlement upon the settlor themself, rather than upon the trustee – illustrated in section 2.1.2, Example 4.4B.

    A settlor-directed trust illustrated in paragraphs (b) and (c) above are arguably a formal sham according to the principles of ***Rahman v Chase*** but are permitted and lawful in certain jurisdictions that have enacted so-called reserved powers legislation – in respect of which see Module 4 section 2.2.2.

13. According to the Cayman Islands model's 'reserved powers legislation' a settlor may expressly reserve any one or more of the following powers without the trust being at risk of being set aside as a sham:

    (a) any power to revoke, vary or amend the trust instrument
    (b) a general or special power of appointment of either income or capital or both
    (c) any interest in the trust property, for instance as a beneficiary
    (d) a power to act as director or officer of a company wholly or partly owned by the trust
    (e) a power to give binding directions to the trustee in connection with the investment of trust property
    (f) a power to appoint, add or remove any trustee, protector or beneficiary
    (g) a power to change the governing law, and
    (h) a power to restrict the exercise of any powers of the trustees (such as their dispositive or investment powers) by requiring that such powers shall only be exercisable with the consent of the settlor.

    It should be noted that not every jurisdiction has copied the Cayman model, and you are referred to section 2.2.2, footnotes 115 and 116 for jurisdiction-specific provisions. The following are the typical mutually exclusive dispositive powers reserved by a settlor: (i) the power to approve or veto distributions of income or capital (permitted by sub-paragraph (h) above), or (ii) the power to give binding instructions to the trustees to distribute (permitted by sub-para (b) above), or (iii) a general power of appointment of income and/or capital (also permitted by sub-para (b) above).

14. The procedure for distributing from a settlor-directed trust follows much the same procedure as distributions from a discretionary trust as described in section 1.7 and the answer to question 11 above, save for two matters. First, the starting point is not an initial request from the settlor. Instead, there must be an instruction in writing. Second, the trustees' resolution and deed of appointment should not only refer to the settlor's express reserved power but should also state that the settlor has exercised such power. For example, you are referred to Appendix 16A in your online study resources; this is a deed of appointment illustrating a distribution from a trust where the settlor has been conferred with a power to give the trustee a binding direction to distribute income or capital, and that the settlor has exercised that power and given the trustee

a written instruction to distribute. Appendix 16B is a deed of appointment illustrating a distribution from a trust where the settlor has reserved the power of appointment and has exercised it, so that the trustee is simply required to implement such decision and distribute accordingly.

15. See Example 4.5 in section 3.1.

16. Trustees render accounts at the end of the financial period which reveal income for the year (namely, the deposit interest, stock dividends and rental income from the real estate). The trustees are required to distribute net income shown in the accounts to the Life Tenant for the duration of their life. Upon the death of the Life Tenant, income accrued but not yet paid to the date of death must be distributed to the estate of the Life Tenant; the capital of the trust fund plus any income earned after the date of death must be transferred to the remainderman. There is a complication in relation to the villa: instead of receipt of the income, the trustees may permit the Life Tenant to occupy the property unconditionally or, more typically, on condition that they pay outgoings such as insurance, property tax, repairs and maintenance.

17. A life tenant may voluntarily: (a) give up their life interest by Deed of Release, illustrated in Appendix 17 of your online study resources, in which case it will accelerate the absolute interest of the remainderman; or (b) transfer their life interest to a third party by Deed of Assignment, illustrated in Appendix 18, in which case the trustee is required to distribute the net income generated by the trust fund to the assignee for the duration of the original life tenant's lifetime.

18. Five alternative express provisions are as follows.

    (a) The life interest may be expressly determined automatically by the occurrence of a defined event, such as re-marriage (Example 4.6)
    (b) The trust instrument may confer upon the trustee a power to terminate the life interest (Example 4.7)
    (c) The life interest may be defeated by the exercise of an overriding power of appointment (Example 4.8)
    (d) The life interest ends and the life tenant becomes entitled absolutely to the trust fund upon satisfying a contingent event, such as reaching 50 years of age (Example 4.9)
    (e) The life interest may be held upon 'protective trusts' (Example 4.10) – described in the answer to question 18 below

19. The statutory provisions of the trust legislation of the governing law of the trust may be based upon s.33 of the Trustee Act 1925, in which case the following terms are implied. First, the income generated by the trust fund must be paid to the life tenant for life or until their bankruptcy or 'attempted alienation' (which occurs whenever a creditor obtains judgment against the life tenant for a sum of money owing, and then enforces payment of that judgment by attaching their interest under the trust). On the happening of the life tenant's bankruptcy or alienation of the life interest, the protective life interest in favour of the life tenant ends prematurely and, until the life tenant's death, the income is held upon discretionary trust for 'the maintenance, support or otherwise for the benefit of any one or more of the life tenant, his or her spouse, his or her children or remoter issue, if any, as the trustees think fit'.

20. See Example 4.11 and adapt the definition of 'Beneficiary A' to the Settlor, and the 'Beneficiaries' to the Settlor's children and remoter issue.

Module 5:

Self-Assessment Questions – Answers

1. As a preliminary self-assessment question, you are encouraged to review your independent research into Task 5.1. This requires you to review the statutory provisions enacted in one or more of the jurisdictions referred to in footnote 125 or, indeed, an alternative offshore financial centre if this is where you work or if you administer trusts governed by the laws of that alternative jurisdiction.

2. The three styles and drafting techniques are referred to in section 1 and are as follows.

   i. The method by which trustees are given all the powers of a sole beneficial owner of assets. The advantage of this method is its simplicity.
   ii. The long-form method whereby detailed powers are listed in order to try and deal with every single contingency that a trustee may encounter during the administration of a trust. This approach has the advantage of certainty.
   iii. The draftsperson may wish to include by reference some or all of the powers provided by local trust legislation if the legislation is such that this technique is permitted (such as the BVI, the Bahamas and Bermuda). The advantages are certainty without bulk.

3. See section 1.1 and Example 5.2. Trustees may invest, in their absolute discretion, as a sole beneficial owner could:

   - in any form of property, real estate, movables or other investments
   - in any currency
   - in any part of the world, or
   - by purchase or by using the trust fund as security.

4. Trustees have a general duty to protect and, when appropriate, enhance the value of the trust fund. This duty requires prudent, cautious investment. An element of the prudent investment rule is the sensible requirement to diversify (or to consider diversifying) investments in order to spread risk.

   The trust instrument may, however, override the prudent investment rule and the duty to diversify by providing that: 'The Trustees shall not be required to invest in a prudent manner nor to diversify the investments of the Trust Fund...' . See section 1.2 and Example 5.3.

   A settlor may wish to modify or exclude the duty to invest prudently in order to authorise the trustees to take more risk to chase superior returns. The settlor may wish to exclude the duty to diversify whenever the settlor anticipates the trustee will invest in just one company, sector or asset class, for example holding shares in the settlor's business.

5. The trustees may, by exercising an express power similar to that conferred by Example 5.4 in section 1.3, lend all or part of the trust fund to one or more of the beneficiaries (or provide security for or guarantee the borrowing of a beneficiary from a lender). When a trustee lends part of the trust fund to a borrower and charges commercial rates of interest, it is regarded as the exercise of the trustee's powers of investment. However, if a trustee wishes to make an interest-free and unsecured loan a special power to do so is required, similar to Example 5.4. Note that the terms of Example 5.4 only confer a power upon the trustees to make an interest-free unsecured loan to a beneficiary as this is not an investment but part of the trustee's dispositive powers of distribution.

6. Trustees may wish to trade through the medium of an underlying company incorporated by the trustees and owned by them for the purpose of conducting a business. This is because, as shareholder of the company, the trustees are not liable to pay the company's debts in the event of its insolvency. See section 1.5.

7. The old-fashioned statutory power to insure property held in trust is based upon s.19 of the Trustee Act 1925 of England, which restricts a trustee to insure against fire only and for up to three-quarters of the insurable value of the property. This was often considered inadequate, and so an unrestricted power to invest was expressly conferred by a clause similar to Example 5.7. This type of clause is, nowadays, superfluous as most jurisdictions have amended their trust legislation to confer a statutory power to insure against all risks and for up to the whole of the insurable value of the trust property – see section 1.6, footnote 133.

8. The rule in ***Bartlett v Barclays Bank Trust Co*** (1980) imposes a duty upon trustees who hold all, a majority, or a substantial minority, of shares in a private operating company to supervise the board and management of the business of the company. The facts of *Bartlett* and the two limbs of the duty are explained in section 1.8. There are two observations about the Bartlett duty: firstly, it is really difficult for the trustee to comply with it; and secondly, when the investee company whose shares are held in trust is managed by the settlor as its CEO, then the settlor doesn't want the trustee constantly to monitor his or her every decision to second-guess them. In these circumstances the *Bartlett* duty is usually excluded by a so-called anti-*Bartlett* clause, which can take one of three forms: the anti-*Bartlett* clause may simply exclude the duty, illustrated in Examples 5.9 of section 1.8.1; it could modify the duty, illustrated in Example 5.10 of section 1.8.2; and it could exonerate the trustee from liability for breach of the *Bartlett* duty, illustrated by Example 5.11 in section 1.8.3.

9. Originally, trustees were not permitted to delegate any of their duties or powers by employing an agent to act on their behalf. This common law prohibition against delegation, known as the rule in ***Turner v Corney*** (1841), was later relaxed by ***Speight v Gaunt*** (1883) so that trustees may now engage agents to carry out administrative, ministerial functions, provided this is authorised in the trust instrument and delegation is necessary or normal in the ordinary course of business. In these circumstances it became common for old trusts to contain a clause conferring a power upon the trustees similar to Example 5.12 of section 1.9 or Example 5.13, which exonerates the trustee from liability for loss arising from the negligence or default of the agent provided they were engaged by the trustee in good faith.

   This type of clause then became redundant in England in 1925 when s.23 of the Trustee Act was passed, which conferred upon trustees a statutory: (a) power to delegate by engaging agents, and; (b) exoneration from liability for loss arising from the negligence or default of the agent, provided the agent was engaged by the trustee in good faith. The 1925 Act model has been copied by most offshore financial centres – see footnote 142.

The usual express power authorising the trustees to delegate their administrative powers to an agent provides that the trustees cannot be held liable for the acts or defaults of agents, provided they were engaged in good faith. See Example 5.14 and 5.15.

10. Delegation of investment powers may be on an advisory or on a discretionary basis. In other words, a trustee may engage an investment adviser who will make investment recommendations for the trustee to consider. Alternatively, a trustee may engage an investment manager with the authority to invest the trust fund on their own initiative. Section 23(1) of the Trustee Act was interpreted in a restrictive manner in ***Re Vickery v Stephens*** [1931] so it didn't confer a statutory power to engaged investment managers – so an express power similar to Example 5.14 became typical. Today, however, modern trust legislation enacted in a number of jurisdictions confers a statutory power to appoint investment managers provided that the delegate is a reasonably competent investment expert – see footnote 142 which gives jurisdiction-specific details.

11. Historically trustees could only settle and compromise claims or lawsuits without trial if the court approved the terms of the settlement. However, the power to settle lawsuits and claims is nowadays conferred by trust legislation based upon s.15 of the Trustee Act 1925, making the clause illustrated in Example 5.16 superfluous.

12. It enables trustees to distribute a specific asset from the trust fund *in specie* (rather than in the form of cash) without first obtaining the beneficiary's consent.

13. Trustees may add to or amend their administrative powers by appointing trust property to trustees of a new trust containing new administrative provisions. Alternatively, the trustees may exercise an express power similar to the one illustrated in Example 5.18 to vary administrative provisions by deed. A power to amend or vary administrative provisions doesn't exist unless the trust instrument so provides. An example of a Deed of Amendment is given in Appendix 25.

14. The circumstances are as follows.

    i. The taxes imposed upon Trustee by an onshore tax authority located where Settlor resides are not enforceable against the corporate trustee as Trustee is incorporated, managed and controlled, and wholly carries on its trust operation, from an offshore nil-tax jurisdiction. The foreign state cannot enforce its tax laws by issuing legal proceedings to collect the tax it claims to be due from Trustee before the courts of the offshore jurisdiction under the principles of ***Gov. of India v Taylor***. If, for any reason, Trustee wishes to pay the foreign taxes voluntarily, it must be specifically authorised to do so in the trust instrument – reviewed in sub-question iii below.

    ii. If taxes are imposed upon the beneficiaries (A, B and/or C), Trustee does not need a specific express authority to pay those taxes on their behalf, as a proposed distribution to pay such taxes is covered by the usual dispositive provisions of a discretionary trust. Instead of Trustee distributing say $100,000, it can distribute $100,000 plus the tax payable by the beneficiary.

iii. Settlor is not a beneficiary of the trust. Trustee must not pay the taxes imposed upon Settlor as to do so would *prima facie* amount to a breach of trust. However, Trustee may voluntarily pay such taxes without committing a breach of trust if the trustee is permitted to do so by the terms of the trust by a clause similar to Example 5.19.

15. Trustees have an implied right to an indemnity. This means they are entitled to be reimbursed out of the trust fund in respect of all expenses and liabilities incurred to third parties during the proper administration of the trust. The express indemnity illustrated in Example 5.20 is therefore superfluous, but it is comforting for a trustee to see an express indemnity whenever they incur liability to a third party during the course of the proper administration of the trust.

16. Trustees may limit their liability for negligent acts (or omissions to act) but not for acts of deliberate or wilful default, fraud or dishonesty or reckless indifference. The issue of whether a trust instrument may lawfully exonerate a trustee for acts of gross negligence is an interesting discussion, in respect of which you are referred to section 2.2 and footnote 159. A trust instrument cannot excuse dishonest breaches of trust committed in bad faith as this would release the trustee from the fiduciary duty of honesty, which forms an 'irreducible core' duty owed by every trustee.

17 An indemnity entitles the trustees to be reimbursed out of the trust fund for all proper costs, expenses and liabilities incurred and which the trustees become obliged to pay to third parties (i.e. others, not the beneficiaries). The trustees are entitled, by an indemnity, to be paid back all that they have had to pay out. An exoneration clause, on the other hand, exempts, excludes or limits the liability of the trustees to the beneficiaries arising from the trustee's negligence or default in their administration of the trust.

18. In addition to those matters alluded to in question 16 above, ***West v Lazard's*** held that, to be enforceable, exoneration clauses that purport to limit the liability of trustees must be assented to by the settlor, i.e. the settlor must be aware of their existence and understand their significance. Otherwise, the court may strike the exoneration clause down so that it cannot be relied on. In these circumstances, it is best practice to ensure that the settlor initials the margin of the trust instrument next to the exoneration clauses as evidence that they have consented to their inclusion.

19. A trust is deemed irrevocable unless expressly made revocable. However, it is best practice to make an express reference in the trust instrument. See the first part of Example 5.25. A trust can be made revocable by the trust instrument conferring a power to revoke the trust, which will state who can revoke it, when and how – usually by the settlor at any time by deed (or written notice to the trustee). See the second part of Example 5.25. When the power is exercised the trust ends and the trust fund reverts to the settlor.

20. No, but it is industry practice for a trust instrument to be in writing and executed as a deed – see the modern execution clause illustrated in Example 5.27.

Module 6:

Self-Assessment Questions – Answers

1. Conflict of laws principles determine which system of law should be applied to resolve issues that may arise in relation to a transaction or occurrence involving two or more jurisdictions.

2. There is no international set of conflict of laws rules of universal application. Each jurisdiction has developed its own conflict of laws rules over the centuries to govern international trade, etc. Such rules form part of the internal domestic law of each jurisdiction. Because these rules developed piecemeal, it is quite possible for the conflict of laws rules of two jurisdictions, affected by a particular transaction or occurrence, to resolve which law governs in totally different ways and produce wholly conflicting results. Conflict of laws rules of one jurisdiction are, therefore, occasionally incompatible with the conflict rules of another. Nonetheless: (i) there are uniform conflict of laws rules for states within the US; (ii) there are EU conflict of laws directives that apply to member states of the EU; (iii) the common law jurisdictions tend to follow the common law conflict of laws principles of England that existed before it joined (and then left) the EU, and; (iv) the civil law countries have codified their own conflict rules.

3. No. Not necessarily. Let us start by looking at the problem from the point of view of State A. The first stage is to establish whether the courts of State A would have jurisdiction to determine the matter. If they do, then it is necessary to apply the conflict of laws rules of State A for the type of dispute in question, in order to establish whether the courts of State A should apply the laws of State A, the laws of State B, or some other law altogether in order to determine the issue in dispute. If the courts of State A do not have jurisdiction over the matter, then there is no need (in fact no point) in applying their conflict rules. It is therefore necessary to analyse the matter from the point of view of State B, establish if the courts of State B have jurisdiction and, if so, establish which laws they should apply to determine the issue in question.

4. As follows.

    i. First, establish whether the courts of the jurisdiction under review have jurisdiction over the parties affected by the underlying issue or controversy. If so, characterise the issue and, finally, apply the conflict of laws rules applicable to that category of issue to determine which law governs.

    ii. In order for a jurisdiction to apply its own conflict of laws rules to an underlying issue, its courts must be in a position to exercise jurisdiction (in the sense of authority) over the parties to the controversy. The courts of a common law jurisdiction will generally have authority over:

        - persons physically present within its geographical territory
        - persons who have voluntarily submitted to the authority of the court by taking part in the proceedings, and

- persons located outside the geographical territory of the court but over whom the court declares it has 'long-arm jurisdiction'.

iii. If the courts of a particular state have jurisdiction over the parties to an underlying issue, the next stage is to characterise the nature of that underlying issue and then apply the appropriate conflict of laws rules to determine which system of law governs the controversy.

(a) Common law conflict rules affecting issues relating to land are resolved by the *lex situs*, i.e. the law of the place where the land is situated.

(b) Common law principles state that issues relating to succession to movable property on death are resolved by the *lex domicilii,* namely the law of the deceased's domicile immediately before death (for a discussion of the proposals contained in The Hague Convention 1998 and The EU Succession Regulation No. 650 of 2012 you are referred to Module 8 section 2.2 and 2.3.)

5. If the conflict of laws rules of State A determine that the laws of State B govern, then it is necessary to establish:

- whether this means that the issue is determined by an application of just the substantive laws of State B, i.e. disregarding *renvoi*, or
- whether the whole of the laws of State B apply, including its own conflict of laws rules.

If the latter, it is necessary to apply *renvoi*. *Renvoi* has two methods of application, which may produce different results:

- single (partial) *renvoi*: see section 1.1.4(ii), and
- double (total) *renvoi*: see section 1.1.4(iii).

6. At common law, a trust is governed by its 'proper law'. The proper law is the law that the settlor intends to govern the trust and is determined by establishing the jurisdiction with which the trust has its closest and most real connection. This proposition requires a somewhat arbitrary measurement and balancing act to see where the trust has its centre of gravity – factors connecting a trust to a particular system of law include: the location of the settlor; location of the trustee, protector and beneficiaries; location of the trust fund; place where the trust is administered; place where the trust assets are managed; and the *professio juris*, which is just one connecting factor of many. You may agree that establishing the proper law of a trust is sometimes a matter of guesswork.

7. Questions relating to:

- validity of the trust and its interpretation are governed by its proper law
- the administration of the trust is arguably governed by the law of the place where the administration is conducted
- civil procedure, in particular the remedies available to beneficiaries following a breach of trust, are governed by the *lex fori*, the law of the forum court, and

- the constitution of (or transfers of trust property to) the trust are governed by other laws, not necessarily the proper law of the trust.

Further doubts and uncertainties at common law include:

- whether a settlor is free to choose any unconnected law as the proper law of a trust, and
- whether the proper law may be subsequently changed.

8. Typical modern offshore conflict of laws legislation can be described as follows.

   i. Under modern offshore legislation a trust is governed by its 'governing law'.
   ii. The governing law is determined by establishing the intention of the parties from the terms of the trust instrument. An express choice of law clause in the trust instrument is conclusive of the settlor's intention, regardless of other circumstances.
   iii. Statutory trust-related conflict of laws provisions create a general rules that all questions affecting a trust and the transfer of property to the trustee of such trust are determined by its governing law, including (i) capacity of the settlor, (ii) validity of the trust, (iii) validity of the disposition into trust, (iv) the administration of the trust, including liability of the trustees for breach and (v) validity of any powers conferred upon the protector or retained by the settlor and the exercise of those powers – see Module 6 section 2.3.

   The general rule as described above is then made subject of those exceptions referred to in section 2.5, which are issues that are not resolved by applying the governing law of the trust such as: (a) issues relating to whether the settlor/transferor actually initially owned the property which he purported to transfer into trust; (b) property transferred into trust by a company; (c) property transferred into trust without complying with prescribed formalities applicable to such property; (d) foreign real estate and, finally; (e) the validity of a Will creating a testamentary trust.

9. If the laws of State B are applied to determine whether Settlor has capacity to create the trust, then as Settlor is over 18 years and *sui juris*, they do indeed have capacity and the trust is valid. On the other hand, if the laws of State A govern the question of Settlor's capacity, the trust would be deemed invalid as Settlor is prohibited from creating the trust in the manner undertaken.

   An express choice of law is considered to be a conclusive determination of the governing law by typical offshore conflict of law provisions. See ss.89–91 of the Trusts Act 2021 Revision of the Cayman Islands (section 2.3 and 2.4 of this module). State B law therefore governs the issue of Settlor's capacity and validity of the trust, etc.

   The governing law will not, however, be determinative of all issues concerning capacity (if, for instance, the trust property comprises foreign real estate, etc.).

10. Not all aspects of a trust or the disposition of property into trust (by a transfer from the settlor or third party to the offshore trustees) are governed by the 'governing law' expressly chosen by the settlor in the trust instrument. Certain aspects of the trust, in particular the disposition of property to the trustees, can be resolved only by the application of foreign law. The fact patterns in questions i. to v. are all examples of

issues that cannot be determined by the governing law. It will, therefore, be necessary to apply conflict of laws rules to the category of issue in controversy, to determine the proper system of law that governs the issue. It is:

(i) the *lex situs* or the *lex protectionis*
(ii) the *lex domicilii*, state of incorporation of the company
(iii) the *lex situs* or *lex solutionus*
(iv) the *lex situs*, and
(v) the *lex domicilii*.

11. For a choice of law and forum clause you are referred to Module 6 section 3.1, Example 6.1, and also sub-clause 16.1 and 16.2 of the specimen trust instrument in Appendix 1 of your online study resources.

12. A flee clause is an express provision that causes a trust to automatically migrate to another jurisdiction on the occurrence of a defined event. On the occurrence of the defined event, the trustee is automatically replaced, the place of administration changes, as does the governing law, and the trust fund is transferred to the new trustee. See Module 6 section 3.3 and Example 6.3 and also clause 11, 12 and 13 of Appendix 1.

    This differs from a simple change of governing law which requires a person to exercise an express power conferred by the trust instrument, typically by deed. See Module 6 section, 3.2 Example 6.2 and for a deed that changes the governing law you are referred to Appendix 27 of your online study resources.

Module 7:

Self-Assessment Questions – Answers

1. A protector is an individual appointed by the settlor in the trust instrument:

    - to ensure compliance with the settlor's wishes expressed in the terms of the trust
    - to assist the trustees in managing the trust, and
    - to supervise, sometimes influence, and sometimes to control the actions of the trustees and thus protect the trust and its assets.

2. Protectors may be:

    - professional persons, such as attorneys, or tax or other advisers or professional trust protectors, or
    - laypersons, usually a beneficiary or a committee of beneficiaries.

    The settlor will usually appoint the former if they require the protector to be proactive, with extensive (positive or negative) dispositive or administrative powers and obligations. The settlor will appoint laypersons if the anticipated role is more passive, with limited negative powers only.

3. A protector is appointed by a settlor by a clause in the trust instrument, although they are not a party to it – see clause 1.4 of the specimen trust instrument in Appendix 1 of your online study resources. If a protector dies or wishes voluntarily to retire, the trust instrument should contain provisions dealing with the appointment of a successor protector. Typically, a power to appoint a new protector in these circumstances is conferred upon the protector themselves – see Module 7 section 1, Example 7.1 and clause 14 of Appendix 1 of your online study resources.

4. Dispositive powers relate to actual distributions from the trust fund. The three, mutually exclusive dispositive powers that may be conferred upon a protector are the power to make, direct or approve distribution decisions. In particular, a protector may be expressly given:

    (i) a power of appointment to distribute income or capital (see Module 7 section 2.1.1, Example 7.4)
    (ii) a positive power to direct the trustees to make a distribution (Example 7.3), or alternatively
    (iii) a power to approve or veto a distribution proposed by the trustee (Example 7.2).

5. A protector may be given a positive power to add persons from the class of beneficiaries of a discretionary trust – see Module 7 section 2.1, Example 7.5 as drafted. Alternatively, a protector may be given a negative power, whereby the protector must approve (with power to veto) an addition to the class proposed by the trustee – see the alternative provisions in square brackets of Example 7.5. Similar positive or negative powers may be given to exclude persons from the class – see Example 7.6.

6. The settlor's rationale is as follows.

i. The settlor may confer upon the protector a power to remove trustees and appoint new ones in order:

- to act as a precaution against the trustees' inappropriate administration, or breach, of the trust
- to re-assure the settlor that a third party is responsible for supervision and oversight of the actions of the trustee, and
- to exercise indirect control over the trustees.

ii. To prevent overcharging when the remuneration/charging clause in the trust instrument authorises 'reasonable remuneration' or confers upon the trustee a power to vary published terms and conditions, or to charge in accordance with 'published terms and conditions in force from time to time' (such as clause 9.1 of Appendix 1 on your online study resources).

iii. To ensure that the trustees do not invest the trust fund in an inappropriate manner, or to ensure that the trustees comply with the settlor's investment policy.

iv. To ensure that the settlor's reserved powers cannot be exercised on his or her behalf (for instance, by their court-appointed trustee in bankruptcy) in a manner prejudicial to the beneficiaries of the trust.

v. To prevent a beneficiary from obtaining evidence for use in a subsequent action to set aside the trust.

vi. To keep abreast of the onshore tax position of the trust and the beneficiaries (as circumstances change throughout the lifetime of the trust) and ensure tax liabilities, if any, are kept to a minimum.

vii. To ensure that the trustees are administering the trust in an appropriate manner and to report independently to the beneficiaries and provide objective answers to any of their questions.

viii. Rather than stipulate that the trust accounts should be audited periodically, it is more flexible to give the protector power to appoint auditors whenever circumstances justify the expense, such as a suspicion that the trustees have forged documents, falsified accounts, hidden losses, generally cheated the trust, etc.

ix. The settlor may prefer that a knowledgeable professional approve the annual trust accounts rather than non-professional beneficiaries.

x. As a precaution in case the governing law become unsuitable, to the prejudice of the trust fund, individual assets of the trust or the interests of the beneficiaries, e.g. by reason of the imposition of exchange controls, or new taxes or the enactment of new laws that are deemed prejudicial.

7.

i Some jurisdictions, such as Bermuda and Dubai, have passed legislation which essentially creates a presumption that a protector's powers are fiduciary in nature, but the trust instrument may state otherwise. In other words, a protector of trusts governed by the laws of these jurisdictions automatically owes fiduciary duties unless there is a clause in the trust instrument that says they do not.

When the protector owes fiduciary duties, it means two things. First, the protector must consider periodically whether to exercise his or her powers. Second, the protector who decides to exercise a power must do so honestly and in the best interests of the beneficiaries. A protector who does not exercise fiduciary powers in the best interests of the beneficiaries (for instance, by exercising power in a manner that benefits themselves or others) is in breach of fiduciary duty and the beneficiaries can commence a lawsuit against the protector for compensation for any consequential loss.

ii Guernsey legislation, on the other hand, contains a rebuttable presumption that the protector's powers are personal, that is they are not fiduciary in nature, unless the trust instrument says otherwise. In other words, the powers conferred upon a protector are personal unless the trust expressly states that they are fiduciary in nature.

If the protector does not owe fiduciary duties, then the powers conferred upon them are said to be personal or beneficial powers. This means that the protector does not have to consider exercising such power but, if deciding to do so, is free to exercise it in any way. The protector does not have to have regard to the best interests of the beneficiaries and, in these circumstances, the beneficiaries cannot commence a lawsuit against the protector alleging breach of fiduciary duty.

iii In those jurisdictions such as the Bahamas, the BVI, Cayman Islands, Cyprus, Hong Kong, Isle of Man, Jersey, Malta and Singapore, where relevant legislation on the subject is non-existent, the issue of whether a protector owes fiduciary duties is determined by common law principles. According to common law principles, the issue must be examined on a power-by-power basis. When it is clear that the reason why, or purpose for which, a particular power has been conferred upon the protector is to protect the interests of the beneficiaries, such power is fiduciary in nature. This means that a protector exercising such power must do so honestly and in the best interests of the beneficiaries.

8.

i Some jurisdictions, such as the Bahamas and the BVI, have passed legislation stating that when a protector of a trust exercises certain permitted and defined powers, they cannot be held liable 'to the beneficiaries for the bona fide exercise of the power'. In other words, provided the protector acted honestly, even though without reasonable care and caused loss, the protector is not liable and the beneficiaries cannot sue them.

ii In most jurisdictions the trust legislation is silent, in which case common law principles apply and a protector owes a duty of care. In these circumstances, whenever a protector exercises a power conferred upon them in the trust instrument, they must use reasonable care and skill. If they are careless and, by an error or mistake, causes loss to the trust, the beneficiaries can sue them for breach of duty. Note, however, that a protector may have the benefit of an express exoneration clause similar to the one illustrated in Module 7 section 3.2.1, Example 7.12 and in clause 15 of Appendix 1.

9. No rights are implied. A protector only has the benefit of those rights expressly conferred by the trust instrument.

These often include:

- the right to receive accounts from the trustees and information relating to the trust – see Module 7 section 4, Example 7.13 and clause 17.3 of Appendix 1
- the right to employ agents and charge their fees to the trust – see Example 7.14 and clause 17.1 of Appendix 1
- the right to receive remuneration – see Example 7.15 and clause 9.2 of Appendix 1, and
- the right to be exonerated and/or indemnified against claims made against him or her by beneficiaries and other third parties arising from the exercise of any of the powers as protector – see Example 7.12 and clause 15 of Appendix 1.

10. The core trust structure remains the same whenever a protector is appointed: the settlor transfers legal title of assets to the trustees to hold and dispose of in accordance with the trust instrument; the trustees owe fiduciary duties to observe the terms of the trust and exercise their powers in the best interests of the beneficiaries; the trustees must comply strictly with the terms of the trust. Accordingly, whenever there is a provision whereby the protector may direct the trustees to carry out a certain act, and the protector gives an appropriate direction, the trustees must comply. Alternatively, whenever the trust instrument gives the protector power to approve or veto certain of the trustees' decisions, the trustees cannot act without the appropriate consent. If the trustee refuses to comply with a lawful direction, or proceeds with an action without having received the required protector's consent, the trustee commits a breach of trust.

11. It is pretty clear on the facts that ultimate responsibility for investing the trust fund rests with Protector. It is, however, arguable that Trustee is liable for loss suffered by the investment, notwithstanding the requirement to comply with directions received from Protector. For example, the Protector exercised their power for an improper motive and therefore the direction may be regarded as void; in these circumstances, Trustee has technically committed a breach of trust by investing negligently and in a manner which causes foreseeable loss to the trust. In which case Trustee may be held liable for any loss sustained as a result of the investment in XYZ Ltd. In practice, however, Trustee will be excused from liability under:

    - an express exoneration clause similar to Module 7 section 5.1, Example 7.16 and clause 8.2(2) of Appendix 1, and/or
    - an implied statutory exoneration conferred by the trust legislation enacted in a number of offshore jurisdictions such as those referred to in Module 7 section 5.2, footnote 213, or
    - statutory provisions that allow the court to relieve a trustee from liability provided that they have acted honestly and reasonably and ought fairly to be excused – see section 5.3.

12. Protector is liable for:

    - inducing a breach of trust by the trustees – see above, and
    - breach of their own fiduciary duties by exercising their powers for their own benefit and that of XYZ Ltd rather than for the benefit of the trust and the beneficiaries thereof.

    Statutory provision has been enacted in some jurisdictions that exonerates a protector from liability provided that they act in good faith (e.g. the BVI, the Bahamas). It is clear on the facts, however, that in this case Protector did not act in good faith.

Module 8:

Self-Assessment Questions – Answers

1. The law of succession governs how an individual's property should be transferred upon death.

2. The common law prides itself upon adhering to the concept of testamentary freedom, whereby individuals are free to dispose of their property to whomsoever they wish by Will. The civil law jurisdictions follow a more structured approach, to protect the family, and determine by law those to whom a deceased's estate should pass on death by statutory forced heirship provisions in favour of the deceased's family.

3. It depends upon the conflict of laws rules of the jurisdiction under analysis. We have already seen that conflict of laws rules developed piecemeal in each jurisdiction and that they are sometimes inconsistent. As a very general rule, an individual who is closely connected to a particular jurisdiction immediately before their death has succession rights to their estate determined by the laws of that jurisdiction. The nature of the close connection may be domicile, nationality/citizenship or habitual residence. See below for examples.

   (a) The conflict of laws rules in England before joining the EU, copied by states in the US and by most common law jurisdictions, determines that the *lex domicilii* governs succession and administration of the deceased's estate generally, but the *lex sitis* governs real estate.

   (b) Most continental European and Latin American civil law countries historically applied the law of the deceased's nationality or citizenship to govern succession rights.

   (c) EU Regulation No.650 of 2012 now harmonises conflict of laws rules for cross-border succession of members of the European Union so that today, for deaths after 2015, the succession law of the last habitual residence of the deceased at the time of death will generally determine the substantive law of succession and administration of the estate insofar as:

   - Art 21 of the Regulation 650/2012 states that: 'The applicable law of succession as a whole shall be the law of the state in which the deceased had his habitual residence at the time of his death'
   - Art 22 states: 'A person may choose as the law to govern his succession as a whole the law of the state whose nationality he possesses… ', and
   - the law of the jurisdiction which was the deceased's last habitual residence (or the law of the jurisdiction of his nationality chosen to govern) applies to all assets worldwide, there being no distinction between real estate and other assets such as money, securities, movables, etc.

4. The *lex domicilii* is the law of succession of the state where the deceased was domiciled at the date of their death. Domicile is a concept that means more than mere residence, as it involves a mental attitude towards the place which the person regards as their permanent home. A domicile of origin is assumed at birth as the domicile of the child's father if legitimate, mother if illegitimate. This domicile of origin continues throughout the person's life unless and until a new domicile of choice is established when an adult chooses to move to another country, taking up residence, and having an intention to permanently reside there for the future.

5. Complete freedom of testamentary disposition has been watered down by modern statutes that give the courts of certain jurisdictions power to make judicial testamentary adjustment, i.e. rewrite a testator's Will in order to give reasonable financial provision to the testator's spouse, children and/or other dependants. New Zealand was the first jurisdiction to introduce judicial testamentary adjustment when it passed the Testator's Family Maintenance Act 1900. The English provisions were enacted by the Inheritance (Family Provision) Act 1938 and are now found in the Inheritance (Provision for Family and Dependants) Act 1975. See generally section 1.1 of Module 8 in the course manual which reviews the facts of the case of ***Ilot v Mitson*** [2017].

6. Forced heirship rules affect gifts made on death by Will, and, owing to the operation of clawback, may affect prior gifts made by the deceased during their lifetime.

   i. Gifts on death: the transfer of property on the death of an individual is carried out by dividing the deceased's net estate into a reserved portion and a disposable portion. The reserved portion must be transferred to the close family of the deceased in prescribed shares and proportions. The disposable portion is free to be transferred to whomsoever the deceased directs by Will.

   ii. *Inter vivos* gifts: in order to calculate the amount of the reserved portion (to be divided between family members as forced heirs), it is necessary to take into account the value of lifetime gifts made by the deceased. The value of certain *inter vivos* gifts is added to the deceased's net estate to calculate the so-called 'grossed-up value of the estate for forced heirship purposes'. The forced heirs are then entitled to a fixed proportion of the grossed-up estate. If the actual net estate is insufficient to pay the forced heirs their full entitlement, they may commence a lawsuit against the recipients of the deceased's lifetime gifts and claw back an amount to satisfy their claim.

7. Because if an individual who is a citizen of, or habitually resident in, a typical civil law jurisdiction creates a trust during their lifetime, and/or makes additions to the trust fund, then the value of the *inter vivos* transfers must be taken into account in calculating the amount of the reserved portion of the estate when the individual dies. If the net estate on death is insufficient to discharge the entitlement of the forced heirs, they may try to clawback from the trustee the gifts made into trust.

8. The so-called 'reserved portion' is three-quarters of the Deceased's net estate (see Module 8 section 1.2.2, footnote 222). A, B and C will, therefore, share (SF1 million x 3⁄4) = SF3⁄4 million, or SF250,000 each. The charitable organisations to fund medical research will receive the 'disposable portion', namely the remaining one-quarter of SF250,000.

9. The *inter vivos* transfer of SF3 million must be brought into account (if it was made with the intention of evading the forced provisions, according to the Swiss Federal Code, or under any circumstances, according to the French Civil Code – see section 1.2.2 and footnotes). Add the value of the Deceased's net estate to the value of the *inter vivos* transfer (SF1 million plus SF3 million = SF4 million). Calculate the 'reserved portion' (SF4 million x 3⁄4 = SF3 million). A, B and C should, therefore, share SF3 million or receive SF1 million each. There is only SF1 million in the Deceased's estate, so therefore the children may commence a lawsuit against the recipient of the lifetime transfer, namely, the trustees, seeking to claw back SF2 million from the trust assets in order to satisfy their forced heirship claim.

10. There is a risk that the trustee may not only be required to transfer the trust property under its control to the settlor's estate, but also the trustee may be ordered to repay an amount representing all the funds ever received from the settlor – this could mean refunding fees earned during the trust period to date and compensating the estate for making distributions to beneficiaries. The trustee may also be left having to bear the legal costs incurred in unsuccessfully resisting any clawback claim. Note, however, that such risks can be mitigated by the methods discussed in the answer to question 11 below.

11. In order to preserve the trust property on behalf of the beneficiaries, it is imperative that the trustees do not allow the courts of a foreign state to exercise jurisdiction over them to determine any claims by the settlor's disappointed heirs under the laws of the foreign state. The trustees must, therefore, ensure that the trust is structured so that it has no connection whatsoever with the foreign state, and that its connection to the offshore trust jurisdiction is emphasised. This will frustrate any clawback claim that the forced heirs may be able to bring before the courts of the foreign state. It will also frustrate any attempt to enforce a foreign court judgment in the offshore jurisdiction. This is achieved by taking advantage of the 'firewall' by ensuring that:

    - the trustees are incorporated offshore
    - the trustees carry on business offshore and have no connection with the foreign state
    - the trust is administered from the offshore jurisdiction
    - the trust property is held in the offshore jurisdiction
    - the protector, if any, does not reside in the foreign state
    - the beneficiaries, who may reside in the foreign state, do not have a fixed beneficial entitlement under the terms of the trust and, last but not least, and
    - the laws that govern the trust contain modern 'firewall' and 'forced heirship avoidance' provisions, referred to in question 12 below.

12. As follows.

    i. A judgment of a court of law has geographical territoriality: it can be enforced only against assets situated within the territory of the state in which the judgment was entered. Accordingly, a judgment of a court in Country A cannot be enforced by attachment or otherwise against assets situated in another country, such as Offshore State B.
    ii. A judgment of a court of a foreign jurisdiction (Country A) is capable of being enforced in another jurisdiction according to common law principles, if that

other jurisdiction (Offshore State B) is satisfied that the foreign court had satisfactory grounds to assume jurisdiction over the trustees in the first instance. Satisfactory grounds to assume jurisdiction usually require the trustee to (a) reside or carry on business in the foreign state, or (b) voluntarily submit to the jurisdiction of the foreign court by taking part in the proceedings, or (c) agreeing in an earlier agreement that the foreign court should be the forum for adjudicating disputes.

The court of Country A would not have grounds to assume jurisdiction over the trustees, provided the trustees:

- are not domiciled in Country A and do not carry on business there
- do not voluntarily submit to the jurisdiction of the courts of Country A, and
- did not agree to submit to the jurisdiction of the courts of Country A by a so-called 'forum clause' in the trust instrument.

i. Modern offshore conflict of laws legislation complements the common law rules, reviewed in answer 12 (ii) above, and provides a so-called 'firewall' so that a foreign judgment shall not be recognised or enforced in the offshore centre against assets held in a trust governed by the laws of the offshore jurisdiction, when the foreign judgment is based upon a forced heirship claim. For example, see the Trusts (Foreign Element) Law 1987 of the Cayman Islands, now s.93 of the Trusts Act 2021 Revision, and similar statutory provisions passed in other jurisdictions referred to in Module 8 section 3.2.3, footnote 231.

13. Forced heirs in these circumstances have historically argued that the trust is invalid so that the trust property should revert to the settlor's estate. They have relied on two broad grounds. First, that the trust is invalid and, second, that the transfer of the trust property by the settlor to the trustees was defective. Each limb of the argument depends upon the law of the foreign state being applied to govern the transaction. The particular theories put forward to support this type of application are as follows.

    i. That their clawback claim should be recognised by the court of Offshore State B applying the foreign laws of succession that govern the deceased.
    ii. That the trust ought to be governed by the law of the jurisdiction that governed the settlor at the time of its creation, and that the trust is invalid under the laws of that foreign jurisdiction.
    iii. That the transfer of the trust property to the trustees was defective because:

        - the settlor lacked capacity under the laws applicable to himself at the time of the creation of the trust
        - the settlor did not in fact have an absolute ownership interest in the trust property – the forced heirs had something akin to an equitable interest therein
        - the interest of the forced heirs crystallises on the settlor's death and has priority over the transferee's title, and
        - the proper procedures and formalities required under applicable foreign law to transfer the trust property had not been complied with.

14. Modern statutory conflict of laws rules enacted in most offshore trust jurisdictions provide that the issue of validity of the trust, and the validity of the transfer of trust property to the trustees (and any number of other matters), should not be determined by the laws of any foreign state, but by the governing law of the trust. The law governs the trust is the law chosen by the settlor to govern in an express choice of law clause in the trust instrument. See by way of example the provisions of the Cayman Islands' Trusts (Foreign Element) Law 1987, now ss.90–93 of the Trusts Act 2021 Revision, which says that all questions concerning the validity of a Cayman governing law trust and the disposition of property upon the trusts thereof are governed by the laws of the Cayman Islands, without reference to the laws of any foreign jurisdiction with which the trust or the disposition into trust may be connected.

    This effectively creates a firewall and frustrates the arguments employed by forced heirs and reviewed in question 13 above. In particular, the efficacy of any clawback claim, a claim to set aside the trust or the transfer of assets to the trustees of such trust in the offshore jurisdiction are all predicated on the application to the issues of the laws of the foreign forced heirship state.

    In practice, there are limitations or exceptions that get by the firewall. The laws of the offshore jurisdiction:

    - cannot validate a transfer of property into trust, if the settlor never owned the trust property, under the laws that are applicable to establish ownership to the property in question
    - do not apply, if there is a contrary provision in the trust instrument or the document effecting the transfer to the trustees
    - cannot validate a transfer by a company that is beyond the powers of the company or otherwise contrary to the law of the place where the company is incorporated
    - cannot validate a transfer of property that does not follow prescribed formalities required in order to transfer property that is subject to those laws
    - cannot validate a trust of foreign real estate that is invalid according to the law where the land is situated, and
    - cannot validate a testamentary trust created by Will, if the Will is invalid according to the law of the testator's domicile (citizenship or habitual residence, as the case may be).

Module 9:

Self-Assessment Questions – Answers

1. A person may wish to create an APT:

   - to protect their assets from governmental seizure and expropriation without due process
   - to protect against the imposition of exchange controls or other governmental regulation
   - to protect assets against the effects of business collapse and claims that may be made by creditors
   - to protect against the effect of bankruptcy
   - to protect against a 'freak' judgment being entered against the settlor (who may be engaged in a high-risk profession and/or reside in a highly litigious society), or
   - to protect against claims brought by 'forced heirs' or spouses on divorce.

2. All of an individual's personal wealth is *prima facie* available to meet the claims of their creditors. A creditor, with a judgment in their favour, may attach assets belonging to the debtor, sell them and use the proceeds to satisfy the debt.

   An individual who creates a trust of certain assets effectively transfers the legal interest in those assets to trustees (for them to hold according to the terms of the trust). From the date of the transfer the trust assets no longer belong to the settlor. If a successful action is then brought against the settlor, the judgment creditor may attach only assets belonging to the settlor, not those belonging to the trustees. If the settlor is declared bankrupt, the court-appointed trustee in bankruptcy may seize only assets belonging to the settlor, not those belonging to the trustees. Accordingly, the trust has protected and preserved the trust assets from attachment by creditors of the settlor. See Module 1 section 1 of the course manual.

3. The Fraudulent Conveyances Act 1571, also known as the Statute of Elizabeth, overcame the ability of a debtor, when facing mounting debts, to transfer their wealth to a third party (such as a member of their family, close friend or trustee) as a gift or at an undervalue, thus becoming a self-made 'man of straw' in order to frustrate the claims of the creditors.

   The mischief was overcome by conferring a statutory remedy, thereby enabling a creditor to apply to the court to set aside any 'conveyance' (transfer of property) made by the debtor by which they intended to defraud the creditors. If the application is successful, the fraudulent conveyance would be set aside. In other words, the transferee would be ordered to transfer the property back to the debtor so that it could be attached by the creditors.

4. All 'gifts, grants or alienations' made with an intention to 'hinder, delay or defraud creditors' are liable to be set aside, including:

   - transfers as gifts
   - transfers into the joint names of a transferee and the transferor
   - sales at an undervalue
   - the transfer of property to a company (in exchange for shares therein) of which the debtor is sole director and shareholder, and
   - the creation of a trust, and transfers of property to trustees.

5. An intention to defraud is established by circumstantial evidence. If the circumstances surrounding the creation of a trust reveal one or more 'badges of fraud' then these are factors which an independent tribunal can take into account when determining whether the debtor had a guilty mind. If the circumstances are such that in all probability (i.e. it is more probable than not) that the debtor had an intention to defraud, a court will decide the issue in favour of the creditor.

   The factual circumstances that indicate that the transferor of property intended by the transfer to defraud creditors are often called 'badges of fraud'. A number were identified in ***Re Twyne's Case 1602***. You are referred to the list in section 2.3 of Module 9 of the course manual.

6. Any creditor of the transferor has legal standing to apply to set aside a transfer made with intent to defraud creditors. The expression 'any creditor' has been construed liberally by case law to include:

   - any present creditor – a person who is owed money or an obligation as at the date of the transfer, and
   - any future creditor – a person whose debt does not exist at the date of the transfer but which becomes due and owing on some future date.

7. A creditor may apply to set aside a transfer of property made by a debtor, provided the transfer was made with an intention to defraud. Creditor has *locus standi* to apply to set aside the transfer of property to the trustees of the trust, even though they were not owed money at the date of creation of the trust and the contract upon which the debt becomes due was entered into some time after the date of the trust. There is no limitation period under the Statute of Elizabeth. Because the transfer of property into trust was a voluntary conveyance (gift), made without any consideration, the burden of establishing an absence of intention to defraud rests upon S. The facts strongly suggest that, although S was solvent when she created the trust (and remained solvent thereafter for some time), their objective was to put assets beyond the reach of future creditors of their proposed business, who were within their contemplation when the trust was created. Creditor will, therefore, have a strong claim to set aside the fraudulent transfer of property to the trustees of the trust under the provisions of the Statute of Elizabeth. If the claim is successful, the court will make an order that the transfer of the assets into trust be set aside, the property thereby being returned to S, permitting Creditor to attach such assets in satisfaction of their claim.

8. The Statute of Elizabeth was expressed to apply to England and Wales 'and the Queen's Realms and Dominions', whereas the repealing legislation in England, namely, the Law of Property Act ('LPA') 1925, provided that the LPA extended only to England

and Wales. The LPA did not, therefore, repeal the Statute of Elizabeth in the other jurisdictions that comprise the 'Queen's Dominions' – including the Commonwealth countries which imported English legislation as well as the offshore common law financial centres.

9. The competing interests are those of:

- lawful creditors of the settlor who require payment of the monies lawfully due to them and who, therefore, want all the debtor's property to be available for the purposes of enforcement, and
- the debtors, or, rather, the equitable interests of beneficiaries under lawful trusts created by the settlor/debtor.

10. For specific answers it is necessary to consult the modern creditor protection legislation of the jurisdiction concerned, in respect of which you are referred to Module 9 section 3, footnotes 245 and 248. For instance, the Bahamas and Bermuda have copied template legislation passed in the Cayman Islands Fraudulent Disposition Act; whereas the BVI, Hong Kong and Singapore have copied s.172 of the English Law of Property Act 1925 reproduced in footnote 245 of the course manual; and Jersey and Guernsey simply rely on *Actio Pauliana* principles. A full comparison of the statutory models adopted by the major offshore financial centres is provided in footnote 248. The following answers offer general rules that are based upon the Cayman Islands Fraudulent Dispositions Act 1996 Revision.

    i. Any disposition of property made with an intention to defraud and at an undervalue is voidable, in so far as an eligible creditor prejudiced by the disposition may apply to have it set aside.
    ii. An 'eligible creditor' has legal standing, namely an existing creditor – one to whom money or another obligation is owed and which existed at the date of the transfer, and of which the transferor had notice. This excludes future creditors – section 3.2.
    iii. Application must be made within a strict time limit calculated from the date of the fraudulent transfer. The so-called 'limitation period' differs between jurisdictions. It is six years in the Cayman Islands and Bermuda, but two years in the Bahamas – section 3.3.
    iv. The burden of proof is borne by the creditor who is applying to set the transfer aside – section 3.4.
    v. The transfer of the assets into trust is not set aside in total, *ab initio*. Only enough of the transfer into trust is set aside to satisfy the claim of the creditor. Any surplus balance continues to be held by the trustee for the benefit of the beneficiaries of the trust – section 3.5.
    vi. In answer to each of the sub-questions (a), (b) and (c): the answer is 'no', provided the trustee/beneficiary acted in good faith, i.e. acted honestly without knowledge of the fact that the settlor was trying to defraud their creditors and without deliberately closing their eyes to the obvious – see section 3.6.
    vii. The trustees are allowed to pay the legal costs incurred in fighting the creditor's legal action out of the trust fund, provided they acted in good faith (as defined above). Otherwise, they will have to pay their legal costs incurred in defending the lawsuit out of their own pocket – see section 3.7.

11. It is ethical to accept new trust business from a client who is respectable and genuinely wishes to obtain lawful protection from future claims. It is unethical to accept new business when the settlor's sole purpose is to avoid claims which have already been made and of which they have notice, merely to make enforcement more difficult for existing creditors. It also carries considerable risk, as the trustee may become liable:

    - to refund professional fees and expenses, together with all legal costs incurred in contesting the creditor's claim, if such trustee has not acted in good faith
    - to refund distributions which cannot be repaid by the recipient beneficiaries when the trustee fails to act in good faith
    - to compensate the creditor for their losses, if the trustee has dishonestly assisted the settlor in breaching a fiduciary duty
    - for conspiring with the settlor to defraud the creditor, and
    - for breach of the onshore criminal law, such as criminal conspiracy or bankruptcy fraud.

12. The US court in *FTC v Affordable Media* (1999) simply ignored the trust structure and held Mr and Mrs Anderson, the settlors, in contempt of court and in custody until the trust assets were repatriated to the US (where they were subsequently attached by the Andersons' creditors). See section 3.8.

13. Section 42 of the Bankruptcy Act enacted in England in 1914 has been copied by a number of jurisdictions. It states that, when a person who has been declared bankrupt has transferred property to a third party (otherwise than to a purchaser in good faith for valuable consideration at a fair price) within two (or ten years) prior to being declared bankrupt, that transfer may be set aside by the transferor's trustee in bankruptcy. Other offshore jurisdictions have copied the more modern English model contained in s.339 Insolvency Act 1986; this condenses the time periods to two and five years. For a jurisdiction-specific analysis of which model has been followed in each of the major offshore financial centres you are referred to Module 9 section 5.1, footnote 254.

14. As follows.

    i. A transfer (otherwise than to a purchaser in good faith for valuable consideration, or a marriage settlement) will be automatically set aside if made within two years of the transferor's bankruptcy. The transfer to trustees upon the creation of the trust in 2024 is automatically set aside; there are no defences.

    ii A transfer (as above) made after two years but within ten years (or five years when the 1986 model legislation has been enacted) of bankruptcy is voidable and will be set aside unless the transferee can establish that: (a) the transferor was solvent prior to making the transfer, and (b) the transferor remained solvent having made the transfer. As the transfer into trust was made in 2021 (between two and ten/five years of Settlor's bankruptcy) and as S was both solvent before and after creating the trust, the trustee in bankruptcy will not be able to set aside the 2021 transfer into trust.

15. The bankruptcy courts of a typical common law country have jurisdiction over a debtor/settlor whenever the debtor/settlor has a close connection with that centre. This generally means that the debtor must: (a) reside in the territory of the jurisdiction

when the act of bankruptcy was committed, or (b) carry on business within the territory of the jurisdiction or be a partner of a firm carrying on business within that jurisdiction.

16. Generally, yes: provided the debtor/bankrupt/settlor was domiciled in the jurisdiction where they were made bankrupt or voluntarily submitted to the jurisdiction of the court in the bankruptcy proceedings.

17. It is recommended that an APT should: be administered by offshore trustees and be governed by the laws of a jurisdiction that has repealed the Statute of Elizabeth; confer discretionary dispositive powers upon a class so that the settlor may be a member of the class of beneficiaries, rather than having a fixed interest (which would become liable to attachment); be irrevocable by the settlor with no reserved powers (so that a court located onshore cannot hold the settlor hostage until they exercise such powers); and ensure that the trust fund is held, managed and invested offshore. See section 4 of this module in the course manual.

18. Before taking on the trusteeship of an APT, the trustee should ascertain: whether the settlor is solvent; will remain solvent having made the contemplated transfers of assets into trust; and the extent of the settlor's existing creditors to ensure they leave enough money outside the trust to discharge such creditors in full. See Module 9 section 3.8 of the course manual.

19. There are several ways in which a spouse may attack a trust in divorce proceedings:

    - having the divorce court take trust assets into account as a resource of one party (described in section 6.2.1)
    - applying for an order to vary a 'nuptial settlement', i.e. to vary a trust made by or in favour of one or both parties to the marriage in order to obtain access to the trust assets to satisfy a spousal claim on divorce (section 6.2.2), or
    - applying for an order to have the trust set aside by an ancillary attack in the divorce proceedings, so that the trust assets are returned to the settlor/spouse and can be attached to satisfy the spousal claims (section 6.2.3).

20. The Cayman Islands has enacted trust legislation to frustrate spousal claims being made against trust assets in order to protect the interests of the beneficiaries. The effect of the legislation is as follows:

    - it confirms that Cayman law governs all aspects of a Cayman trust
    - it makes it clear that a Cayman trust cannot be attacked on the basis of foreign laws based on 'personal relationships', including marriage to the settlor or a beneficiary of a Cayman trust
    - it confirms that a Cayman trustee cannot be held personally liable to either party to a marriage as a result of a court order made by a foreign divorce court, and
    - it makes it clear that even if a foreign court assumes jurisdiction over the trustees and makes an order affecting a Cayman trust (for instance, by varying the same as a nuptial settlement under s.37 of the Matrimonial Causes Act 1973 or equivalent, or setting the trust aside in divorce proceedings) the foreign court order is unenforceable in so far as the Cayman court does not recognise, nor will it enforce, that order to give effect to the decision.

Module 10:

Self-Assessment Questions – Answers

1. There are three reasons why purpose trusts are invalid according to common law and equitable principles.

   (i) They offend the so-called 'beneficiary principle'. A duty borne by the trustee is only a duty if that duty can be enforced by someone. There must be a human beneficiary who is in a position to issue legal proceedings in a court of law in the event of the trustee breaching their core duty. If there is no one with a right to enforce the trust, there can be no trust. A purpose cannot enforce the trustees' duty – a purpose trust is therefore invalid.

   (ii) One of the 'three certainties' required for a valid trust is the certainty of objects – the objects or beneficiaries must be identified or described with sufficient certainty (so that the trustee knows exactly who to hold the trust property for and apply it for their benefit). If the objects of the trust are vague, or the stated purposes are nebulous, the certainty of objects is lacking and the trust is invalid.

   (iii) Trusts for the benefit of a purpose, rather than human beneficiaries, often offend the common law perpetuity period – there is no measuring life and the trust property does not vest absolutely in a beneficiary within the applicable perpetuity period.

2. As follows.

   i. Trusts of imperfect obligation, such as trusts:

      - to maintain monuments and graves
      - for the saying of private mass
      - for the upkeep of specific animals, or
      - for the purposes of the members of an unincorporated association.

   ii. Charitable trusts, where the purpose is wholly and exclusively charitable.

3. The reasons why purpose trusts are invalid at common law were reviewed in the answer to question 1 above. However, it appears that certain trusts (to maintain graves, animals, for private masses, for associations) have been upheld at common law simply because they place the trustee under a moral obligation that they unreservedly promise to carry out, even though they are unenforceable. These trusts seem to be valid as a concession to human sentiment.

4. According to English common law principles, a charitable trust must be established for:

   - the relief of poverty
   - the advancement of education

- the advancement of religion, or
- other purposes beneficial to the community.

The theoretical objections to purpose trusts are addressed in relation to charitable trusts in the following manner.

(i) The beneficiary principle: charitable trusts are enforceable by the Attorney General (or other governmental department) in the event of a breach being committed or threatened by the trustee.

(ii) Certainty of objects: if the charitable objects are vague or difficult to fulfil so that the trustee is in a dilemma as to who or what he or she should benefit and apply the trust funds to, rather than declaring the trust void (so that the trust property reverts to the settlor), the equitable doctrine of *cy-près* allows the trustees to use the trust funds for the benefit of some other charitable purpose as near as possible to that contemplated by the settlor.

(iii) The rule against perpetuities: this rule, which requires capital held on trust to become vested in a beneficiary within the perpetuity period (thereby creating a maximum duration period), does not apply to charitable trusts. Charitable trusts can last forever with capital being held upon trust for an indefinite period.

5. The trust would be void as an invalid purpose trust. Although the objects of the old and sick of York are charitable in nature, the whole of the purposes of the trust are not exclusively charitable in so far as the trustees may use the funds for 'other socialist purposes'. The second part of the gift is not wholly and exclusively charitable (as defined). It would, therefore, fail. See Module 10 section 1.2.2 and the case of ***Re Macduff*** [1896] 2 Ch 451.

6. The 1989 Act in Bermuda (which is often used as a model by other jurisdictions) allows trusts to be created in favour of purposes which are 'specific, reasonable and possible' and not 'immoral, contrary to public policy or unlawful'. This was simplified in the 1998 legislation but not in any significant way. The objects of STAR trusts must be lawful and not contrary to public policy.

   For examples of purposes which would not be permitted, see Module 10 section 2.1.1.

7. A purpose trust is more at risk than normal trusts of abuse at the hands of a rogue trustee, as it does not have human beneficiaries to supervise the actions of the trustee and take proceedings against them if they commit a breach. If a responsible professional or trust company is appointed as trustee, there is less risk of abuse.
   A purpose trust under the 1989 Act must always have an enforcer in place to supervise the actions of the trustee and to ensure that the trustee complies with the trust instrument and distributes in favour of the proper purposes. A designated person trustee has the added responsibility of ensuring that the enforcer is ready, willing and able to act as such. If the enforcer dies, is unwilling to act or is incapable of acting, the trustee must notify the Attorney General and a new enforcer will be appointed.

   The designated person, therefore, provides an additional safeguard to ensure that the trustees will comply with the terms of the trust. However, the requirement is nowadays redundant, as since the introduction of the regulation of trustees, all trustees must hold a licence issued by the local regulator permitting the licence-holder to conduct trust-related business.

8. By ensuring that the settlor appoints an enforcer in the trust instrument, or makes provision for one to be appointed. The statutory duty imposed upon the enforcer is to ensure that the trustees observe their primary trust obligations and make sure the proper purposes benefit from the trust property. If the trustees commit a breach of trust, the enforcer must intervene to protect the purposes of the trust and the trust fund. If, for example, the trustees have distributed, or threatened to distribute, trust funds for purposes other than those set out in the trust instrument, the enforcer is required to issue proceedings against the trustee.

9. The theoretical objections to purpose trusts are addressed in relation to statutory purpose trusts in the following manner.

    (i) The beneficiary principle. Purpose trusts still have no human beneficiaries capable of enforcing the trust. However, the power (or sometimes the obligation) to enforce the trust is vested in a specifically appointed enforcer (e.g. the 1989 Bermuda legislation and Cayman STAR trusts legislation) or in any person who the court considers has a sufficient interest to enforce the trust (e.g. the 1998 Bermudian purpose trust legislation).

    (ii) Certainty of objects. The objects of purpose trusts must be sufficiently certain to allow the trustees to properly carry out the terms of the trust (e.g. the purpose must be specific, reasonable and possible, per 1989 Bermudian Act). Furthermore, STAR provides a mechanism whereby, if the trust instrument so provides, it allows the trustees to vary the purposes *cy-près* in the event of the initial purposes being vague or becoming impossible or inappropriate to achieve. If the trustees cannot resolve the problem *cy-près* then they may apply to the court, which has power to reform the trust or settle a plan for its administration.

    (iii) Perpetuity. Under most modern purpose trust legislation (e.g. the 1998 Act in Bermuda and STAR in Cayman) the rule against perpetuities is abolished.

10. Section 12B(1) of the Trusts (Special Provisions)(Amendment) Act 1998 amends the 1989 Bermudian legislation and provides that, instead of the enforcer having the exclusive power and legal standing to enforce the trust, the following persons now have *locus standi* to bring proceedings in the event of a breach of trust:

    - the person appointed in the trust instrument (who can be the settlor or protector)
    - the settlor, unless excluded by the trust instrument
    - the trustee, or
    - any other person who has a sufficient interest in the enforcement of the trust (for example, persons who have had, or can reasonably expect to receive, an indirect benefit from the purposes of the trust).

11. This analysis ought to cover the following points.

    i. Purposes

    Similar provisions exist in both Bermuda and the Cayman Islands, in so far as the purposes of a trust in each jurisdiction must be lawful and not contrary to public policy. The Bermudian legislation applies only to purpose trusts; however, STAR applies to purpose trusts, person trusts and to mixed purpose and person trusts whenever the trust instrument contains a declaration that STAR applies.

    ii. Method of creation

    A purpose trust in each jurisdiction must be in writing, although a deed is not required.

    iii. Trustees

    In the 1989 Act of Bermuda, a trustee had to be a 'designated person' (a lawyer licensed to practice in Bermuda or a bank licensed in Bermuda), although this requirement was removed from the 1998 Act after a general licensing requirement was introduced for trustees. Under STAR, applicable in the Cayman Islands, a trustee must be a licensed trust company.

    iv. Enforcement

    In both jurisdictions the enforcement of the core trust obligation against the trustee is in the hands of non-beneficiaries.

    The office of enforcer was created by the 1989 Act, although it was substantially amended by the 1998 Act, which gave rights permitting enforcement to be undertaken by a number of persons – see the answer to question 10 above.
    In the Cayman Islands, the trust instrument must appoint (or provide a method for appointing) an enforcer. STAR divides enforcers into two types: obligatory enforcers, who are under a duty to enforce the trust whenever events deem it necessary; and voluntary enforcers, who have a power to enforce the trust if they wish.

    If no enforcer is able to act and the trust does not provide for a successor, the 1998 Act authorises the Attorney General to apply to the court to appoint one.

    A significant difference between the Bermudian and Cayman Islands' legislation is that STAR allows the trustee to resolve problems of impossibility of purposes by applying trust property *cy-près* and gives the court power to reform the trust.

    v. Termination

    The rule against perpetuities is abolished in each jurisdiction, both under the 1998 Act and STAR.

12. STAR applies to both purpose and person trusts, in order to avoid a fundamental argument about whether the particular trust under scrutiny is really a purpose trust, because of the practical difficulties in distinguishing between the two objects. For example, see section 2.3.1 and ***Re Denley***.

13. STAR permits obligatory and voluntary enforcers. An obligatory enforcer has a duty to enforce the trust in the event that the trustees commit a breach (a role often fulfilled by an attorney, professional protector or other adviser). As the obligatory enforcer has a statutory duty to enforce the trust, they can be held liable for their deliberate or negligent failure to do so. Voluntary enforcers, on the other hand, have a right, but no duty, to enforce the trust, if necessary. Accordingly, a voluntary enforcer cannot be held liable for their failure to enforce the trust.

    At any time a STAR trust does not have an incumbent enforcer the trustee is required to apply to the court for one to be appointed.

14. The trust has been rendered obsolete or inappropriate (not impossible) by a supervening event. Under STAR, the trustees may apply the trust property *cy-près*. This means that they may use the trust funds for a purpose as close to that intended by the settlor as possible, for instance, to treat children in Country A against similar diseases. There is no need to apply to the court for directions.

15. Some of the examples given in section 3.1 of this module include trusts whereby the trustee holds the trust fund upon trust:

    - to create, hold and manage a private art collection
    - to promote a political party or ideology
    - to promote DEI initiatives or LGBTQ+
    - to benefit a trades union, trade association or a particular profession, sector or industry
    - to fund particular leisure activities that aren't strictly charitable in nature, or
    - to promote non-charitable causes.

16. See Module 10 section 3.2, Example 10.1. Holding shares of a private company in accordance with the terms of such trust has the following advantages:

    - the trust exists to promote the interests of the company so the shares cannot be sold by the trustees; instead, the shares are preserved to ensure the continuation of the business
    - the trustee can vote the shares to control the composition of the board (to include a seat for the settlor and/or other family members, if this is what the settlor wishes) but then allow the board exclusively to run and manage the business without supervision or interference, and
    - the beneficiaries cannot persuade the trustees to sell the shares or break the trust under ***Saunders v Vautier***.

17. See Module 10 section 3.3, Example 10.2. Instead of a traditional corporate trustee being appointed as trustee of a conventional family trust (for example, to hold shares of the settlor's private operating or investment company), the settlor may be advised to incorporate a private trust company and obtain a PTC license from the

local regulator permitting it to act as trustee for the one identified trust. The PTC will then delegate administration of the trust to a traditional trust company. The question is: who should own the PTC? If the settlor or the beneficiaries own the shares of the PTC its value forms part of their estate when they die and there is a risk that the whole structure may be regarded as a sham. It is essential, therefore, that the PTC is 'orphaned', so it doesn't have parent owners. In these circumstances, the shares of the PTC can be transferred to trustees of a purpose trust. The purposes of the trust will be to hold the shares of the PTC and vote the shares to control the composition of its board, but then to allow the board exclusively to run and manage the PTC without supervision or interference.

18. Certain 'key' employees may be given a remuneration package that includes one or more of the following so-called 'employee benefits' described in an 'employee benefits plan': a generous pension; 'rolling' severance payment provisions; or stock options (or shares acquired by exercising the stock options).

19. An employee benefit trust (EBT) may be structured as a purpose trust that holds assets upon trust to finance and implement the terms of an employee benefit plan, as described above in the answer to question 18. The employee benefit plan usually involves funds being provided by an employer and transferred to independent trustees to hold upon trust to fund the employee's benefits as described in the plan.

    An offshore purpose trust may be used to hold the funds earmarked for these employee benefits as: the funds are segregated from the employer's own assets and therefore protected in the event of the employer's insolvency; the funds can be invested without having to comply with restrictive onshore investment regulations and complex accounting rules; and investment profits and realised gains can be accumulated free from taxation.

20. Purpose trusts are often used as part of large financing deals. They often hold and manage assets as security for lenders. Examples include project and asset financing arrangements (see sections 3.5.1 to 3.5.3). The trustees of a purpose trust receive the income generated by a financed project or capital asset and use it to service the debt. Often certain creditors will be subordinated to others, under a subordination trust arrangement.

Module 11:

Self-Assessment Questions – Answers

1. Foundations were used in Europe in the Middle Ages to own and administer property of the church. They evolved as a vehicle to fund philanthropic and charitable causes.

2. Foundations established offshore are primarily used to hold and manage private wealth. The main objectives of an offshore foundation are asset protection, estate planning and tax avoidance.

3. A private foundation is a self-governing separate revocable or irrevocable legal entity, without shareholders or the equivalent, which is managed by a foundation council or similar body and set up following a declaration, registration or incorporation by, or on behalf of, a founder to hold, administer and distribute the foundation's endowment for the benefit of beneficiaries, or for a purpose, where the entire ownership of the foundation's assets belongs to the foundation, and are managed according to the requirements of its constitutive documents, namely the charter and regulations made under the charter.

4. See section 3 of this module in the course manual.

5. Both structures are used to hold, manage and distribute family wealth. Unlike a trust, a private foundation is a legal entity. A foundation is similar to a company but without shareholders or the equivalent. A foundation is set up following an application by the founder to a government agency for the registration or incorporation of the foundation – it is conferred by the state with being a separate legal entity when the name of the foundation is entered onto the register of foundations. A trust, on the other hand, is a private arrangement which doesn't have to be registered. Although intended for the benefit of beneficiaries, a private foundation must fulfil its proper purposes, whereas a trust for the benefit of purposes is unlawful under common law principles. The ownership of the foundation assets rests with the foundation itself, and there is no equivalent of an equitable interest or equitable ownership in the hands of the beneficiaries. Management is delegated to a council and checks and balances are provided by a guardian or protector.

6. A foundation shares a number of similarities with an incorporated company structure but, like a trust, it has beneficiaries rather than shareholders. A foundation is established by a registration procedure similar to a company whereupon the foundation becomes a separate legal entity; it is governed by its constitutive documents similar to the memorandum and articles of a company, and assets are transferred to and are then owned by the foundation itself. The foundation is managed by a foundation council whose members owe fiduciary duties like those owed by a board of directors.

However, a foundation differs from a company insofar as it does not have owners or shareholders. A foundation exists to fulfil its objectives or purposes set out in its charter which is typically to hold, manage and distribute wealth to and on behalf of members of a class of beneficiaries. These beneficiaries do not own the foundation property, either by virtue of law or of equity, and may not have any specific or enforceable rights – the beneficiaries are usually simply objects of a discretionary dispositive power conferred upon the council.

7. A private foundation is initially established by a founder (or their advisers), who designs the constitutive documents (usually referred to as the 'charter' and 'regulations', although terminology differs between jurisdictions) in a manner that satisfies the founder's requirements and prescribed content requirements. The charter is then submitted to the registrar for registration in a public registry. The foundation is given a unique name and number which are entered into the register of foundations and the registrar issues a certificate of registration. See section 4 for jurisdiction-specific procedures.

8. The 'endowment' refers to the transfer of assets to the foundation. There is typically a minimum endowment upon registration, which must be referred to in the charter, but most of the assets are transferred by the founder or third parties after formal registration by 'additional endowments'.

9. Any lawsuit to attach foundation assets or to set aside a foundation brought by a spouse of a founder to enforce claims conferred by marriage or upon divorce, or by the family of the founder upon their death to enforce forced heirship rights, are defeated by the application of modern conflict of laws rules enacted by foundation legislation. These conflict of laws rules that protect the efficacy of a foundation and its assets are based upon the same statutory rules applicable to trusts, described in Module 11 section 4.3 of the course manual and, in relation to trusts, Module 9 section 6.3 (anti-spousal claims) and Module 8 section 3.3.2 (anti-forced heirship claims).

10. The constitutive documents comprise: (a) the charter (which must contain, for example, the name of the foundation, its objects or purposes, first council members, its initial endowment, its term or particulars relating to its winding-up, and may contain provisions relating to a guardian or protector); and (b) the regulations of a foundation, called 'the articles' in the Bahamas or 'rules' in Guernsey and the Isle of Man and 'by-laws' in Dubai (which may contain miscellaneous administrative provisions and usually the dispositive provisions relating to distributions of foundation property to the beneficiaries). See section 5 of this module in the course manual.

11. The founder may lawfully reserve rights in the charter, but usually does so in the regulations (articles, rules, by-laws) made under the authority of the charter. The founder may, for example, lawfully reserve the right to revoke the foundation, or to influence management and investment by reserving a right to approve or veto investment or dispositive decisions made by the council but, more crucially, the founder may also reserve the right to direct the council to distribute, thereby controlling distributions to the beneficiaries. See section 6 of this module in the course manual.

12. The council manages the foundation and its assets in accordance with the provisions in its constitution and must ensure that the foundation fulfils the purposes set out in the charter. The members of the council owe (a) fiduciary duties of honesty, integrity and good faith to the foundation (which cannot lawfully be excluded) as well as (b) a duty of care (which can be excluded by an express exoneration provision in the constitutive documents) – see Module 11 sections 7.1, 7.3 and 7.4. For a specimen exoneration clause, you are referred to Appendix 31 of your online study resources, Regulation 4.4.

13. Under generally accepted taxation principles, a foundation may become liable to pay taxes upon the earnings and realised gains generated by the assets of the foundation to the revenue authorities in the state where the foundation is deemed to be 'resident for tax purposes'. A foundation is resident for tax purposes in the state where it is incorporated/registered and/or in the state where it is managed and controlled. Where the state of incorporation is a nil-corporate-tax jurisdiction, no liability to pay local taxes is imposed upon the foundation. But the location of its council and the place where its members meet or otherwise manage the foundation and its assets are used to determine residence under the so-called 'management and control test' for tax purposes, thereby causing the foundation to pay corporate taxes onshore, to the revenue authorities of the state from which it is managed and controlled. See section 7.5 of this module in the course manual. This is why council members tend to be service providers who reside offshore.

14. Foundation legislation may impose a duty upon a guardian to supervise the activities of the council (e.g. Jersey). Alternatively, in some jurisdictions the office of the supervisory body, guardian, protector or enforcer is optional and the constitutive documents may confer powers of supervision and oversight by way of checks and balances, rather than impose a duty to do so. See Module 11 section 8.

15. Beneficiaries may be granted a right to a fixed amount by way of periodic distributions by the express terms of the foundation's constitutive documents, although this is unusual. The constitutive documents typically confer a discretionary dispositive power upon the foundation council. The beneficiaries have no interest in any or all of the foundation's assets, which belong to the foundation – there is no equivalent to a beneficial interest, which beneficiaries of trusts have. When given a right to a fixed distribution, a beneficiary can enforce that right by bringing a lawsuit against the foundation and its council. But when a beneficiary is merely an object of a discretionary power, they have no enforceable right to receive a distribution. See section 9.2 of this module in the course manual.

16. Beneficiaries have standing to enforce their rights under a foundation by bringing a lawsuit against the foundation and its council. But, as stated in answer 15 above, so far as distributions are concerned, they are usually objects of a dispositive power and so have no right to a fixed benefit. They do, however, have rights to bring a lawsuit to enforce the terms of the charter or regulations or remove a council member for misconduct, etc.

17. Legal standing to issue legal proceedings for the court to enquire into the administration or dealings of a foundation is conferred upon persons with a legitimate interest to complain. Depending upon the jurisdiction, these persons are called 'Participants', 'Persons with Sufficient Interest' or 'Interested Parties' and include: the founder; persons who make an economic endowment to the foundation; co-council

members; the supervisory body (otherwise known as the guardian, protector or enforcer); and any one or more of the beneficiaries of the foundation.

18. The life of a foundation may be brought to an end by dissolution in a number of ways insofar as a foundation may:

- be compulsorily wound up by an order of the court upon an application being made by a creditor when it can be established that the foundation is insolvent, in exactly the same way an insolvent company may be compulsorily wound-up be voluntarily revoked by the founder provided that an express power of revocation is set out in the charterbe expressly made to endure for a limited period of time, rather than for an indefinite duration, in which case the foundation may be automatically dissolved upon its expiry date; and be dissolved voluntarily according to express terms of the charter or regulations (articles, by-laws or rules) – in respect of which you are referred to Appendix 31, Art 5.2.